Deutsche Bank
Research

# M&A Spotlight: H2 – fiscal fuel & value focus

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Image: Microsoft Designer

# Key M&A themes for H2 2026

| | |
|---|---|
| 1. Operational efficiency to drive M&A decisions | 47% of CEOs say operational efficiency is their top priority – that makes it the number one priority among CEOs |
| 2. Near-term earnings accretion for mid-market deals | Daily dispersion in the US and Europe ~1.7 (similar to shock levels) shows investors are prioritising returns over pure growth |
| 3. Corporates pivot to M&A | 64% increase in US corporate discussion of “M&A” in Q2 over Q1. 52% increase for European companies over the same period |
| 4. CEOs prioritise ‘normal’ things | CEOs rank “recession/growth challenges” as their number one threat. Geopolitics and AI are merely numbers 5 and 6 respectively |
| 5. Capex supercycle is primed | The average company has capex spent ~20% of operating cash in the US and 30% in Europe. This has been stable for 5 years indicating pent-up demand |
| 6. Dollar likely to remain neutral | Dollar index ~4% stronger LTM. Expect lower volatility absent exogenous shocks |
| 7. Fiscal activism | ~20 percentage point increase in debt/GDP ratios expected for North America and, separately, Developing Economies as a group – in the decade to 2031. Multiple sectors to benefit |
| 8. Corporate buyer boom | 7.5x – M&A deal value of corporates relative to sponsors in Q2. In early ‘25, their deal value was equal |

# Our forecasts

The world economy has been impacted by the conflict in the Middle East, however, it is more resilient than anyone forecast. Indeed, scenarios that modelling a closure of the Strait of Hormuz estimated an enormous negative impact on the global economy.

## How 2026 could play out under our current assumptions about the world economy (DB forecasts)

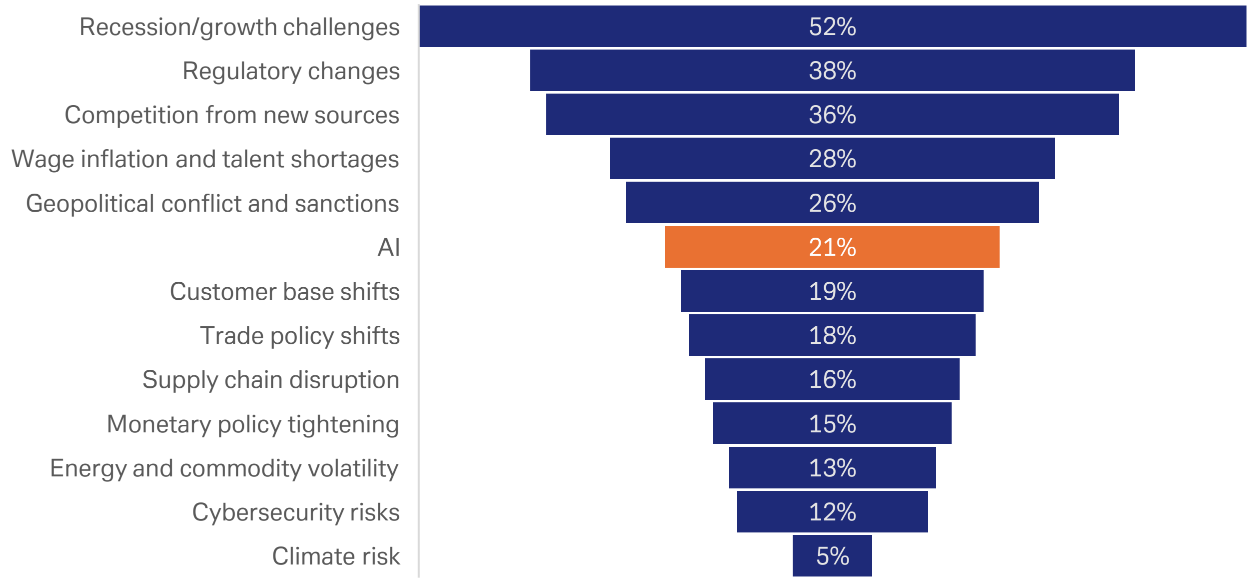
| | | |
|---|---|---|
| S&P 500 | 8000 | 7.0% |
| Stoxx 600 | 640 | |
| 10yr treasury yield | 4.70% | 12bps |
| US GDP | 2.2% | 0.1% on 2025 |
| Eurozone GDP | 0.5% | 1.0% |
| Germany GDP | 0.5% | 0.2% |
| UK GDP | 1.0% | -0.4% |
| Japan GDP | 0.7% | -0.4% |
| Crude oil | $70 | -10% |

*Source: Deutsche Bank. Photo by Kyle Glenn on Unsplash*

# Chief executives are worrying about more ‘normal’ things

## Recent ‘shock’ worries about geopolitics, energy and monetary policy are now lower on CEOs’ agenda

Percentage of CEOs who ranked the following threats in their top three

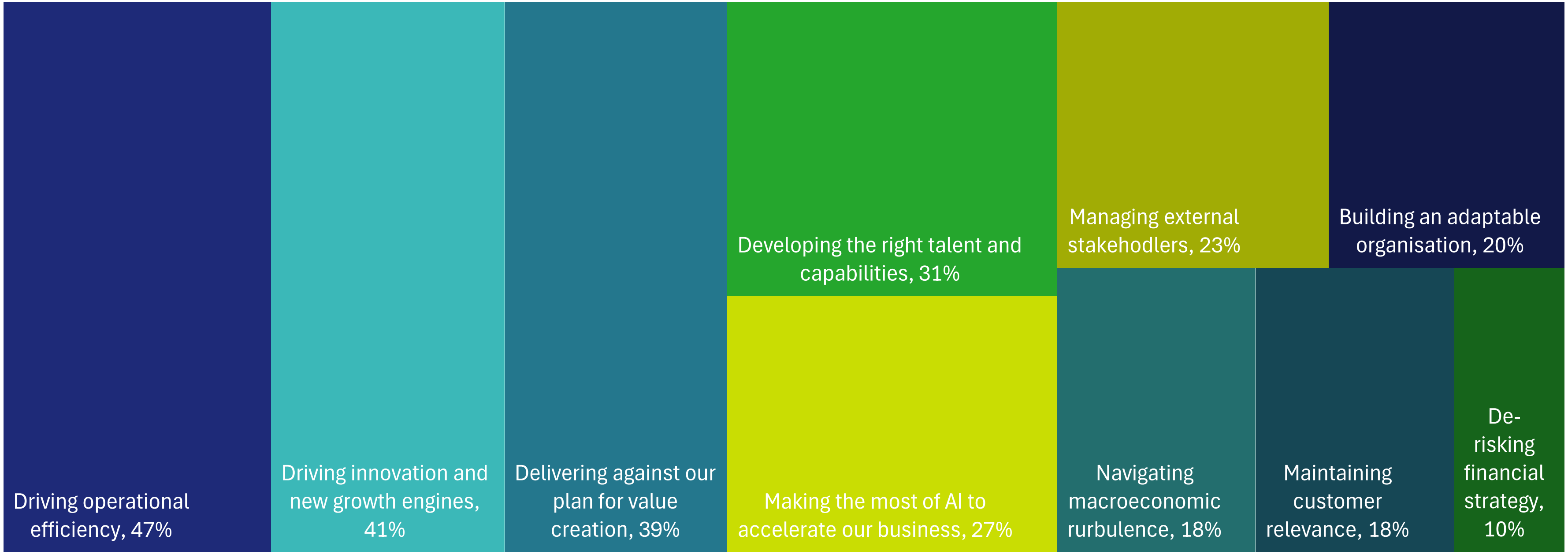



*Source: Bain CEO Survey 2026, Deutsche Bank.*

# Operational efficiency is the number one priority

Shareholder pressure has made 'efficiency' the most important thing. This means M&A opportunities will be more focussed on immediate EPS accretion while investment for longer-term growth opportunities will receive more scrutiny.

What are your top priorities as a leadership team for 2026?

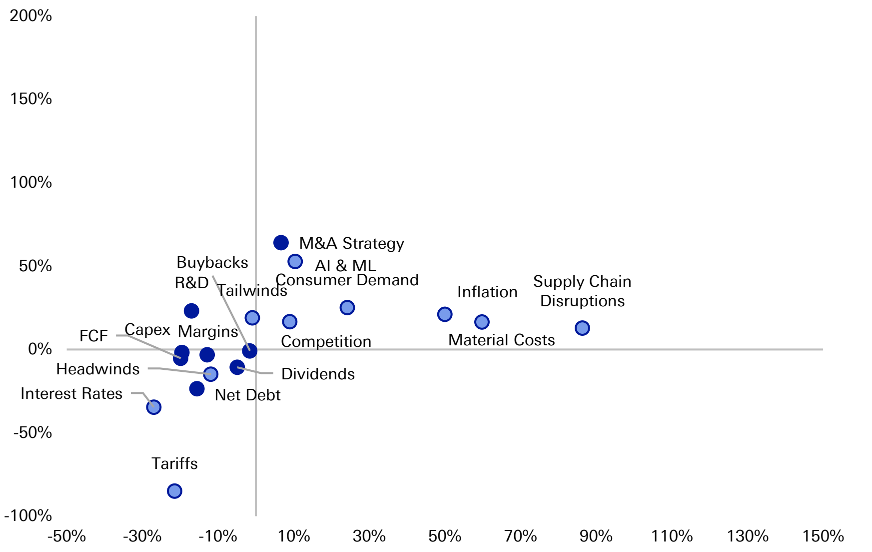



*Source: Bain CEO Survey 2026, Deutsche Bank.*

# What companies are thinking

AI and M&A are popular topics, but so are the consequences of the Iran conflict. Europe is relatively more concerned than the US.

S&P 500, mentions of selected topics – YoY (y-axis) and QoQ (x-axis), latest reporting period

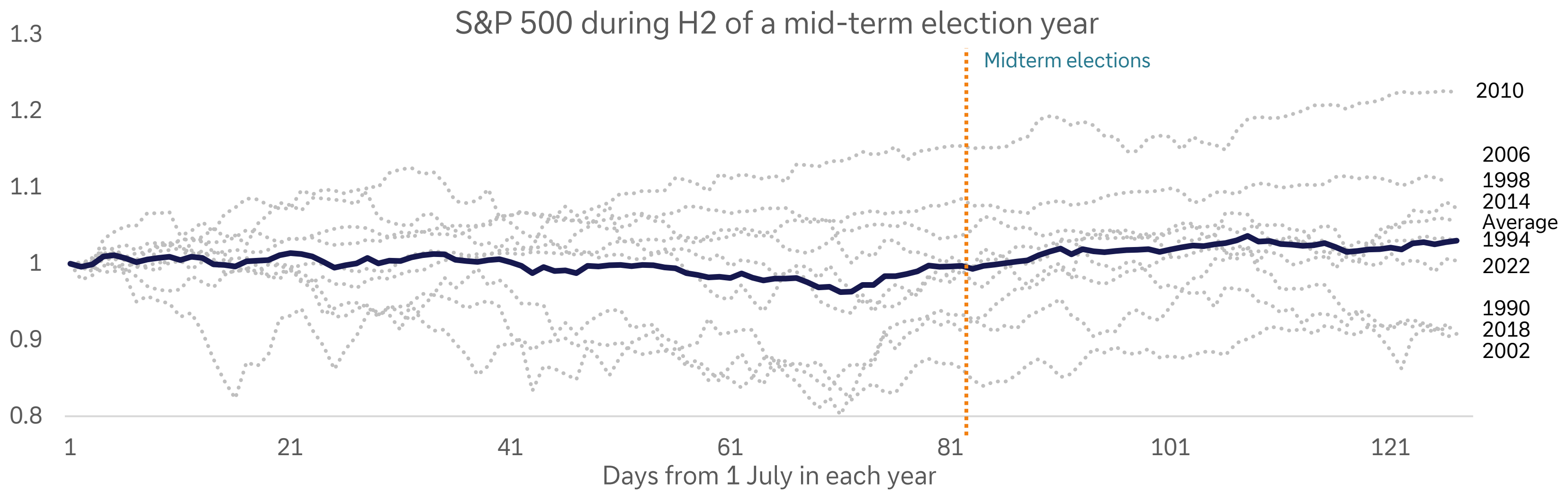



Stoxx 600, mentions of selected topics – YoY (y-axis) and QoQ (x-axis), latest reporting period


*Source: Bloomberg Finance LP, Deutsche Bank. Note: QoQ is calculated using mentions in April-May 2026 vs mentions in January-February 2026. YoY is April-May 2026 vs April-May 2025.*

# What do markets do before the mid-terms?

The 'average' performance of the S&P 500 in H2 of an election year is a red herring – the spread is very wide which means that although equity markets may be wary of mid-term elections, other factors are far more important.




| In H2 before the mid-term elections (since 1990) | | |
|---|---|---|
| On average, markets climb | ↑ | 1.1% |

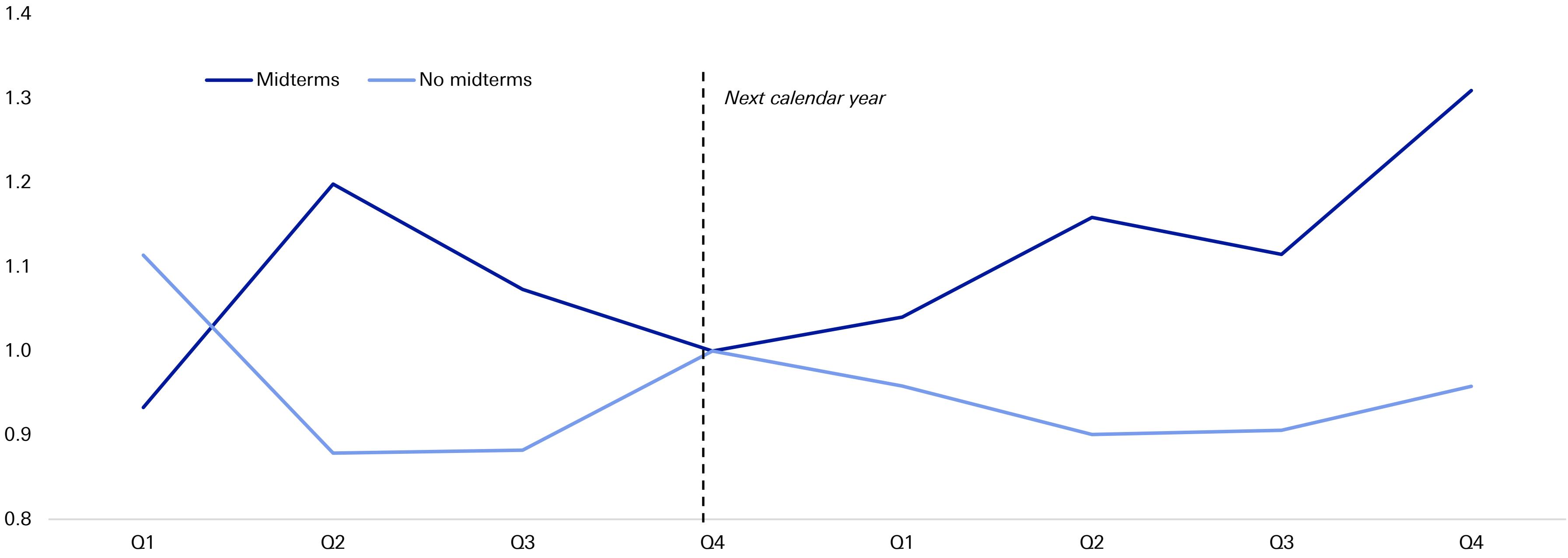
| In H2 after the mid-term elections (since 1990) | | |
|---|---|---|
| On average, markets climb | ↑ | 1.4% |

*Source: Factset, Deutsche Bank.*

# Dealmaking ahead of midterms

There is a discernible impact on aggregate deal values in the US, especially over the last two midterms. Deal values tend to slow going into the voting period but then recover in the following year. This may in part be explained by corporates hesitating to do big deals ahead of potential political change.

## US M&A deal value relative to Q4 (2000-2024)




*Source: Dealogic, Deutsche Bank.*

# Conviction & execution

Several trends are combining in H2 to sustain stronger M&A

## Greater geopolitical certainty

- Markets have priced in substantial levels of:
  - Geopolitical risk
  - War risk
  - Tariff risk
- Potential split Congress could inject certainty via gridlock

+

## Market stability

- Fed expected to keep rates in a tight band
- $2tn in private capital dry powder
- Credit spreads have remained low

+

## Corporate catalysts

- AI response is to acquire either
  - AI capabilities/infrastructure
  - Business that are more insulated from AI disruption
- Scale existing business
- Spin-off underperforming divisions

=

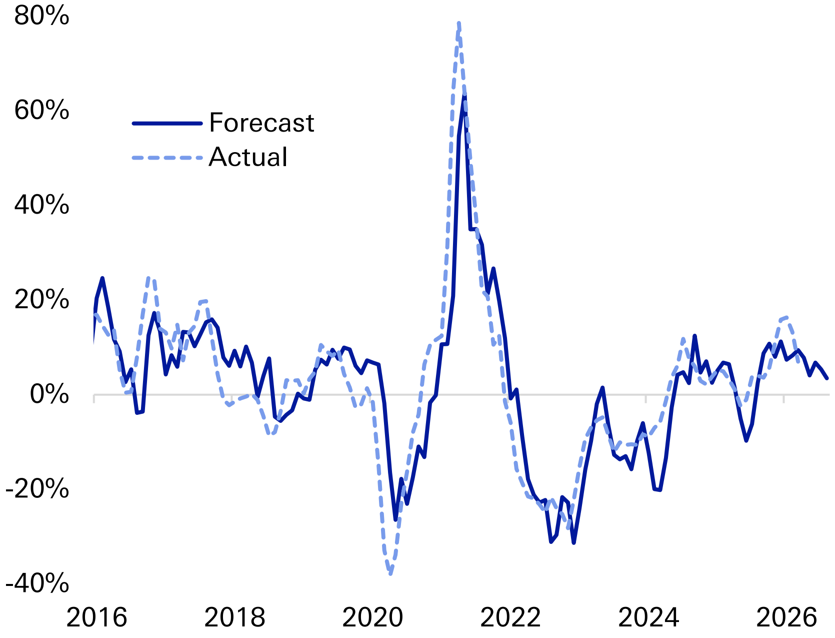
## M&A resilience

*Source: Deutsche Bank.*

# Dealmaking after the Iran deal

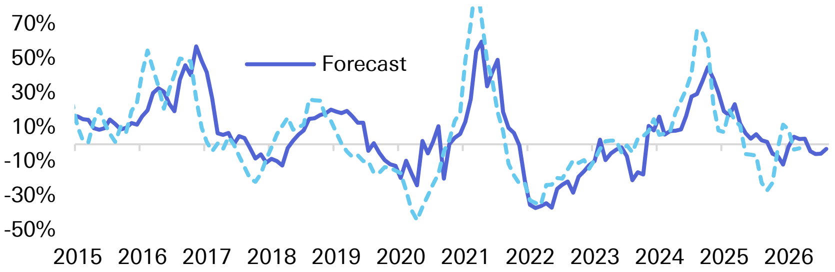
US deal count growth has been resilient despite the Iran conflict. We see this continuing, with positive momentum in the US going into Q3 as well as signs of recovery in Europe.

## Our 3m-forward forecast for growth in US M&A deal numbers

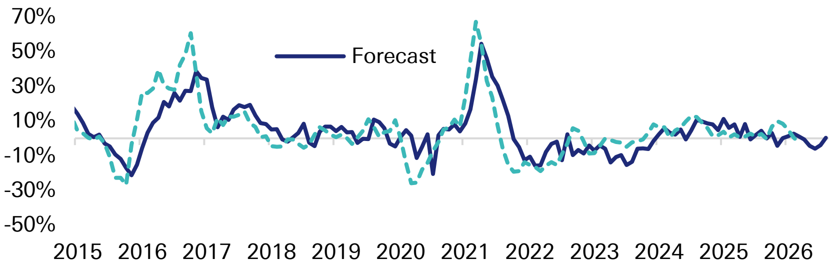



*Source: Dealogic, Bloomberg Finance LP, Haver Analytics, Deutsche Bank.*

## Our forecast for growth in UK deal numbers




## Our forecast for growth in Eurozone deal numbers



# Shifts in the background environment

The phrase 'regime shift' is tossed around a lot. But today, most people actually underestimate just how much of a change has occurred over the last few years, particularly due to the normalisation of interest rates.

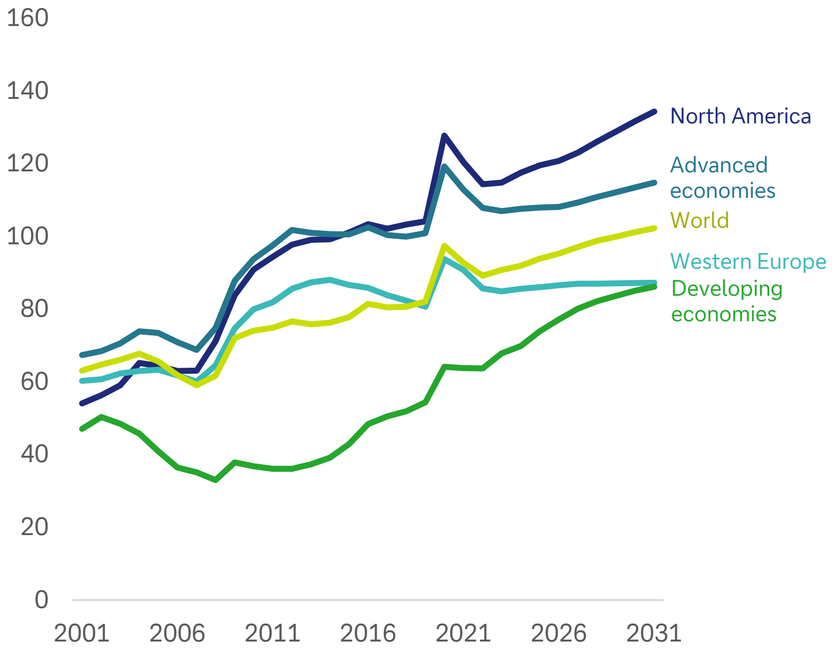
| | 2023-2025 | H2 2026 |
|---|---|---|
| Interest rates | – Volatile and/or uncertain | – Fed funds stable at 3.50-3.75%<br>– Debate over 0-2 rate rises – very different from more volatile expectations in the past |
| Geopolitics | – Severe uncertainty compared with expectations | – Expectation of uncertainty<br>– Calculated risk becoming normalised<br>– Tariff risk priced in |
| Financing | – Expectations that broad defaults post '22 rate rises would widen credit spreads | – Credit spreads have proved resilient to several shocks<br>– Pressure growing on private capital to deploy dry powder |
| Deal rationale | – Opportunistic/defensive | – AI-related (scale or defence)<br>– RoE driven |

*Source: Deutsche Bank.*

# Fiscal activism driving the traditional economy

Governments are allocating fiscal policy towards key sectors. Public-private partnerships are increasingly popular and that is driving consolidation in several industries

## Government debt as % of GDP




*Source: IMF, Deutsche Bank.*

## Sectors benefiting from fiscal activism

- Defence
- Industrial self sufficiency
- Power & energy
- Hardware
- Materials
- Transportation
- Digital
- Waste & water

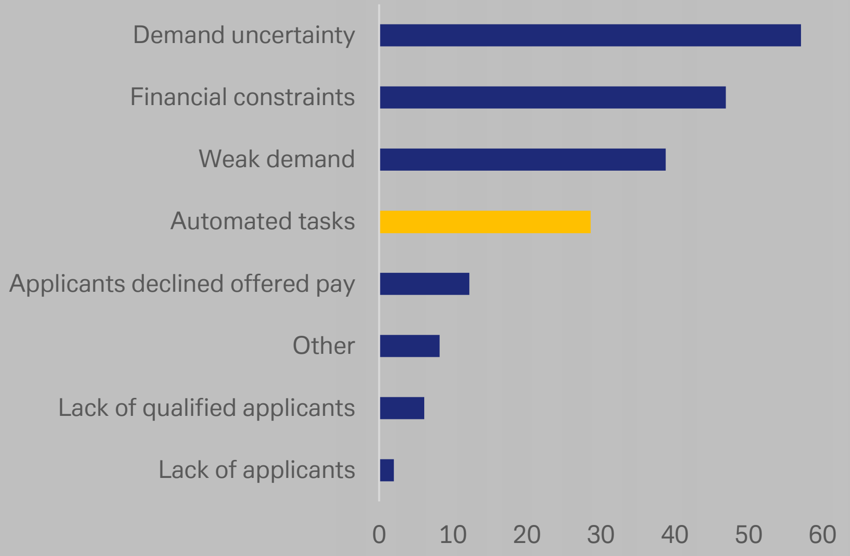
Developing economies are expected to be the most aggressive in deploying fiscal as a tool

# AI is not a key reason why companies are either laying-off or not hiring staff

Only a small percentage of firms are laying off workers

## Why are you laying off workers or declining to fill open positions?

Per cent of firms that reported laying off workers of declining to fill open positions in Q2 2026



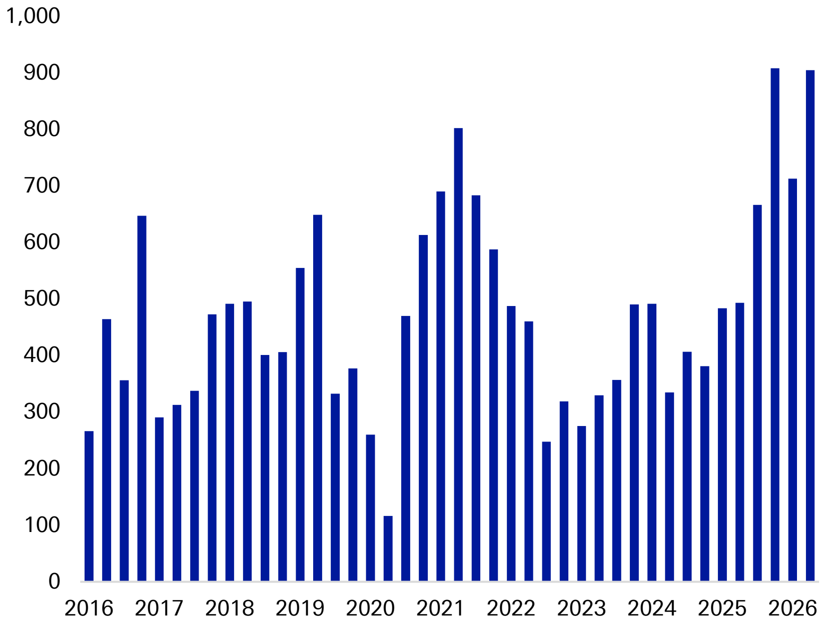

*Source: Richmond Fed, Deutsche Bank, Photo by Tim Witzdam on Unsplash*

| | Q4 2025 | Q2 2026 |
|---|---|---|
| % of US firms laying-off workers | 8.8% | 5.7% |
| % of US firms not filling open positions | 7.8% | 4.9% |

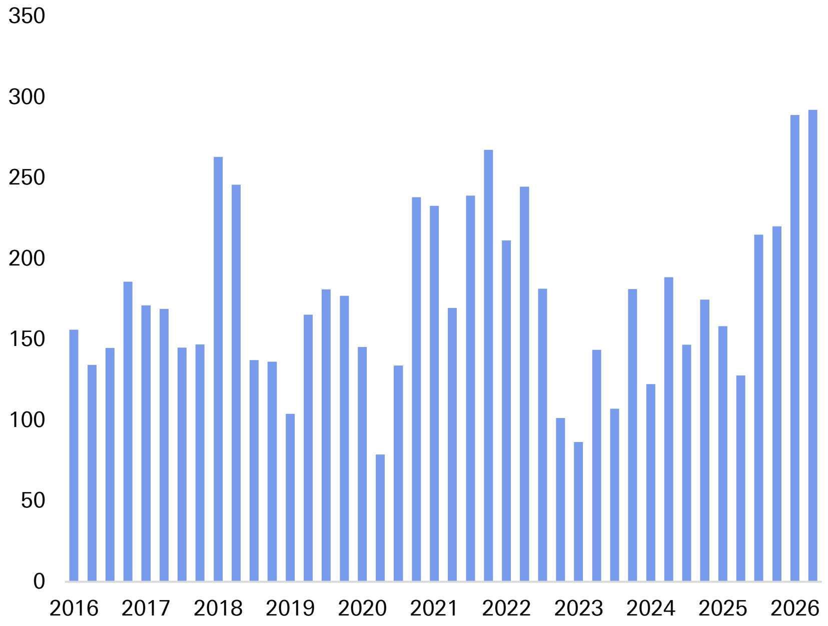
# Big deals still lead the market

US volumes are holding up despite a very strong Q4 last year as well as the tech uncertainty. Big European deals are also showing momentum.

## US deal value by quarter ($bn)



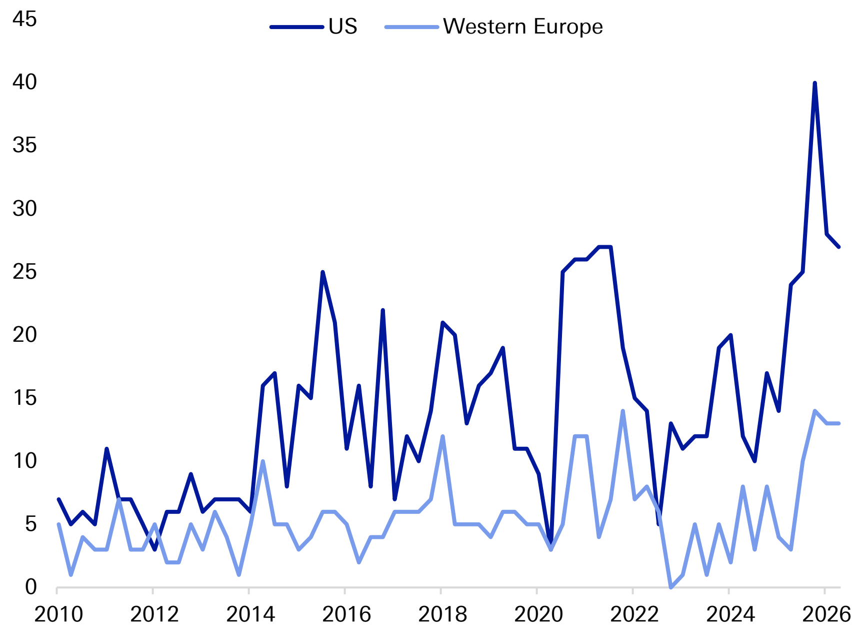

## Western Europe deal value by quarter ($bn)




*Source: Dealogic, Deutsche Bank.*

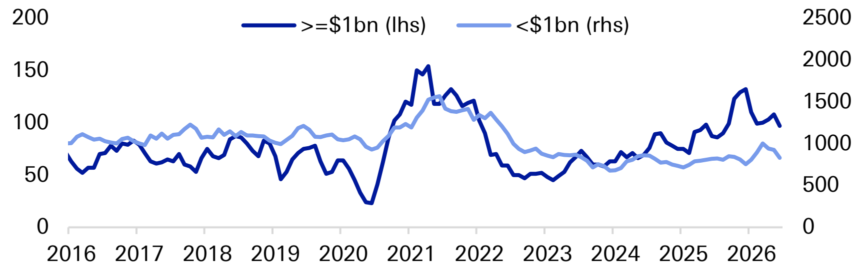
# Megadeals continue to dominate the market.

## Count of megadeals (>$5bn value) by quarter

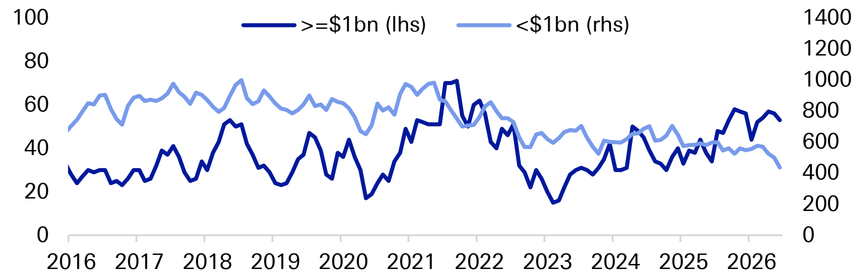



*Source: Dealogic, Deutsche Bank.*

## US, 3m deal count by size




## W Europe, 3m deal count by size



# Geopolitics in H2

## Calculated risks, substantial uncertainty priced in

**New strategies increase the 'cost' of attacking, thus raising the bar for future conflict**

- Iran used several strategies to frustrate the US
  - Focus on economic damage via the threat of force against non-aligned commercial interests
  - Broadening the conflict via attacking neighbours
  - There is no widespread, cost-effective defence against cheap drone attacks

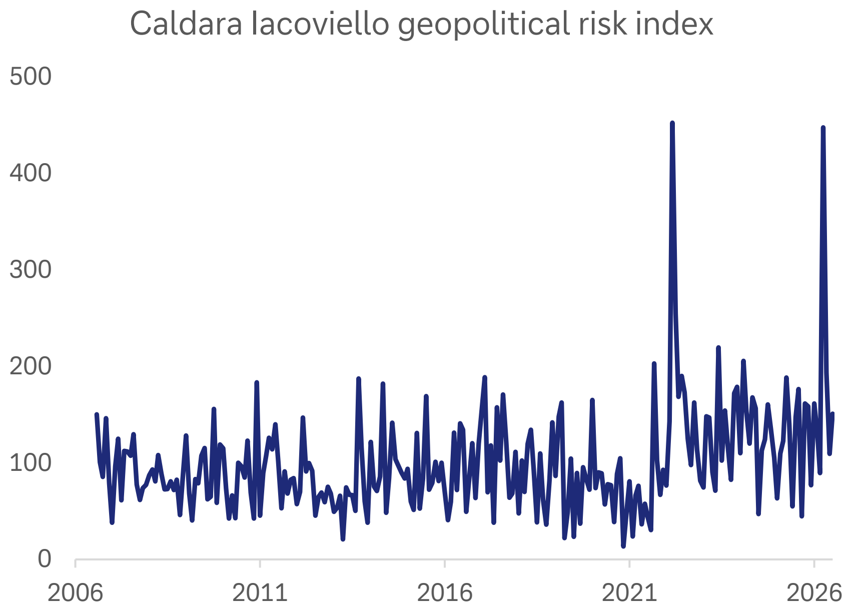
**US politics**

- Mid-term elections could see the Democrats win the House, while the Senate remains close. Gridlock may create a degree of certainty with President Trump more restricted than he is today.
- A security rift between the US and Europe remains a possibility that could flow into trade and corporate uncertainty.

**China**

- The May summit between the US and China achieved little. A visit by Xi to the US in H2 may result in more.
- US defence bill is due in December – this frequently contains provisions aimed at China

**The geopolitical risk index has returned to its average level for the 2020s**




*Source: Caldara Iacoviello via Bloomberg Finance L.P., Deutsche Bank.*

# The Strait of Hormuz – not a simple reopening

## Normalisation will be phased, uneven, and slower in the physical economy than in market prices

*For a deeper analysis of the lasting impact of the SoH crisis, see our piece here*

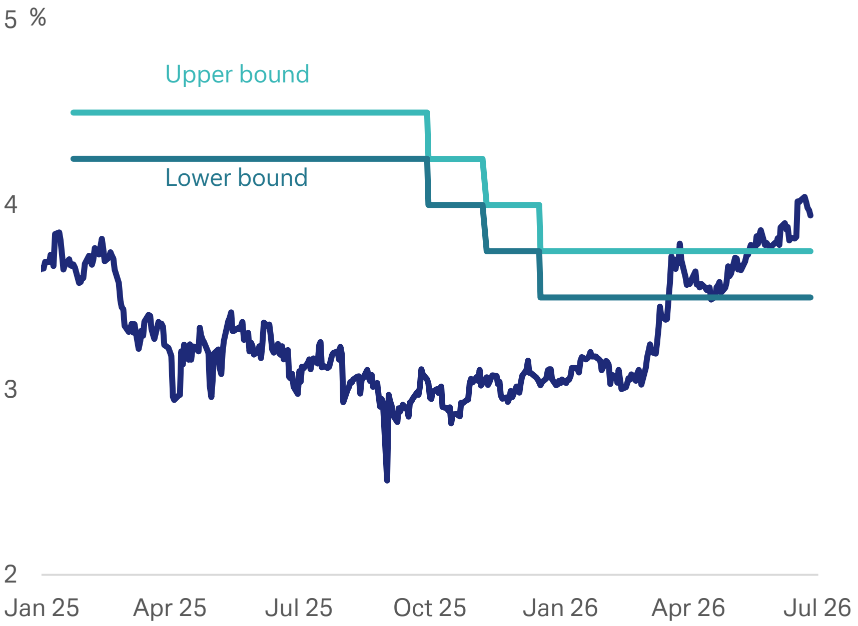
| | |
|---|---|
| Impact on Central Bank Monetary Policy | The inflation shock significantly altered anticipated paths of monetary policy. For instance, the ECB shifted towards expected rate hikes, and the Fed's policy outlook also moved towards no change or even potential rate increases, reflecting global energy price jumps and other anticipated price pressures. |
| A Lasting Risk Premium in the Strait of Hormuz | The conflict highlighted Iran's ability to control the waterway, leading to a permanent risk premium for transit through the SoH. Businesses and governments are now reluctant to assume its security even in "normal" times. |
| Increased War-Risk Cost Structure with Higher Inventories, Redundancy, and Costs | The global economy is unlikely to revert to its previous efficiency-first model. Companies and governments are expected to maintain larger inventories, build in more redundancy, spend more on insurance, hedging, and transport, and accept duplicated routes and suppliers, making the world economy structurally more expensive to operate. |
| Changed Resilience Equation | The crisis revealed the need for broader reserves beyond crude oil and gas, extending to refined fuels, petrochemicals, fertilizers, food, metals, critical minerals, and other industrial inputs whose disruption can rapidly cascade through supply chains and consumer prices. |
| Increased Geopolitical Fragmentation and Competing Blocs | The conflict reinforces a global trend towards a fragmented world order. States will increasingly make economic and diplomatic choices through a geopolitical lens, impacting sourcing, sanctions alignment, technology partnerships, and strategic commercial relationships. |
| Security-Driven Energy Transition Policy | The link between energy transition and security has strengthened. Governments will prioritize investments in renewables, power grids, storage, nuclear generation, and electrified transport not only for climate reasons but also to reduce reliance on imported fuels and vulnerable shipping routes. This also means many states may continue to secure fossil fuel access in the near term. |

*Source: Deutsche Bank.*

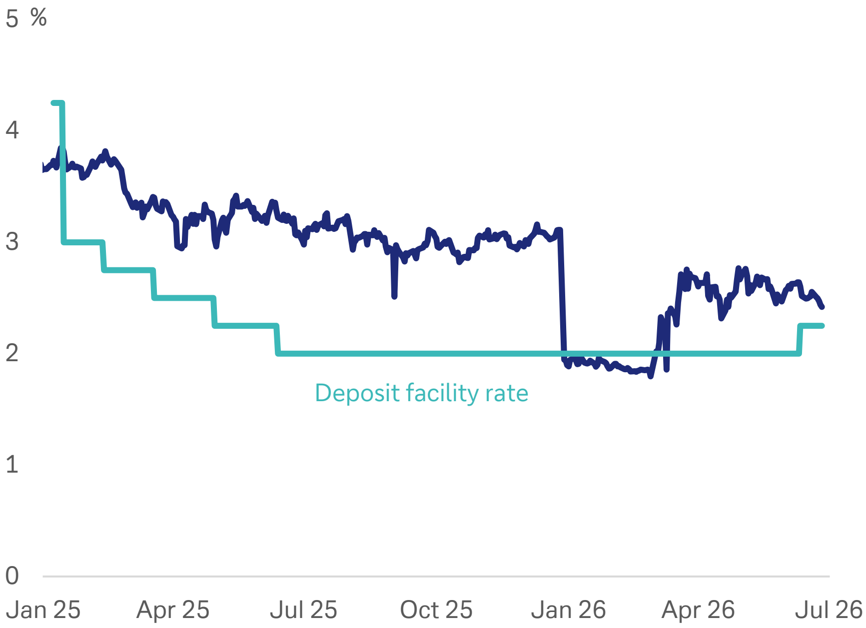
# Expectations for interest rates

Markets are pricing in only marginally higher interest rates in H2. This is a big difference to the volatility in expectations over the last few years.

## US: Market implied level of Feds Funds Rate by Dec-26




## Europe: Market implied level of the ECB's Deposit Facility Rate by Dec-26




*Source: Bloomberg Finance L.P., Deutsche Bank.*

# AI is becoming a broader factor in M&A

Non-tech companies are being cautious about their foray into AI-based M&A. However, it is slowly becoming

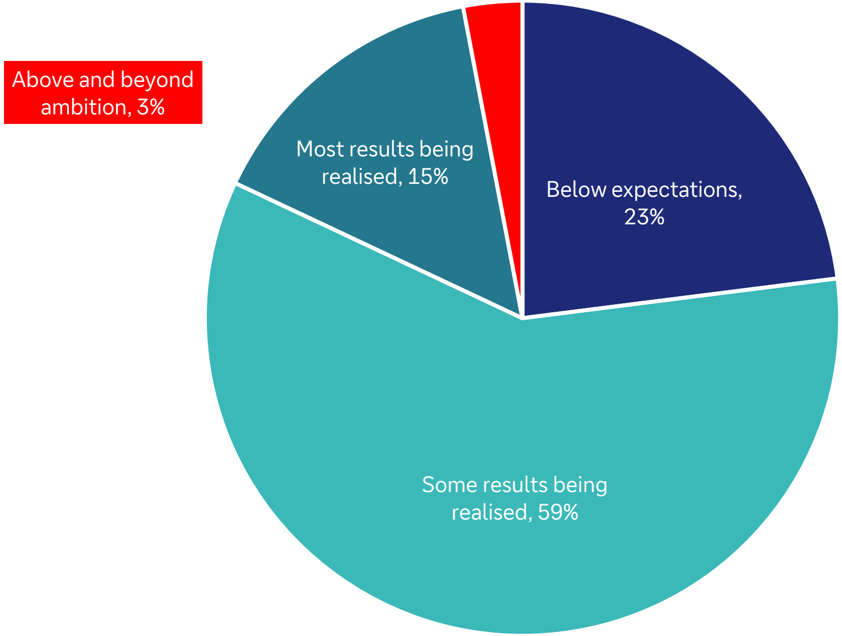
| Sector | Driver | M&A structure |
|---|---|---|
| Technology | AI integration & scale | Megadeals and bolt-ons |
| Energy | AI compute load & energy security | Infrastructure mergers |
| Industrials & defence | Efficiencies in costs, logistics, & operations | Regional partnerships |
| Healthcare | Precision medicine, new drug development to offset patent cliffs | Specific software acquisitions and platform builds |
| Financials | Credit analysis, infrastructure optimisation | Analysis tools, asset management roll-ups |

*Source: Deutsche Bank., Photo by Andrew Keymaster on Unsplash*

# Underwhelming AI results so far for most companies

## The biggest problem is the lack of expertise and tools

For your AI transformation or experimentation, how would you rate the results to date?




*Source: Bain CEO Survey 2026, Deutsche Bank.*

AI rollouts are relatively limited

85% of CEOs are using AI as part of programmes to either driver cost reduction or productivity improvements

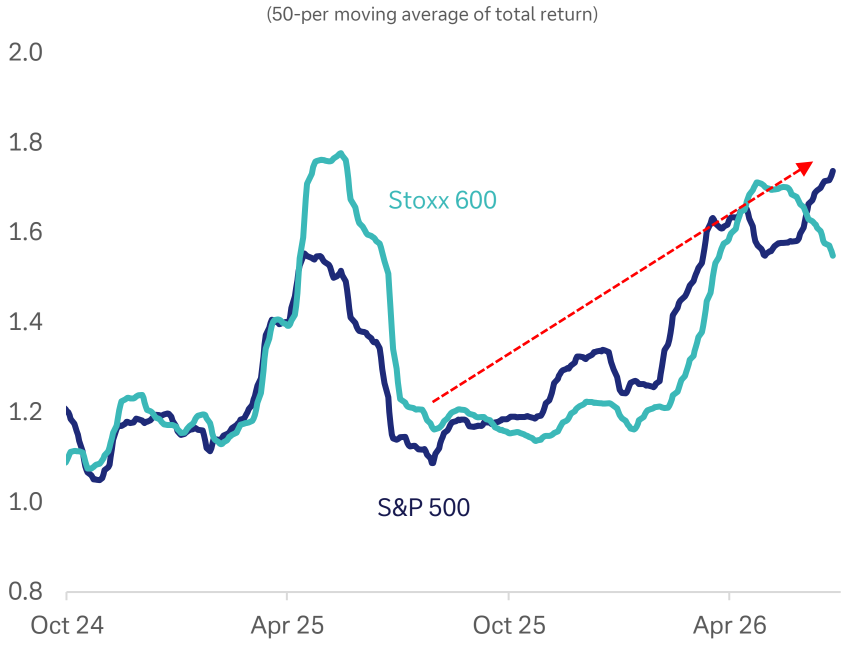
Yet only 18% of CEOs say that the results are at least in line with expectations

The biggest barrier to success? People: 43% of CEOs say their people lack the expertise and tools to support AI change. 39% say their data and platforms are not ready.

# Under the hood of equity markets

A sustained rise in dispersion outside risk-off events is very encouraging. It means that investors are rewarding high-quality companies.

## Daily dispersion of key equity indices




*Source: Dealogic, Deutsche Bank.*

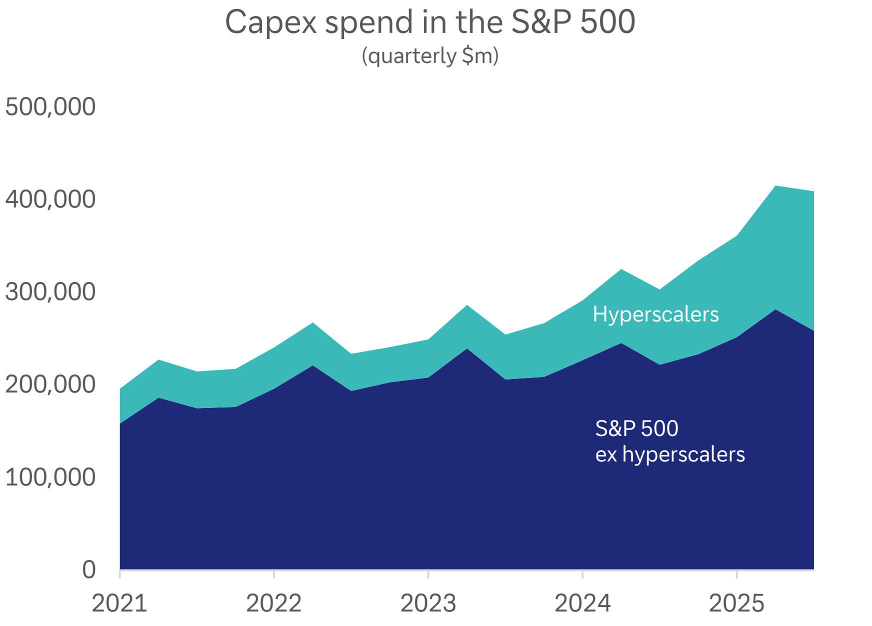
## What does higher dispersion mean?

- Investors are differentiation more between companies
- This frequently happens during severe risk-off periods, or shock periods (such as during the 2025 tariff crisis)
- BUT – the fact that dispersion is increasing now means that investors care now about the differences between different companies
- This benefits strong companies and gives them greater currency to pursue M&A opportunities

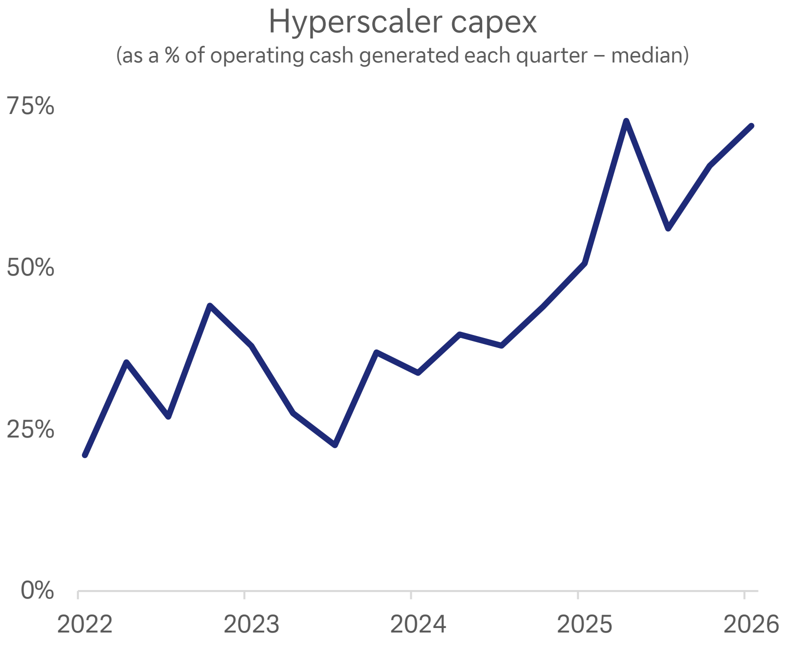
# Capex supercycle

Capex has not picked up markedly (outside the hyperscalers) so far this decade due to the backdrop of several exogenous and financial shocks. The stage is set for this to bounce.

## Hyperscalers have been leading the jump in capex spend ...




## ... but that spend is eating up more and more cash flow

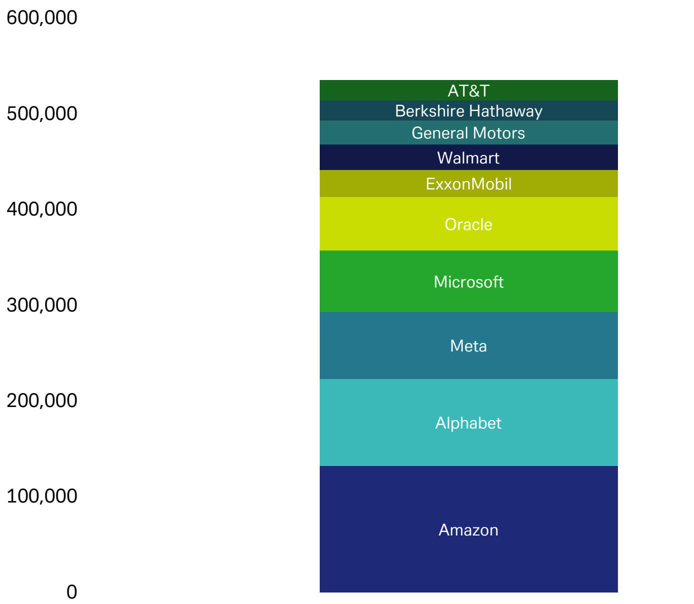



*Source: Factset (based on median figures from Amazon, Microsoft, Oracle, Alphabet, IBM, Meta, Apple, Alibaba), Deutsche Bank.*

# US v European capex

## US capex is tech heavy while Europe's capex is still dominated by carmakers, energy, and utility-style companies

### Top-10 US capex spenders (USD)



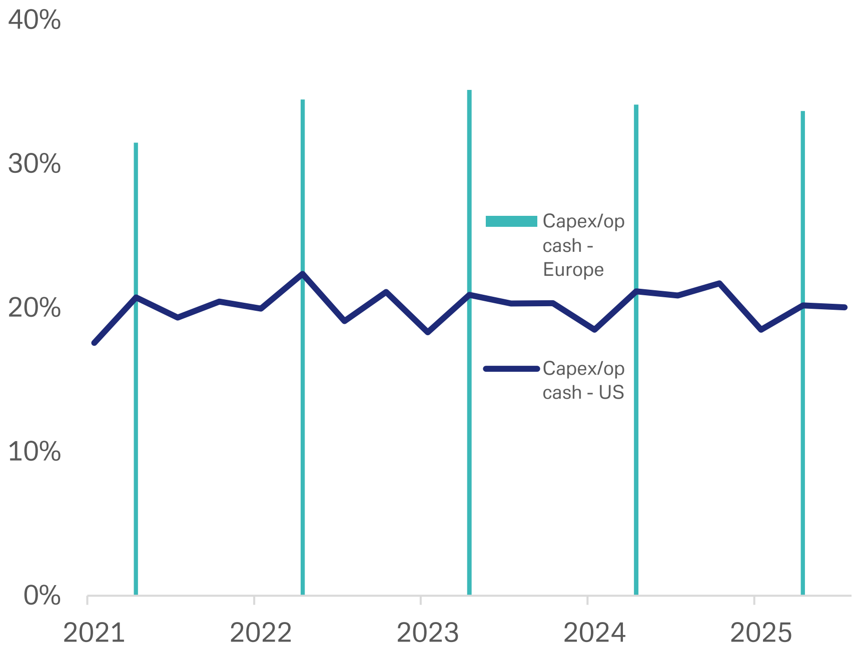

### Top-10 European capex spenders (USD)


*Source: Factset, Deutsche Bank.*

# Capex supercycle

There are legitimate questions about whether the hyperscalers can 'afford' their capex requirements. But for the average company, its capex spend consumes a constant and far more modest proportion of cashflow

## Capex as a % of operating cash (median)




*Source: Factset (based on median figures from Amazon, Microsoft, Oracle, Alphabet, IBM, Meta, Apple, Alibaba), Deutsche Bank.*

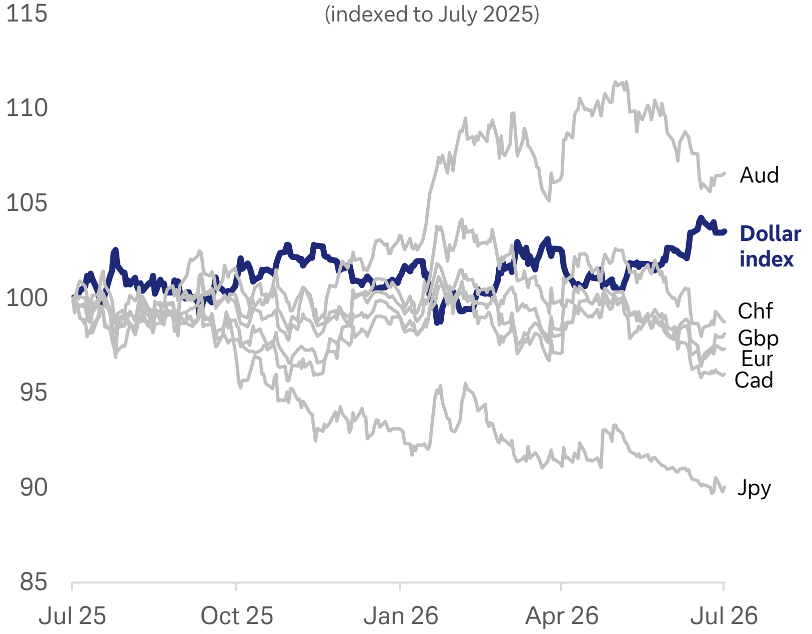
## The median company in Europe has rapidly scaled its aggregate capex

| Increase in median capex spend in the 4 years to 2025 | |
|---|---|
| S&P 500 | 22% |
| Stoxx 600 | 46% |

# Dollar strength

## The Australian dollar is the only major currency to outperform the dollar over the last 12 months

### Major currencies against the dollar




*Source: Factset, Deutsche Bank.*

The dollar is facing both positive and negative forces that by-and-large are keeping our forecasts relatively neutral or modestly bearish:

- The dollar stands as a modest beneficiary of rising energy prices
- It is hard to make the case for significant dollar weakness as long as the stalemate in the Strait of Hormuz persists
- How this is broken and the associated medium-term implications on the balance of power in the region could ultimately have negative implications for the USD, but in the near term the cyclical impact of the Iran war is dollar supportive
- The level of front-end US yields, the interest rate differential with the rest of the world and the relative shape of the US yield curve are not sending dollar bullish signals.

# Heavy sector rotation in Q2

Both the US and Europe, lagging  sectors regained leadership. That trend is beginning to change again, particularly in tech

| S&P 500 | Q1 '26 return | | Q2 '26 return |
|---|---|---|---|
| Energy | 37.2 | Tech | 27.5 |
| Materials | 9.3 | Industrials | 13.8 |
| Utilities | 7.5 | Real Estate | 9.2 |
| Cons staples | 7.0 | Financials | 8.2 |
| Industrials | 4.3 | Healthcare | 6.2 |
| Real Estate | 1.9 | Comms | 5.4 |
| Healthcare | -5.3 | Cons discr | 4.5 |
| Comms | -7.1 | Materials | 3.3 |
| Tech | -9.3 | Cons staples | 0.7 |
| Cons discr | -9.3 | Utilities | -0.1 |
| Financials | -9.8 | Energy | -12.6 |

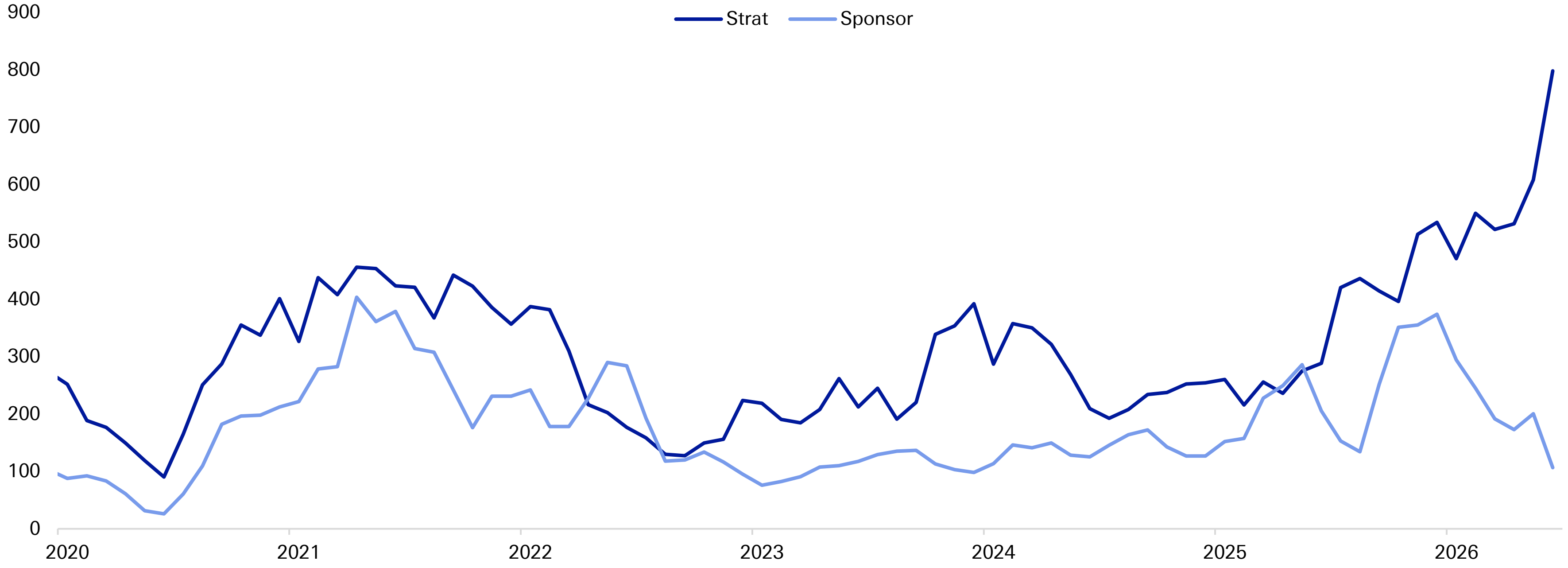
| Stoxx 600 | Q1 '26 return | | Q2 '26 return |
|---|---|---|---|
| Energy | 35.9 | Tech | 29.7 |
| Telecoms | 16.1 | Cons discr | 12.1 |
| Utilities | 12.4 | Industrials | 11.9 |
| Basic resources | 11.2 | Financials | 10.2 |
| Cons staples | -2.6 | Cons staples | 6.0 |
| Healthcare | -3.1 | Real estate | 6.0 |
| Industrials | -3.7 | Basic resources | 5.6 |
| Real estate | -4.9 | Healthcare | 4.5 |
| Tech | -5.6 | Utilities | 1.4 |
| Financials | -7.3 | Telecoms | 0.7 |
| Cons discr | -16.4 | Energy | -11.2 |

*Source: Factset, Deutsche Bank.*

# Sponsored v strategic deals divide in the US

Tech concerns continue to weigh on sponsored deal making in the US, making the recent megadeal surge especially noteworthy when it comes to proving corporates' decisiveness to do transformational deals.

## US dealmaking value ($bn, rolling 3m sum)

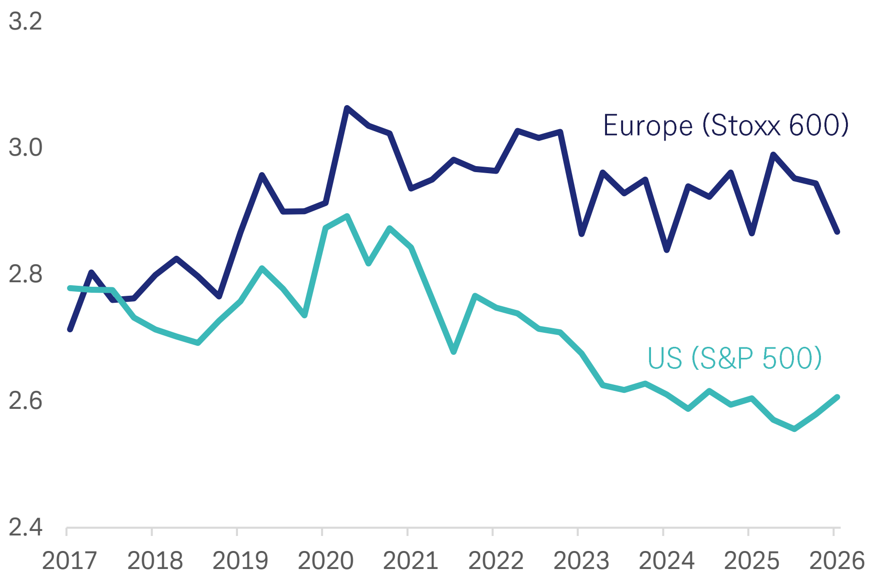



*Source: Dealogic, Deutsche Bank.*

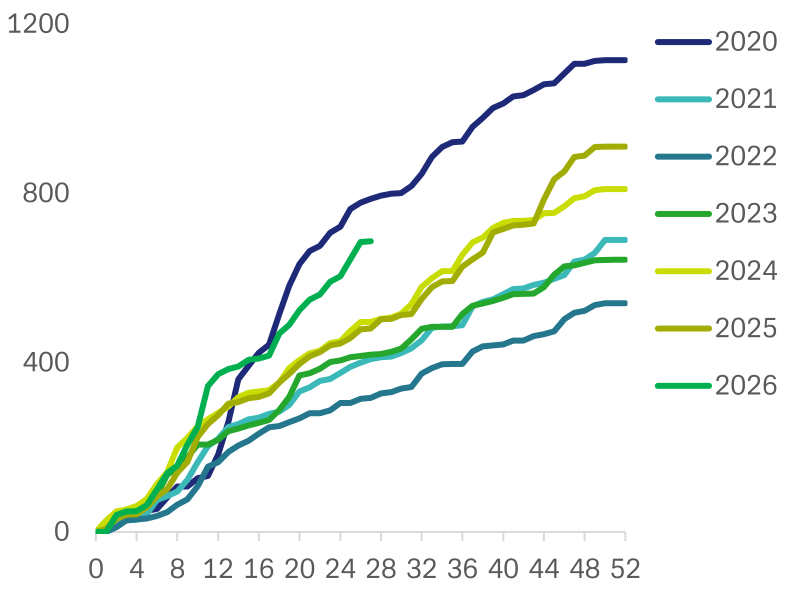
# Capacity for a corporate releveraging cycle

There are early signs of corporates increasing their leverage in the US, while European corporates are in a position to do so if they wish. So far this year, net supply of $IG non-financials credit is outpacing every other year this decade (except 2020)

## Median leverage of US and European firms (assets/equity)




## $IG Gross Non-Financial Supply ($bn)




*Source: Factset, Bloomberg Finance L.P., Deutsche Bank.*

# Appendix 1

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# Transatlantic Tensions?
# The NATO Summit Verdicts

July 9, 2026

**Authors**

**Helen Belopolsky**
Global Head of Geopolitical Research

Transatlantic tensions are brewing! Our latest analysis dissects the NATO Summit's verdict, revealing critical shifts in defence spending, new industrial initiatives, and unresolved strains between Europe and the US. Discover what these developments mean for markets, from potential trade wars to a looming Ukraine ceasefire.

## Context

— NATO leaders met in Ankara on 7-8 JUL for a summit, which reaffirmed the alliance's unity on key issues and embedded the 'NATO 3.0' plan to shift more of the burden of Europe's conventional defence onto European members.

— At the same time, the summit was fractious given high-profile criticism by President Trump of NATO's willingness to assist the US in Iran, renewed claims on Greenland, and political differences with several European countries. The Europe-US relationship is under stress.

— While the summit delivered some concrete industrial initiatives, the underlying transatlantic strains remain unresolved, and there is almost undoubtedly going to be more strains ahead relating to burden-shifting, spending and issues like Greenland.

### What did the summit deliver?

— The summit's headline outcome is that NATO allies are moving quickly to **increase defence spending** and production, and to develop new warfare capabilities. Following the 2025 declaration that allies' "core" defence spending would rise to 3.5% of GDP by 2035, leaders highlighted a $139 Bn increase in 2025 by European NATO countries and Canada. The NATO Summit Defence Industry Forum saw allies announce over $50 Bn in new defence procurement, including a $40 Bn commitment over five years to build drone and counter-drone systems. They also pledged to provide Ukraine with €70 Bn EUR in weapons deliveries and defence assistance in 2026 and an equivalent amount in 2027.

— Countries have launched **NATO-adjacent coalitions** to address financing and procurement bottlenecks. These include: the Canada-led Defence Security and Resilience Bank (DSRB), which reportedly aims to raise up to $135 Bn in lending capacity; and the UK-championed Multilateral Defence Mechanism (MDM), meant to coordinate joint procurement to improve efficiency and reduce unit costs. Discussions are ongoing on aligning or consolidating the DSRB and MDM, and participation in these and similar initiatives is likely to gather pace.

— **More efficient engagement with industry:** Secretary General Rutte launched the NATO Front Door for Industry (a new platform to simplify how companies engage with NATO by giving companies a single point of access to NATO procurement opportunities, innovation events, and other

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engagement channels). This is paired with NATO's first public unclassified demand signal, developed by NATO's defence planners laying out capability priorities for the coming years and distributed through the Front Door. Rutte also launched the NATO Engine, a framework to expand industrial production capacity, which connects defence and civilian manufacturing lines across the Alliance.

### What should markets be watching next?

— **Europe-US political and security relations:** Tension in the transatlantic relationship has grown since the start of the year and may increase further, particularly as ties between Trump and traditional centre-right European allies have come under strain. European leaders fear rapid US withdrawal of defence capabilities that cannot be quickly replaced (e.g. intelligence, reconnaissance and surveillance; air-to-air refuelling; and long-range fires). US Defence Secretary Pete Hegseth's announcement on 18 June of a six-month Pentagon review of US force posture in Europe will heighten these concerns, as well as fears of political retaliation against individual countries.

— European capitals are pushing the US for a clear roadmap on force drawdowns that would allow them to plan their corresponding build-up, but it is unclear whether they will receive any concrete commitments. As the US begins to face constraints on resources and weapons stockpiles owing to the Iran war, the Trump administration will likely intensify its demands that Europe urgently take on more responsibility for its own conventional defence.

— **Europe-US economic ties:** A key consideration for investors is whether worsening political ties will spill over into the transatlantic trade and investment environment. The 2025 EU-US Turnberry agreement took effect in the EU on 1 July, but US adherence to the 15% all-inclusive rate on covered EU exports has been thrown into doubt by the shifting basis of US tariff authority this year. The next watchpoint will be the findings of the US Section 301 investigation into structural overcapacity, in which the EU is one of 16 jurisdictions in scope.

— This may lead to renewed EU-US negotiations over implementing Turnberry; the European Commission could propose to suspend certain concessions if it deems the US in breach of the agreement's terms. Political tail risks to the economic relationship will also remain: Trump's restated claims on Greenland, or his demand to cut economic ties with Spain, could prompt the EU to threaten retaliatory measures similar to those it considered applying in January of this year, and could trigger renewed market volatility.

— **Russia-Ukraine ceasefire negotiations:** In line with our expectations, Trump is renewing his diplomatic push for a ceasefire, meeting President Zelensky on 8 July and speaking to President Putin over the 4-5 July weekend. This re-engagement has notably coincided with closer Europe-US alignment on Ukraine, the expiry of the US waiver for Russian oil sanctions on 17 June, and Trump's announcement on 8 July that the US would grant Ukraine a licence to produce Patriot air defence missiles domestically. Taken together, these measures may form part of a US strategy to increase pressure on Moscow to re-enter mediated negotiations with Ukraine.

— Growing war fatigue, a shift in public attitudes in both Russia and Ukraine, and greater openness among some European leaders to direct talks with Moscow all point to possible progress towards a deal. A ceasefire this year is by no means assured, but any agreement could have wide-ranging implications for markets, including sanctions relief, increased agricultural exports, and substantial investment in infrastructure, energy, transport, minerals, defence and other sectors associated with post-conflict reconstruction.

— The author of this report wishes to acknowledge the contribution made by **Scott R Martin**, an independent expert engaged by Deutsche Bank, in the preparation of this report.

## Appendix 1

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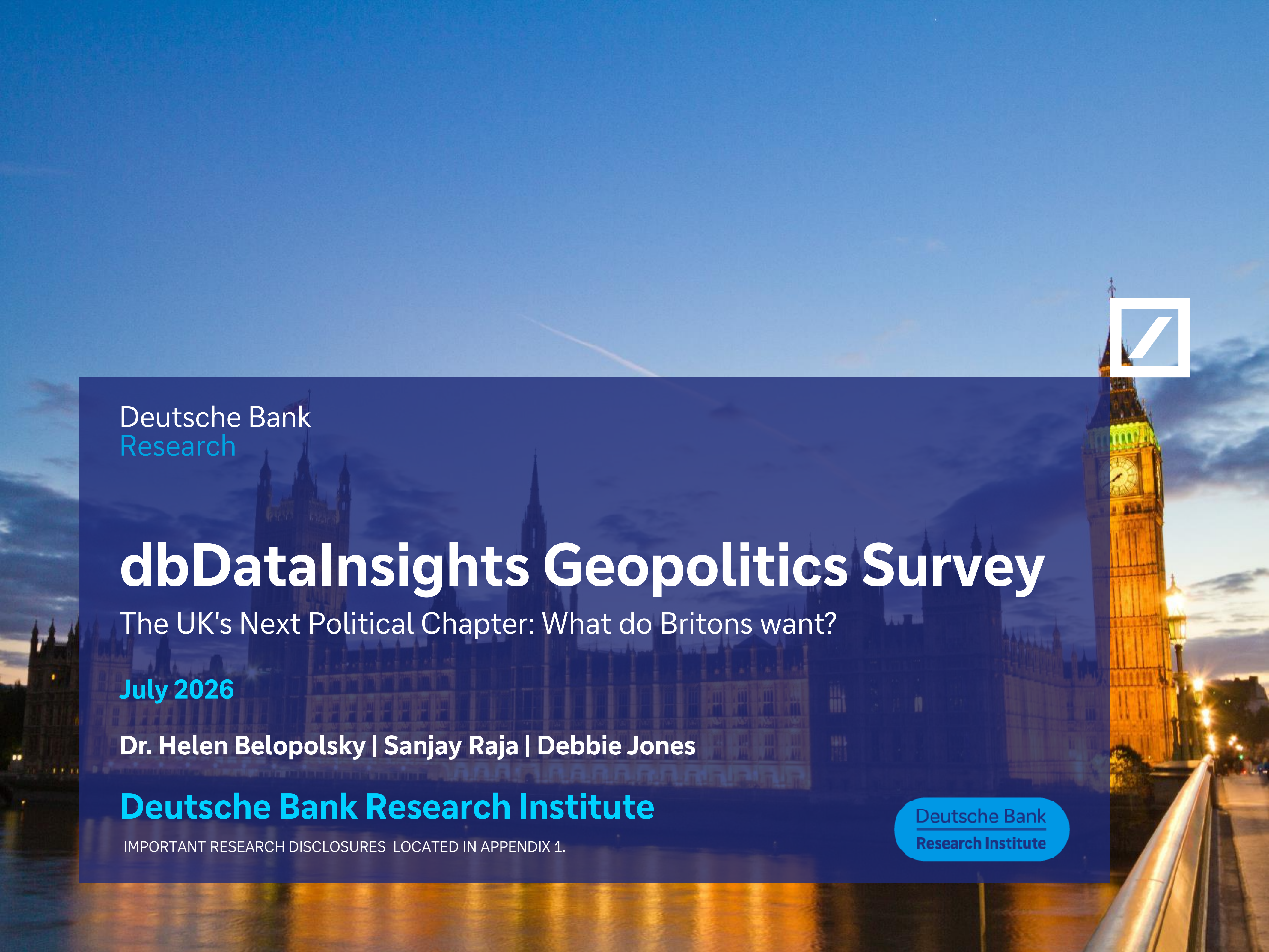

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# dbDataInsights Geopolitics Survey

## The UK's Next Political Chapter: What do Britons want?

**July 2026**

**Dr. Helen Belopolsky | Sanjay Raja | Debbie Jones**

**Deutsche Bank Research Institute**

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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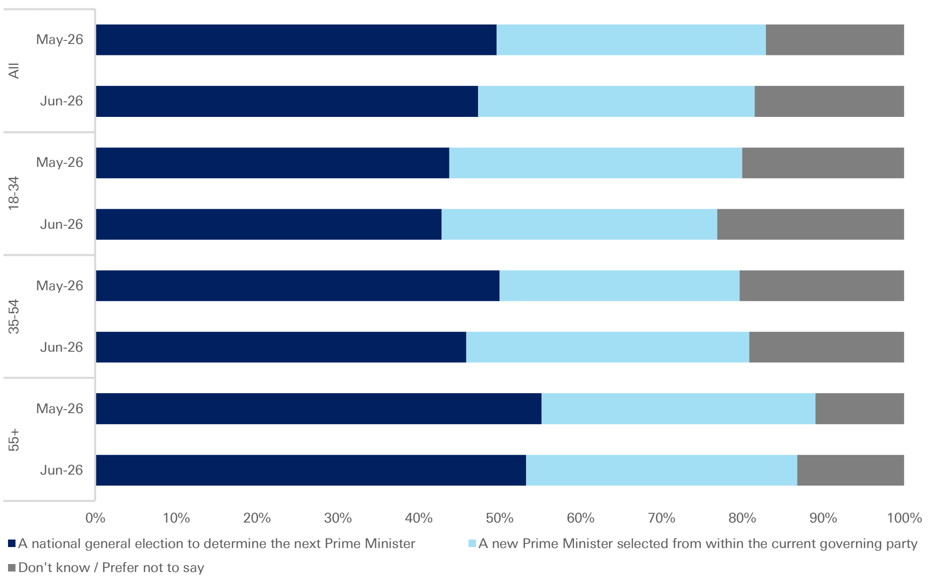
# Population would prefer election to determine the next Prime Minister

- The UK is facing yet another period of political transition. Prime Minister Starmer has announced his resignation and Starmer's successor is set to be chosen via a Labour Party leadership contest. Andy Burnham is the overwhelming favourite, having returned to Westminster following his victory in last month's Makerfield by-election. Thus far, no Labour MPs have announced their intention to run against Burnham.
- **Our survey data indicates that almost half of all respondents want a General Election** to determine the next PM, with older voters most in favour, compared with 34% supporting the selection of a new PM via an internal Labour Party contest. This sentiment is particularly salient as PM Starmer is currently only one of the last five PMs to have entered Downing Street as a result of a general election victory.
- While the opposition has not yet called for an election, **pressure will likely ramp up** if the new PM significantly deviates from Labour's 2024 Manifesto (though the size of Labour's majority and uncertain polling have raised the bar for an early election) and based on specific policies like defence spending or the economy.
- Both Keir Starmer, as Prime Minister, and Andy Burnham, should he become PM, operate within a tightly constrained environment defined by pre-election promises, a sobering economic reality, and restless internal party dynamics.

**Support for yet another leadership transfer or national election?**



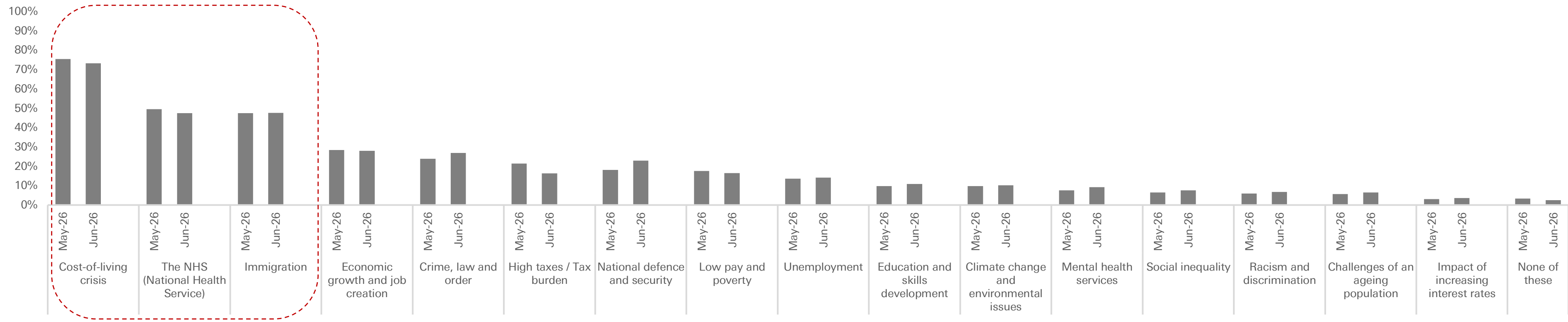

## Methodology

These results are derived from a monthly online nationally representative survey of ~550 respondents in the UK. Our protocol ensures proportional representation across key demographics such as age, income, location, and gender to accurately reflect population diversity. Participants are restricted from taking the survey more than once every six months. The geopolitics questions are integrated into a larger monthly survey conducted by the dbDataInsights team.

Source: dbDataInsights
Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents.

# Voters Speak: Defining the New Prime Minister's Core Mission

**The New PM's Top Priorities**




- The message from the electorate is loud and unequivocally clear: an overwhelming 73% of respondents, with remarkable consistency across every demographic and income band, demand that **the cost-of-living crisis be the new Prime Minister's absolute and immediate priority**. This unified call underscores the urgency and widespread concern that must now define the leadership's agenda.
- Andy Burnham has already promised action, stating that if successful, he would seek to reduce bills in areas such as energy, water and transport through increased public control. However, we note that many current cost pressures on essential goods and services (namely, energy and food) are driven by broader global volatility, including escalating trade tensions, persistent tariff pressures and military conflicts. Such external factors inevitably translate into significant impacts on household purchasing power and overall consumer sentiment domestically.
- Beyond economic pressures, the **National Health Service** also stands out as a significant immediate focus, identified by 47% of respondents – a reflection of an ageing society. This highlights a widespread public expectation that the health service requires urgent attention and resources beyond the multi-billion pound investment delivered thus far.
- Demographic-specific priorities are evident within the survey results. A notable **55% of the oldest age cohort surveyed identified immigration** as a key issue requiring the attention of the new PM. **28% of the youngest age group want to see focus on addressing unemployment** (vs. just 3% of the oldest group), likely reflecting the UK’s high levels of youth unemployment and persistent fears over the impact of AI on entry-level jobs.

Source: dbDataInsights
Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

# New PM, New Hope: Voters Expect a Different Approach and Vision

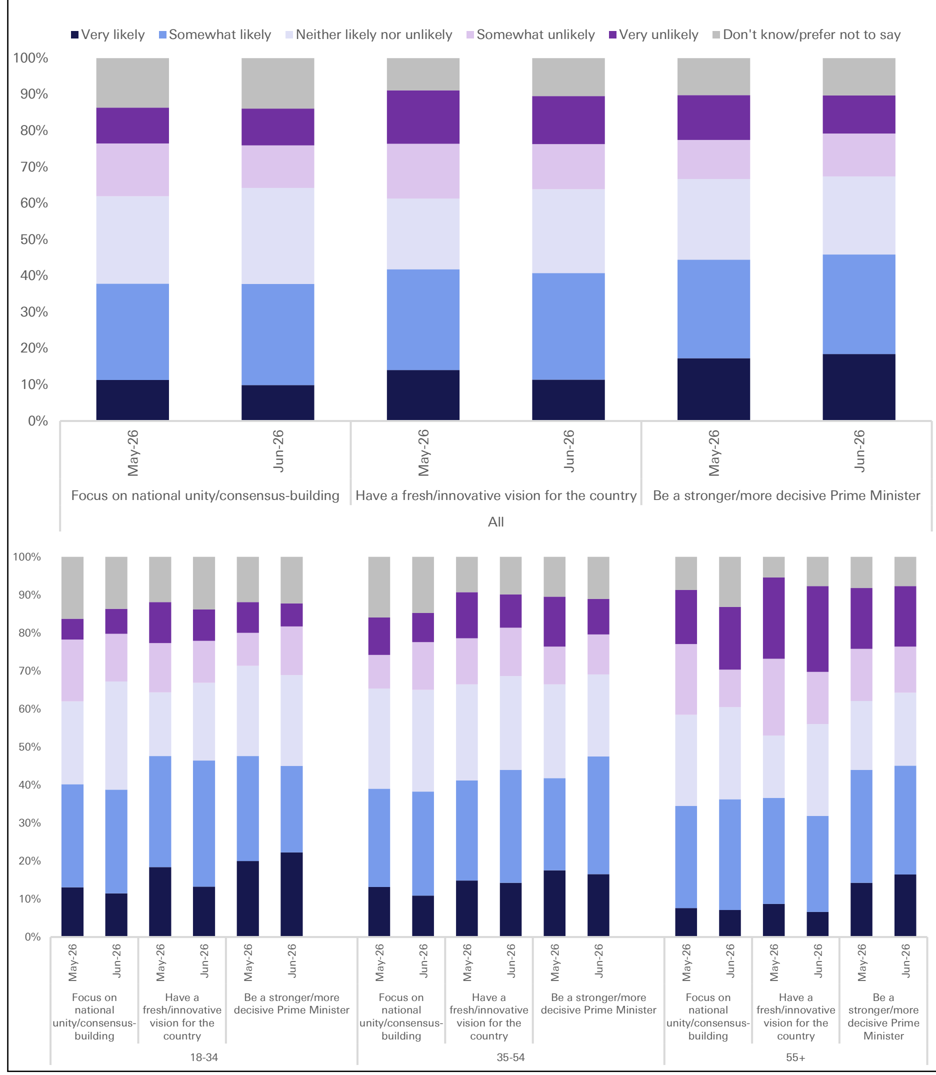
– A significant **46% of respondents anticipate a more decisive leader in the new PM.** This expectation suggests voters are looking for an administration that will implement its agenda with greater resolve, contrasting with past instances where initiatives faced alterations or reversals after public and Labour MP resistance.

– Approximately 41% of respondents anticipate the new PM is likely to pursue **a fresh or innovative vision for the country.** This sentiment is particularly pronounced among higher-income demographics, with 52% of those earning £50k+ expecting to see a new approach.

– Meanwhile, expectations that the new PM's strategy will represent a marked innovation appears to diminish with age, suggesting **younger cohorts are more optimistic about a fresh start.**

– 38% of respondents believe it is likely that the new PM will focus on **national unity / consensus building.** Given current fiscal constraints, we note that there will be a delicate balance between delivering positive change and avoiding reforms which could prove politically / electorally unpalatable.

**Leadership Reset: What Voters Expect from the New PM**

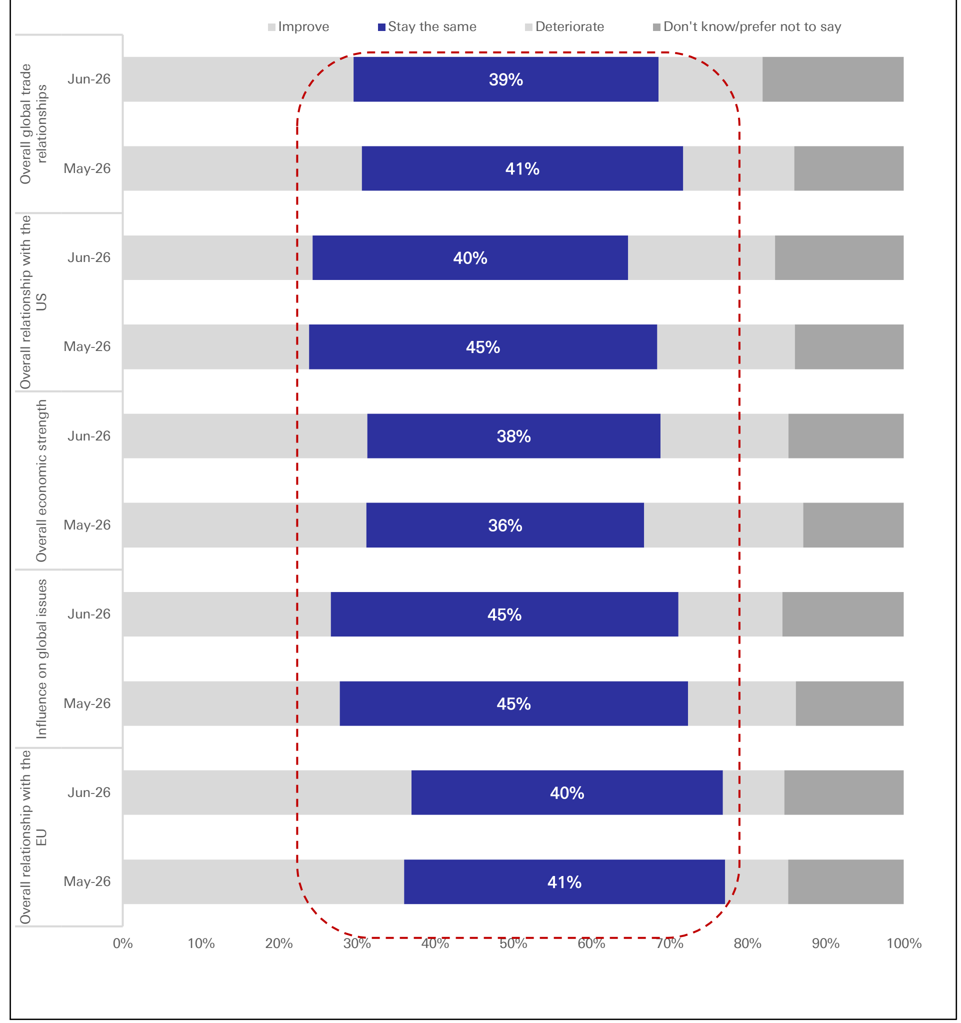



Source: dbDataInsights
Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

# Perception Shift? Guarded Optimism for the New PM's Impact

- 36% of respondents reported **feeling more optimistic about the overall future of the UK** as a result of a new Prime Minister being set to take office, with younger cohorts feeling particularly strongly (47% of 18–34 year-olds reported feeling more optimistic).
- On an international level, the public mood appears more guarded, with 45% of survey participants believing that the UK's **influence on global issues is set to remain the same**, perhaps indicating a perception that international relations are more deeply entrenched or less amenable to rapid positive change, regardless of a new Prime Minister's efforts.
- Respondents are split on the **trajectory of the UK's relationship with the US** under the new PM, with 24% expecting an improvement compared with 19% who foresee a deterioration.
- However, there is **greater optimism over the UK's relationship with the EU,** with 37% expecting this to get better compared with only 8% who believe it will get worse.
- The highest income group (£50k+) appears most optimistic that the new PM will see an improvement to the UK's international positioning and its relationships with key allies, while the oldest age cohort displays the greatest degree of caution.

## UK on the World Stage




Source: dbDataInsights
Responses collected in June 2026 from an Online Nationally Representative sample of ~550 UK respondents. See slide one for further information.

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# Geopolitical Outlook 2026: At the Mid-Point

## What has moved, what has held, and what matters now

July 2026

**Dr. Helen Belopolsky | Miha Hribernik**

**Deutsche Bank Research Institute**

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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# Introduction

## 2026-H1 reinforced our view that geopolitical volatility may well be structural

As expected in our annual outlook published in January, geopolitical volatility continued to reign supreme during the first half of this year. Even as the winding down of hostilities in the Middle East promises to ease some near-term risks, the long-term structural outlook remains unchanged. Investors should expect a continued unpredictable and fragmented global operating environment, in which the pace and scale of geopolitical change makes it more challenging to identify the short, medium and long-term risks, and what is actually important.

This deck serves as a mid-year update, providing a high-level assessment of some of the key themes, risks and opportunities investors should consider during the second half of this year. This includes updates to some of the key geopolitical issues and themes we identified back in January. It is by no means an exhaustive list given the geopolitical landscape will undoubtedly continue to rapidly evolve. This report intends to provide a direction of travel rather than a blueprint for the rest of this year, which can help corporates and investors anticipate and mitigate financial, reputational, operational and other risks and identify opportunities. It is critical, however, to remain agile in the face of constant change and assume that 'black swans' can happen at any time.

# Content

# 1. **Trump 2.0:** The "Golden Age" Agenda

The first half of 2026 brought about transformational shifts in US domestic and foreign policy. Markets should expect more policy volatility, not less. Washington's willingness to use force means geopolitical tail risks will likely remain difficult to price. The midterms may cap some near-term volatility but increase incentives for visible foreign policy wins. President Trump has reason to avoid market-disruptive escalation before November, but pressure for quick wins could accelerate action on Cuba and Europe.

After November, foreign policy could become an even bigger focus**.** If domestic legislating becomes harder, the administration is likely to lean more heavily on executive tools, sanctions, tariffs, security deals and international resource coalitions.

**NATO 3.0: Redefining Burden-Sharing :** Pressure on European allies to carry more of the security burden will likely intensify. Trump's demands will headline the NATO Leaders' Summit in Ankara on 7-8 July. It is slated to advance the emerging "NATO 3.0" agenda under which European NATO members will take on more responsibility for their own conventional defence.

**No such thing as a "final" tariff deal:** The July expiry of Section 122 tariffs and their likely replacement by Section 301 levies should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. While EU-US trade relations are more stable now than in early 2025, there remains a tail risk that a transatlantic security or sovereignty dispute (e.g. renewed American claims on Greenland) spills over into the economic relationship.

**Russia-Ukraine: An End in Sight?** Trump will likely renew his push for a ceasefire. The G7 Leaders' 16 June commitment to boost support for Ukraine and increase pressure on Russia struck European capitals as an encouraging sign that the US was converging on their approach to the conflict as did Trump's signal that he could reinstate Russian oil export sanctions. But US-Europe rhetorical alignment could reverse quickly – for instance if US-Russia-Ukraine negotiations resume in a format that largely excludes the EU/UK. While a ceasefire this year is far from guaranteed, any deal brokered by the Trump administration could offer Russia sanctions relief, access to frozen assets and an expectation of an accelerated Ukrainian accession to the EU.

**Asia policy to balance deterrence with détente:** The US strategy for the Asia Pacific is crystallising around pragmatic balancing with China and more burden-sharing with allies. The administration will prioritise stabilising relations with Beijing in the lead-up to the Trump-Xi summit in Washington, D.C. on 24 September, where the 2025 Busan trade and critical minerals truce may be extended. Even so, a steadier US-China relationship will not undo deepening long-term competition on military, economic and technology issues. Strong bipartisan alignment in Congress on a more hawkish China policy will also keep pressure on the administration to limit any rapprochement with Beijing.

**Will the Midterms mark an end to Trump's global gambit?** Trump has a strong incentive not to shock markets or stoke inflation ahead of the vote in November. Yet an administration looking to demonstrate strength through quick wins may pursue other issues more aggressively. Investors should watch rising US pressure on Cuba and the political relationship with Europe as possible sources of nearer-term movement. What happens after the midterms actually matters more. Trump may become a "foreign policy president", focused on cementing his legacy. This will include: embedding existing tariff and investment deals with key US partners; deepening US leadership in the Americas; creating the conditions for a pull-back of American resources from Europe; and broadening US efforts to reduce rare earths and critical minerals dependence on China.

Source: Library of Congress on Unsplash

# 2. What next for the Middle East?

The 60-day limit for US-Iranian MOU (focusing on Iran's nuclear programme and deal implementation) will expire on 20 August but negotiations will almost certainly run past the initial 60 days. Reopening the Strait of Hormuz is the critical factor for markets. A return to full pre-war traffic could take months and require a commitment to fully de-mine its central corridor and reassure shipping firms. Recent strains in US-Israel relations could complicate the administration's efforts to maintain delicate ceasefires in Lebanon and Gaza. While markets are celebrating with massive rallies and oil tumbling, the reversion to the old Middle East status quo may take time to restore, if indeed that is possible. The Middle East will likely remain a focus for the rest of Trump's term even if markets move on.

**What should we be watching next?**

- **Strait of Hormuz:** The Strait of Hormuz is Iran's most important bargaining chip in negotiations, one which it will likely seek to protect. Whether any agreement on the Strait of Hormuz entails a "toll" or not, Iran's strategic leverage over the Strait could translate into long-term, persistent, albeit possibly intermittent, threats to navigation. The Gulf will work quickly to lessen its vulnerabilities to such future threats through diversification of dependence away from the Strait of Hormuz, creating significant infrastructure opportunities.

- **Why Iran may have won more than it lost?** The mere fact that the US came to the table validates Iran's longstanding insistence that it cannot simply be bombed into submission. The regime has a leadership cadre more hawkish and the promise of potential sanctions relief and access to $24 billion in frozen assets provides a much-needed economic lifeline. For the broader Middle East, this sets an uncomfortable precedent for engagement with Iran in the longer term.

- **UAE-Saudi tensions:** The conflict has exposed and accelerated fault lines between the UAE and Saudi Arabia, which have simmered for years. The UAE's decision to withdraw from OPEC in May 2026 is the most visible sign. To watch will be what that rivalry means for oil markets, regional security arrangements and Washington's ability to manage its Gulf alliances as a coherent bloc once the Iran crisis settles.

- **Multipolarizing the Gulf?** Both China and Russia have welcomed the framework agreement, and both are keen to ensure that any final settlement does not reinforce long-term US dominance in the Gulf. Following the war's conclusion, various markets are poised to make significant inroads into the Gulf region, building on already expanding corridors with countries like China, India, South Korea, Japan, and European nations, a trend expected to accelerate further.

Source: IStock ugurhan

# 3. **China-US Détente:** Guardrails Now, Friction Ahead

Post-summit strategic stability could deliver tactical trade and investment gains and slow the pace of escalation into late 2026/early 2027. But corporates and investors should still prepare for a start-stop cycle of engagement and restriction as technology, tariffs and economic security remain central to national security agendas in Beijing and Washington. Major domestic political inflection points in 2027 and 2028 could increasingly shape bilateral dynamics beyond this year.

Political guardrails should keep China-US relations relatively stable through the end of the year, even as long-term risks remain skewed to the downside. While light on deliverables, the Trump-Xi summit in Beijing was heavy on positive optics and commitments to political guardrails. Three potential follow-up presidential meetings in H2 (in September, November and December) could extend the détente and potentially deliver more concrete trade and investment pledges.

A key watchpoint will be **Xi's expected visit to the US on 24 September**, just over a month before the US midterm election set to be dominated by voter cost-of-living concerns. This could incentivize the Trump administration to seek an economic agreement at the summit. An extension of last **October's Busan agreement** and an operationalization of the potentially commerce-boosting **US-China Board of Trade** – which China hopes could include a ten-fold increase in tariff-free trade – are possible deliverables.

But guardrails are not a panacea for a relationship characterized in recent years by mistrust and competing national security priorities. Policy developments during 2026-H1 highlighted the limits of détente and underscored that strategic competition and an imperative to 'derisk' continues. Even as top-level stability reduces the possibility of tail risk outcomes – such as a renewed trade war – **corporates and investors should anticipate more, not fewer, bilateral economic restrictions, including possible higher US tariffs on China as soon as July (see table).**

The next Party Congress and US presidential election will be key watchpoints over the next two years. For Beijing, ensuring external stability ahead of the **Party Congress** in late 2027 will likely be a priority. Maintaining dialogue with the Trump administration could reduce the risk of costly economic escalation, potentially slow the pace of new US economic restrictions, and ultimately buy time for China's efforts to strengthen self-reliance in semiconductors (where China is aiming for **80% self-sufficiency by 2030**), AI, and other strategic sectors.

In the US, a durable bipartisan consensus on China could make visible concessions to Beijing increasingly difficult as the **2028 presidential election** approaches. Recent developments – including bipartisan criticism of the Trump administration's decision to allow limited Nvidia H200 chip sales to China – reflect the political constraints facing a transactional approach. This raises the prospect that the détente comes under strain closer to election day.

**Beyond summitry:** China-US relations remain competitive in 2026

| | |
|---|---|
| **January** | Washington approved **limited Nvidia H200 chip sales to China**, signaling a more transactional approach to tech controls. |
| **February** | The US launched a **major critical minerals effort**, including new bilateral frameworks, financing tools and a 56-country FORGE coalition, aimed at reducing dependence on China. |
| **April/May** | **China codified new anti-derisking regulations,** which allow Beijing to penalize companies that cut Chinese suppliers or comply with foreign sanctions/export controls.<br><br>**New US Congressional bills**, such as the MATCH Act, seek to tighten semiconductor equipment controls, close loopholes and pressure allies to align with US restrictions.<br><br>China ordered the unwinding of the **Meta-Manus AI** deal, signaling scrutiny of US investment in sensitive China-linked tech firms.<br><br>New **US sanctions on Chinese refiners** tied to Iranian crude triggered China's first formal use of blocking measures. |
| **June** | The Pentagon included several major Chinese tech companies on its **Chinese Military Companies** list. In response, China introduced **export controls** on 10 US companies, and restricted procurement from another 46 corporates.<br><br>The US banned China-linked **Polestar** from selling cars in the US from model year 2027 onward due to national security concerns. |
| **July** | **China's new outbound investment regime**, effective 1 July, covers the overseas deployment of Chinese technology, data, talent and capital, especially in AI, chips, batteries, EVs and solar.<br><br>The US is set to replace its global 10% Section 122 tariffs with new levies based on two **Section 301 trade investigations.** China has responded with counter-probes slated to conclude in September. |
| **November** | The **2025 Busan agreement**, set to expire in November, will likely be extended, delaying the introduction of new bilateral economic restrictions, including export controls and mutual shipping levies. |
| **December** | The US Congress will adopt **annual must-pass defence legislation**, which frequently includes provisions aimed at China. |

Source: Deutsche Bank Research

# 4. **The European Equation:** Pressures, Potential, and the Path Ahead

Europe heads into the second half of 2026 facing several pressures at once: An unresolved war in Ukraine, greater geopolitical fragmentation, and a less predictable transatlantic relationship. At the same time, the geopolitical landscape is presenting myriad opportunities – increased defence investment and a chance to build more strategic autonomy. There is a growing recognition that the EU needs to overcome its often slow, consensus-driven decision-making processes to respond more effectively to evolving geopolitical dynamics. The key question will be **whether Europe can convert these pressures into coordinated action, or whether internal divisions stymie real progress.**

**Governing Still a Challenge:** Many European markets will continue to face **domestic political fragility** that saw incumbent governments across Europe swept out of power or face substantial losses in 2024. While we will see far fewer elections this year, Europe's political elite will continue to grapple with the same challenges: the need for economic reform, political polarization, and geopolitical headwinds. H2 2026 may be another period of 'more of the same' politically; the problem is that the geopolitical landscape isn't getting any easier (see map).

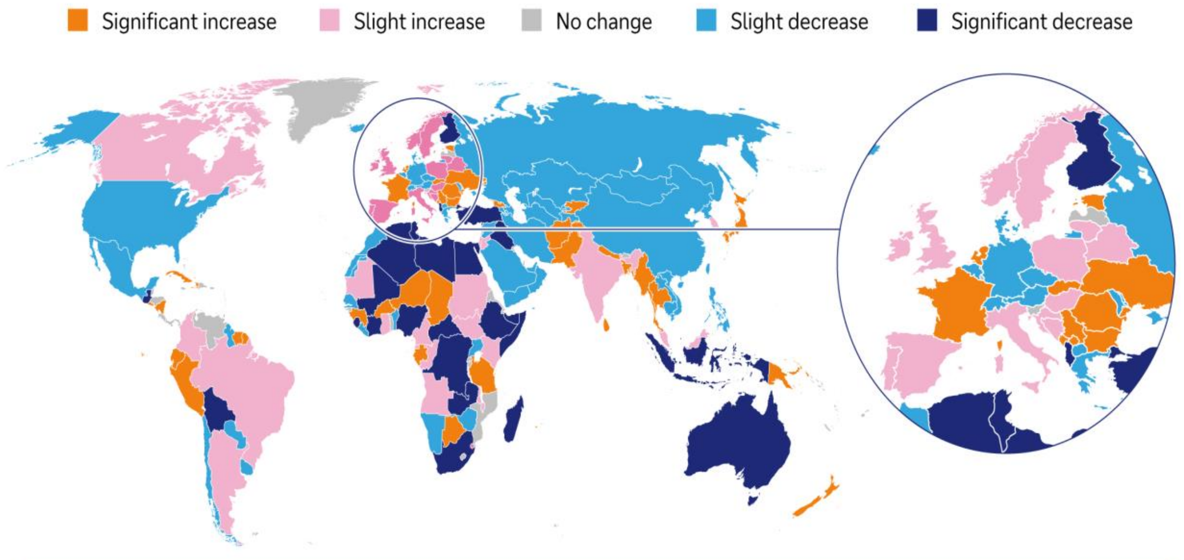
**Will the Atlantic Fracture Keep Growing?** Despite the recently ratified EU-US tariff agreement, the transatlantic relationship is bracing for **more turbulence in the second half of 2026.** Trump will likely continue to rebalance the economic relationship while also pursuing NATO 3.0 to "reboot" the alliance. These tensions could be exacerbated by possible renewed claims on Greenland and pressure on Ukraine, potentially escalating into economic and trade clashes,. Key watchpoints will be NATO's leaders' summit in July 2026 and the 24 July expiry of the Trump administration's Section 122 global tariffs, which could trigger a new round of trade escalation with the EU.

**Divided We Stand?** Europe is entering a **critical period for strategic autonomy**, particularly in advance of key elections in France and Germany in the coming years. A strategic priority will be making substantial progress on the EU's next Multiannual Financial Framework (2028-2034) to expand defence investment and joint procurement for crucial capabilities. However, this ambition will come up against the challenge of financing increased military spending, the political difficulty of maintaining sustained unity, and the challenges of scaling up the European defence industrial base to reduce critical dependencies on external technologies.

**Relationship with China:** The relationship will likely remain fraught with the EU's new flat €3 customs duty on low-value ecommerce parcels taking effect in July and a number of new economic security measures targeting China, including: a new "diversification law" which would require companies to reduce dependence on single-country suppliers for critical raw materials; a Trade Defence Review, which would allow the EU to take faster action against alleged Chinese dumping/subsidies; additional sector-specific investigations (chemicals, metals, clean tech, etc.); and more critical raw materials measures under the EU's critical minerals strategy. At the same time, we will see more efforts by individual member states to expand relations with China.

**Threats to government stability have increased most in Europe since 2020**

Government stability data, change in risk since 2020-Q4




Verisk Maplecroft's government stability data is a composite dataset comprised of their challenges to Government Authority, Government Change and Government Collapse indices. Countries are assigned a score ranging from 0 to 10, with 0 representing highest risk. A score change of +/- 0.5 is considered significant.

Boundaries shown on this map do not imply official endorsement or acceptance by Verisk Maplecroft. Disputed territories are displayed for illustrative puposes only, following neutral mapping conventions.

Source: Verisk Maplecroft

# 5. **The Ukraine War:** Path to Peace?

While there has been more intensity in the war in recent months and though trilateral negotiations (US/Russia/Ukraine) have stalled owing to the war in Iran, we expect increased focus on this conflict with the winding down of the Middle East crisis.

A number of recent developments suggest **we may be nearer a ceasefire than many believe, and this could potentially move quickly**. War fatigue is mounting alongside diminishing returns on the battlefield. Certainly, polling is demonstrating a marked shift. Russian support for peace talks reached a record high of 67% in March while 72% of Ukrainians say they could support a peace plan that freezes the conflict along the current front line. In addition, casualties in the war have reached the highest rates in modern warfare.

Some signs that we may be seeing progress towards a ceasefire:

- On 3 June, with Ukrainian President Zelenskyy called for direct talks with Russian President Putin followed by a formal letter to Putin.
- On 7 June, the UK, France and Germany issued a joint statement with Zelenskyy backing direct dialogue between Ukraine and Russia. EU leaders also signalled their readiness to “step up” engagement in the peace process on the sidelines of the EU summit on 18 June.
- Russian President Putin publicly said the war may be “coming to an end” and his recent language contrasts with earlier maximalist messaging. The Kremlin is increasingly speaking more about security arrangements and mediation possibilities than outright military victory.
- Reportedly, US, Russian and Ukrainian officials have continued negotiations.
- A senior Ukrainian delegation recently travelled to Washington for renewed negotiations with US officials on possible frameworks for freezing the war.

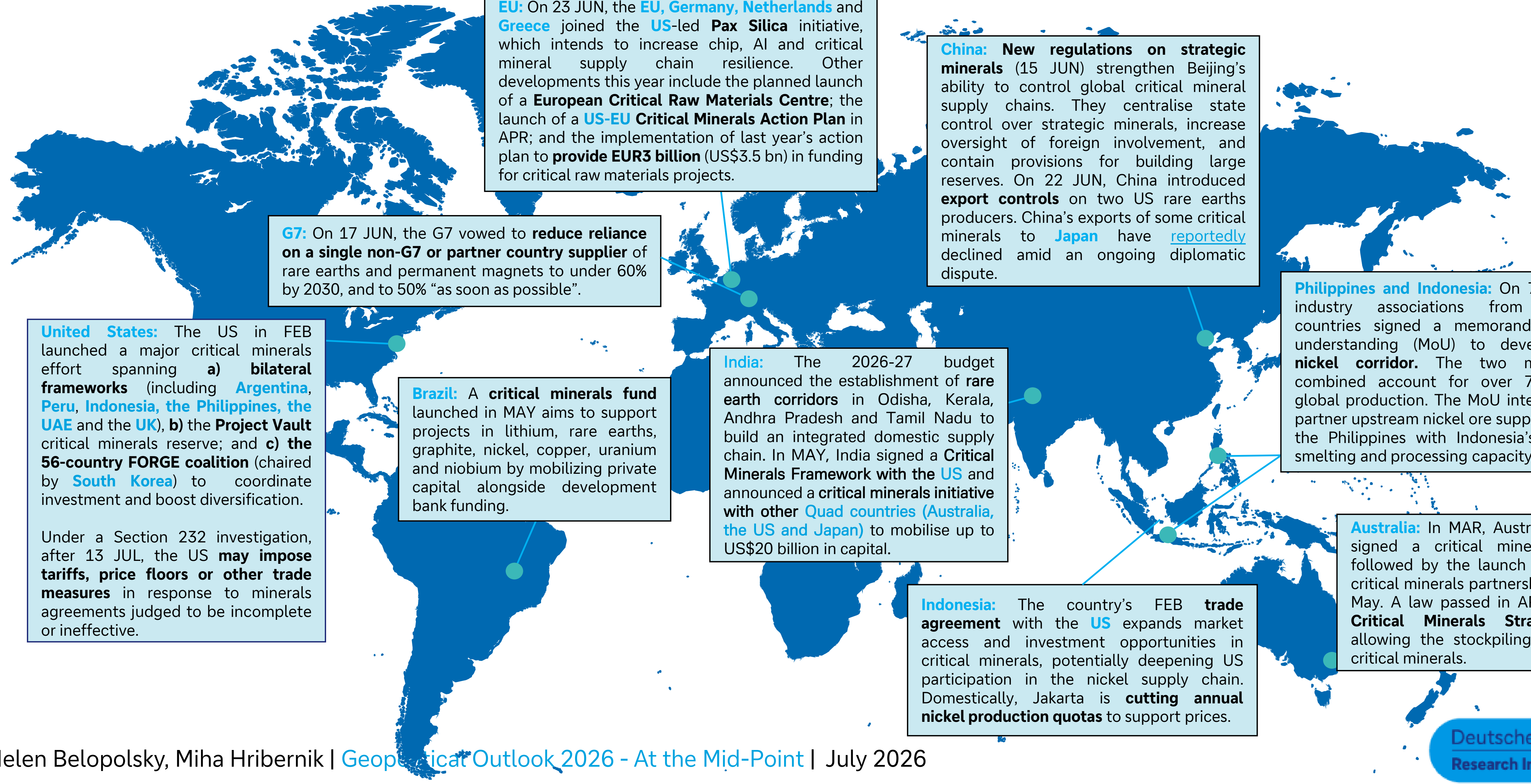
- Washington may well **increase pressure on Moscow and Kyiv** if negotiations remain stalled into the summer. US pressure could be the decisive catalyst, especially if we see shifts to actively conditioning Ukraine support on negotiations or signalling a capped long-term commitment. For Russia, the US could both leverage “carrots” and “sticks” through increased sanctions or the provision of long-range weaponry to Ukraine or offer a pathway to sanctions relief, frozen assets or security architecture talks.

- If we see increased US pressure, **a deal could emerge relatively quickly**. While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have effects for markets. Any ceasefire would have significant implications for the post-conflict landscape. This could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, a pathway for Ukrainian accession to the EU and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, defence, data centres and artificial intelligence.

Source: Dmytro Tolokonov on Unsplash

# 6. **Critical Minerals:** The Long Game Accelerates

Efforts to diversify global critical minerals supply chains will likely continue to accelerate during 2026-H2. As noted in our annual outlook, global dependence on China is unlikely to materially diminish over the next several years given the scale of Beijing's supply-chain dominance – accounting for 60% of global rare earth mining and 90% of refining capacity – the cost and complexity of diversification, and China's efforts to defend its dominant position. A typical rare earth project takes around nine years and many are not commercially viable without state support. But national security imperatives will ensure diversification remains a long-term objective for the US, EU, India, Japan and others, driving investment, policy support and cooperation. Below is a *non-exhaustive* list of recent and upcoming policy developments.



**EU:** On 23 JUN, the EU, Germany, Netherlands and Greece joined the US-led **Pax Silica** initiative, which intends to increase chip, AI and critical mineral supply chain resilience. Other developments this year include the planned launch of a **European Critical Raw Materials Centre**; the launch of a US-EU **Critical Minerals Action Plan** in APR; and the implementation of last year's action plan to **provide EUR3 billion** (US$3.5 bn) in funding for critical raw materials projects.

**China:** **New regulations on strategic minerals** (15 JUN) strengthen Beijing's ability to control global critical mineral supply chains. They centralise state control over strategic minerals, increase oversight of foreign involvement, and contain provisions for building large reserves. On 22 JUN, China introduced **export controls** on two US rare earths producers. China's exports of some critical minerals to Japan have reportedly declined amid an ongoing diplomatic dispute.

**G7:** On 17 JUN, the G7 vowed to **reduce reliance on a single non-G7 or partner country supplier** of rare earths and permanent magnets to under 60% by 2030, and to 50% "as soon as possible".

**Philippines and Indonesia:** On 7 MAY, industry associations from both countries signed a memorandum of understanding (MoU) to develop a **nickel corridor.** The two markets combined account for over 70% of global production. The MoU intends to partner upstream nickel ore supply from the Philippines with Indonesia's large smelting and processing capacity.

**United States:** The US in FEB launched a major critical minerals effort spanning **a) bilateral frameworks** (including Argentina, Peru, Indonesia, the Philippines, the UAE and the UK), **b)** the **Project Vault** critical minerals reserve; and **c) the 56-country FORGE coalition** (chaired by South Korea) to coordinate investment and boost diversification.

Under a Section 232 investigation, after 13 JUL, the US **may impose tariffs, price floors or other trade measures** in response to minerals agreements judged to be incomplete or ineffective.

**Brazil:** A **critical minerals fund** launched in MAY aims to support projects in lithium, rare earths, graphite, nickel, copper, uranium and niobium by mobilizing private capital alongside development bank funding.

**India:** The 2026-27 budget announced the establishment of **rare earth corridors** in Odisha, Kerala, Andhra Pradesh and Tamil Nadu to build an integrated domestic supply chain. In MAY, India signed a **Critical Minerals Framework with the** US and announced a **critical minerals initiative with other** Quad countries (Australia, the US and Japan) to mobilise up to US$20 billion in capital.

**Australia:** In MAR, Australia and Canada signed a critical minerals agreement, followed by the launch of an enhanced critical minerals partnership with Japan in May. A law passed in APR established a **Critical Minerals Strategic Reserve**, allowing the stockpiling and trading of critical minerals.

**Indonesia:** The country's FEB **trade agreement** with the US expands market access and investment opportunities in critical minerals, potentially deepening US participation in the nickel supply chain. Domestically, Jakarta is **cutting annual nickel production quotas** to support prices.

Source: Deutsche Bank

# 7. **Geopolitical Tailwinds:** From Risk to Growth

Geopolitical shifts will drive the creation of new trade and investment corridors, the diversification of supply chains, and new investments in critical minerals, manufacturing and infrastructure. Pockets of growth will emerge and expand in different parts of the globe. Below are some developments we will be watching in the second half of 2026 and beyond.

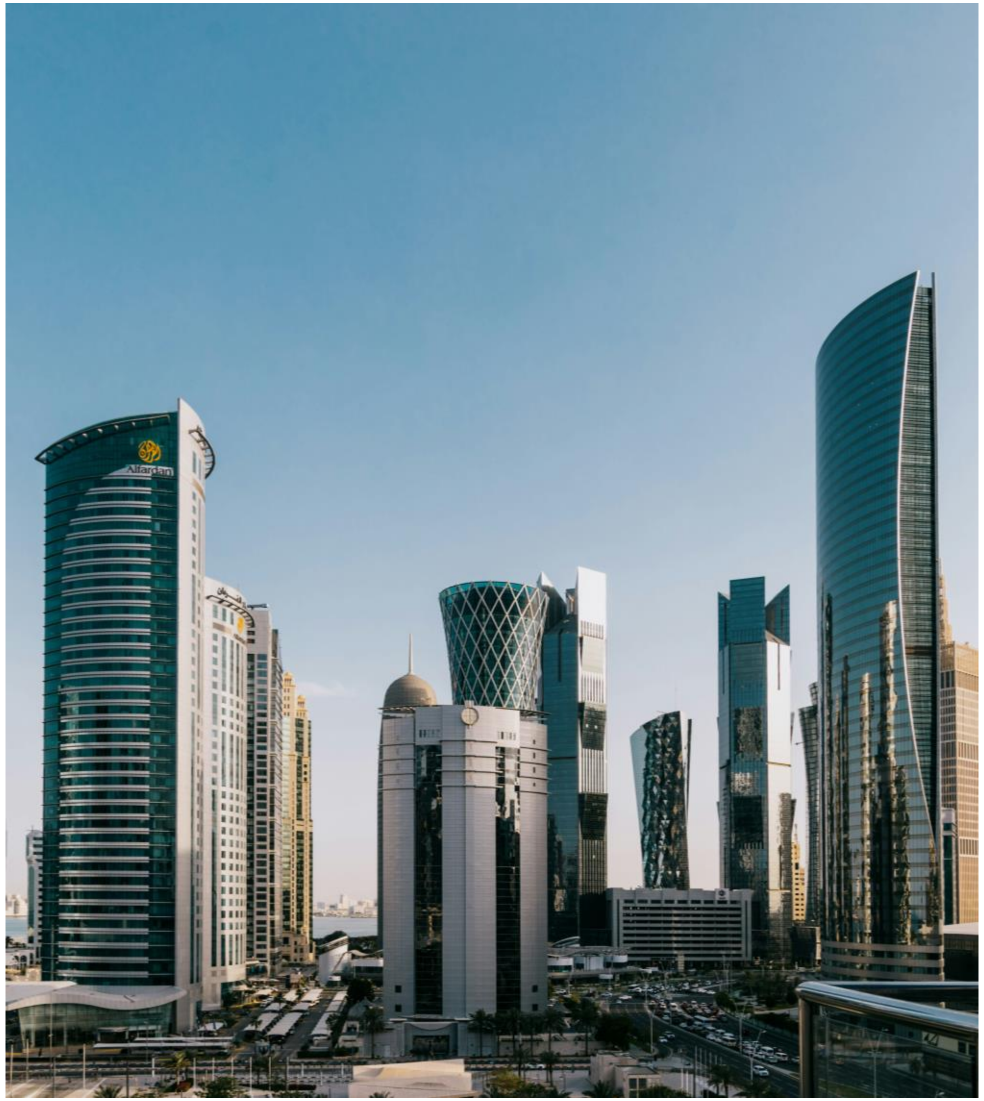
**Gulf States after the Iran war:** **Near-term risks** to the region have increased significantly since the publication of our annual outlook in January. The conflict has underscored the region's exposure to conflict, highlighted the long-standing strategic rivalry between the UAE and Saudi Arabia, and complicated the Gulf's ties with the US. But **our medium-term outlook for the Gulf has not materially changed.** The region's pragmatic and increasingly diversified foreign policy agenda still leaves it positioned to navigate geopolitical uncertainty over the coming years.

The region's low taxes, modern infrastructure and deep fiscal reserves are **structural factors** that should continue to attract investment. Foreign capital inflows into the six Gulf Cooperation Council (GCC) states have reportedly partly recovered, while GCC sovereign wealth funds have maintained robust global investments.

The Gulf's potential efforts to further **diversify economic and security ties away from the US** after the war could unlock opportunities for corporates and investors from other markets. China and Russia's positioning during the conflict could allow them to make inroads, potentially at the US' expense. Finally, while Saudi-UAE tensions are a watchpoint, they do not seem to have materially impacted regional cohesion, or the wider business/investment environment, to date. The GCC and the UK concluded a **free trade agreement** on 20 May, while the bloc is aiming for conclusion of talks with Indonesia this year.

**ASEAN's geopolitical resilience:** ASEAN has proven resilient to global trade uncertainty, and its **trade with both the US and China increased in the past year**. While the Iran conflict has impacted ASEAN economies, risks are set to diminish as the immediate impacts of the war fade. As noted in our January outlook, markets including **Vietnam** and **Malaysia** remain highly attractive to investors in sectors including infrastructure, data centres, semiconductors, e-commerce, electric vehicles, and renewables. **Vietnam reportedly saw a 34.9% y/y surge in investment** during the first five months of 2026, with much of the investment coming from Asian markets.

**But there are downside risks.** Thailand, Indonesia, Vietnam, Cambodia, Malaysia, Singapore, and the Philippines are among dozens of US trading partners that could face **new US tariffs as soon as July**. The Trump administration will also continue to scrutinize **China-linked transshipments** through ASEAN, although near-term tariff enforcement on the issue appears unlikely. Recent framework agreements – including by Indonesia, Malaysia, and Thailand – could boost US investment and limit US tariff increases. But **the agreements have also prompted Chinese concerns** over possible alignment with the US, and warnings of potential countermeasures.



Source: Kenny on Unsplash

# 7b. **Geopolitical Tailwinds:** From Risk to Growth

Geopolitical shifts will drive the creation of new trade and investment corridors, the diversification of supply chains, and new investments in critical minerals, manufacturing and infrastructure. Pockets of growth will emerge and expand in different parts of the globe. Below are some developments we will be watching in the second half of 2026 and beyond.

**Defence industry:** Global defence outlays reached USD2.6 trillion in 2025 and will likely grow further amid a proliferation of armed conflicts – which reportedly reached a post-WWII high in 2025. These trends reflect a less predictable global security environment, which is reshaping industrial priorities and investment patterns. **Asia is rapidly increasing its geopolitical weight in this increasingly fractured global system**, and is emerging as both a major arms buyer and exporter. South Korea is already the second largest arms supplier to NATO and is likely to see increased Gulf demand for anti-missile systems in the wake of the Iran war. Japan's easing of export restrictions in April meanwhile could lead to a significant increase in defence exports.

Ukraine has emerged as the global leader in the production and use of **unmanned drones**. It already produces more drones than the entirety of NATO and is set to become a major global supplier after the war, including for markets in Europe, the Gulf and Asia. Other markets, including the US, France, Germany, Japan, and South Korea, are all set to boost investment in the segment, reflecting evolving battlefield requirements and defence priorities. Türkiye – the supplier of some 65% of armed drones used globally – aims to double its defence exports in the next two years.

Major economies including the US and the EU will likely continue to **derisk drone supply chains from China**, which should accelerate investments to reduce critical dependencies in **critical minerals** extraction/processing and through new technological solutions such as **rare-earth-free e-engines**.

**Europe's trade diversification:** **Accelerating global trade and investment ties** will remain a strategic priority for Brussels amid trade tensions with the US and China. **The first half of 2026 saw significant developments**, including progress on, or completion, of agreements with Mercosur (January), India (January), Australia (March), and Mexico (May). The EU is also continuing trade negotiations with the GCC, as well as talks on bilateral Strategic Partnership Agreements with the six GCC states. The agreements are intended to cover trade/investment, energy, digital transformation, transport, amongst other sectors.

The EU's Global Gateway strategy has committed €45bn for investment in Latin America and the Caribbean. In 2026, we could see an expansion of digital connectivity, AI and research networks, green energy and hydrogen projects.

Source: Guillaume Périgois on Unsplash

# 8. **Tail risks:** Which “What Ifs” could become “What Nows”?

A tendency to underestimate the potential for rapid escalation frequently catches corporates and investors off guard. Geopolitical issues can simmer for years without boiling over – until they suddenly do. This was exemplified by the US and Israeli attack on Iran, which we had flagged in our 2026 annual outlook as a tail risk for this year. The below map contains our refreshed list of 11 issues to watch in the second half of this year.


Source: Deutsche Bank

# 9. Selected Key Geopolitical Events to Watch **in 2026-H2**

For a detailed look at key monthly geopolitical events, please also see our This Month in Geopolitics publication series.

| Date | Market(s) | Comment |
|---|---|---|
| **7-8 July** | NATO | The NATO summit in **Türkiye** is expected to be one of the most important alliance meetings in years. Major issues include the future of support for Ukraine; European defence spending; NATO's posture toward Russia; burden-sharing tensions with the US; and security coordination in the Black Sea and the Middle East. |
| **24 July** | US/Global | The US global 10% **Section 122 tariffs** are set to expire. These will likely be replaced by new tariffs introduced as a result of two Section 301 trade investigations. Dozens of countries face higher US tariffs as a result. |
| **Late July/early August** | China | The meeting of the **Politburo** in late July will likely set the economic policy direction for the rest of the year. China's leaders will gather for their annual informal summer retreat in **Beidaihe** near Beijing. The venue provides an opportunity for Party leaders to exchange views on major policy issues, including relations with the US. |
| **Mid-August** | US/Iran | The **60-day ceasefire extension** between the US and Iran is set to expire. The two countries continue to negotiate a range of issues, including Iran's nuclear stockpile, sanctions and restoration of normal shipping flows through the Strait of Hormuz. If no agreement is reached, both sides could seek an additional extension. |
| **8 September** | UN | The **UN General Assembly in New York** will bring leaders together amid increasing geopolitical volatility and the process to choose the next UN Secretary-General before Antonio Guterres leaves office at the end of 2026. |
| **13 September** | Germany | **German** state and local elections may impact Chancellor Friedrich Merz's governing coalition amidst economic pressures, immigration debates and the continued rise of the far-right Alternative for Germany (AfD). |
| **September** | India/BRICS | India will host the **BRICS Summit** in New Delhi. Watchpoints include any announcements that could suggest efforts to move further away from the US dollar. This includes BRICS Pay (an initiative meant to facilitate cross-border payments in BRICS currencies) and the BRICS 'Unit', a prototype gold-backed digital currency unveiled in 2025. |
| **24 September** | China/US | **China's President Xi** is expected to visit the United States following the China-US Summit in Beijing in May. |
| **30 September** | US | Key **US government funding deadline**. Failure to pass appropriations or a stopgap measure could trigger a government shutdown. |
| **3 November** | US | **Congressional midterm elections** will see voters choose 435 seats in the House of Representatives, 35 Senate seats and governors in 39 states and territories. The US midterms will be vital in determining control of the Congress and the Senate, which will significantly influence President Trump's ability to pass laws and shape national policy. |
| **18-19 November** | APEC | China will host the APEC Economic Leaders' meeting in **Shenzhen**. The summit could see a Xi-Trump meeting on the sidelines, and may shape Indo-Pacific economic architecture for years to come. |
| **14-15 December** | G20 | The **G20 Summit in Miami** may become contentious due to Ukraine-related divisions, trade and tariff disputes, climate financing disagreements and questions around global governance reforms. The summit could also see this year's fourth meeting between presidents Xi and Trump. |

Source: Carl Wang on Unsplash

# 10. Recent geopolitical publications

1 July 2026: This Month in Geopolitics: July 2026

29 June 2026: Washington’s Post-Iran Playbook: Risks, Deals and Pressure Points

16 June 2026: Is the ceasefire a reset? Iran, the US and the Middle East they can’t restore

9 June 2026: Geopolitics beyond Iran

8 June 2026: dbDataInsights Geopolitics Survey UK Politics: Perspectives on leadership transition and key priorities

1 June 2026: This Month in Geopolitics: June 2026

26 May 2026: dbDataInsights Geopolitics Survey: America's Choice: What's Influencing the 2026 Midterm Vote?

18 May 2026: The Dragon and the Eagle: Decoding China-US Ties After Beijing

# Appendix 1

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Deutsche Bank
Research

# Charts to make you go WOW!!! 2026

**July 2026**

Jim Reid | Galina Pozdnyakova | Henry Allen | Rajsekhar Bhattacharyya

**Deutsche Bank Research Institute**



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Research Institute

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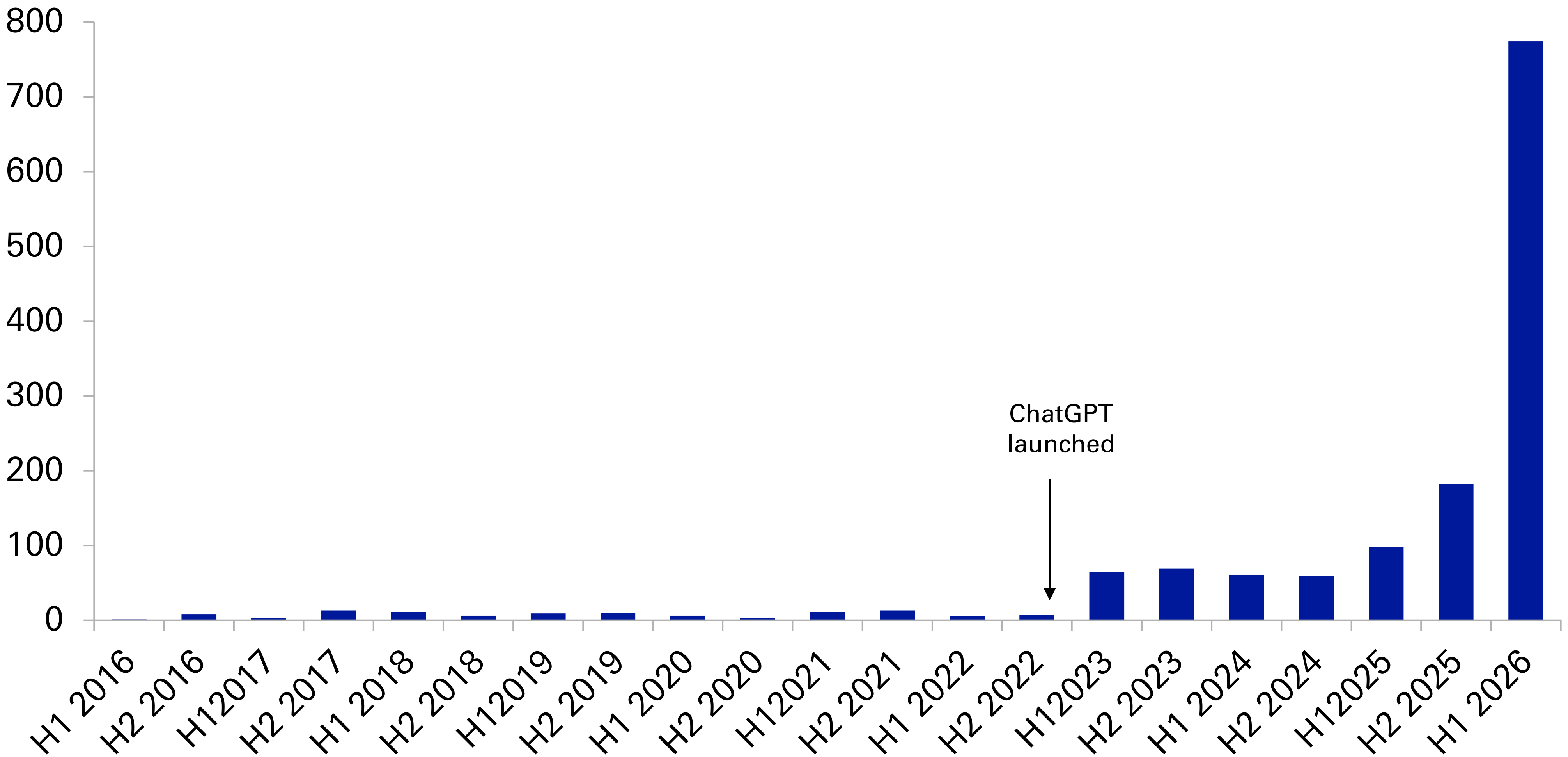
# The whole world has gone AI crazy….

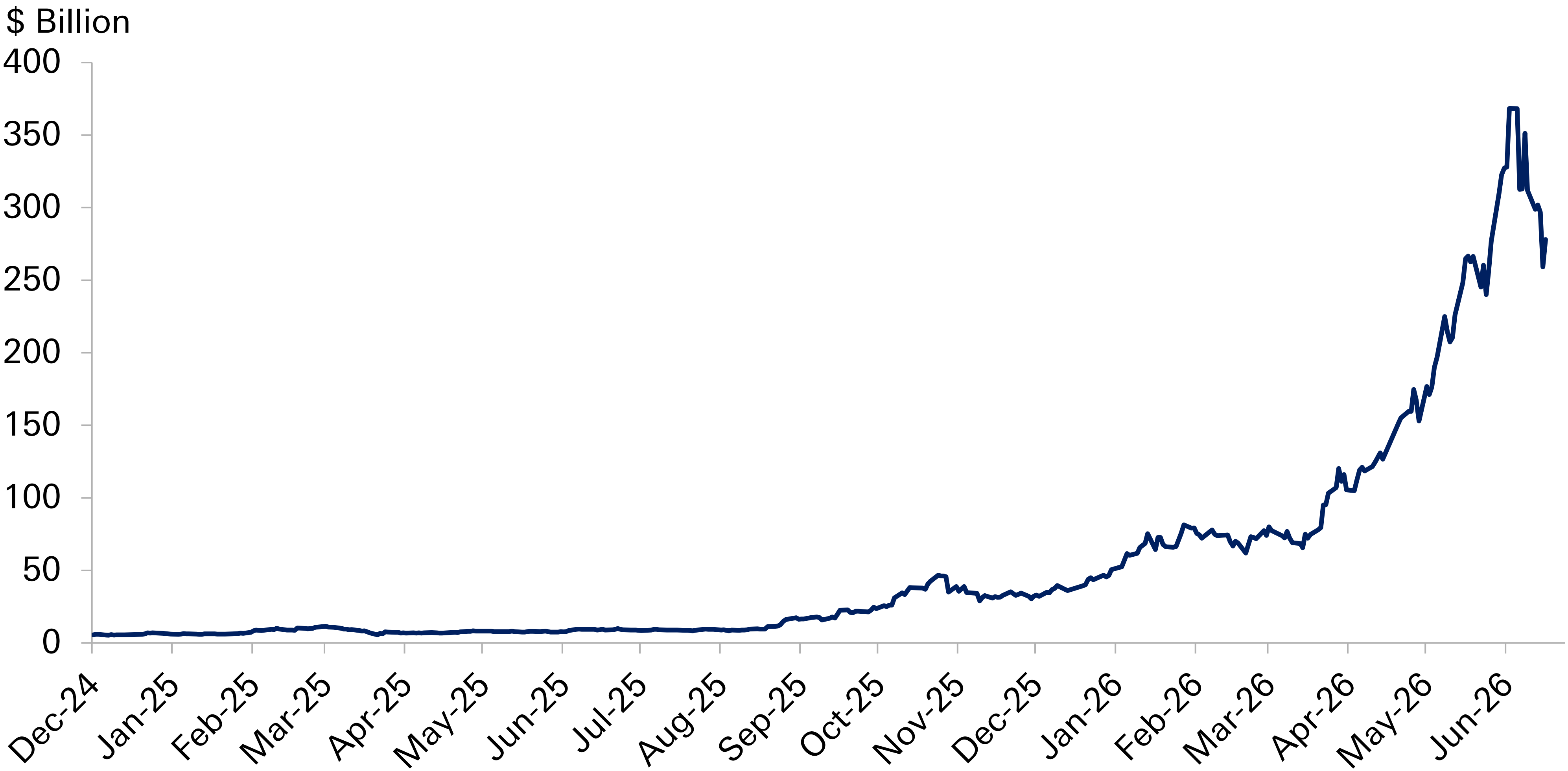
## Mentions of AI Disruptions in Global Earnings Call Transcripts




*Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3*

# The largest company in Japan was only worth c.$8bn 12 months ago. Was around 46 times larger at the peak 2 weeks ago. It only entered the Nikkei 225 on April 1st, 2026. It manufactures semiconductor memory products.

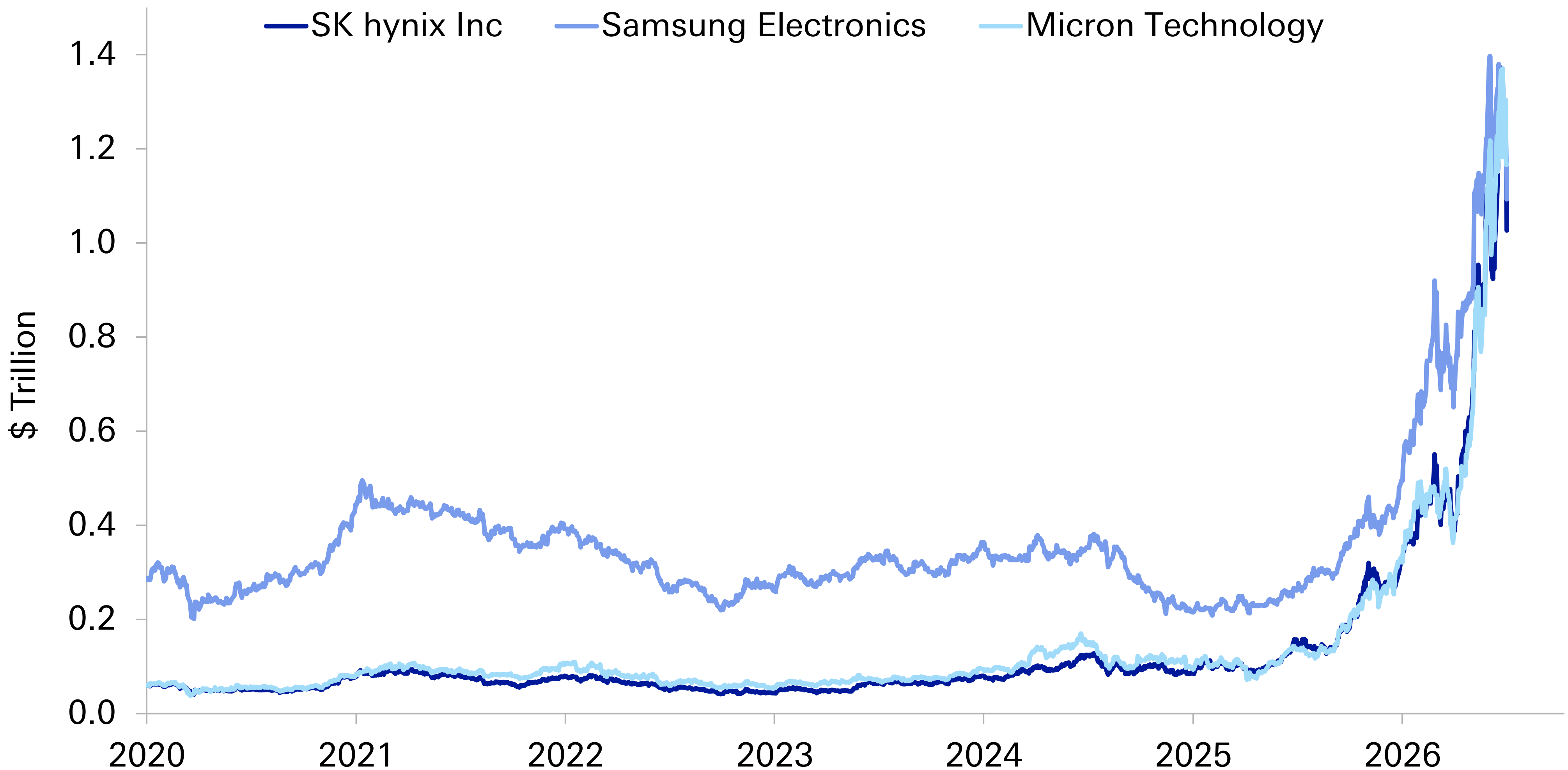
## Kioxia Holdings Corporation Market Capitalisation




*Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3*

# The largest global memory companies have seen their market caps climb around 5-10 times that of a year ago and have burst into the trillion-dollar club, an exclusive global club with only 17 members. A big sell-off over the last 10 days is worth watching though…

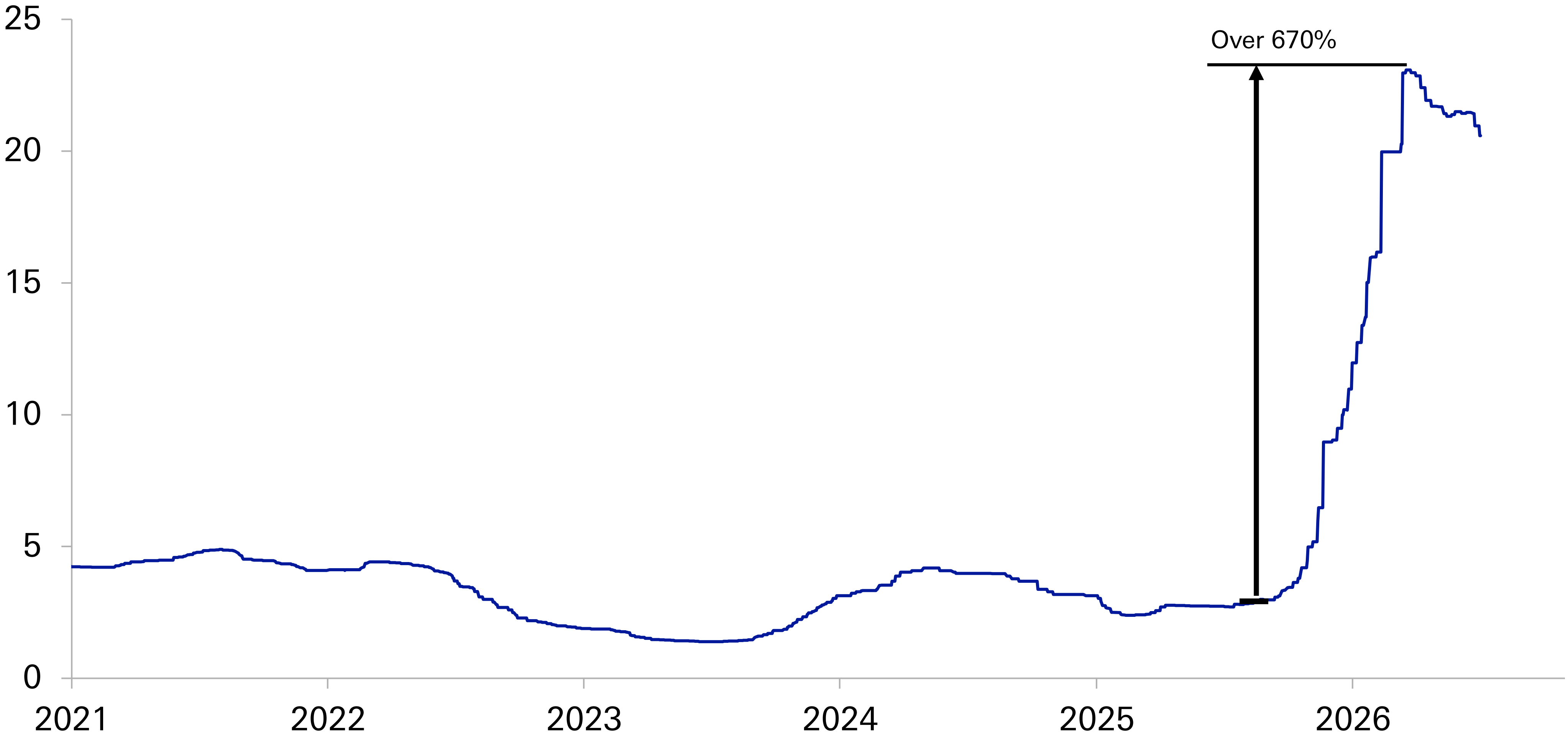
## Market cap in US$ of the largest global memory companies




*Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3*

# Memory is a broken market even if it has come off its highs… expect all your consumer electronic prices to soar….

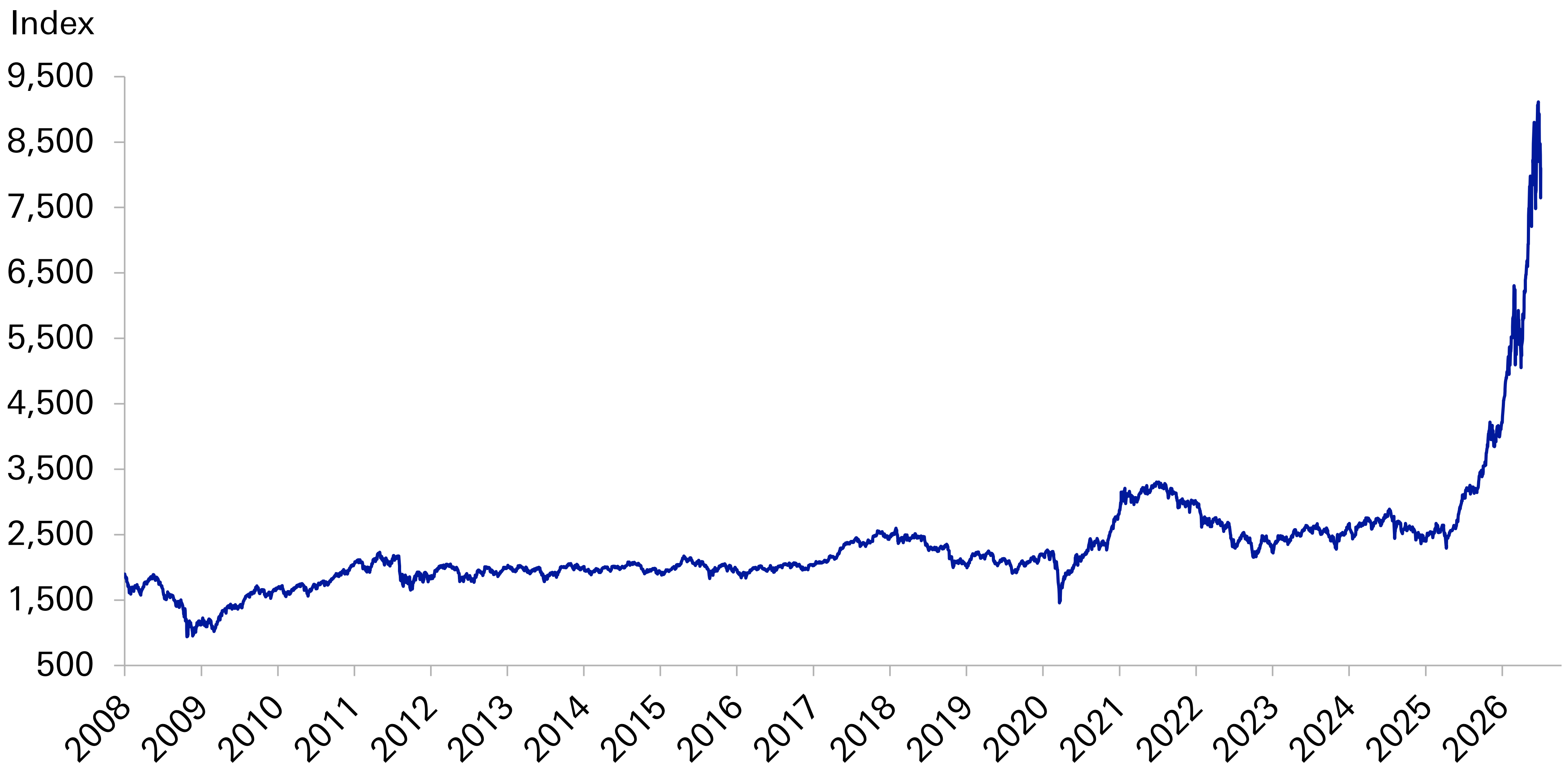
## inSpectrum Tech Inc NAND FLASH Spot Price TLC Flash 512Gb




*Source: Bloomberg Finance LP, Deutsche Bank, Last update July 3*

# Samsung and SK hynix helped the KOSPI triple over the past year after 17 years of doing nothing, even if some air has escaped from the balloon in recent days. Their combined market cap is still around 16 times that of the third largest company in the index.

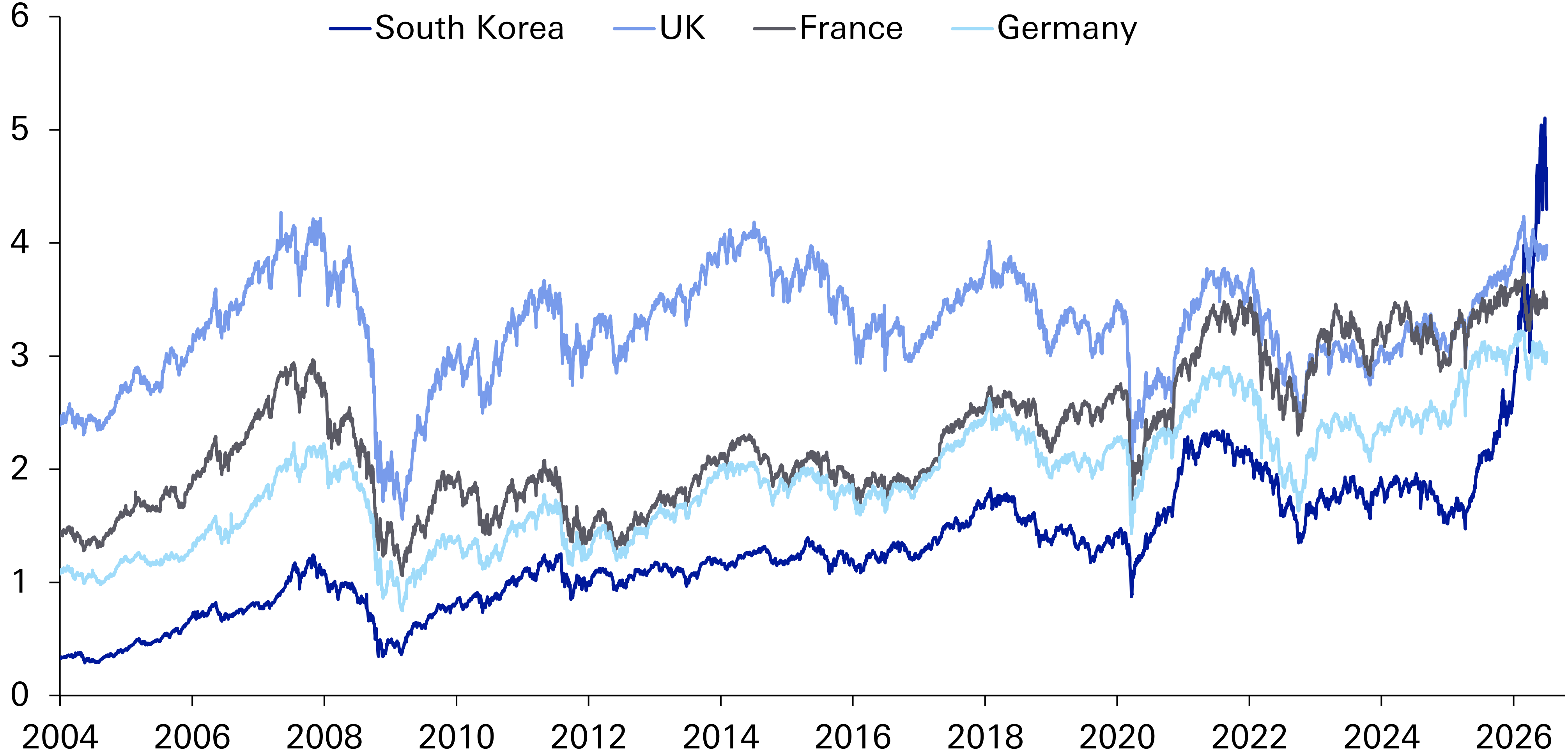
## KOSPI Index




*Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3*

# As a result the Korean exchange has now flown past the three largest European ones in terms of market cap…

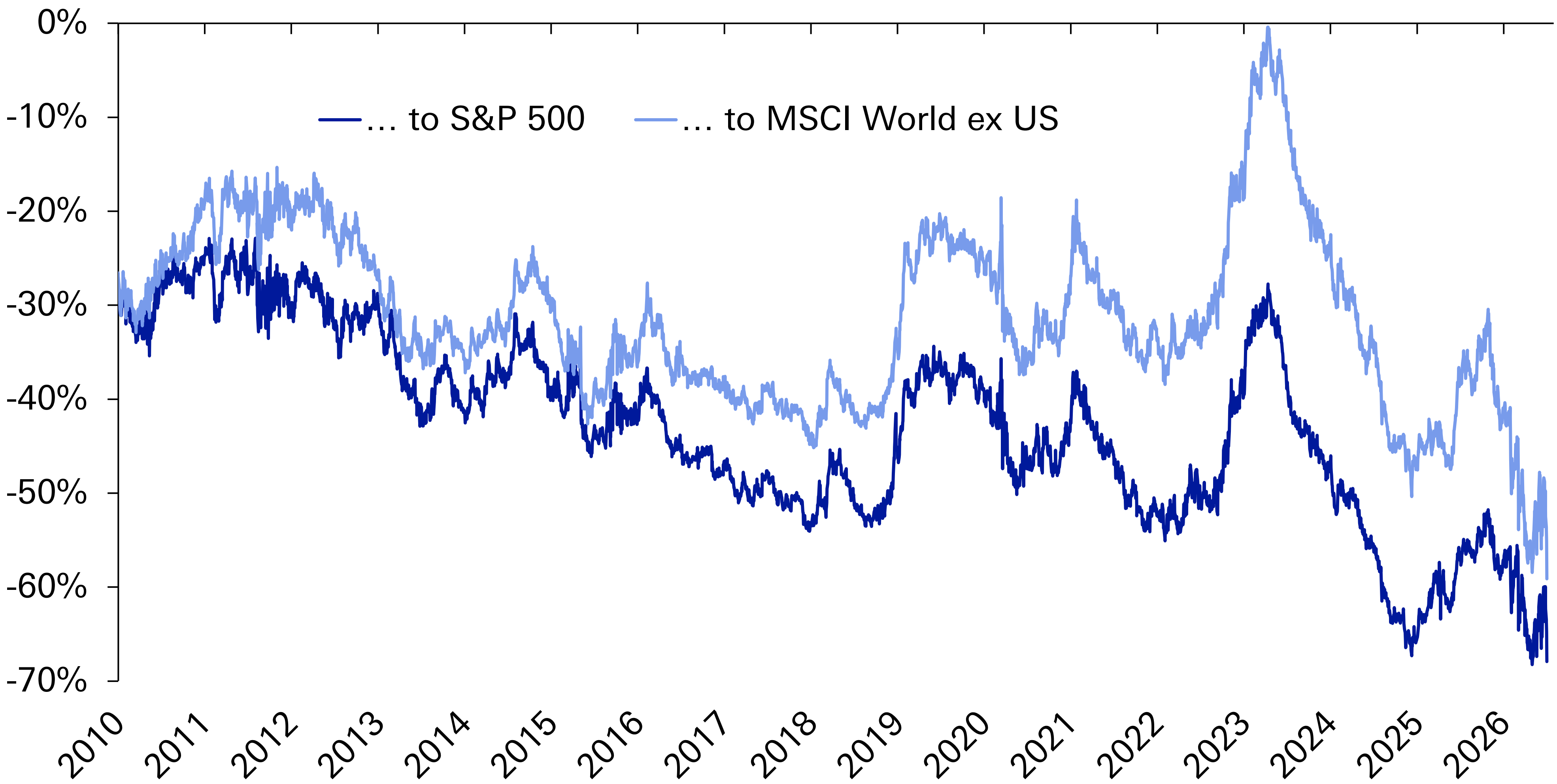
## Market cap in $tn of selected exchanges




Source: Bloomberg Finance LP, Deutsche Bank.

# Ironically, because of earnings estimates, it still trades at a large discount to the rest of the world. However this will all be very dependent on two companies' earnings…

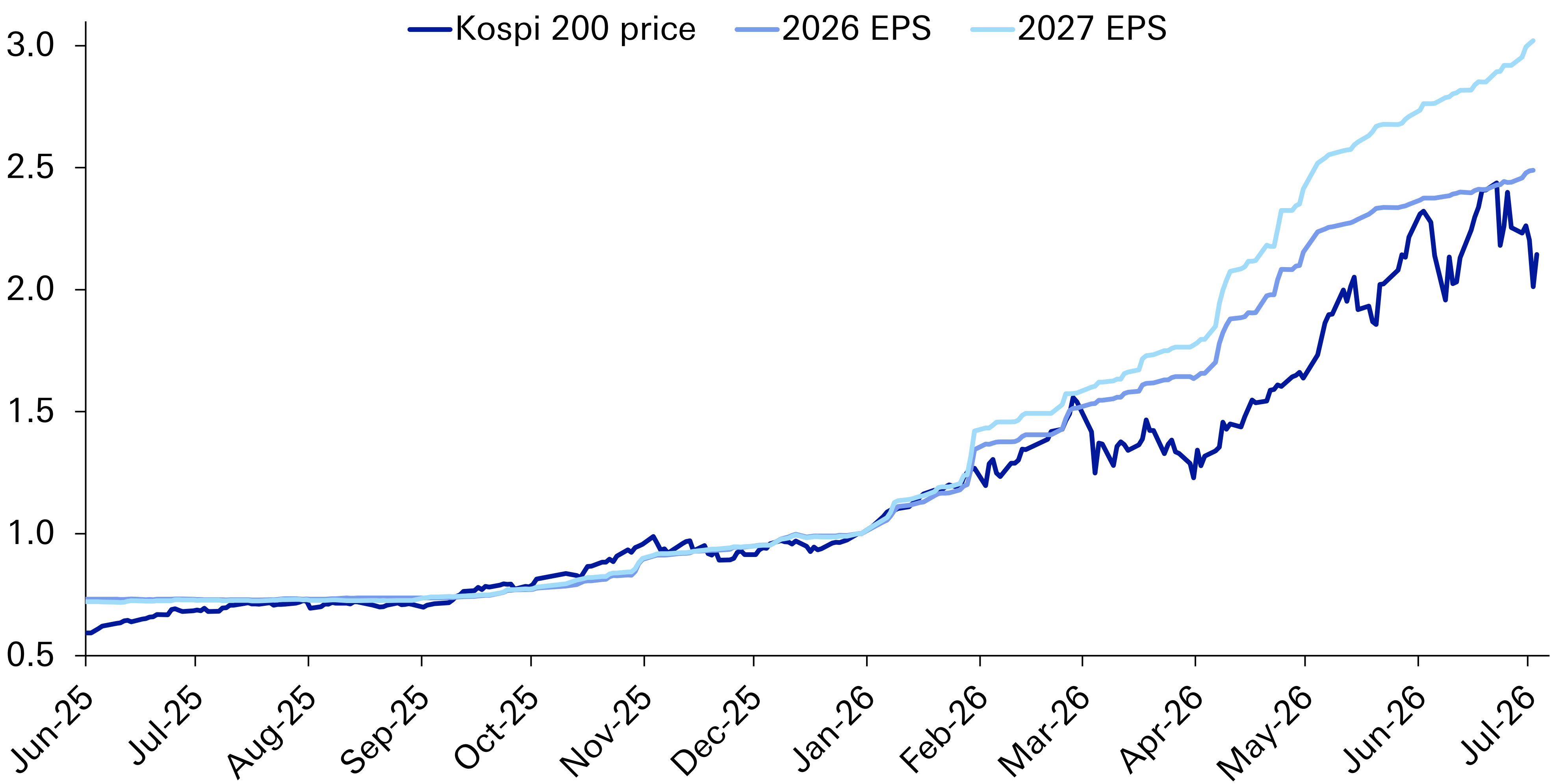
## Kospi 200 discount based on forward P/E




*Source: Bloomberg Finance LP, Deutsche Bank.*

# So far the KOSPI move has actually lagged that of earnings which are again highly dependent on those two mega-caps

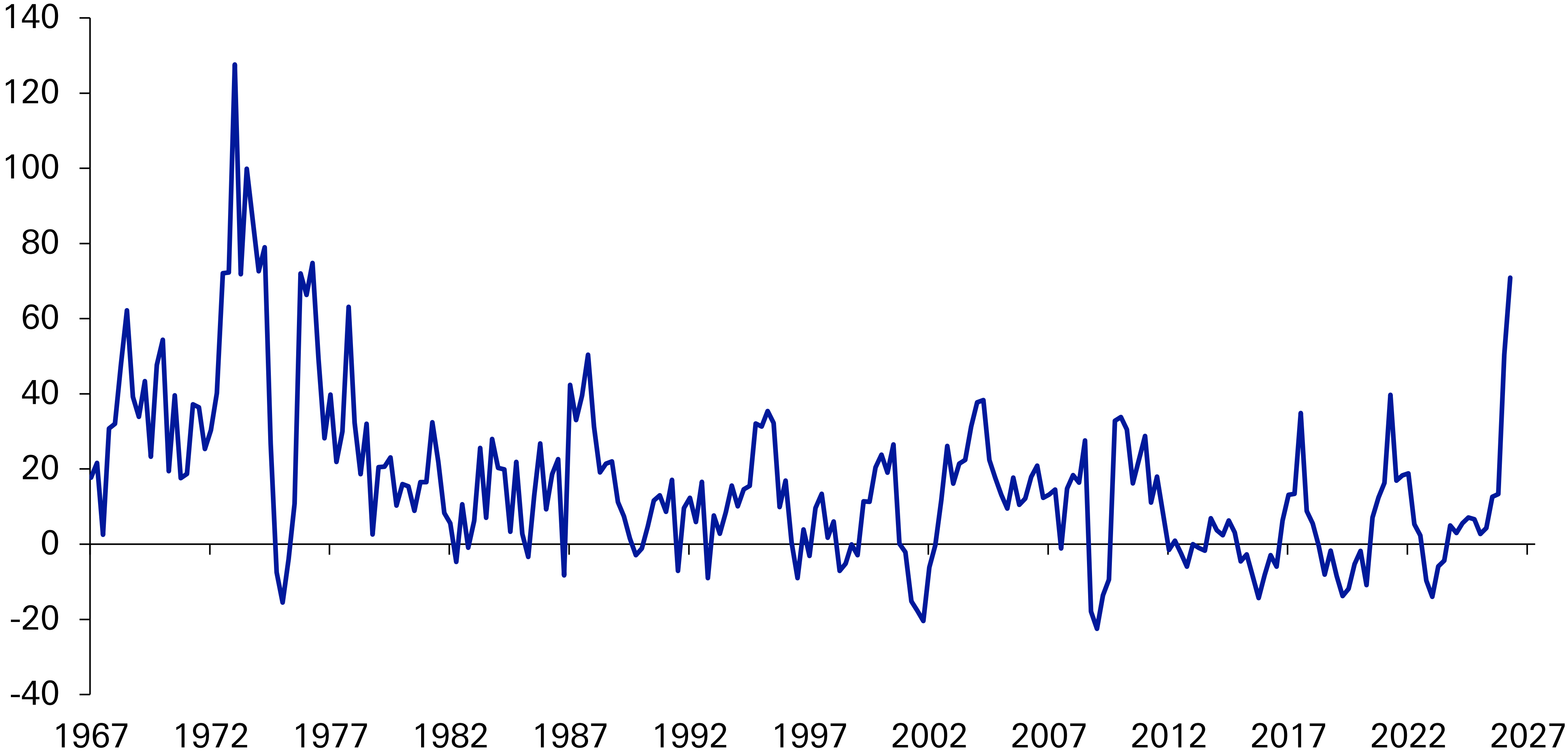
## BBG consensus estimates for Kospi 200 full-year 2026 and 2027 EPS and the index price, rebased to end of 2025 (=1)




*Source: Bloomberg Finance LP, Deutsche Bank.*

# Linked in to all this, South Korean exports are growing at their fastest YoY rate for 50 years…

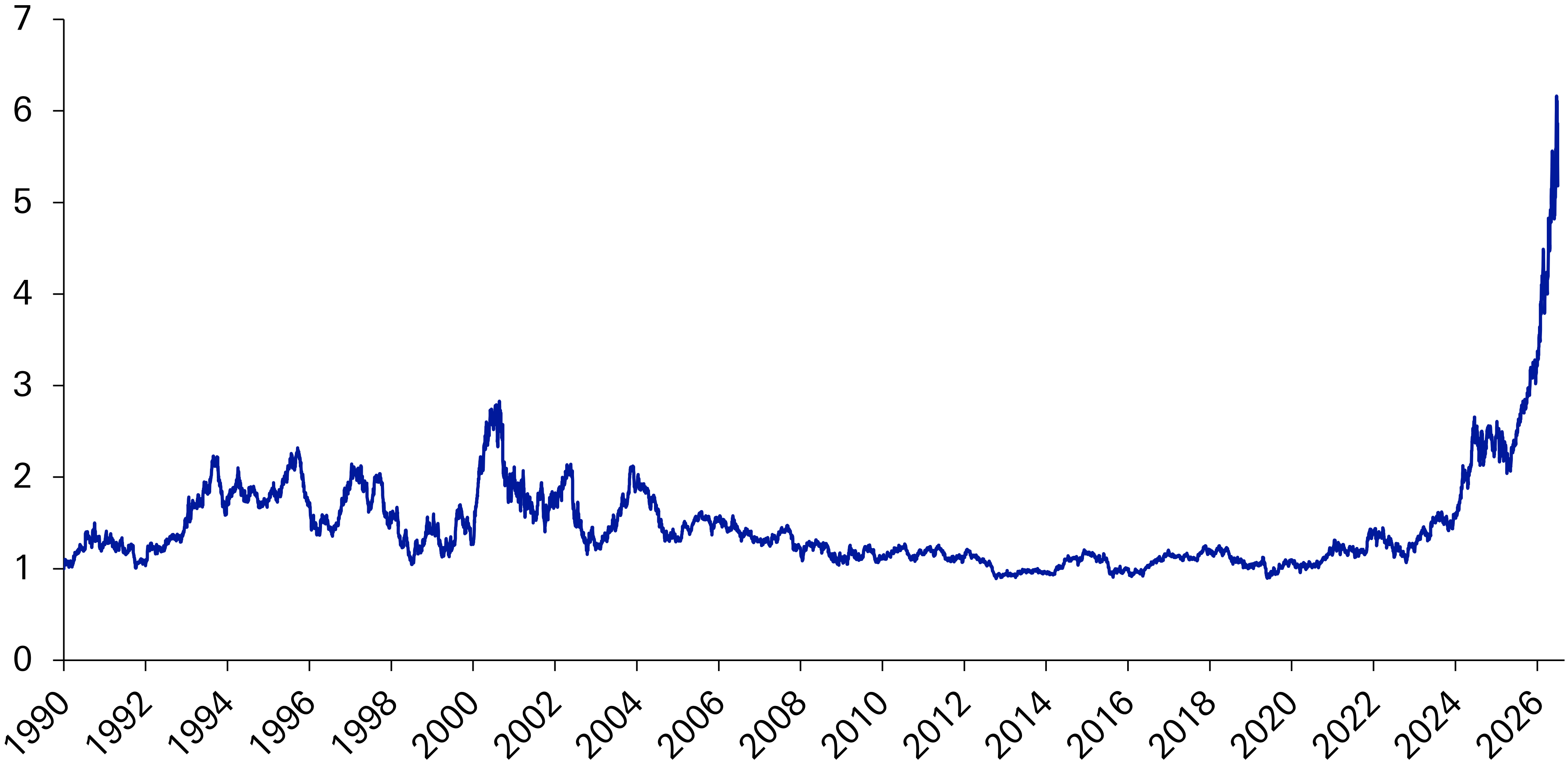
## South Korea Exports growth (%Y-o-Y)




*Source: Ministry of Trade, Industry and Resources, Bloomberg Finance LP, Deutsche Bank*

# It's clearly not just South Korea.. The semiconductors frenzy is global and has created an extreme bifurcation within tech as software lags on AI disruption fears

## S&P 500 semiconductors & equipment relative to software & services, total returns ratio, since 1990 (=1)




*Source: Bloomberg Finance LP, Deutsche Bank.*

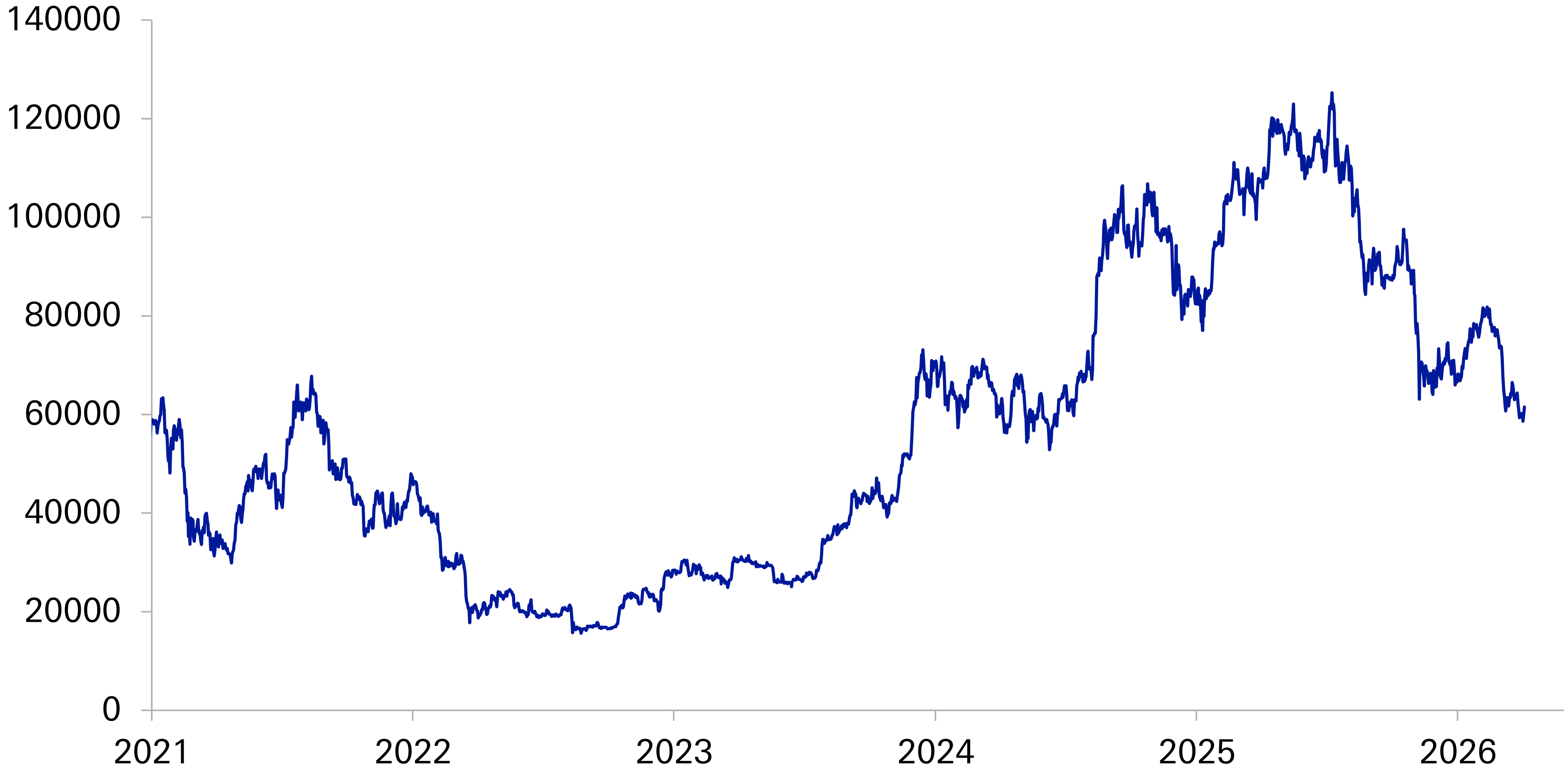
Party like it's 1999? Intel's share price has finally exceeded its high back in 2000. From its peak in 2000 to September last year, it was down around -75%. Since then, it's up over +600%. Is it a warning from the past as to how long it can take for stocks to recover after a valuation surge…

## A Historic comeback: Intel's stock finally tops its 2000 high… and then some…


*Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3*

# As AI fever takes over, Bitcoin has halved since October and has gone nowhere for 5yrs.

## XBTUSD Spot Exchange Rate - Price of 1 XBT in USD

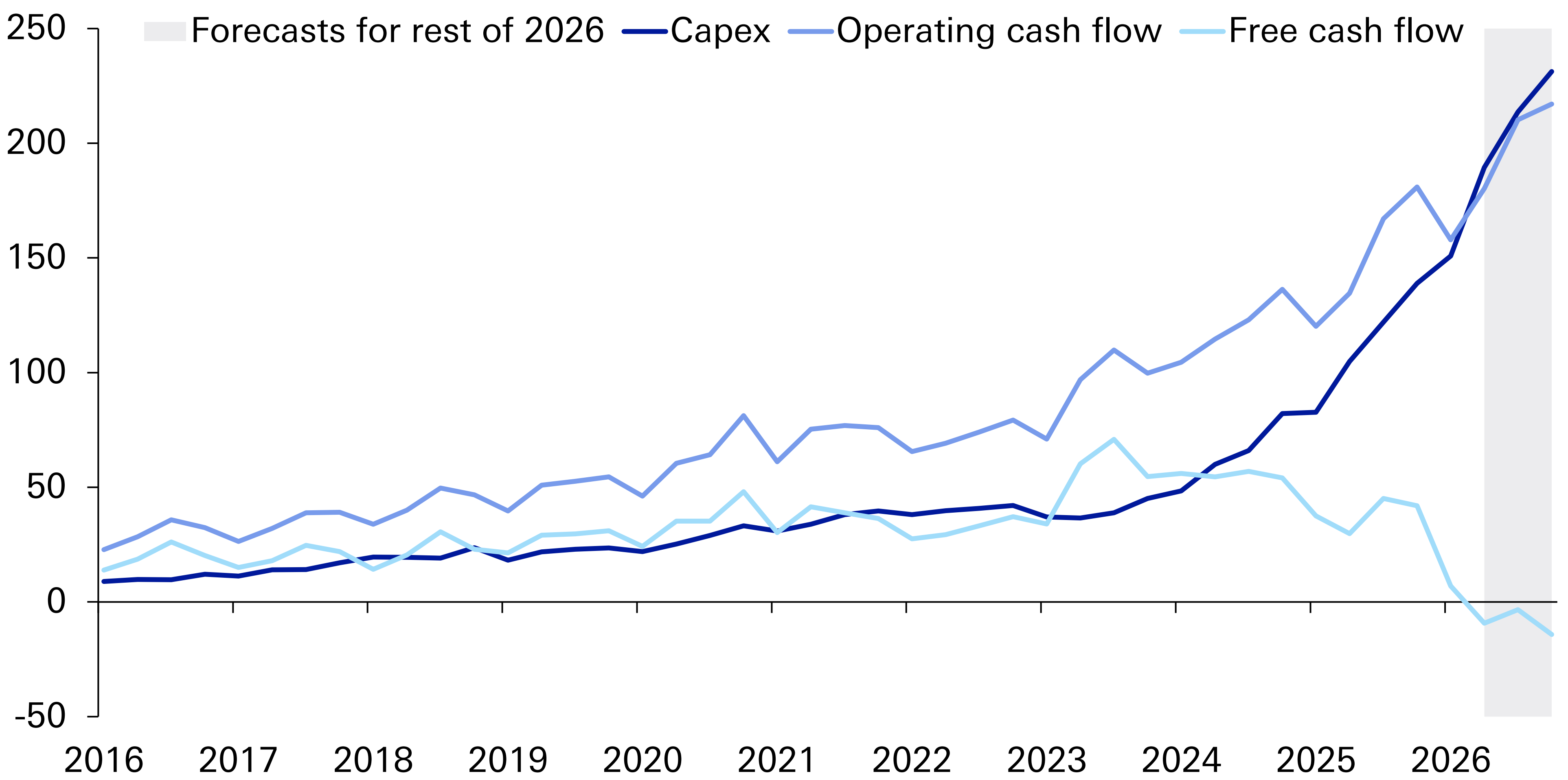



*Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3*

# Hyperscalers. Capex starts to bite.

# The 5 large US hyperscalers are now spending more on Capex than their combined operating cash flow…

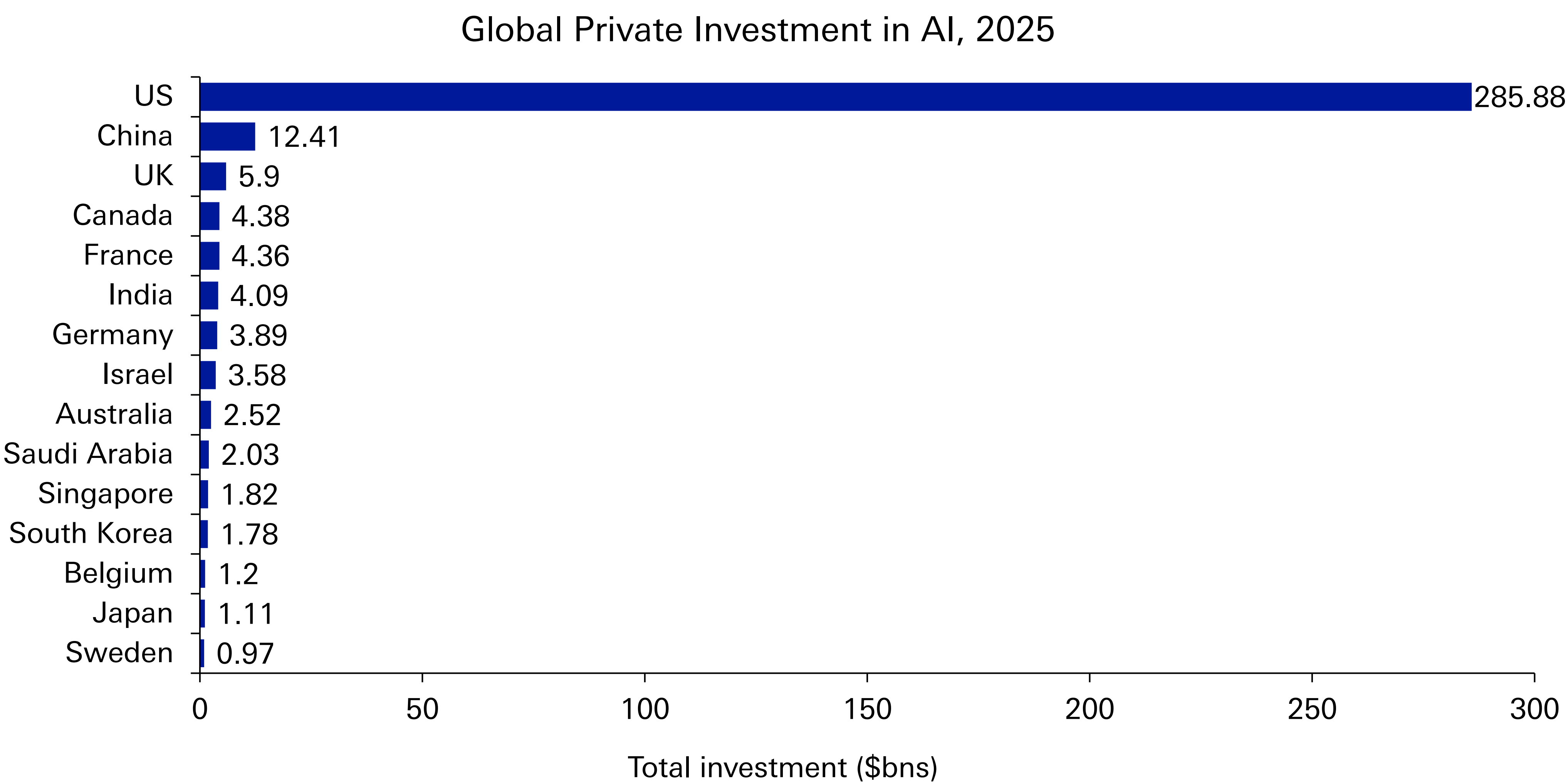
## 5 hyperscalers, selected metrics with DB analysts' forecasts through 2026 ($bn, quarterly)




*Source: Deutsche Bank, company reports.*

# Unparalleled access to private capital (around 20 times greater than the next-largest market) has helped finance the current wave of pioneering AI investment and innovation.

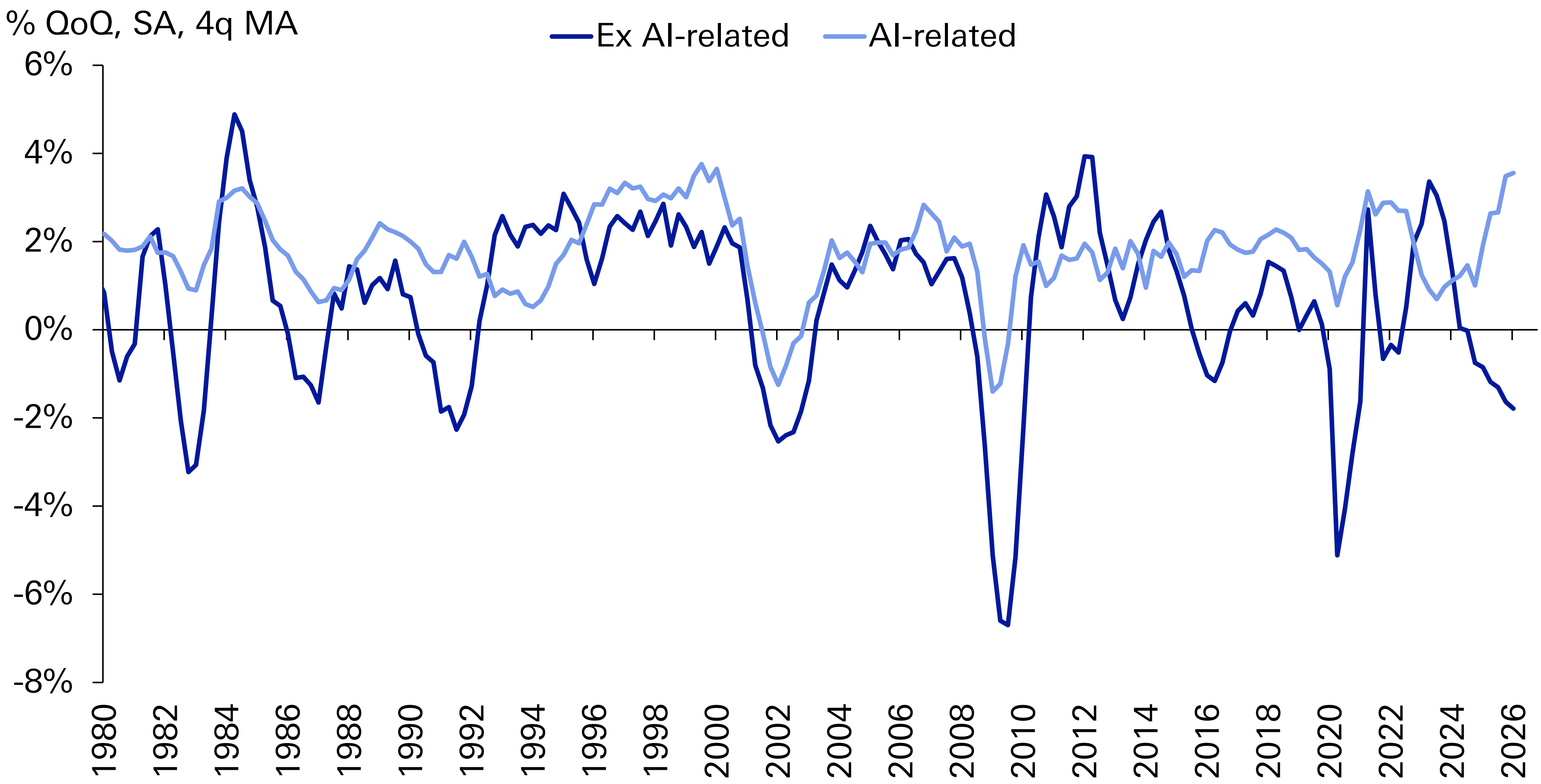
## US private AI investment reached $285bn in 2025, more 20x as much as in China




*Source: Stanford University 2026 Artificial Intelligence Index Report, Deutsche Bank Research*

# But is this AI Capex crowding out non-AI investment?

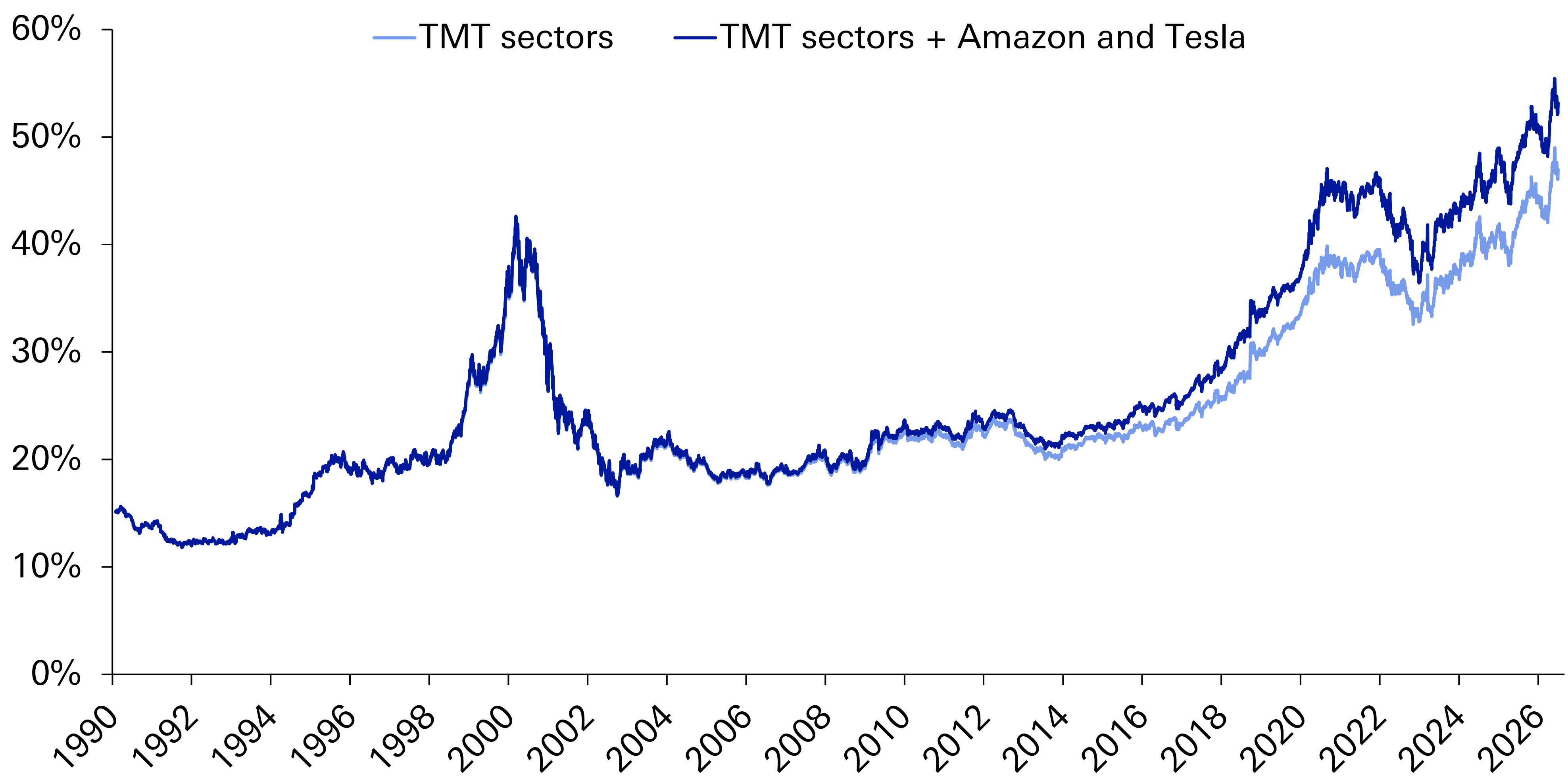
## US real private nonresidential fixed investment (Chn.2017$)




*Source: BEA, Haver Analytics, Deutsche Bank. Note: includes information processing equipment, software, R&D and data centres.*

# This comes as TMT companies (mostly AI related) are now more than half of the S&P 500

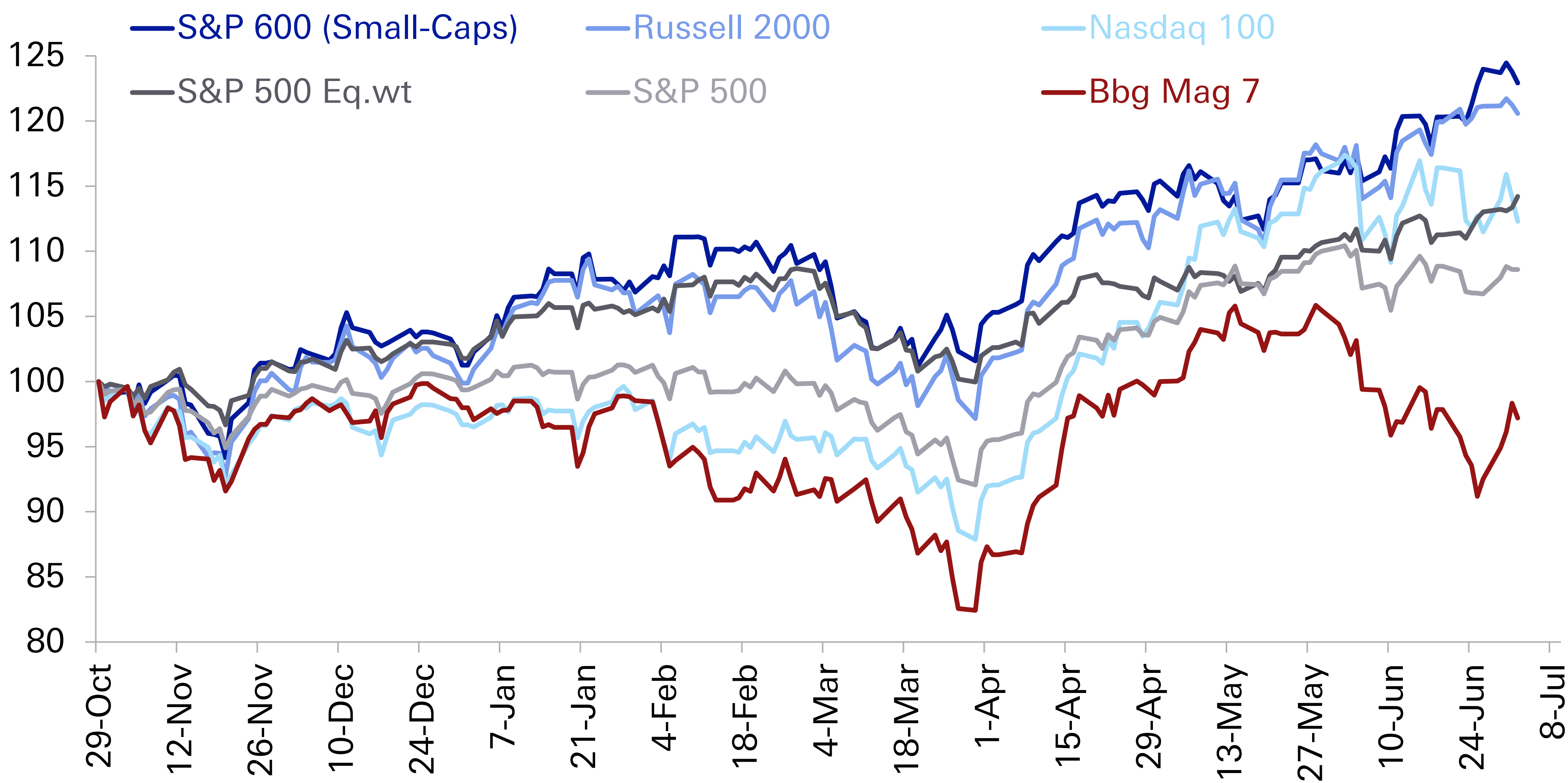
## Tech as a share of S&P 500 market cap




*Source: Bloomberg Finance LP, Deutsche Bank.*

# However the S&P 500's leadership has changed, and the Mag-7 have underperformed in recent months…

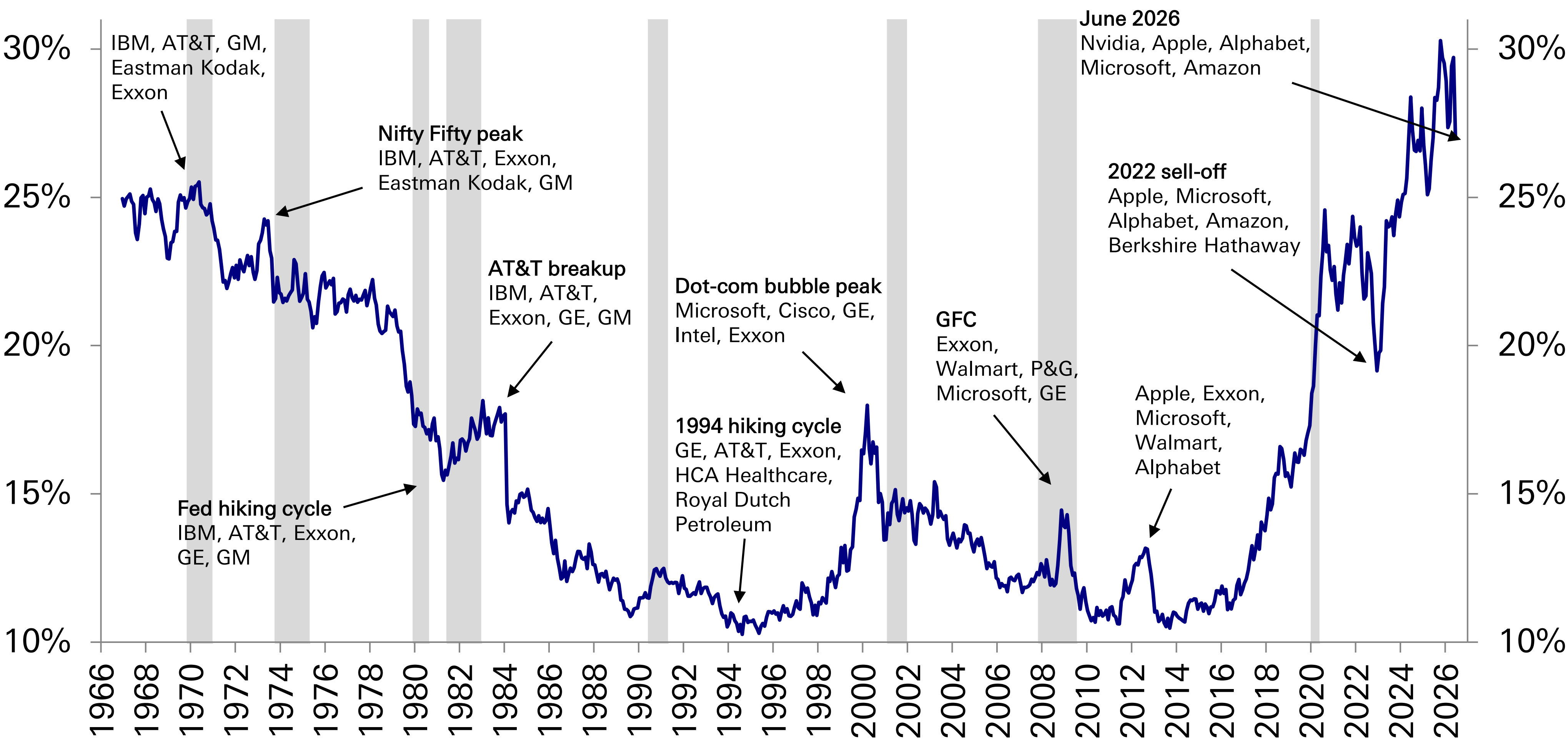
## Rotation away from large cap tech. US Index performance (Oct 29,2025=100)




*Source: Bloomberg Finance LP, Deutsche Bank., Last update July 3*

# This Mag-7 underperformance has meant the top 5 weighting in the S&P 500 has fallen since the peak in October last year and is back at the same level as it was 2 years ago.

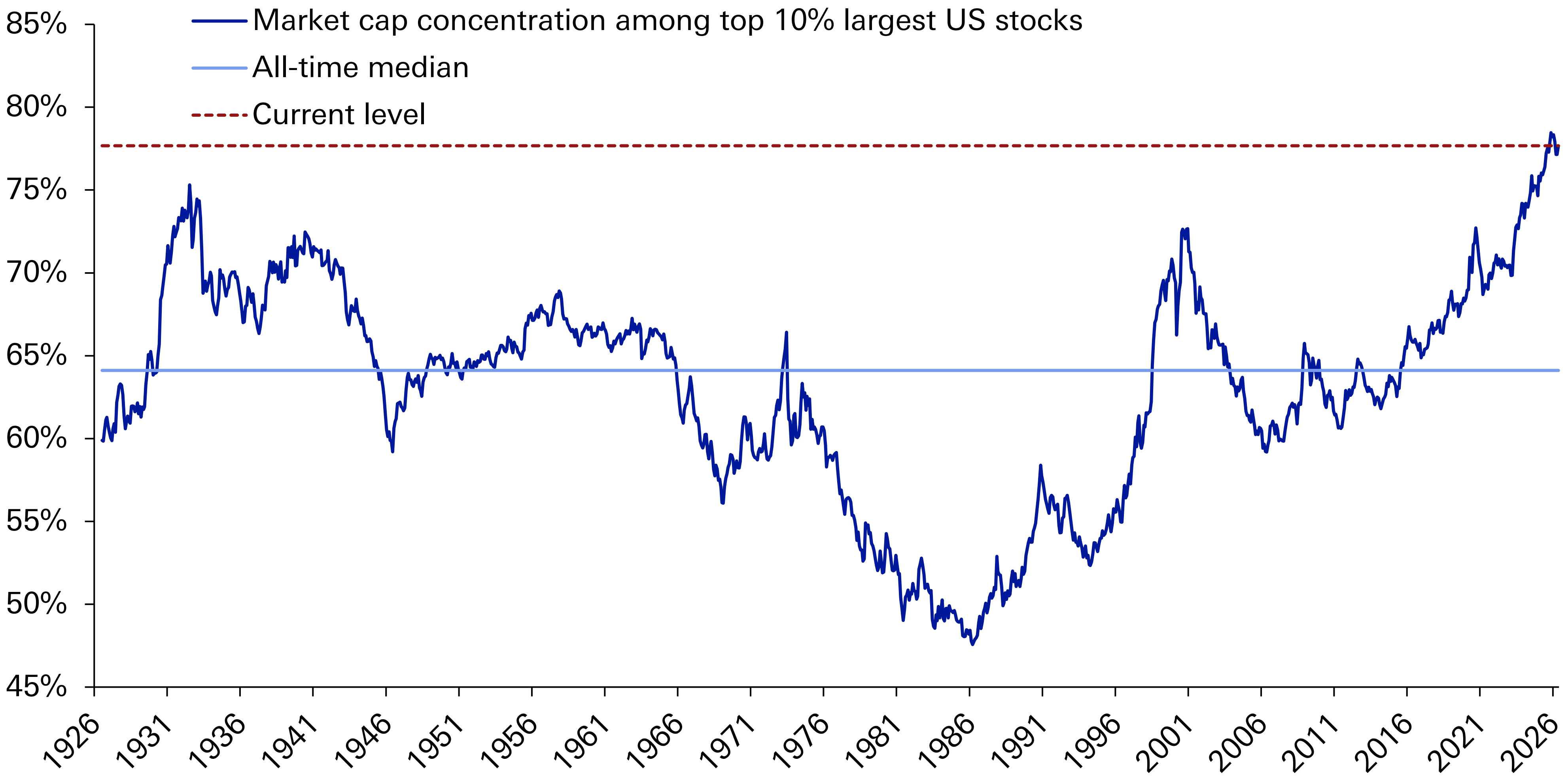
## Proportion of the S&P 500 made up by top 5 names by size




*Source: Bloomberg Finance LP, Deutsche Bank. Note: as of June 30.*

# A similar trend can be seen for the top decile of companies in the whole of the US market, but it's closer to the record level of concentration, showing overall dominance of the wider mega caps beyond the Mag-7

## Top 10% of stocks by size versus the entire US stock market

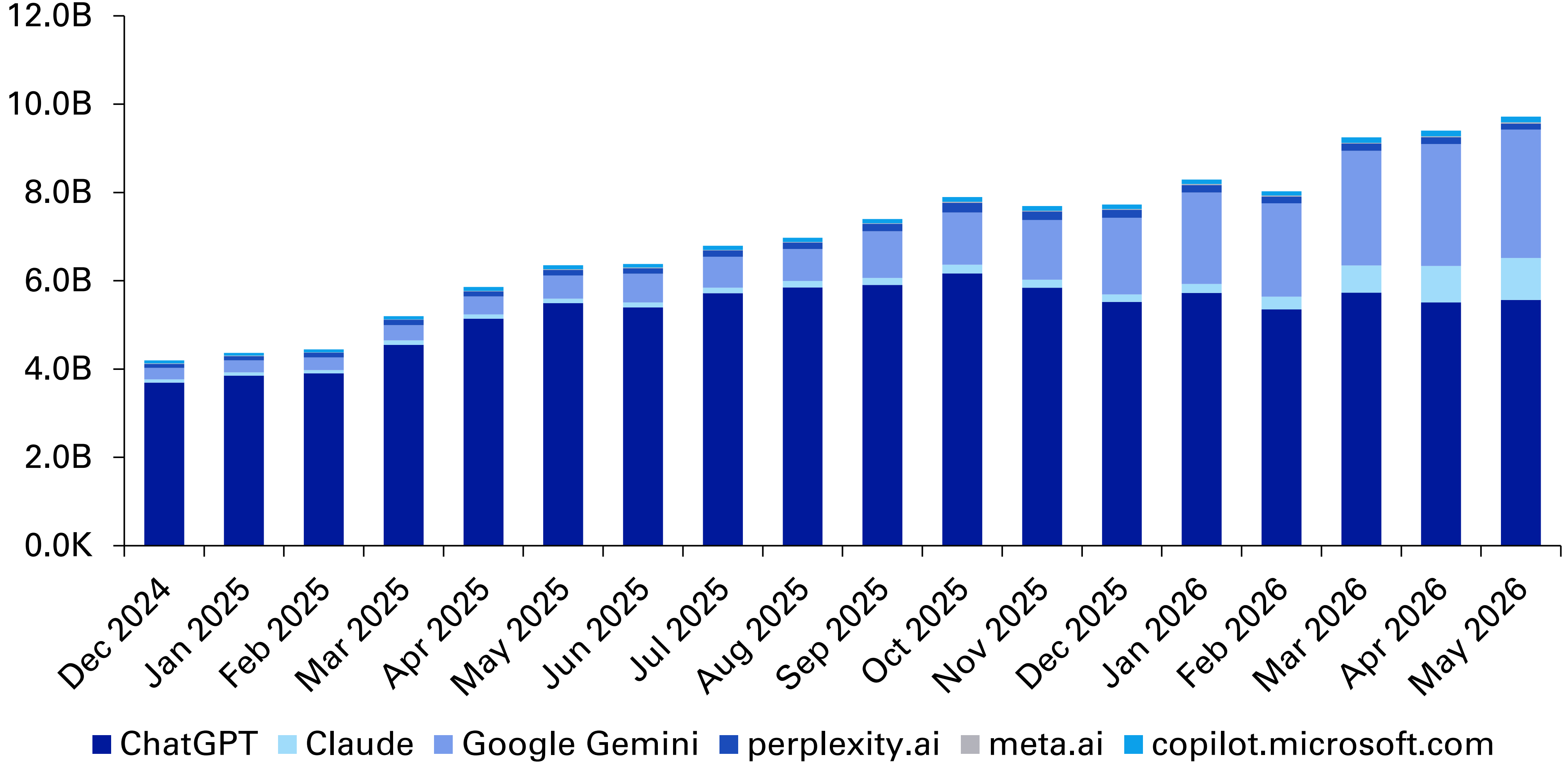



*Source: Kenneth R. French database, Deutsche Bank. Note: as of May 2026.*

# LLMs and jobs..

# Visits to LLM sites continue to increase but ChatGPT, which is by far the most popular, is showing signs of losing visitors to the likes of Gemini and Claude…

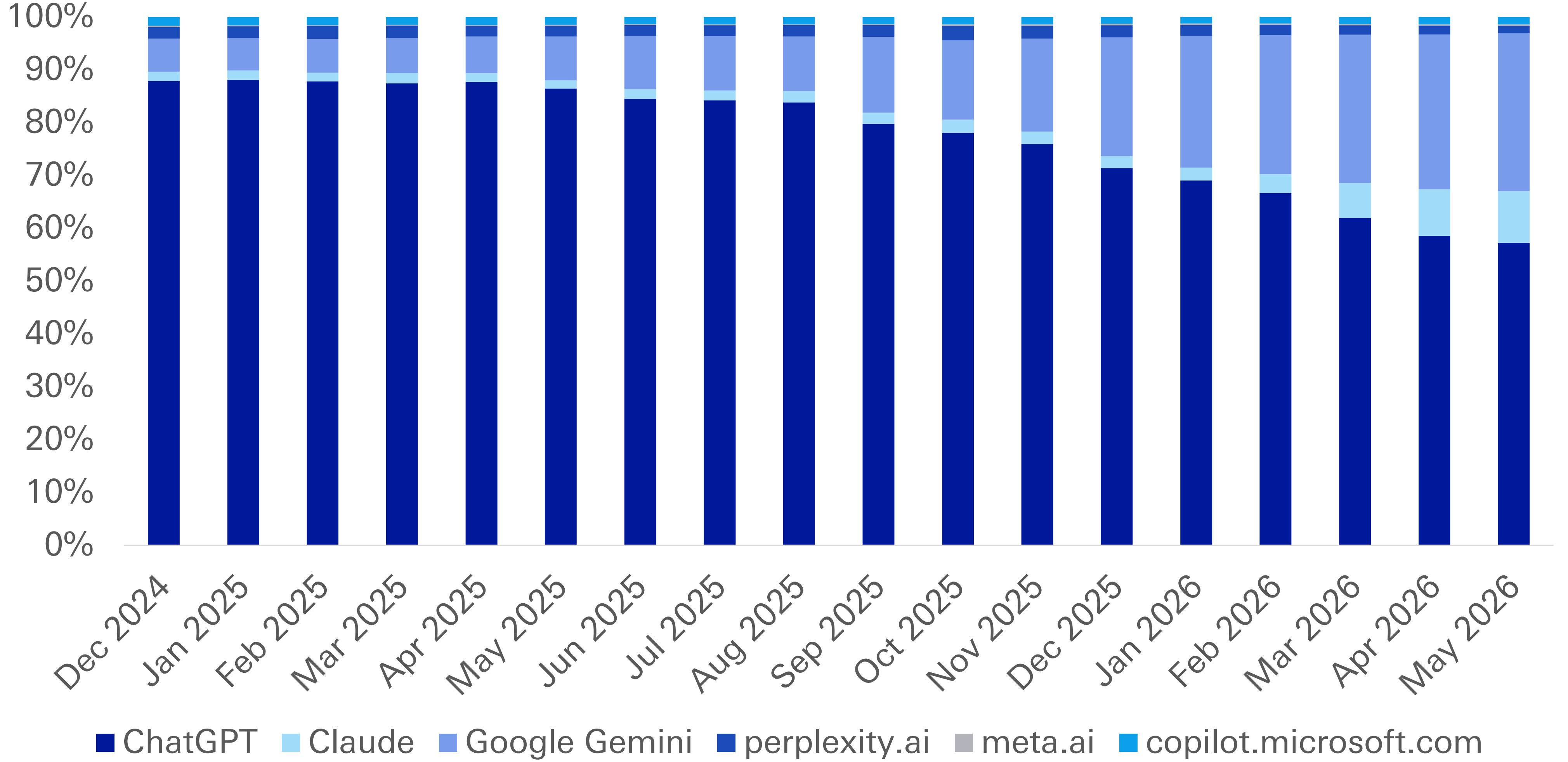
## Combined Top LLM Combined Visits




*Source: Deutsche Bank Research, Similarweb*

# This changing market share can be seen more starkly here…

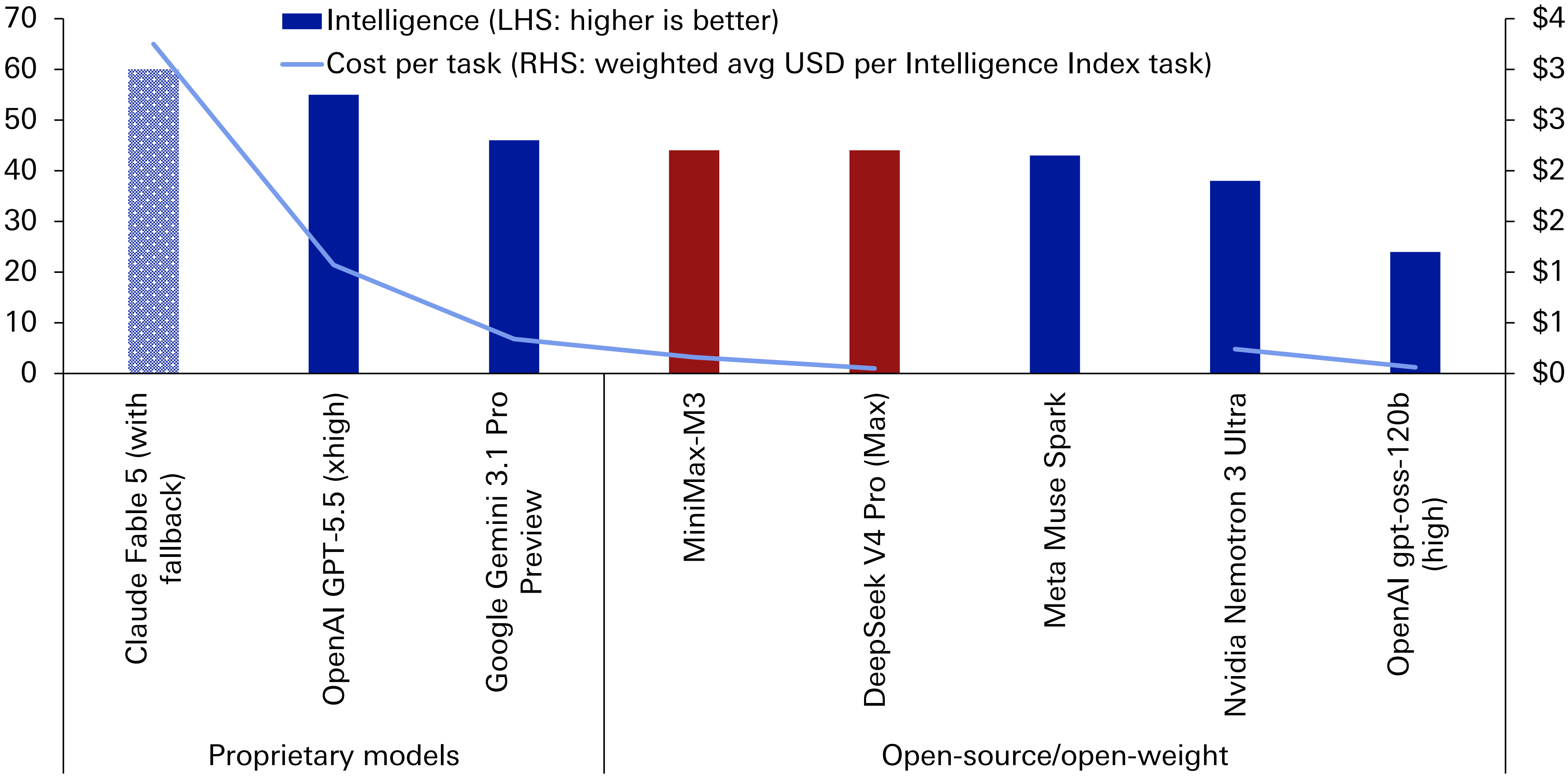
## % Share of Total Top LLM Visits




*Source: Deutsche Bank Research, Similarweb*

# The cost of tokens for the frontier models is exponentially higher than still very intelligent mid-tier models…. This is one of the biggest challenges for wide enterprise adoption….

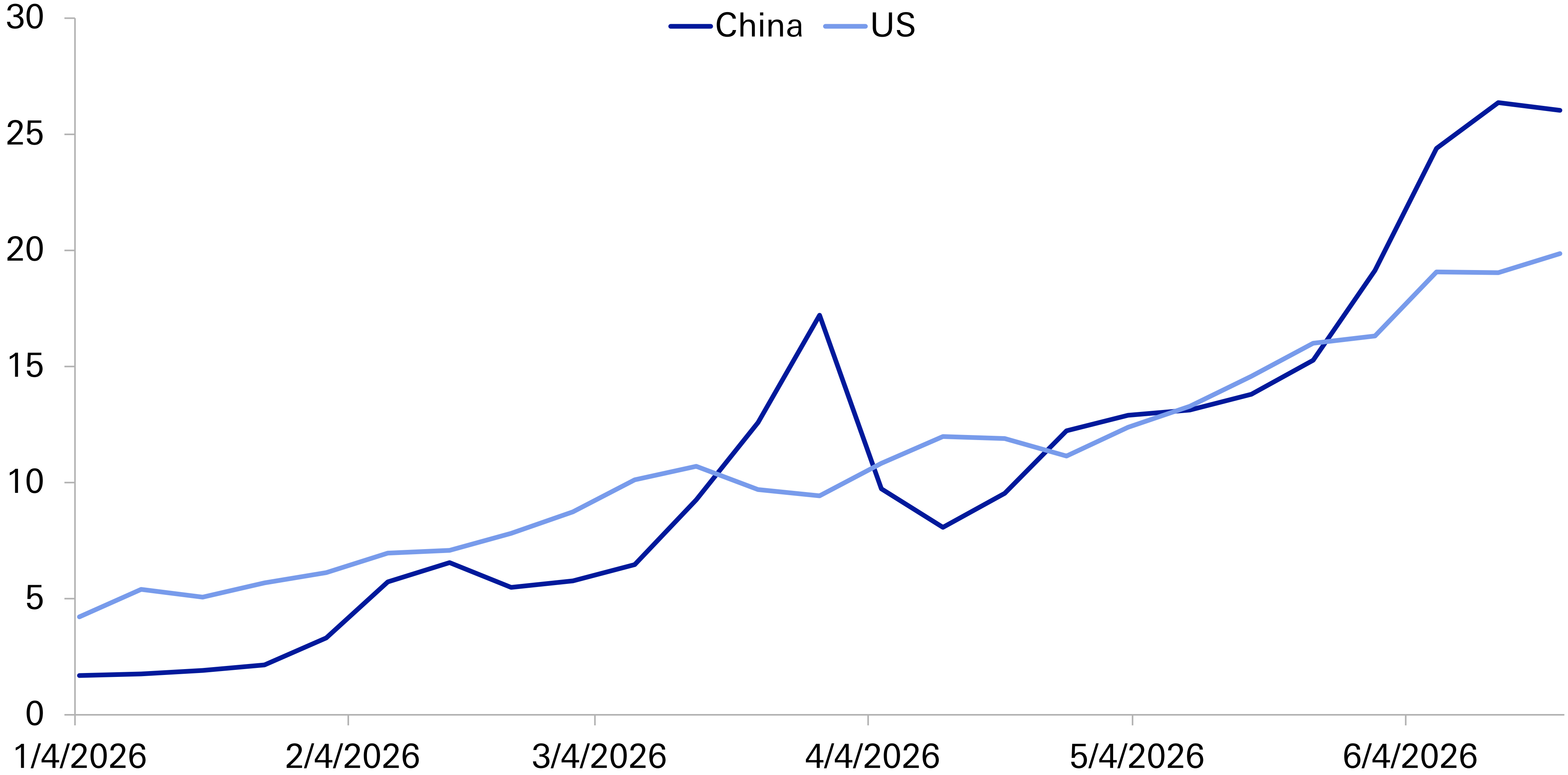
## Cost of frontier and other models….




*Source: Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red*

Weekly token usage of the top models on OpenRouter indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by cheaper Chinese models to 26. Interesting as enterprise grapples with surging token costs. For more see Adrian Cox's piece on what the current AI IPO wave means for the sector and broader markets here

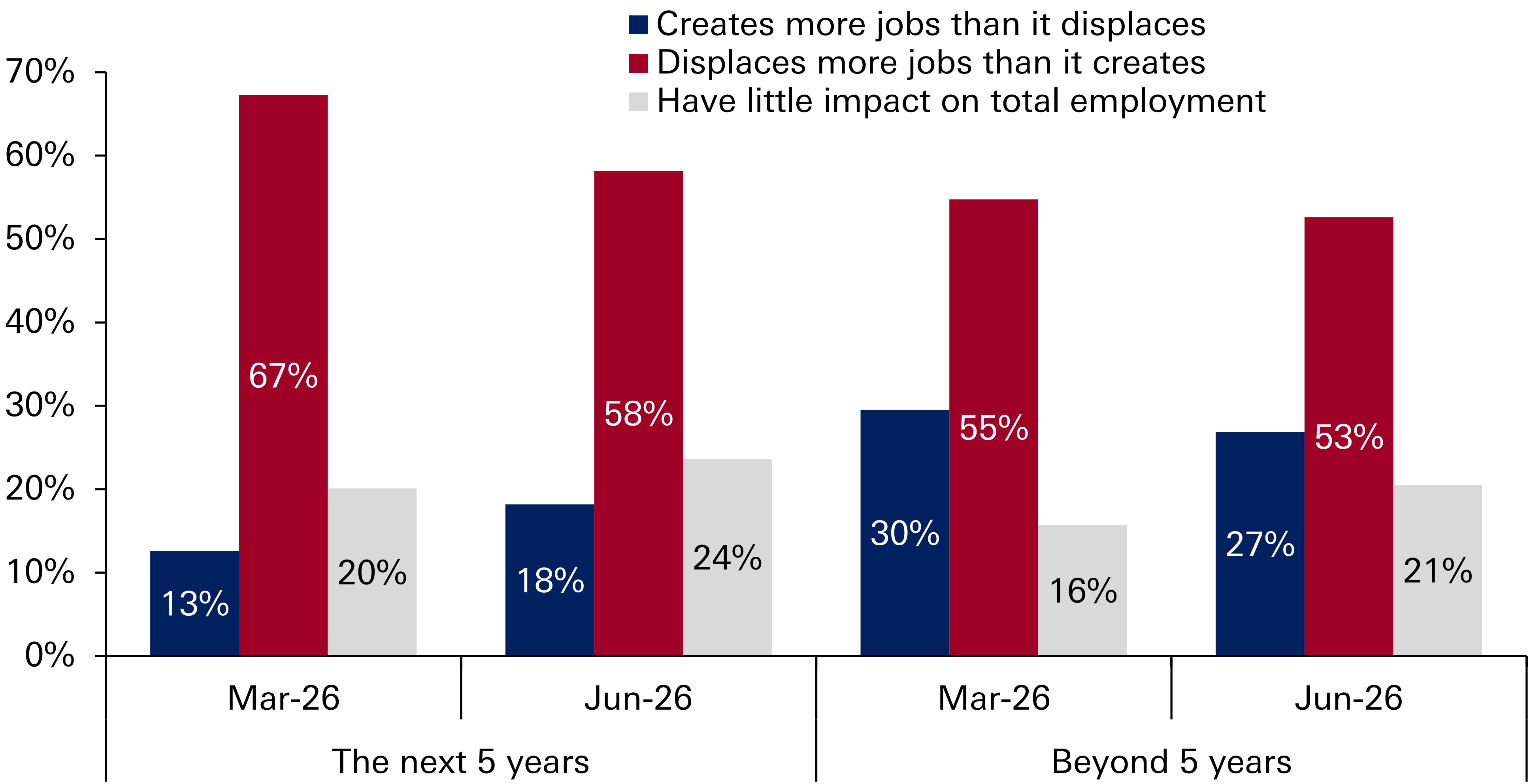
## The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion).




*Source : OpenRouter, Deutsche Bank Research*

# Market sentiment on AI's impact on jobs remains pessimistic, but we saw a small improvement in our June versus March survey.

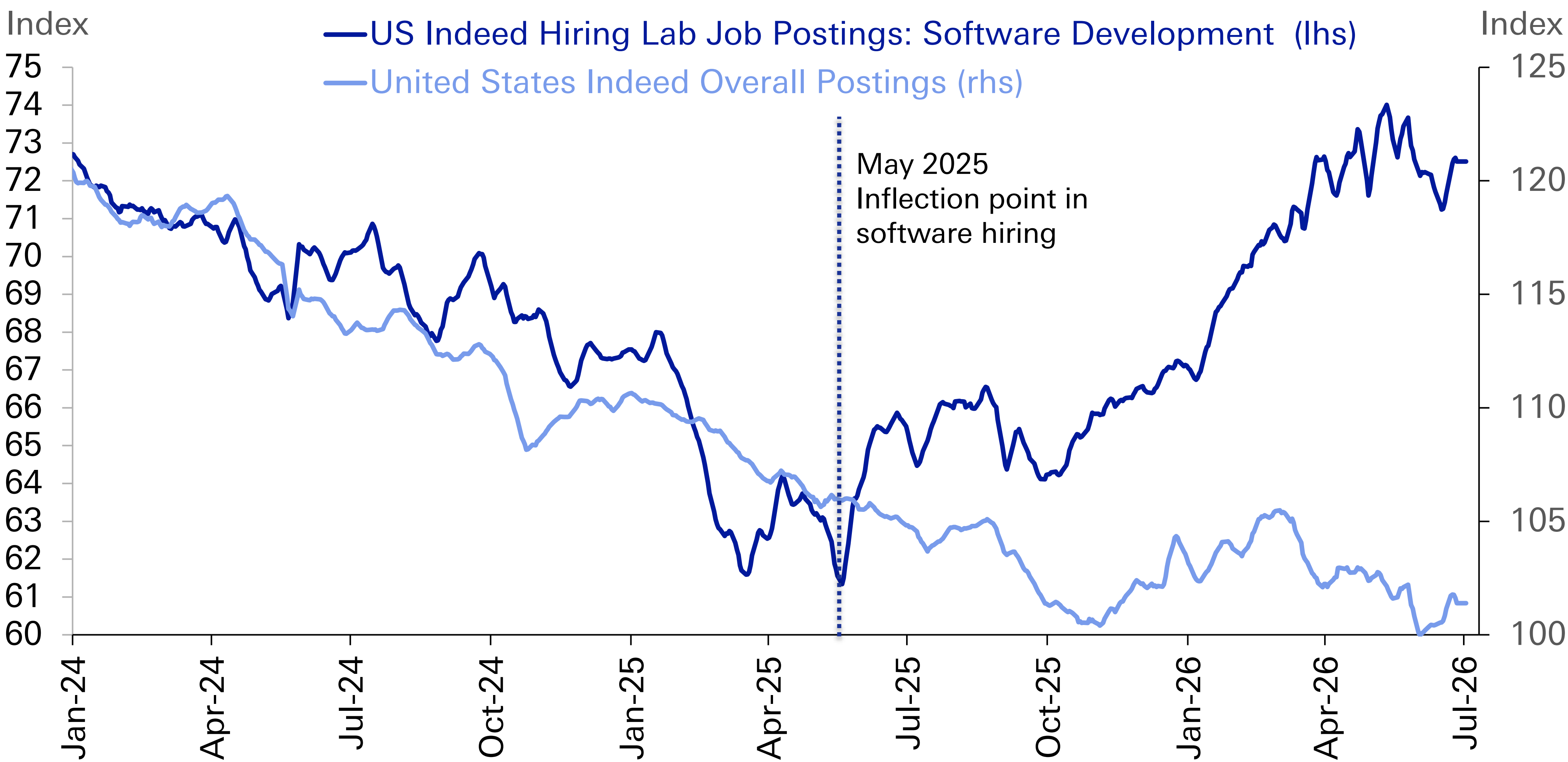
For the following time horizons, which best describes your expectation for the AI's impact on employment? Assume a scenario where AI adoption stays on its current trajectory. AI will...




*Source: dbDataInsights Survey, Deutsche Bank Research*

# However as an example so far, AI has made software jobs more valuable rather than cause displacement

## US Indeed Lab Job postings

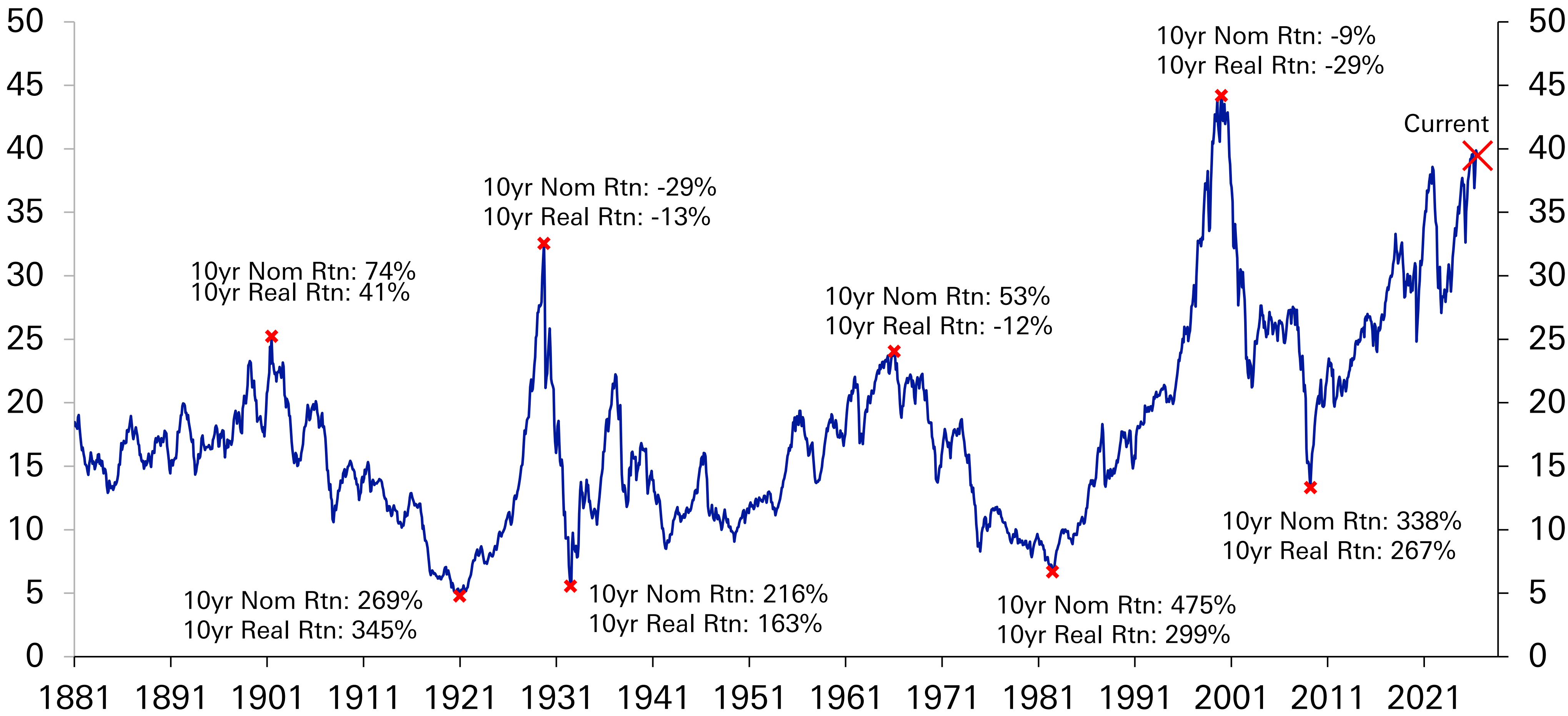



*Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3*

# Partying like its 1999…

We remain close to the most expensive US equity valuations in history seen back in 2000. This measure looks at rolling 10yr real earnings to try to eliminate cyclicality… The bulls would say this will fall as the breakout in tech earnings continues...

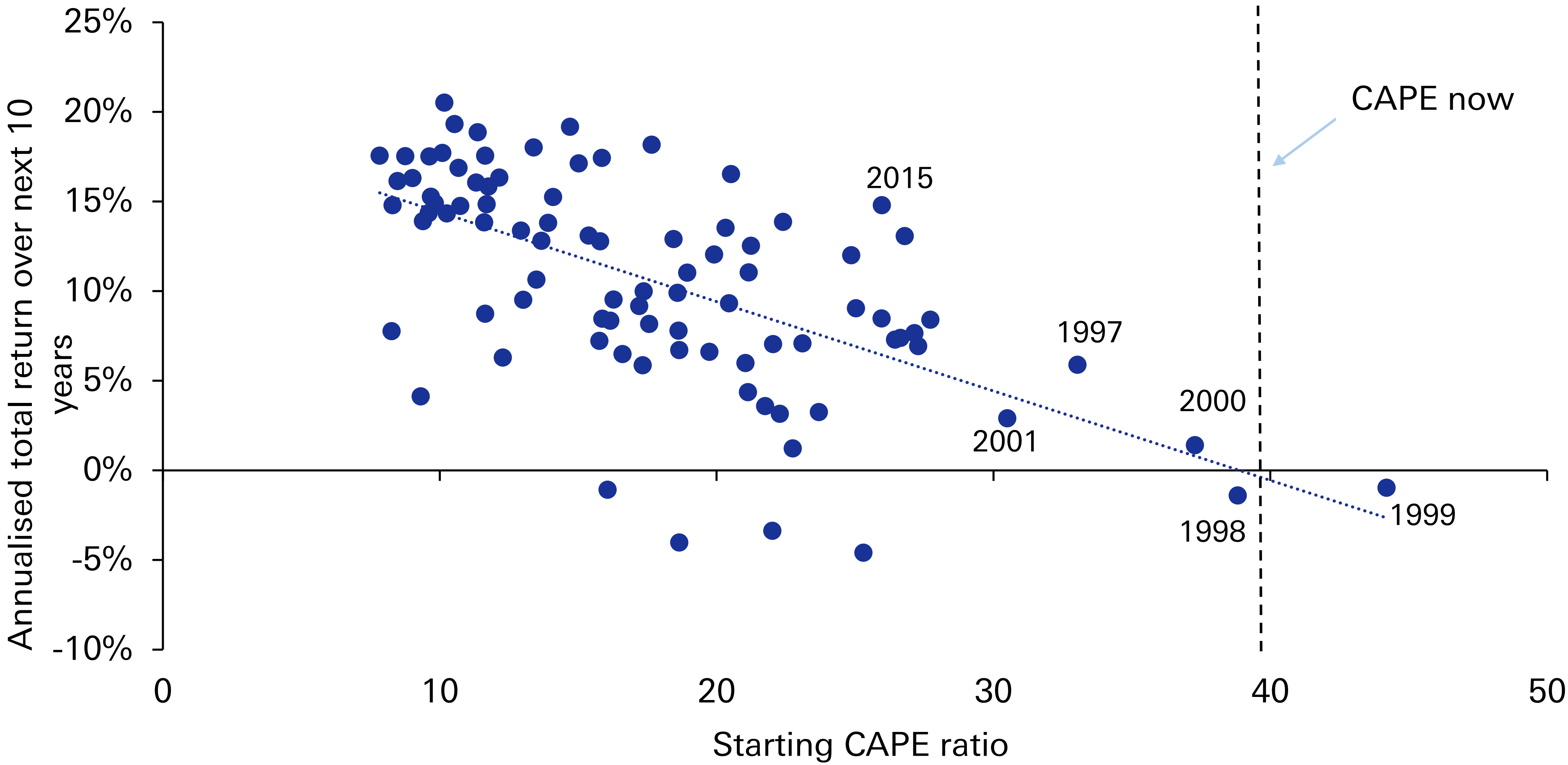
## S&P 500 Cyclically Adjusted Price Earnings Ratio




*Source: Robert Shiller, Deutsche Bank.*

When the CAPE ratio has been as high as the current starting point, subsequent returns have been very weak… however, there's a small sample size around the dot com bubble, and the subsequent decade included the GFC… As a minimum though starting valuations have correlated well to next 10-year returns…

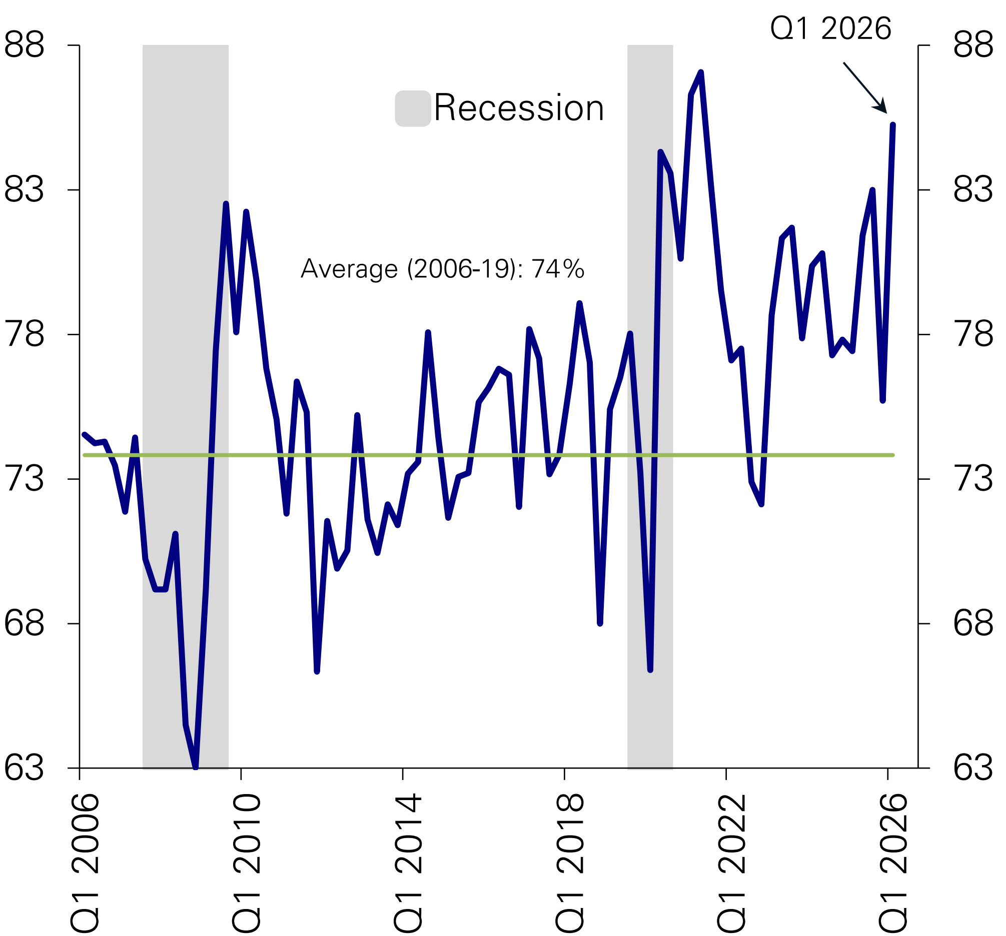
## CAPE Ratio since 1927 and annualised S&P 500 total return over the next 10 years



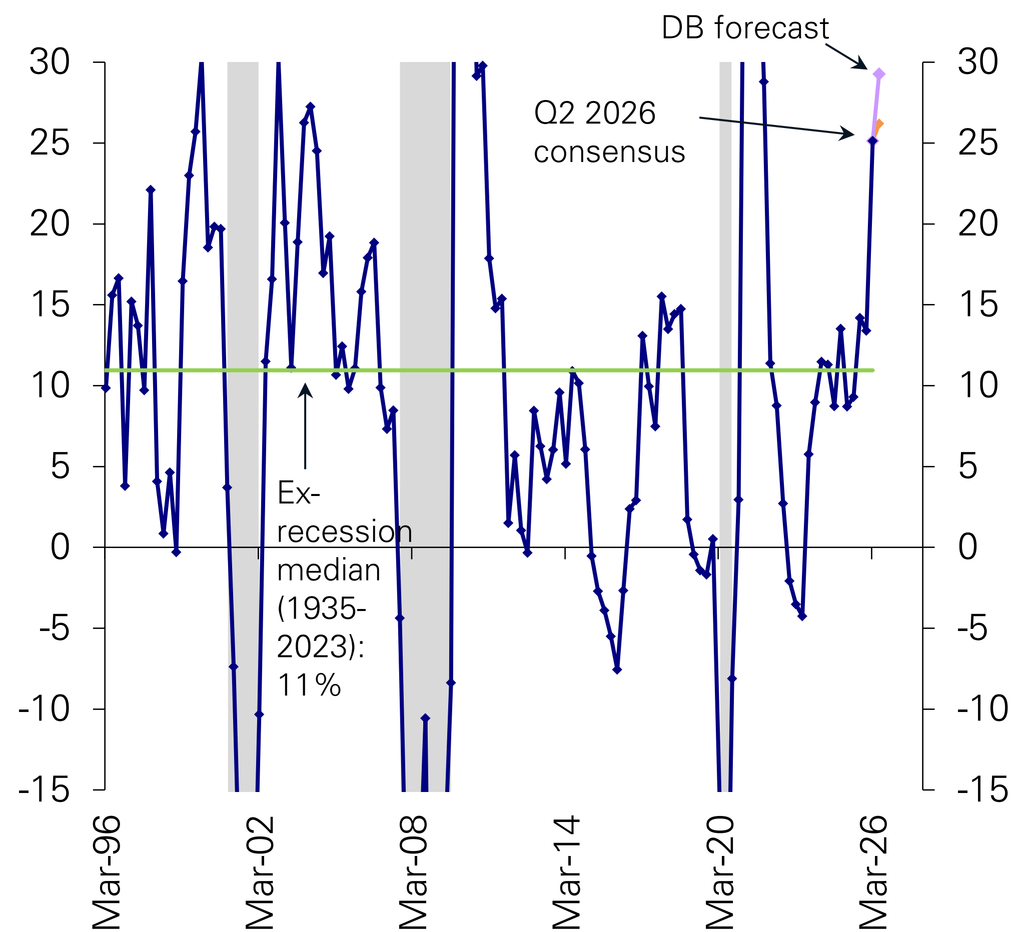

*Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank*

# The bull case would be a breakout in earnings. According to our equity analysts, Q1 was arguably the best non-recessionary bounce-back earnings seasons in around 30 years.

## Proportion of S&P 500 beating earnings estimate (%)




## S&P 500 quarterly earnings growth* (% yoy)

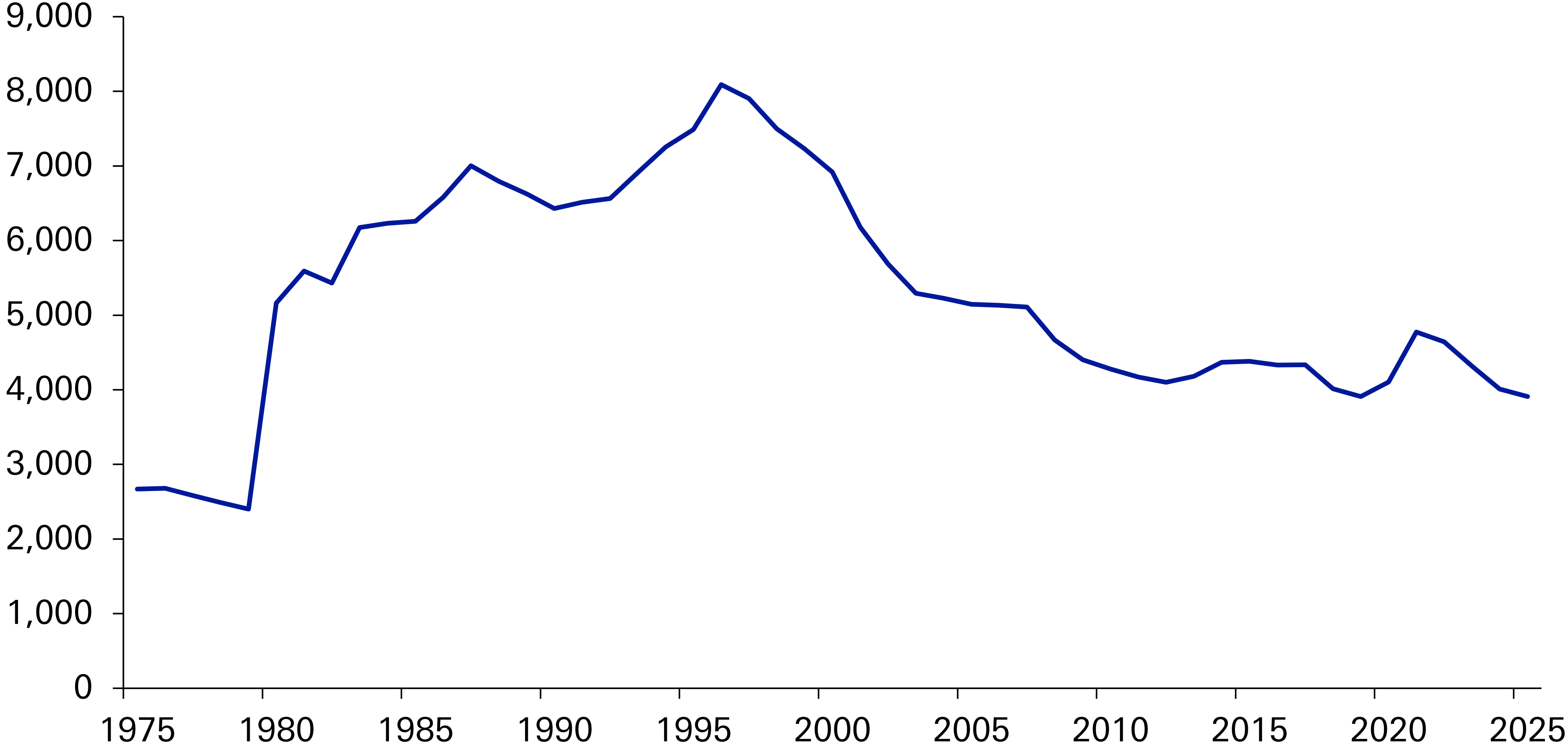



*Excluding 2018 tax cut

*Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut*

# This is a different equity market to the late 1990s. The number of listed companies is now the lowest since the early 1980s. Private markets have impacted this.

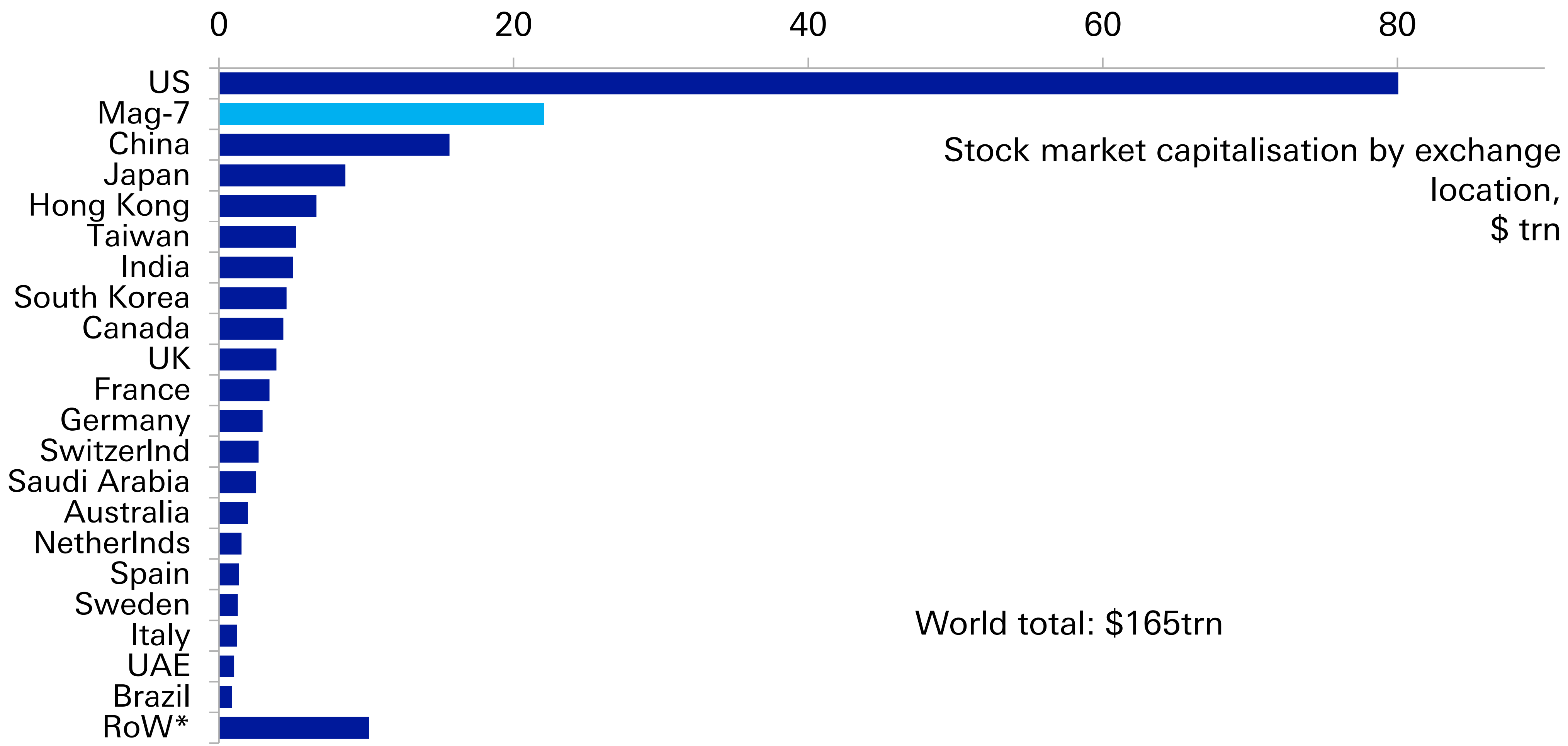
## Number of listed domestic companies in the US




*Source: World Bank, Deutsche Bank.*

# The US now accounts for almost half of global equity market capitalisation, despite representing only around 25% of global GDP and roughly 4.5% of the world's population.

## The US accounts for nearly half of the world's public stock market capitalisation




*Source: Bloomberg Finance LP, Deutsche Bank Research; Data as of 1st July 2026* Rest of World comprises of a further 62 country exchanges*

# Rest of the World vs US equities

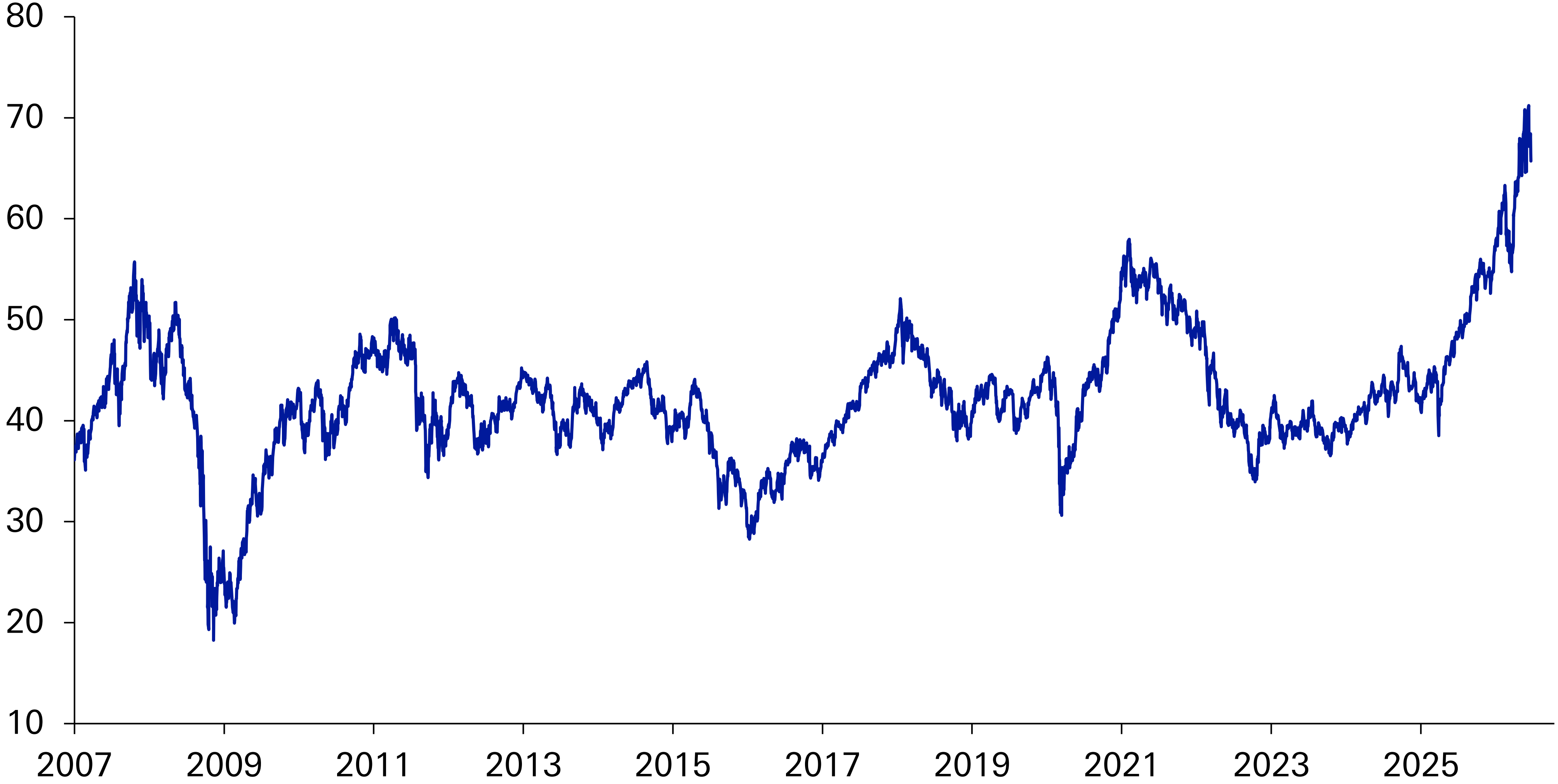
# The World Ex-US equity index was flat for 17yrs until 2025. Since then we've seen large gains…

## iShares MSCI ACWI ex U.S. ETF


*Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3*

# It's a very similar story for EM equities…

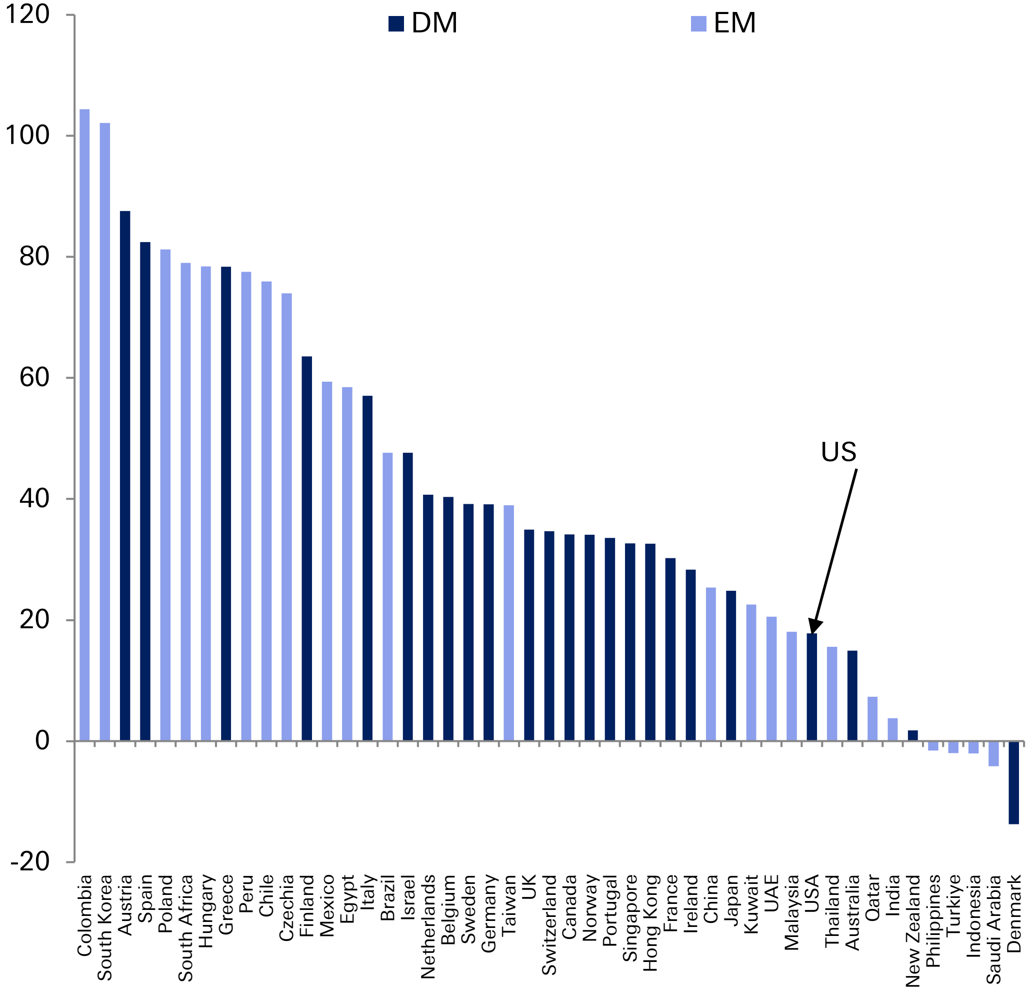
## iShares MSCI Emerging Markets ETF

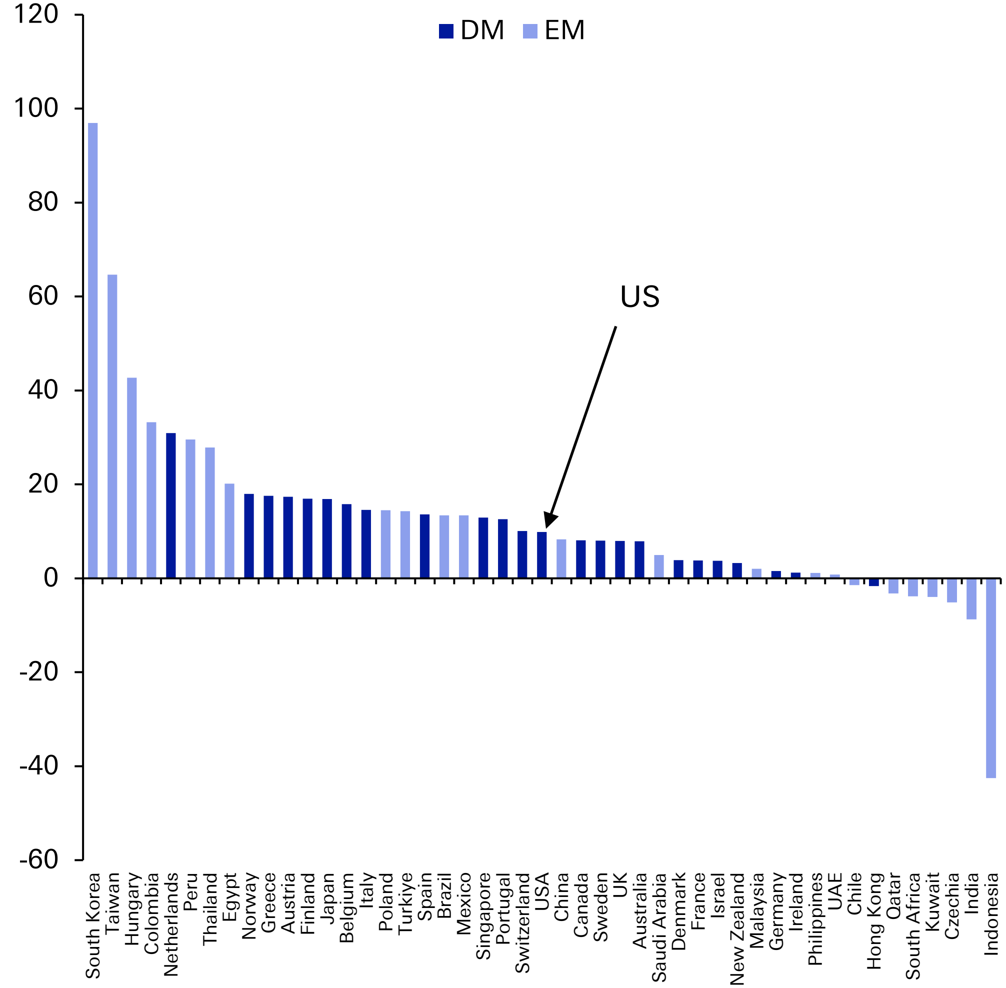



*Source: Bloomberg Finance LP, Deutsche Bank; Last update: July 3*

# Even if it feels US equities are surging, note that last year their returns were in the bottom quartile globally and this year they are around half-way in the global rankings. So good returns but not the global leader it was pre-2025

## Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

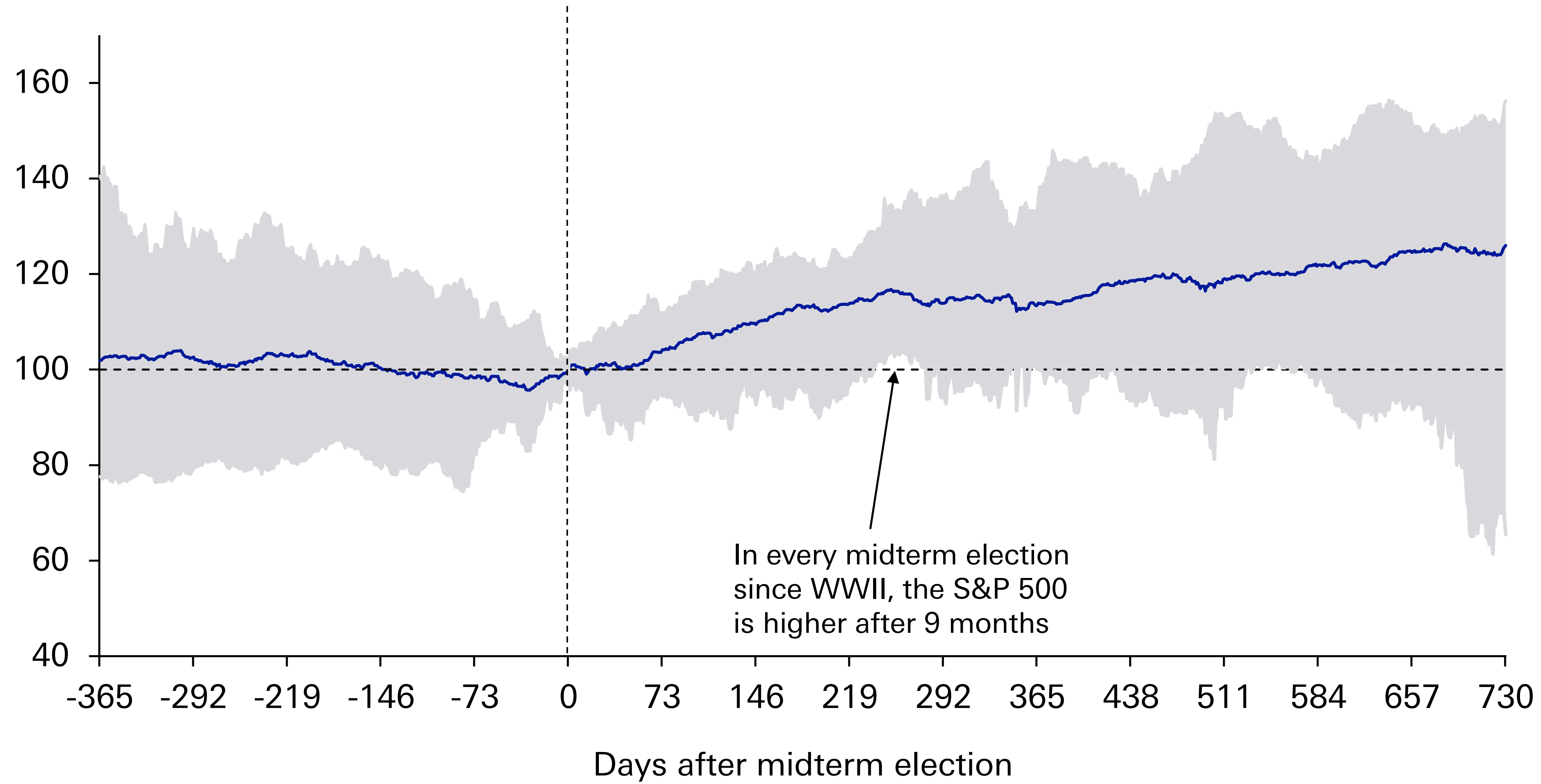



*Source: Bloomberg Finance LP, Deutsche Bank, Note: 2026 YTD is updated through July 2*

# There could be support for the US to come. The S&P 500 has a strong record after midterm elections… in the 20 midterm elections since WWII, the S&P 500 has risen after 9 months every single time…

## Average S&P 500 Performance after midterm elections since WWII (with range)

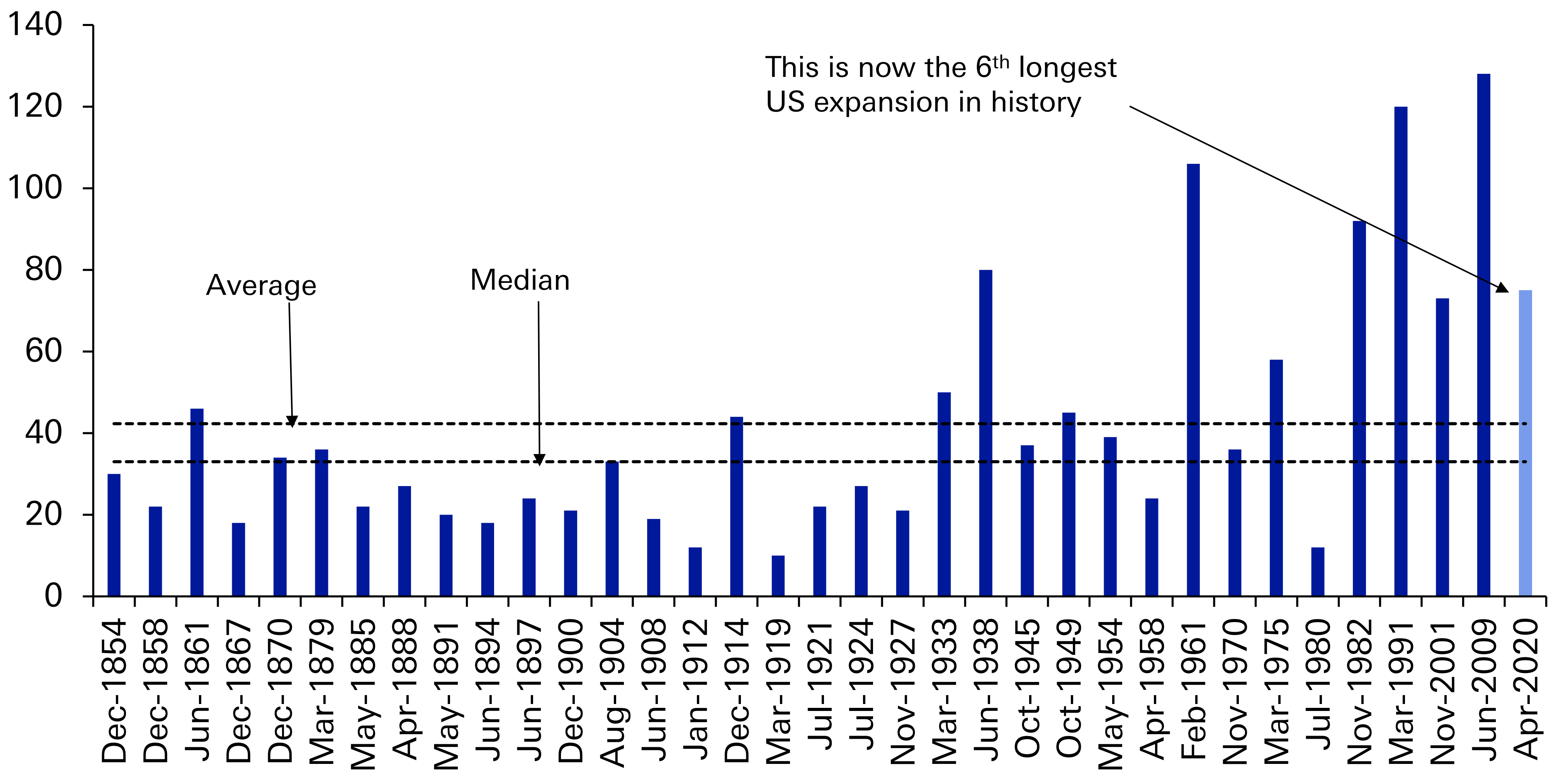



*Source: Bloomberg Finance LP, Deutsche Bank*

# The US economy needs rate hikes… but…

# All of a sudden this US cycle is the 6th longest in history. It will enter the top 5 if we avoid a 2026 recession

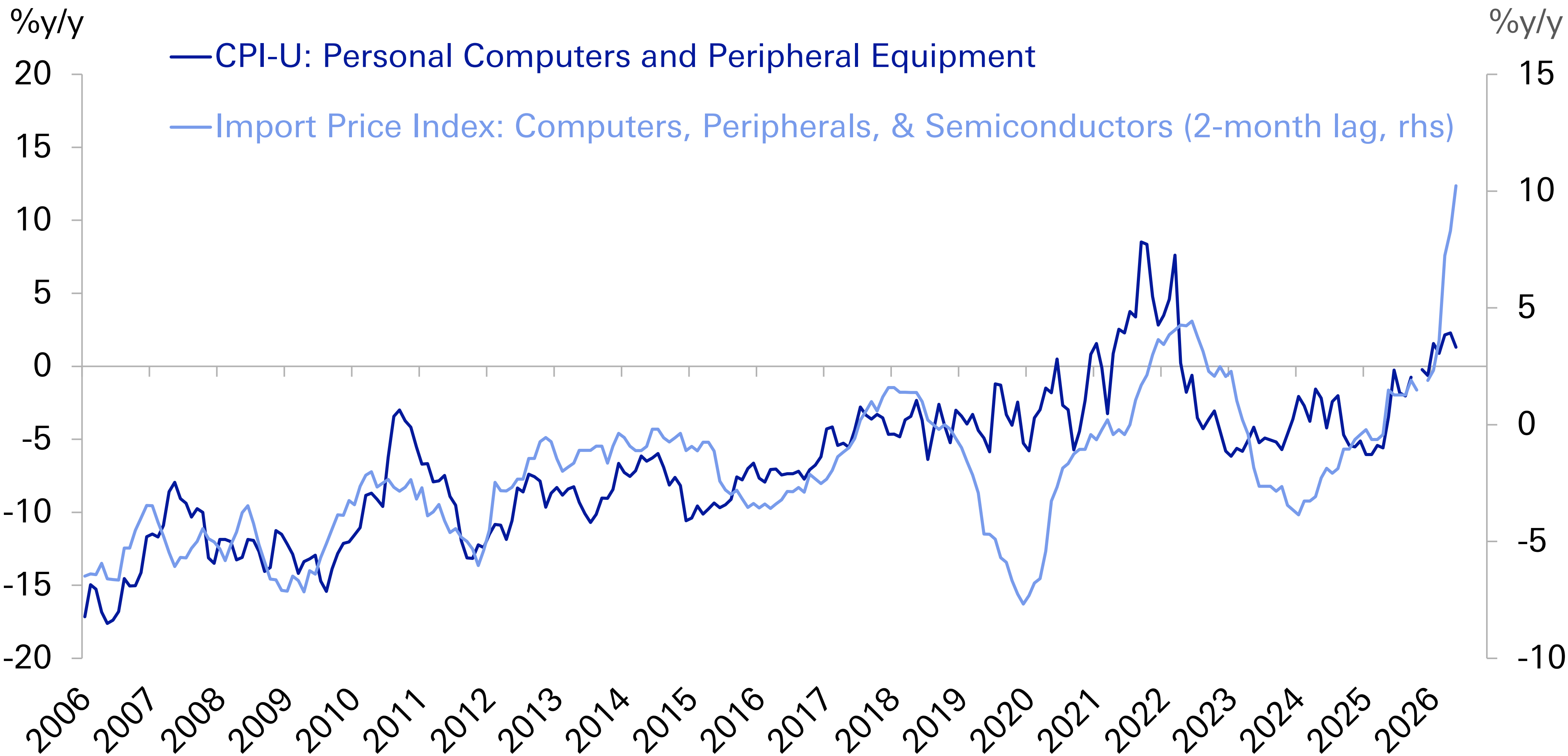
## US Business Cycle Expansion Length (Months)




*Source : NBER, Deutsche Bank*

# Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary… quite the opposite… part 1

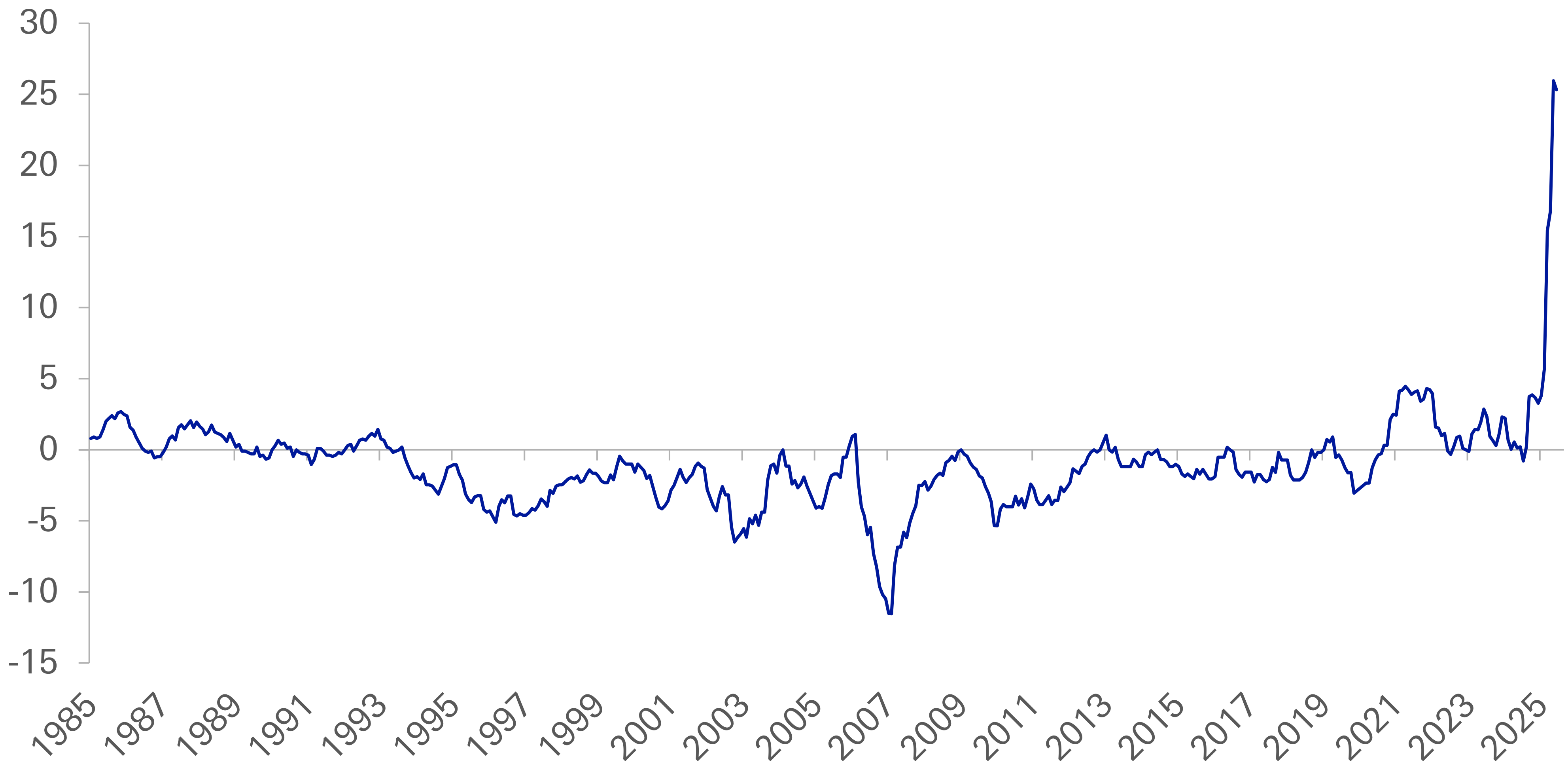
## AI is impacting inflation




*Source: BLS, BEA, Haver Analytics, Deutsche Bank*

# Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary… quite the opposite… part 2

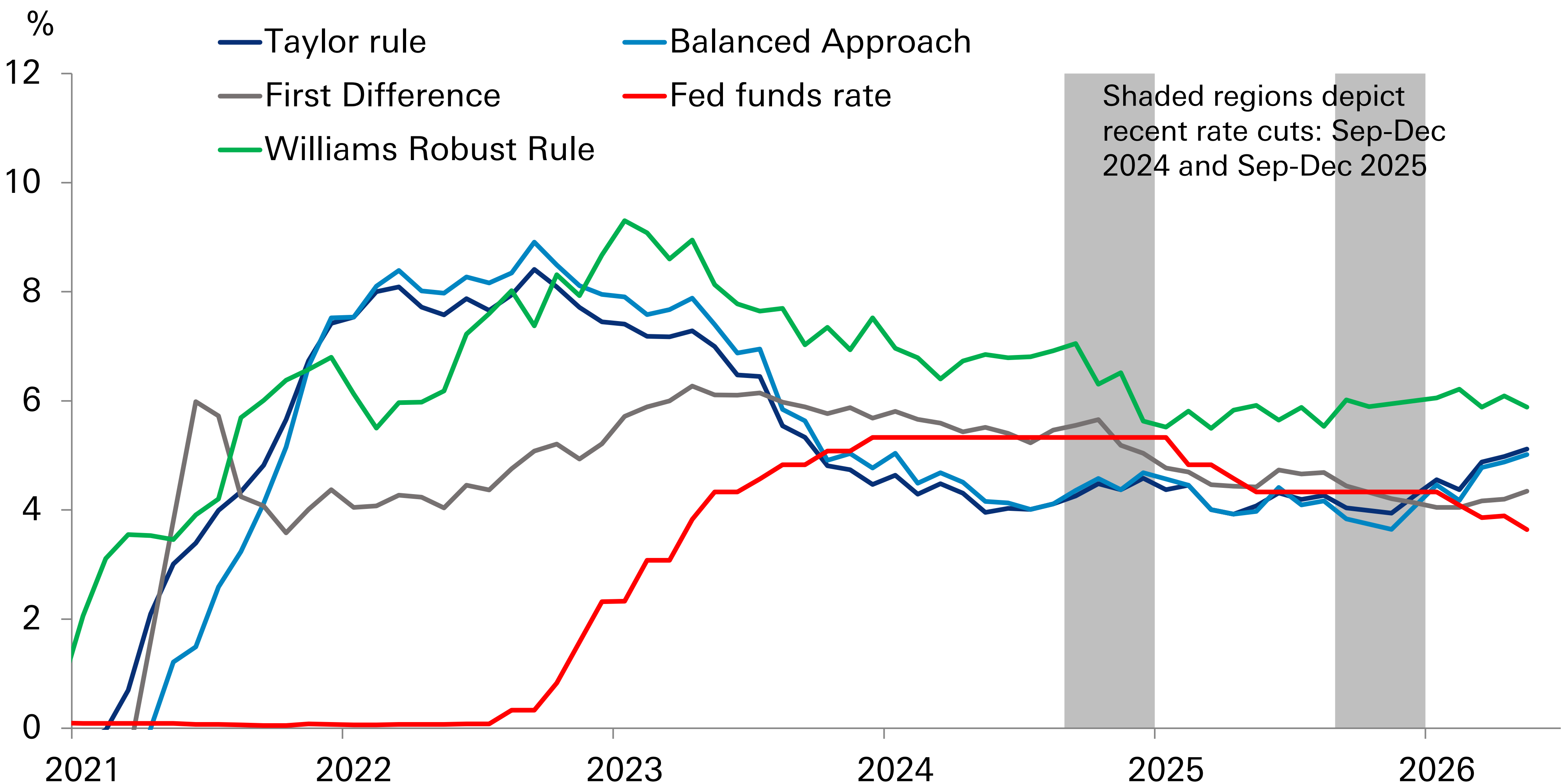
## PPI: Semiconductor & Other Electronic Component Mfg




*Source: Bloomberg Finance LP, Deutsche Bank*

# At the moment, the bigger risk in the US is overheating rather than weaker growth. DB believe that Fed Funds are too low under all reasonable policy rules…

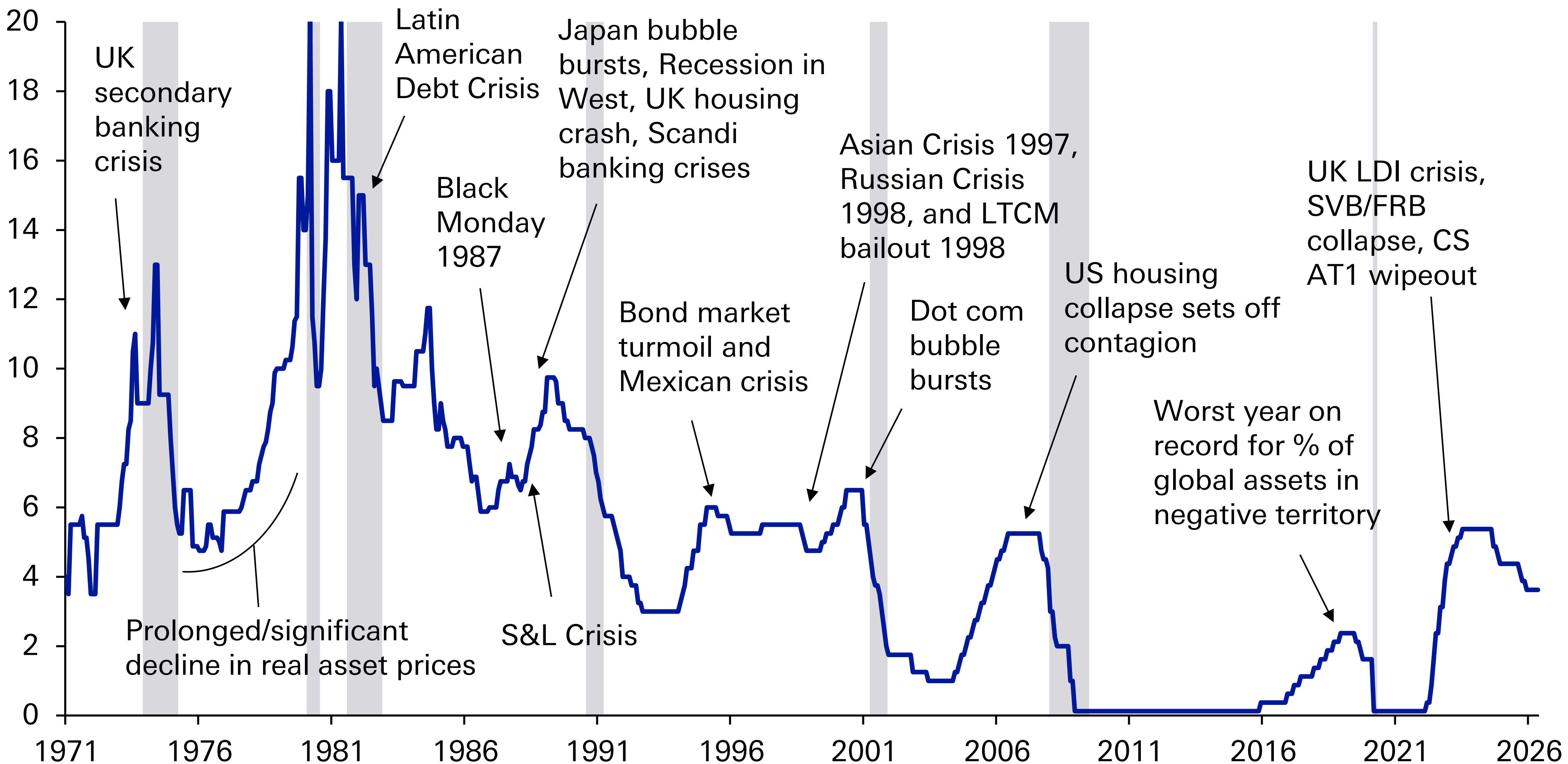
## Fed funds rate is below policy rule prescriptions after the last round of insurance cuts, even with Fed's r*estimate (included in this chart). It would be a larger gap under DB's r* estimate….




*Source: FRB, BLS, CBO, Haver Analytics, Deutsche Bank Research*

# If we do get rates hikes, note they often coincide with some sort of financial turmoil or the bursting of an asset bubble

## Federal Funds Rate (with recessions shaded) and crises annotated

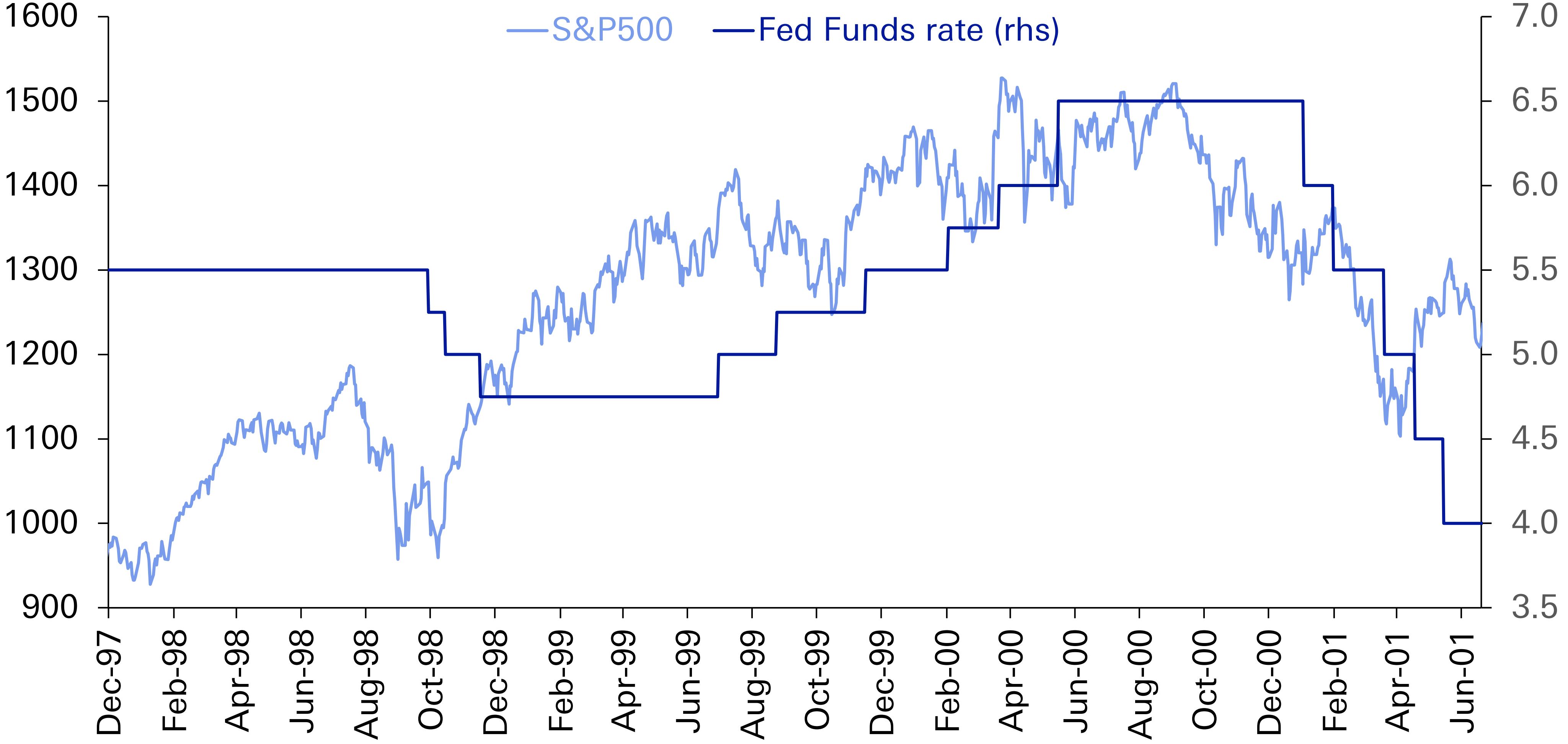



*Source: Bloomberg Finance LP, Deutsche Bank*


Deutsche Bank Research Institute

# After the insurance cuts of 1998, the Fed raised rates 6 times between May 1999 and June 2000.

## S&P 500 Index vs. Fed funds rate

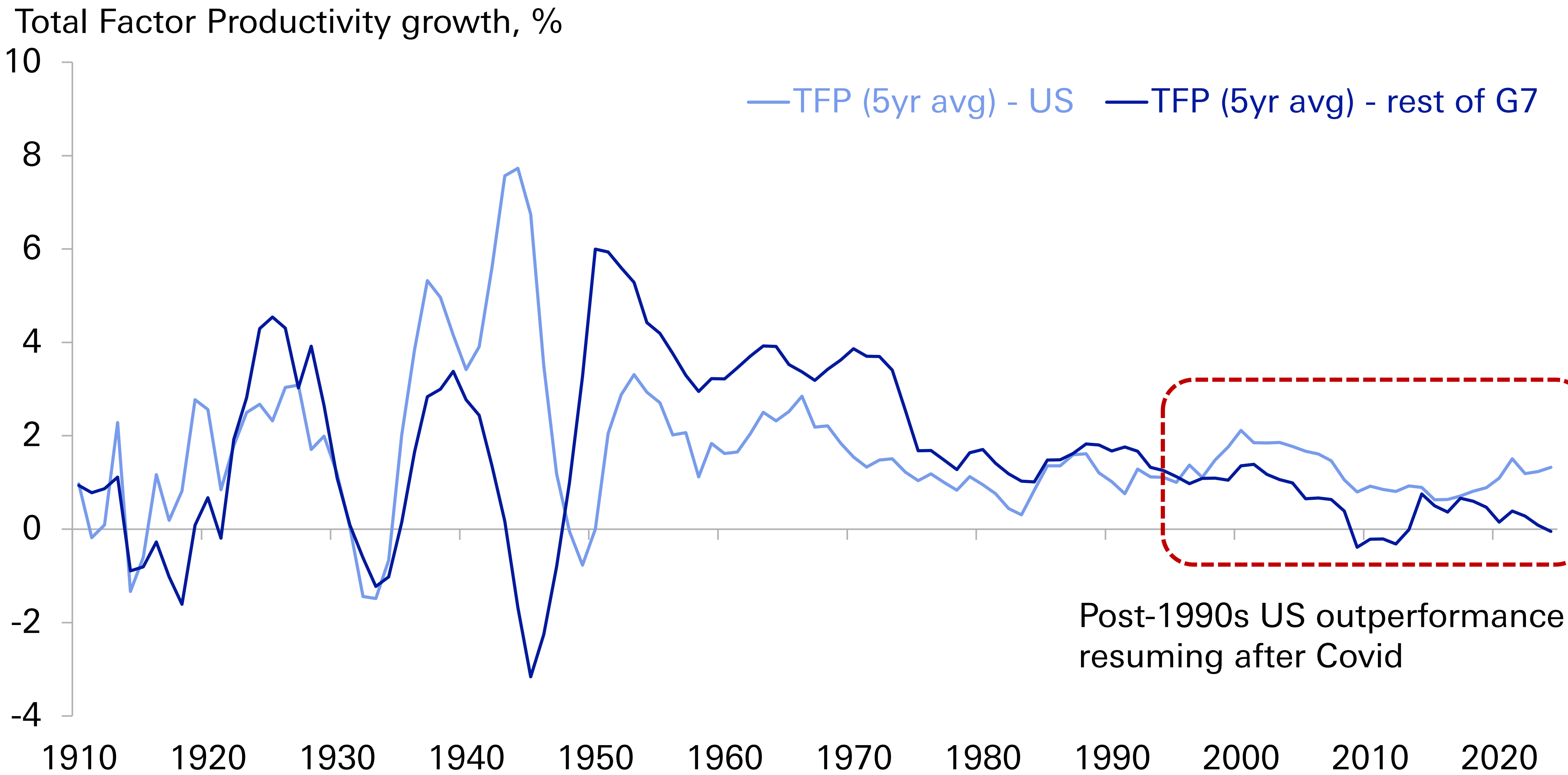



*Source: Bloomberg Finance LP, Deutsche Bank*

# Does an imbalanced US economy matter?

# The US has maintained a clear productivity advantage over its peers since the mid-1990s, with productivity growth rising above its post-1970s average in the years since Covid.

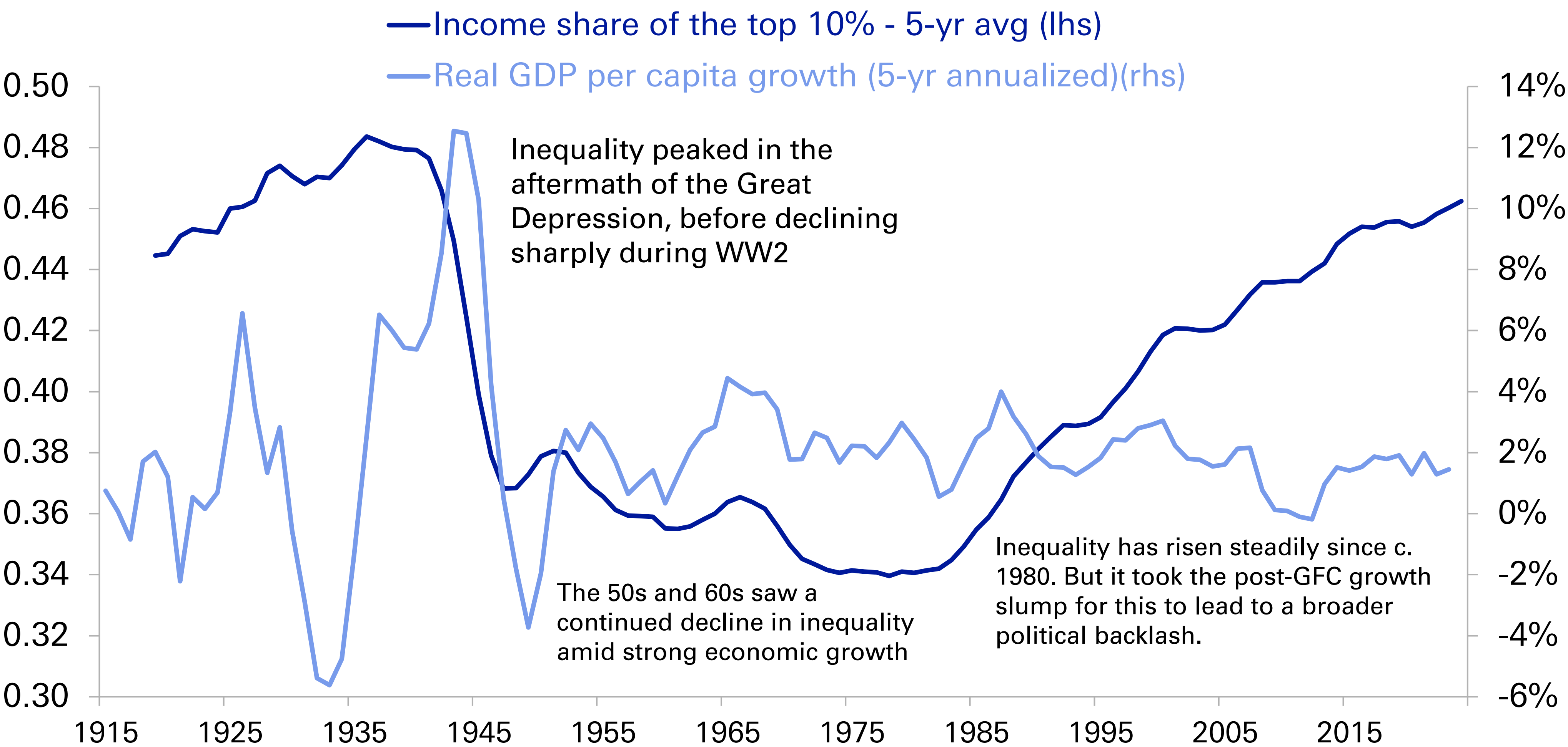
## The US has resumed its productivity outperformance in recent years




*Source: Deutsche Bank Research, www.longtermproductivity.com; Note : Rest of G7 is the simple average of Canada, France, Germany, Italy, Japan and the UK*

# But inequality is getting worse and poses social and political risk…

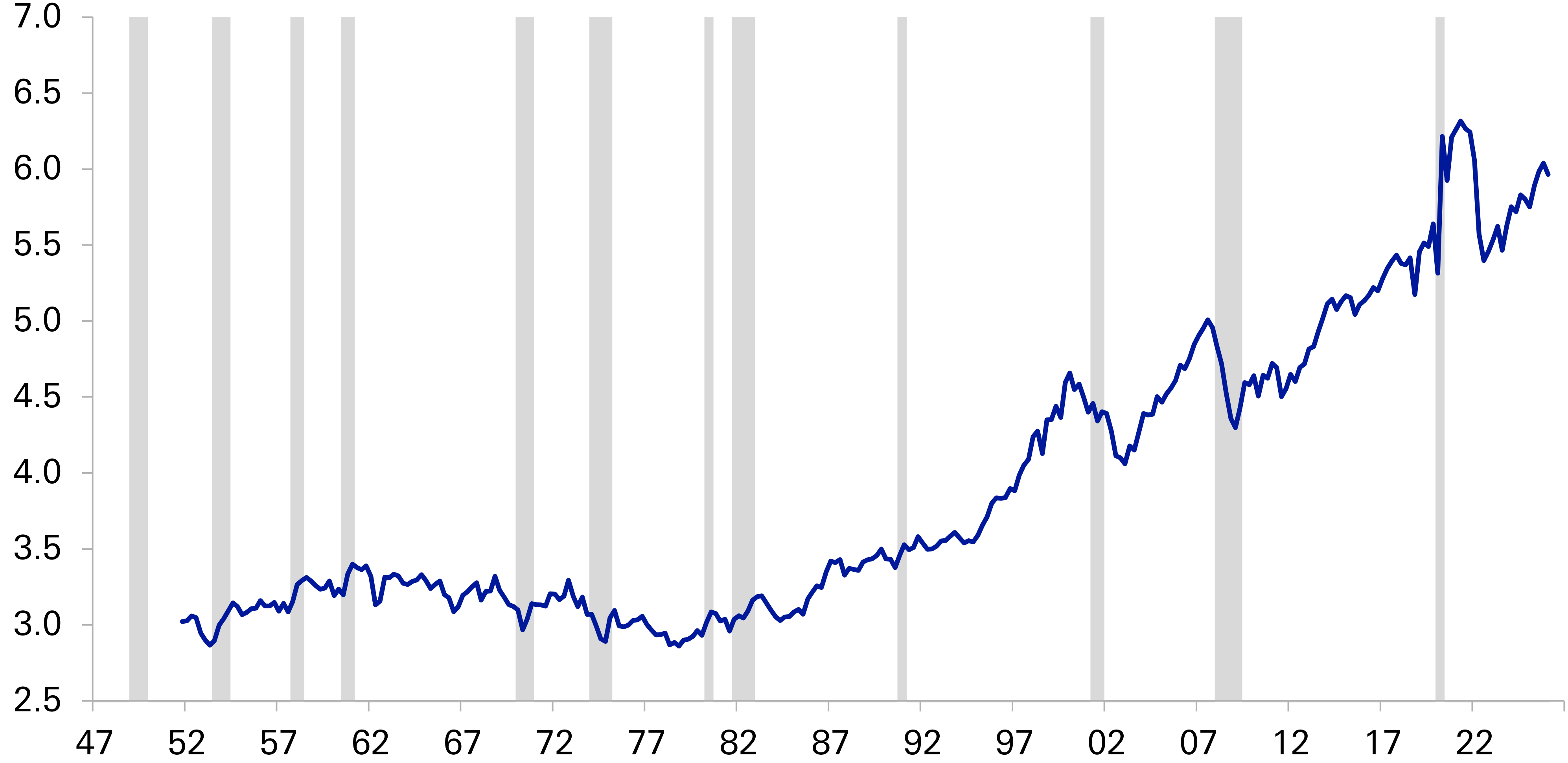
## The rise in inequality since 1980 added to the political challenges facing the US, especially after growth slowed post-GFC




*Source: Finaeon, World Inequality Report*

# US wealth to GDP is approaching the highs again. It dipped due to the bond market sell-off in 2022 but equities have helped it increase again…

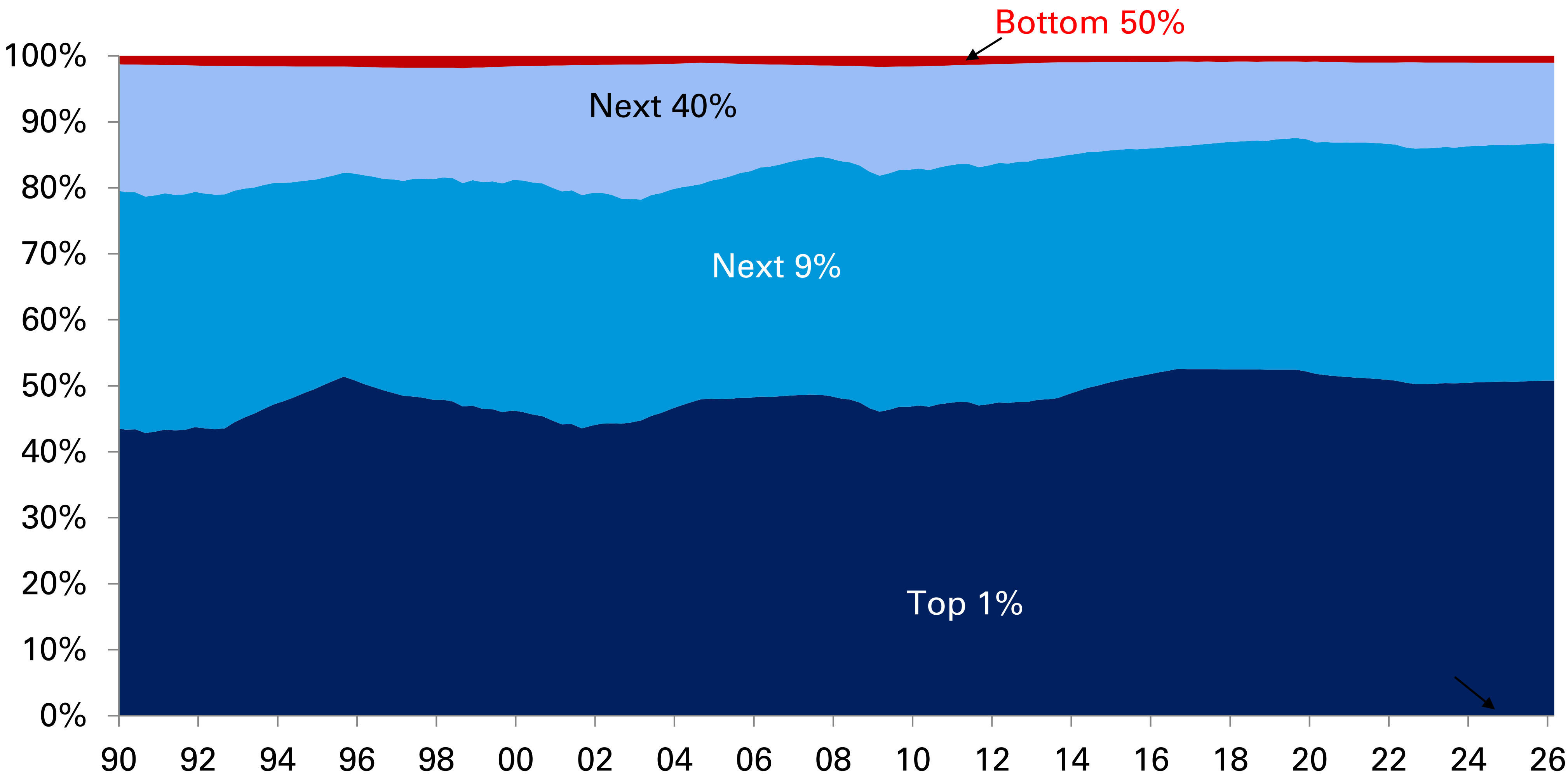
## US Private sector Financial assets to GDP ratio




*Source: FRB, Haver, Deutsche Bank*

# The bulk of US equity holdings are concentrated among the top 10% and especially the top 1%..

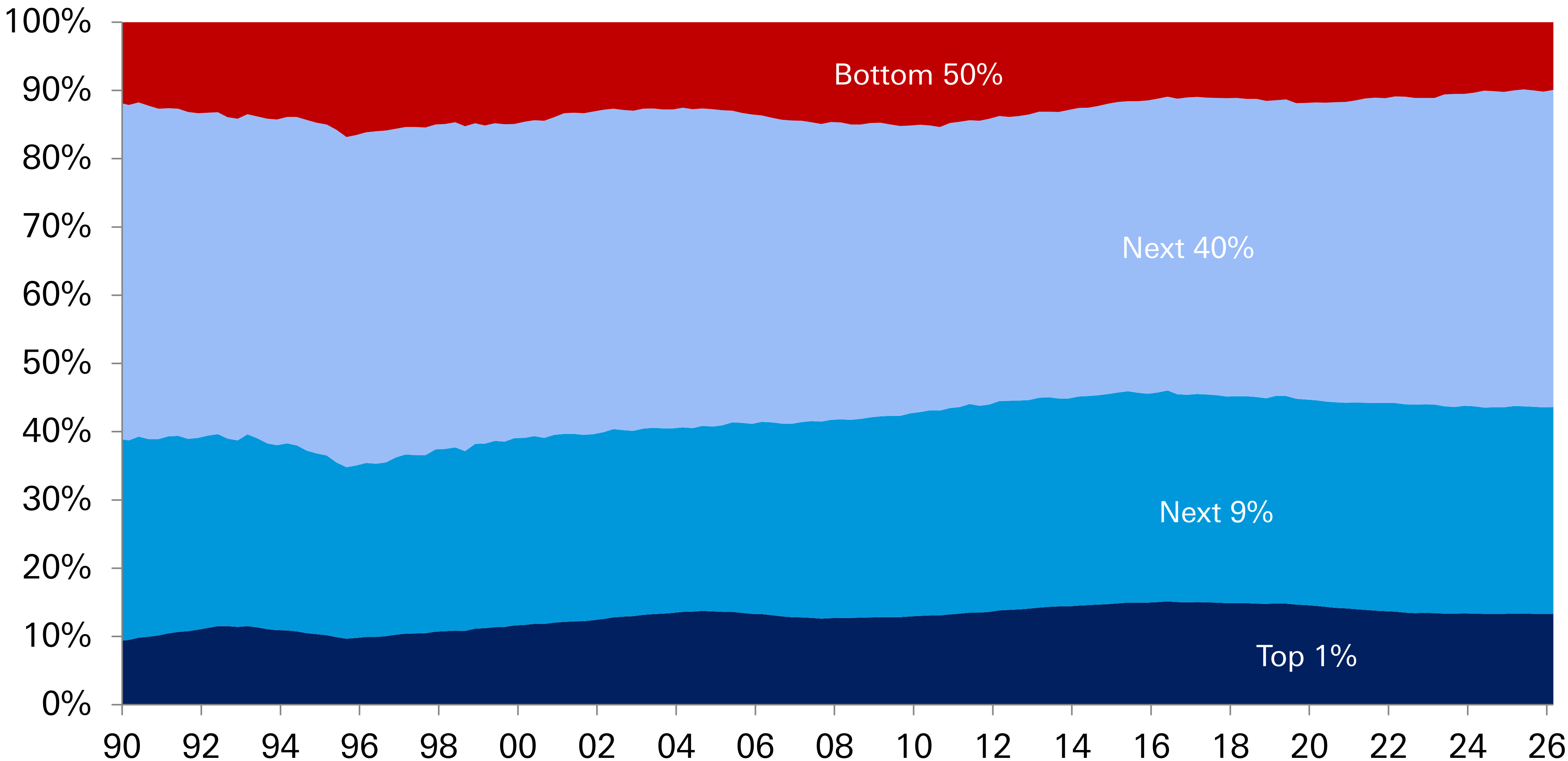
## Equities & Mutual Funds across wealth percentile groups




*Source: FRB, Haver, Deutsche Bank.*

# We can see a contrast with real estate even if there is still a divide. The majority is owned outside the top 10%.... Even if the bottom 50% share has declined in the last 30 years…

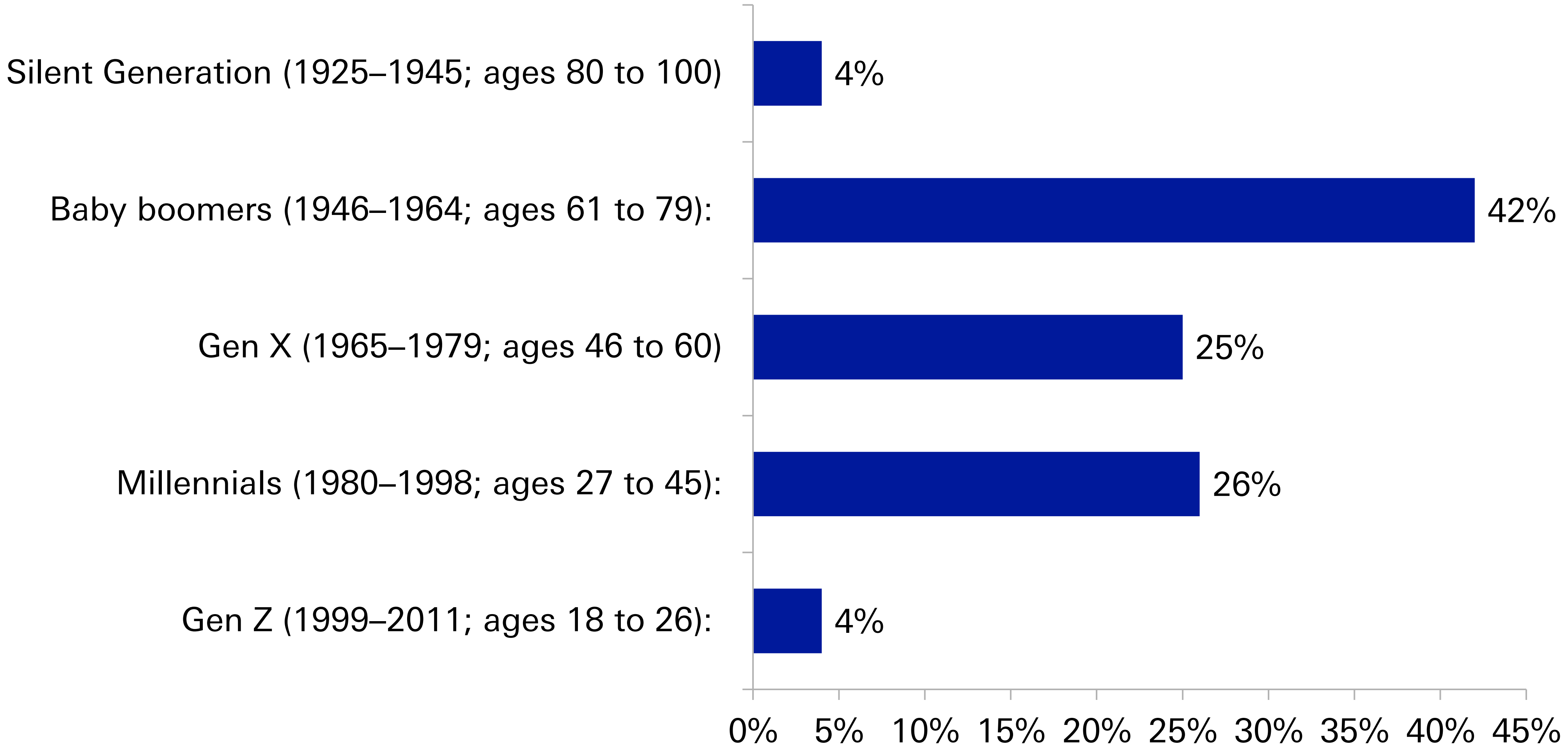
## Real estate assets across wealth percentile groups




*Source: FRB, Haver, Deutsche Bank.*

# As many US Octogenarians and older buy houses as Gen Zs. One and half times the number of baby boomers (aged 61-79) buy houses as Millennials (aged 27-45) who should be in their peak home buying years.

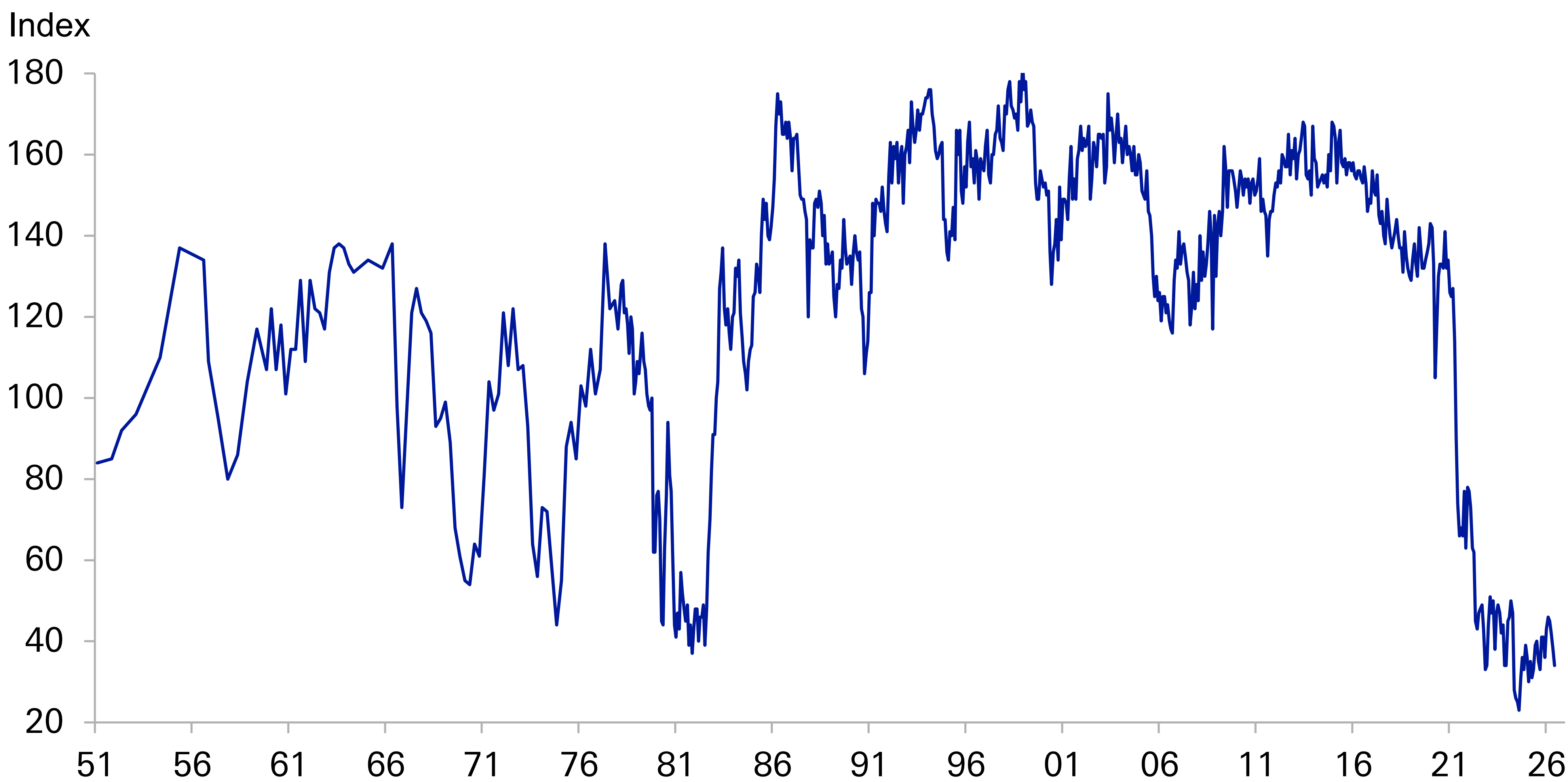
## Age distribution of Home buyers by Generation, 2025




*Source: 2026 NAR Home Buyers and Sellers Generational Trends , Deutsche Bank*

# Consumers don't see this as a great time to be buying a house and haven't since mortgage rates soared in 2022. Prices aren't falling which is preventing a rebalancing…

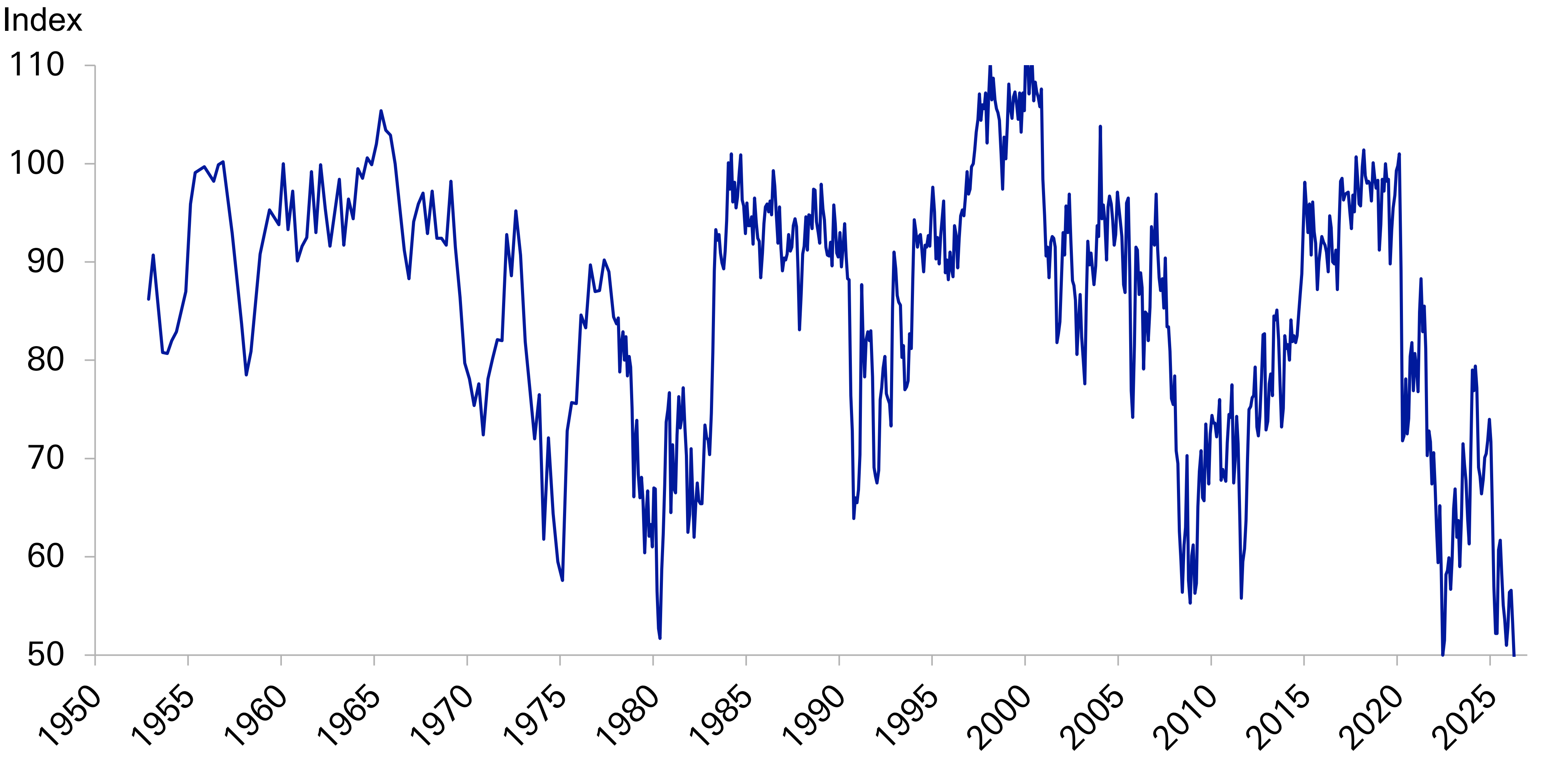
## Current Conditions for Buying Houses (Index Score)




*Source: UMICH, Haver Analytics, Deutsche Bank*

# US consumers generally don't seem to be too happy with the state of the economy, contrasting with the strong GDP numbers…

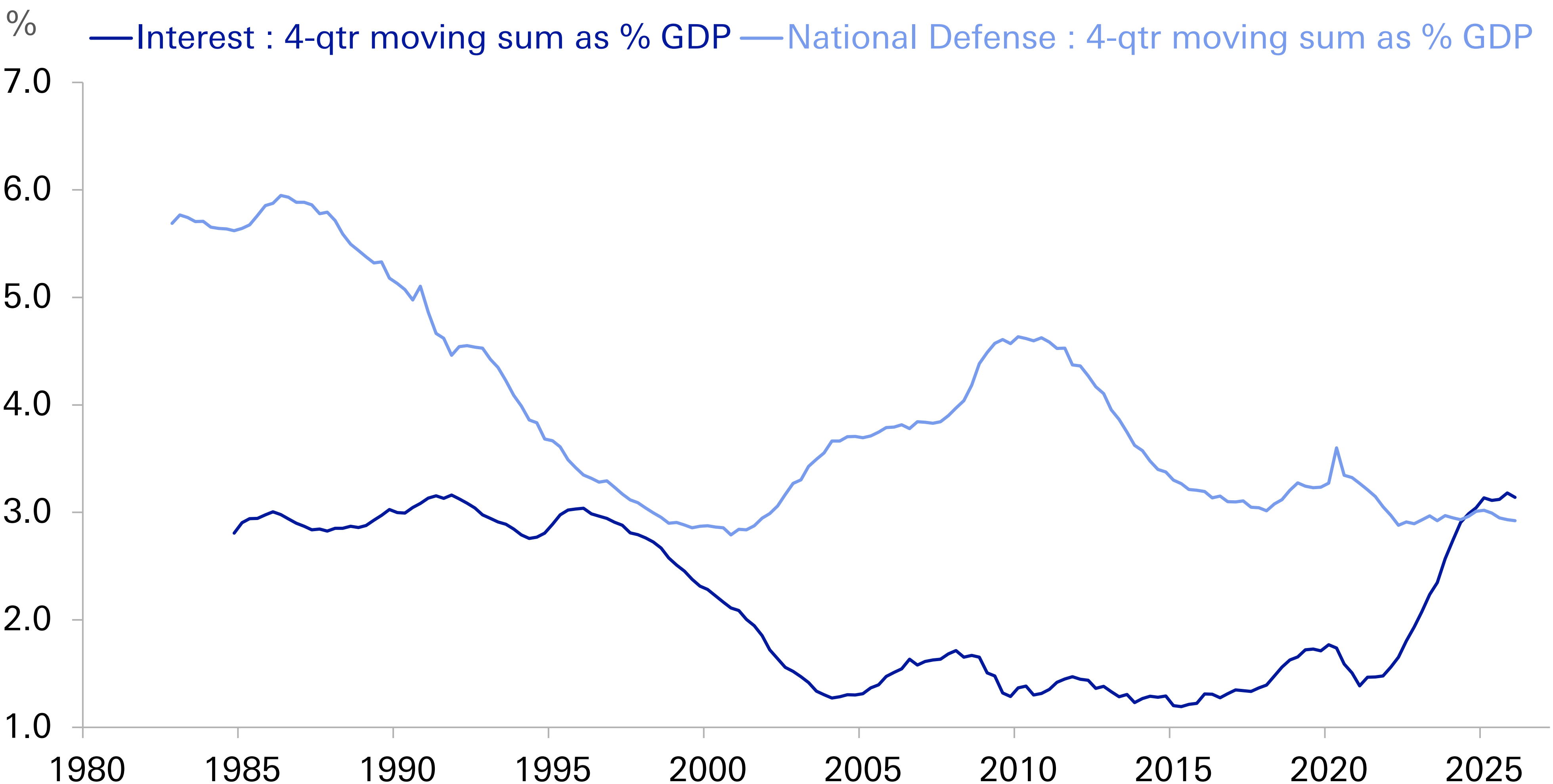
## University of Michigan: Consumer Sentiment (NSA, Q1-66=100)




*Source: University of Michigan, Haver, Deutsche Bank*

Renewed US leadership relative to its peers has also been accompanied by record peacetime fiscal deficits. Interest payments on government debt now exceed defense spending at a time when the geopolitical backdrop remains highly uncertain.

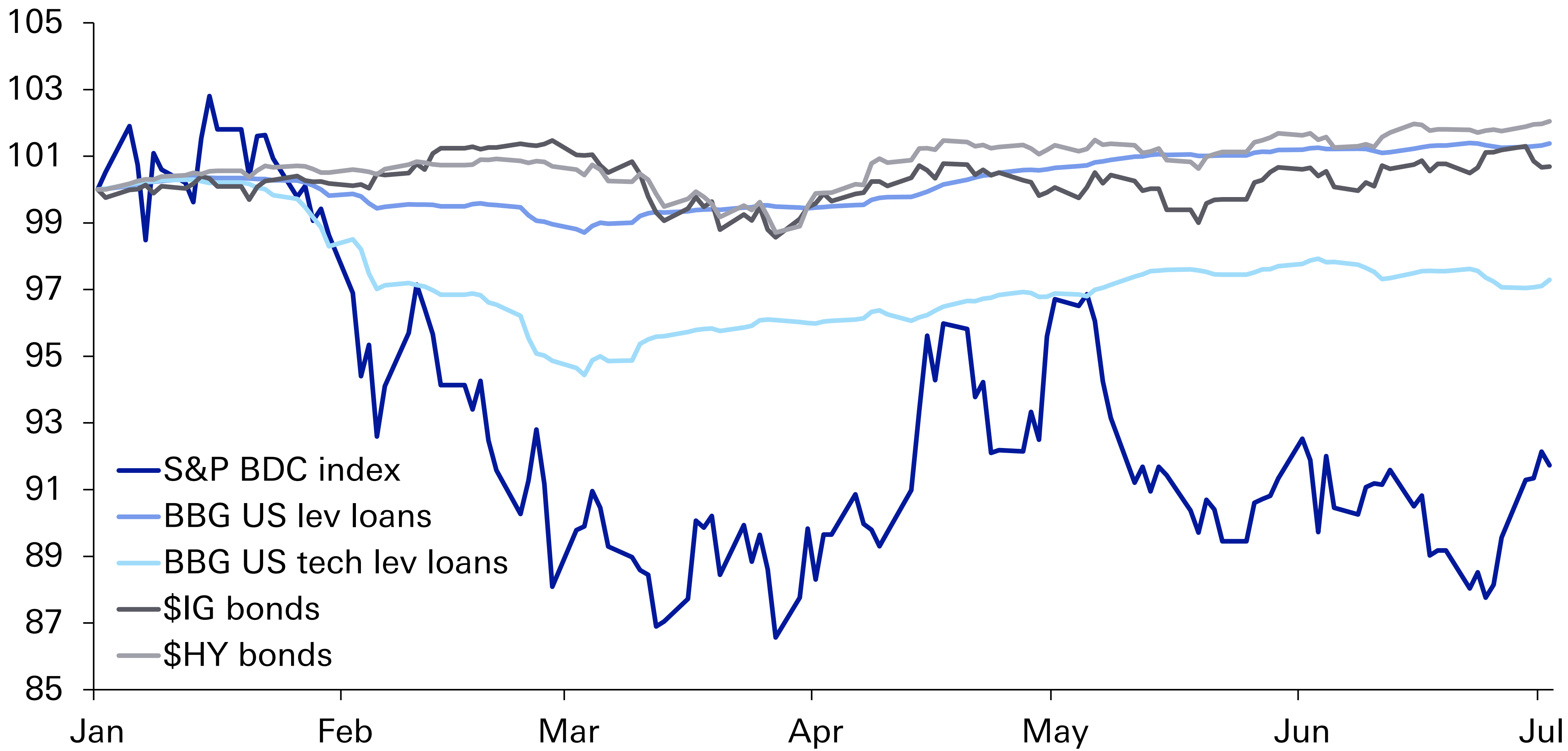
## The Crossover: Rising Federal Interest Payments have Overtaken Defense Spending




*Source: CBO, OMB, Haver Analytics, Deutsche Bank Research*

# Credit has had a good year but software and associated sectors/indices are suffering even if they've stabilised since March/April…

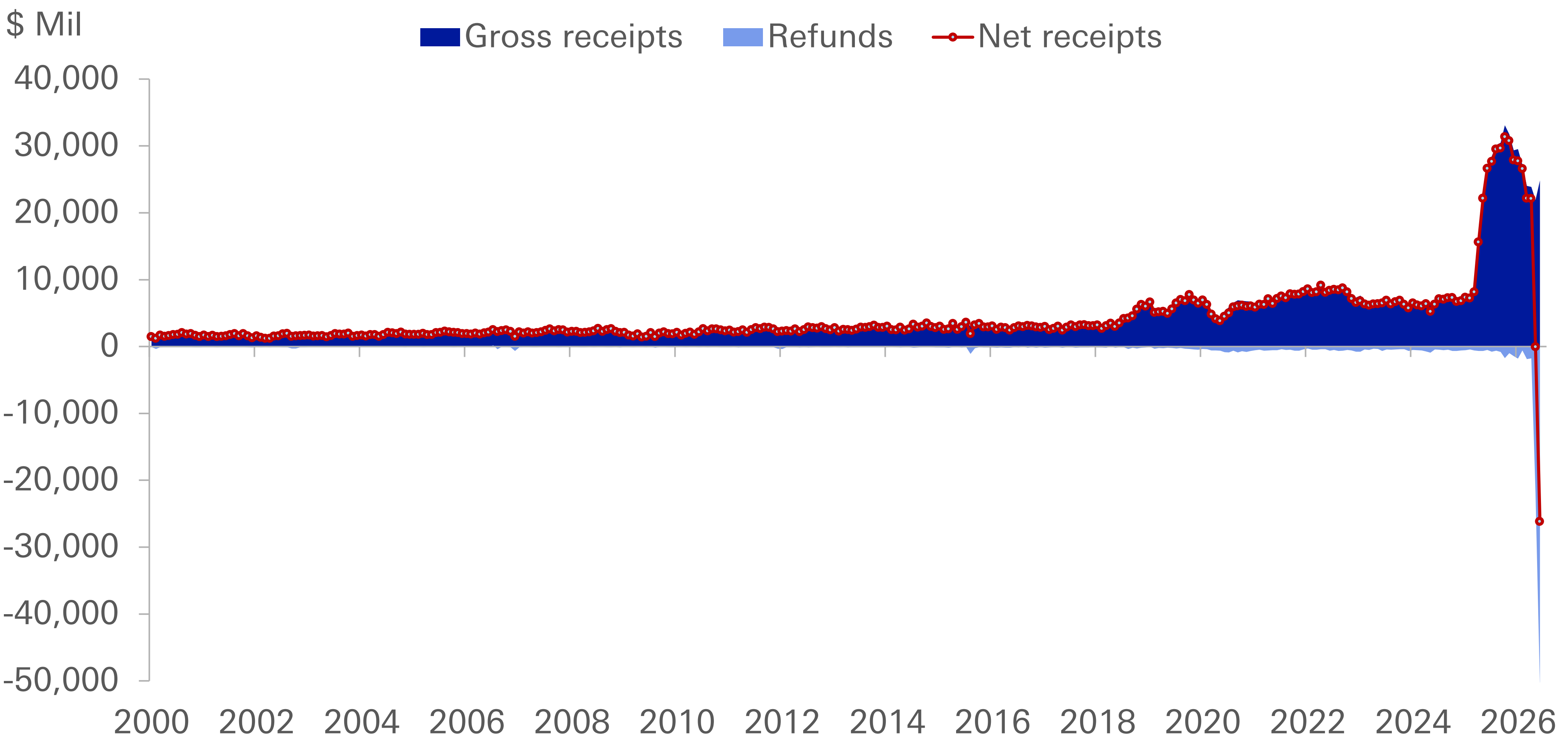
## Credit indices YTD total return performance




*Source: Bloomberg Finance LP, Deutsche Bank.*

# Tariff refunds are giving back some of the US fiscal gains of recent months. New tariffs will likely be implemented to offset but the graph is a striking reflection of the post Liberation Day world.

## US Government Custom duties

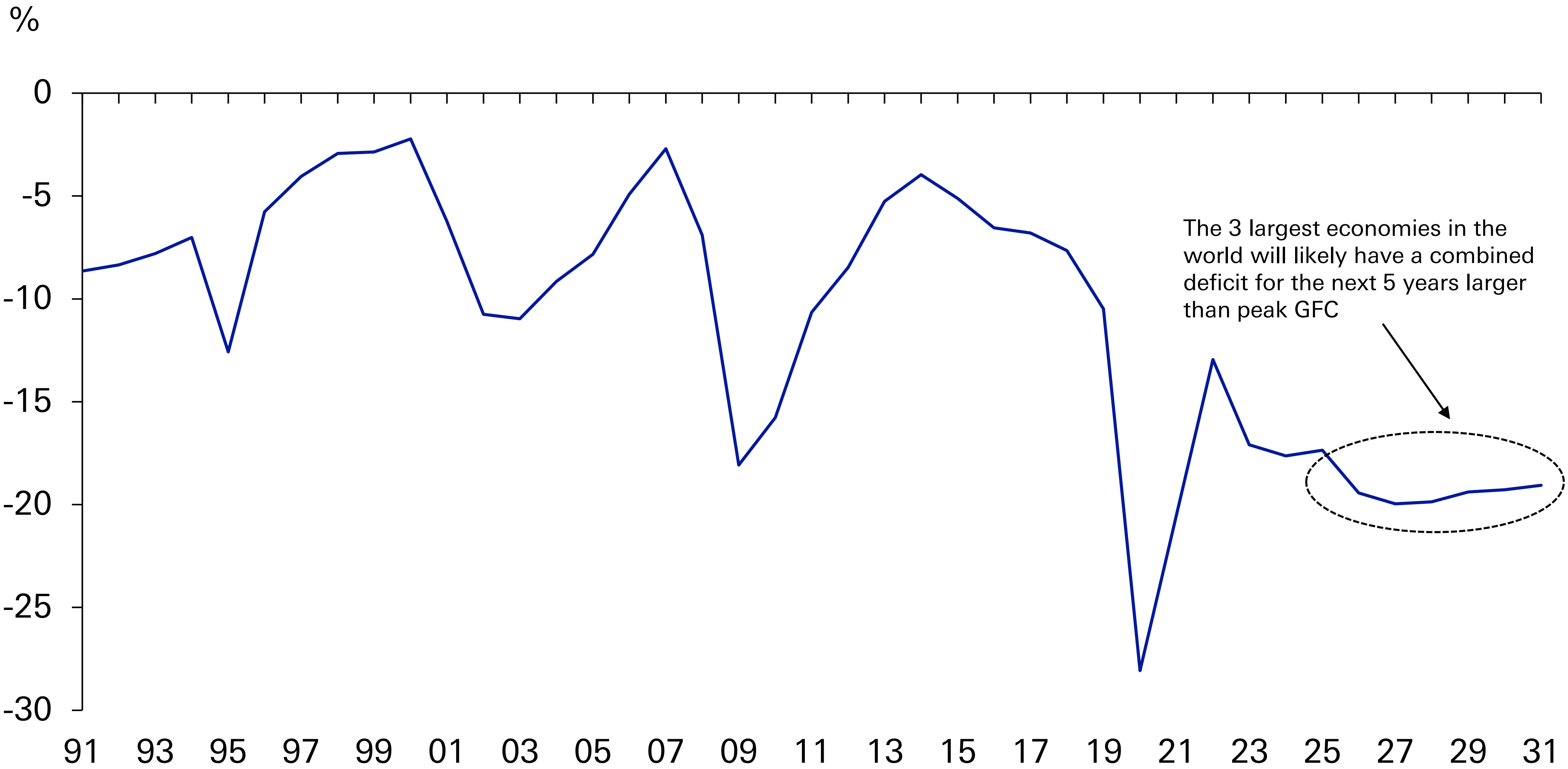



*Source: US Treasury, Deutsche Bank*

# Fiscal spending is high around the world…

# The combined fiscal deficits of the three largest economies in the world (US, China and Germany) is set to be higher every year out to 2031 than at the worst point of the GFC. And don't forget the 4th largest, Japan has a new PM committed to more fiscal…

## Big Three: Combined Fiscal Deficits as % GDP of US, China and Germany

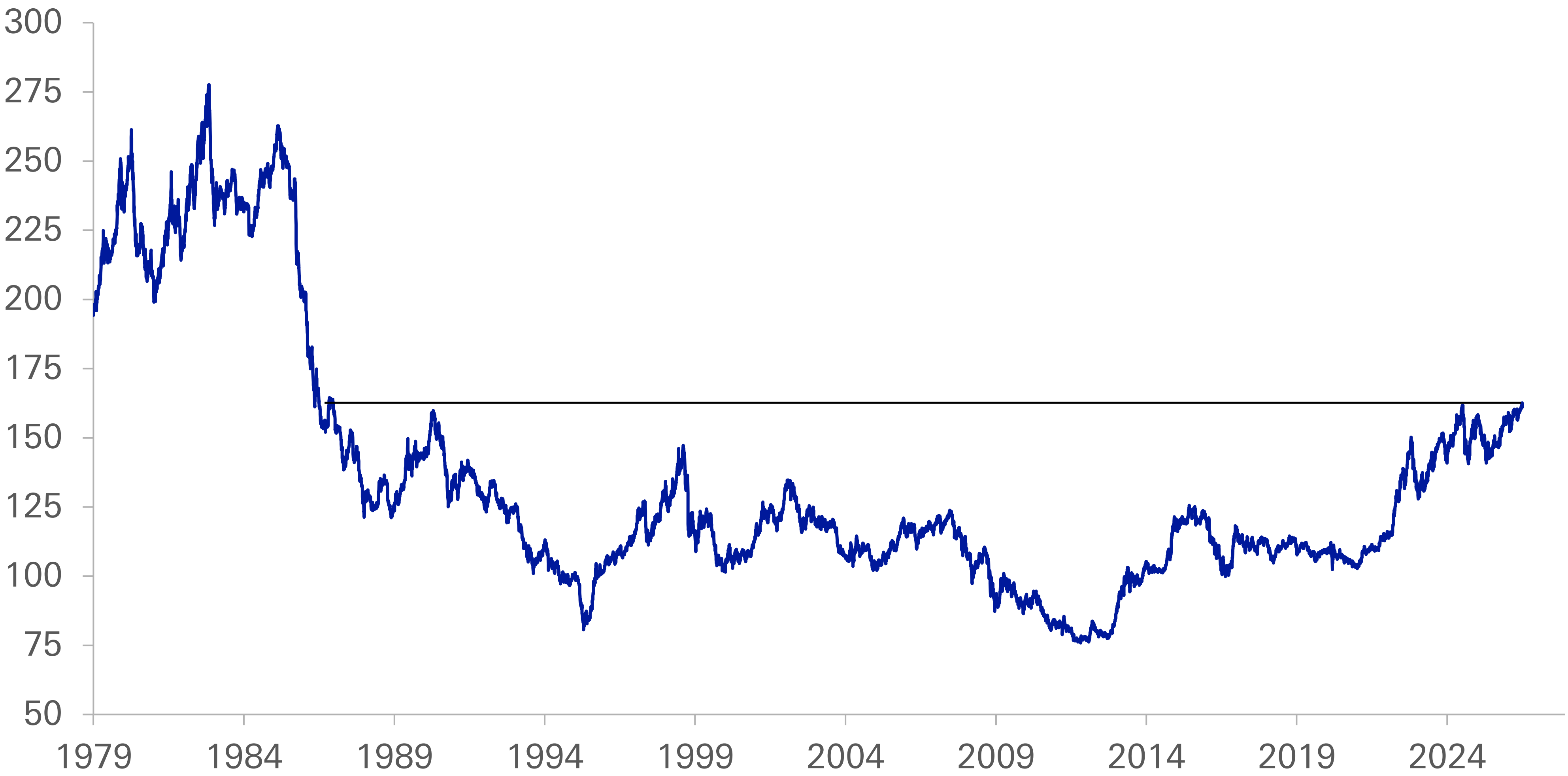



*Source: IMF, Haver, Deutsche Bank*

# Japan is worth a watch..

# Talking of Japan, the Yen is now at 40-year lows…

## USDJPY Spot Exchange Rate - Price of 1 USD in JPY




*Source: Bloomberg Finance, Deutsche Bank; Last update: July 3*

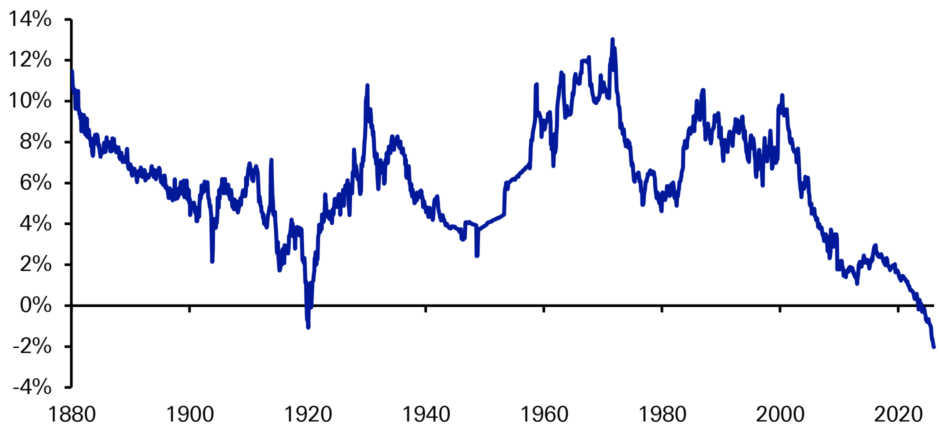
# 10-year JGB yields are hovering near the highest levels since 1997, having recently reached those highs.

## JGB 10 yr yields

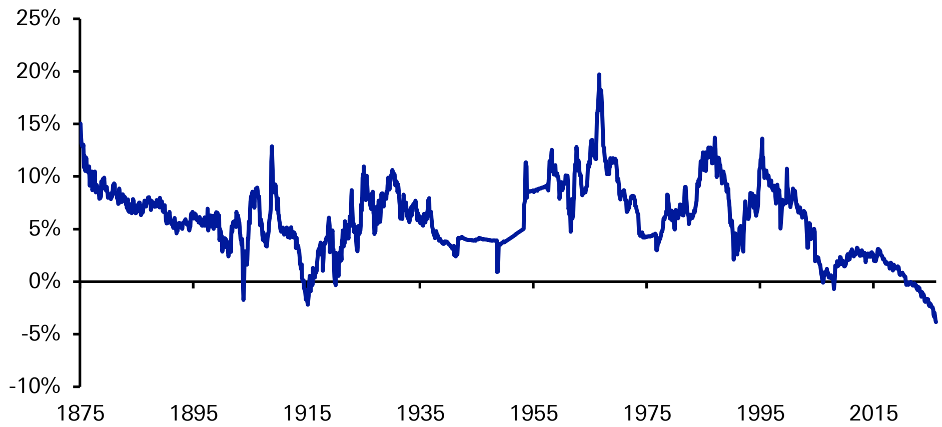

*Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3*

# 10yr JGBs have seen negative returns over a 5yr and 10yr horizon, in both nominal and real terms… In nominal terms it's the worst ever performance..

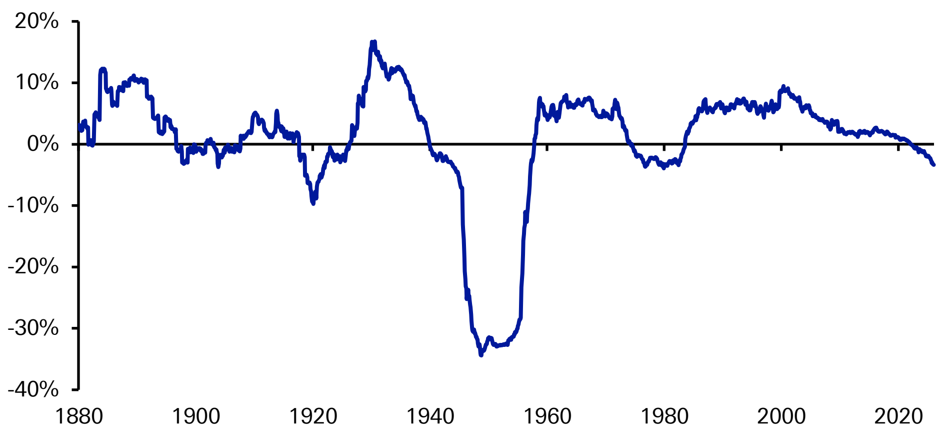
## 10yr Rolling Nominal Return (Annualised)



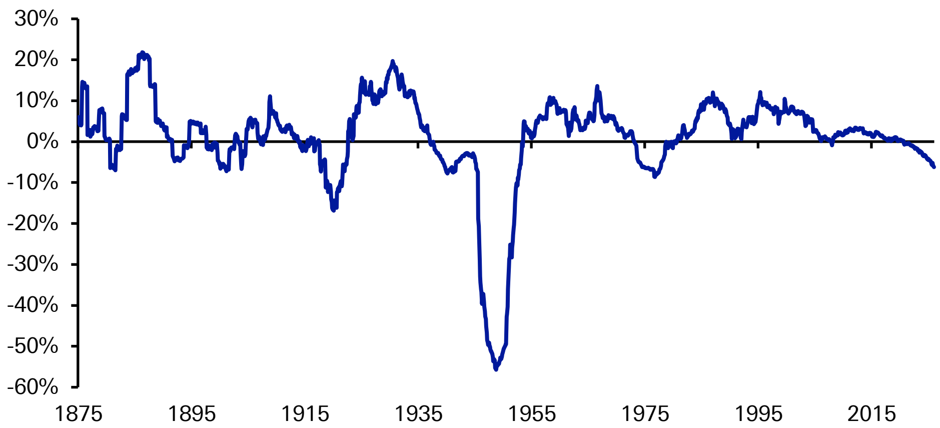

## 5yr Rolling Nominal Return (Annualised)




## 10yr Rolling Real Return (Annualised)




## 5yr Rolling Real Return (Annualised)

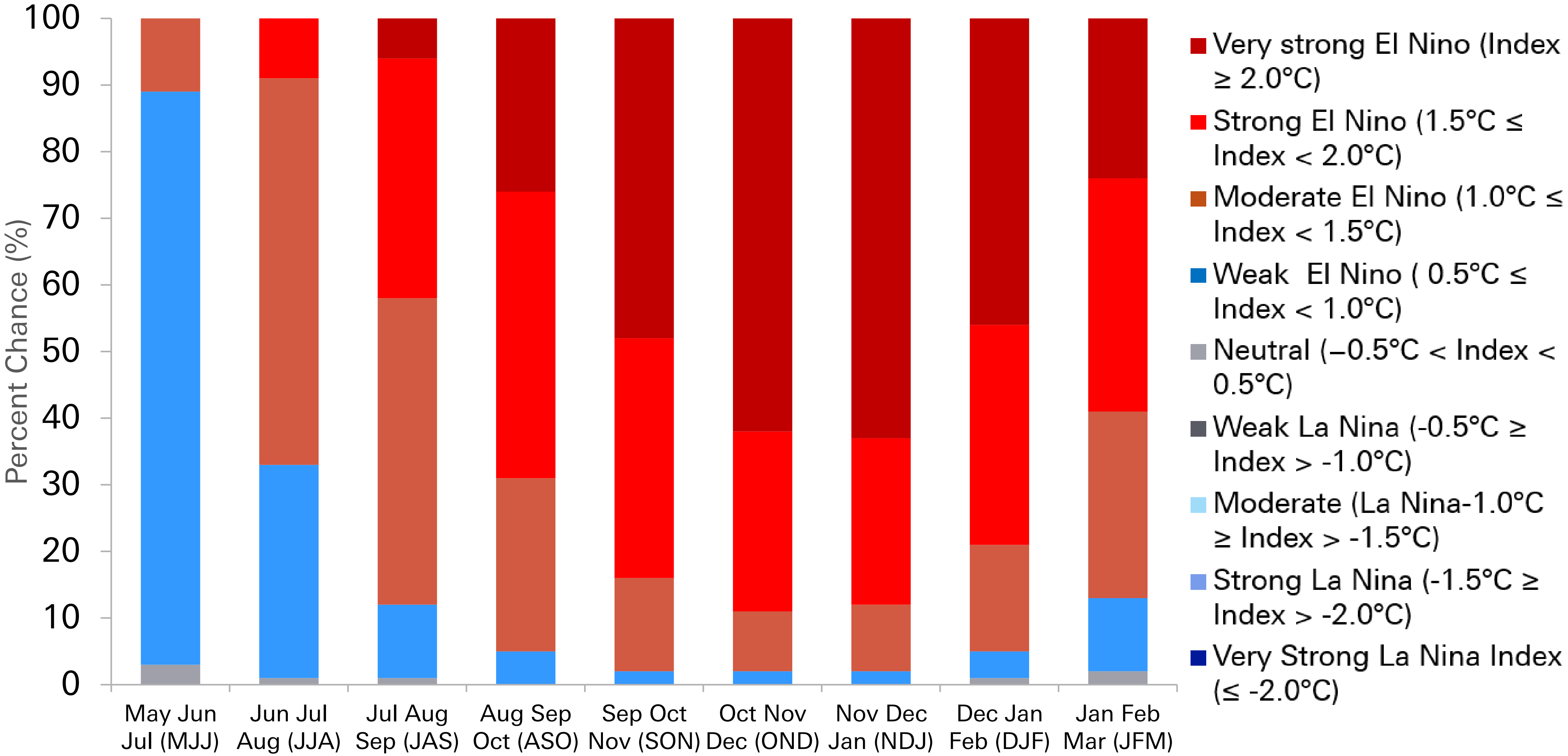



*Source: Finaeon, Deutsche Bank*

# Random slides to end…

# Strong/very strong El Nino probabilities are very high towards the end of this year. Darkest red indicates the highest heat probabilities.

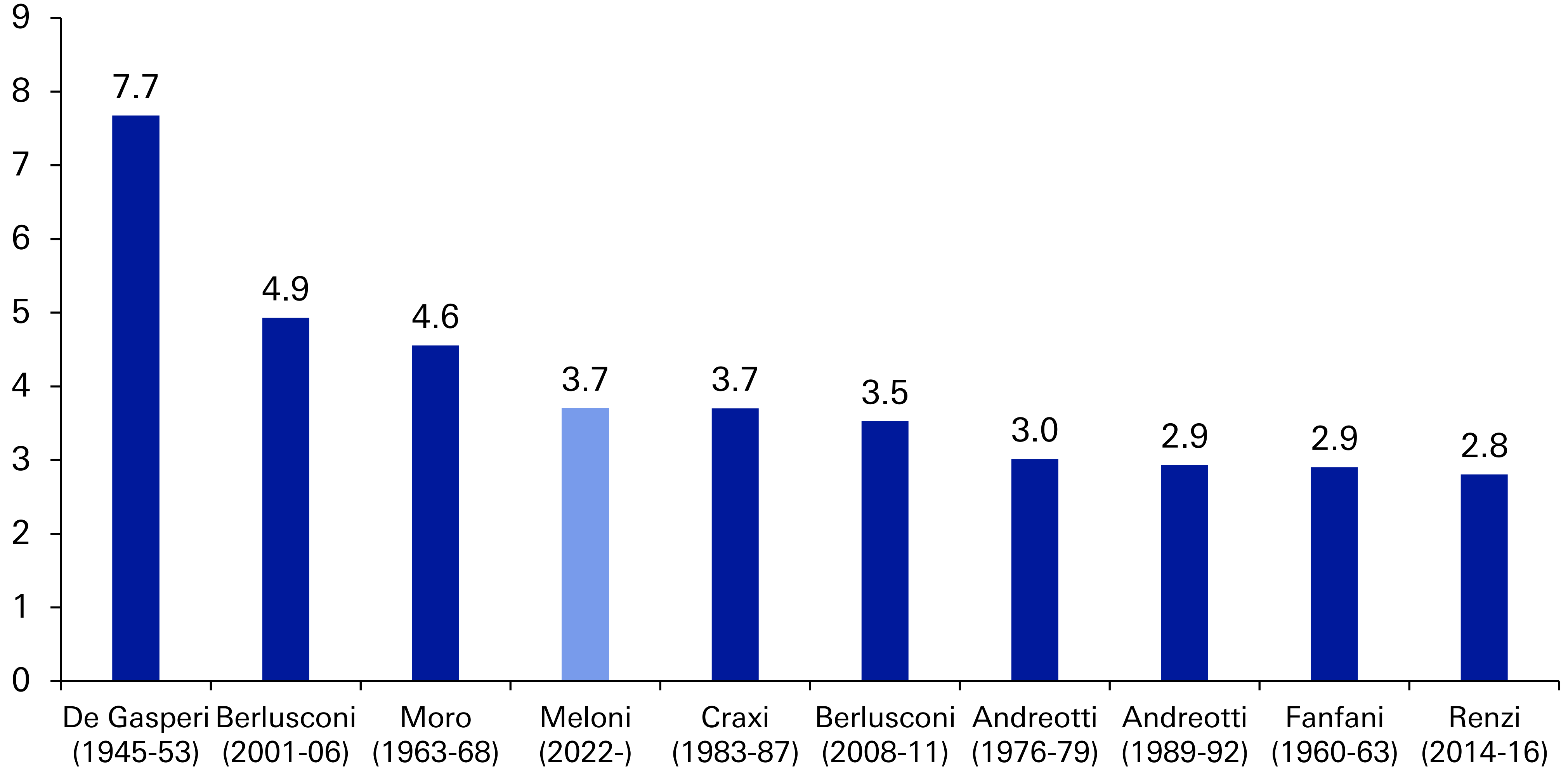
## Official NOAA CPC ENSO Strength Probabilities (Issued June 2026)




*Source: NOAA, Deutsche Bank ; Note: The bars show the chance of El Niño, ENSO-Neutral, and La Niña provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month).*

# Giorgia Meloni has now served the 4th longest consecutive term for a post-war Italian PM… meanwhile the UK is about to see a 7th PM in a decade….

## Longest consecutive terms for Italian Prime Ministers since WWII (in years)




*Source: Wikipedia, Deutsche Bank*

# Appendix 1

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# Push and pull: France, RN and the challenges of political change

July 3, 2026


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France and Europe are moving into the shadow of 2027 presidential elections. In an increasingly geopolitical world, the EU needs to invest, innovate, and acquire strategic autonomy to maintain its relevance. Indebted public balance sheets and a drift towards populism are significant hurdles. The question we ponder is how much higher these hurdles will become when France goes post-Macron.

On **July 7, the Court will rule on Marine Le Pen's eligibility** to run for President. If Le Pen is barred from running, Jordan Bardella will be RN's candidate in the election. However, this Court decision will not resolve the fundamental dilemma facing the Rassemblement National (RN). Instead, it is likely to set the stage for **"push and pull"** – a continuous tension between RN's political ambitions and the powerful constraints it would face in government.

While RN may be closer to power than at any point in its history, electoral success and governing capacity are not the same thing. The party's platform would have to contend with a series of powerful constraints – from constitutional guardrails, fiscal realities to market discipline, and demographic trends. Understanding an RN government requires looking not only at what the party wants to do, but also at what it would realistically be able to do.

There are three key points we would make.

1. **The potential path to power – Why the Presidency is not enough**. We find that RN not only has a credible path to the presidency but also, perhaps unintuitively, to a National Assembly majority and control of the government. This is due to France's legislative electoral system, which creates a significant "majority premium" for the party that finishes first in the national first-round vote. This makes the legislative elections that would follow the presidential contest a critical event for markets. To be sure, RN would not control the entire State apparatus, as both the Senate and Constitutional Council are designed for slow, gradual change, creating durable checks on the government. We also find a core internal tension between Le Pen's traditional base and Bardella's market-friendly wing, a conflict that defines the party's uncertain economic direction.

2. **The policy agenda – Part fixed, part pragmatic.** The RN is not monolithic, and its evolving platform and attempt to appear more governable could still **collide with hard realities.** This collision is evident in that, for every major policy ambition there is at least one specific constraint, **creating strong incentives for policy pragmatism:** flagship immigration proposals face constitutional blockades and slowing demographics; expensive fiscal promises face market scrutiny; and the party's electoral base acts as a political brake on a full pivot to economic liberalism.

3. **Europe – Disruption, not rupture**. RN is likely to try to use France's institutional weight within the EU, but we think disruption would be more likely than rupture. While an RN government could generate **significant friction, its ability to alter EU policy could be limited** by internal EU voting rules,

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enforcement mechanisms, and ideological divides with potential right-wing allies.

Ultimately, we think the key issue is not whether the RN can win power, but how France's institutions and economic realities would shape what the party can do with it. In our view, the defining feature of an RN government would likely be the volatility created by a continuous **push and pull** between political ambition and governing reality.

## Push and pull: France, RN and the challenges of political change

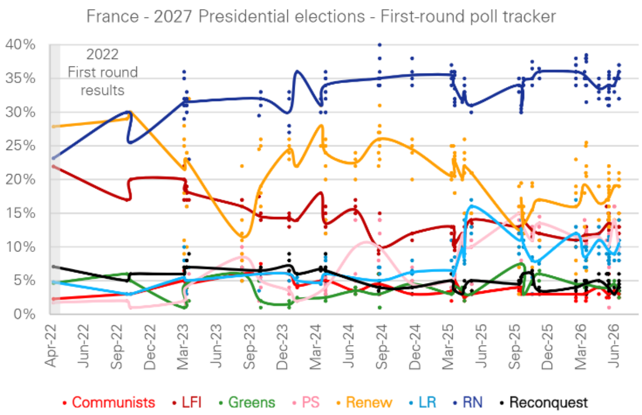
The possibility of a Rassemblement National (RN) victory in France in 2027 should no longer be considered a tail risk. Current polling suggests that an RN candidate – whether Marine Le Pen or, if legal developments force a succession, Jordan Bardella – potentially has a credible path to the second round of the presidential election and the Élysée Palace itself. More importantly, for investors, France's institutional calendar means that a RN presidential victory would likely be followed by a snap legislative election, creating a realistic pathway to a parliamentary majority and, thus, meaningful governing power.

However, in our view the focus should be less on whether RN can win power and more on what it could actually do with it.

The defining characteristic of any RN administration would likely be a continuous tension between political ambition and governing realities. Constitutional constraints, the Senate, EU institutions, fiscal arithmetic, demographic pressures, and financial markets would all act as powerful checks on the implementation of the party's programme. There may be volatility, but disruption appears more likely than rupture.

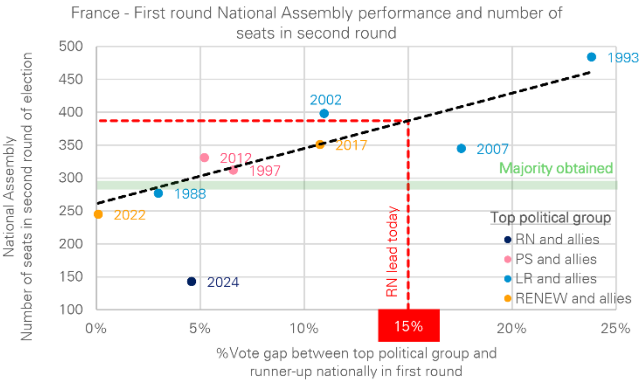
**RN in power never felt as close.** Politically, RN is in a stronger position than at any point in its history, with recent polls suggesting either of its likely candidates – Le Pen or Bardella, depending on the outcome of the July 7 court verdict – could win the presidency against any potential opponent. Crucially, the RN also has a credible path to a National Assembly majority. Despite polling in the mid-30s, France's two-round electoral system creates a significant "majority premium" for the leading party, which can translate into control of the government. The key uncertainty, we think, is therefore less RN's ability to reach power but whether a broad anti-RN coalition can re-emerge as it did in 2024.

## A comfortable lead for the RN candidate, and an open race for the contenders




Deutsche Bank Research, IFOP, Cluster 17, Elabe, Odoxa, Harris Interractive, Opinionway, Verian, IPSOS

## Picturing the implied majority premium in French legislative elections

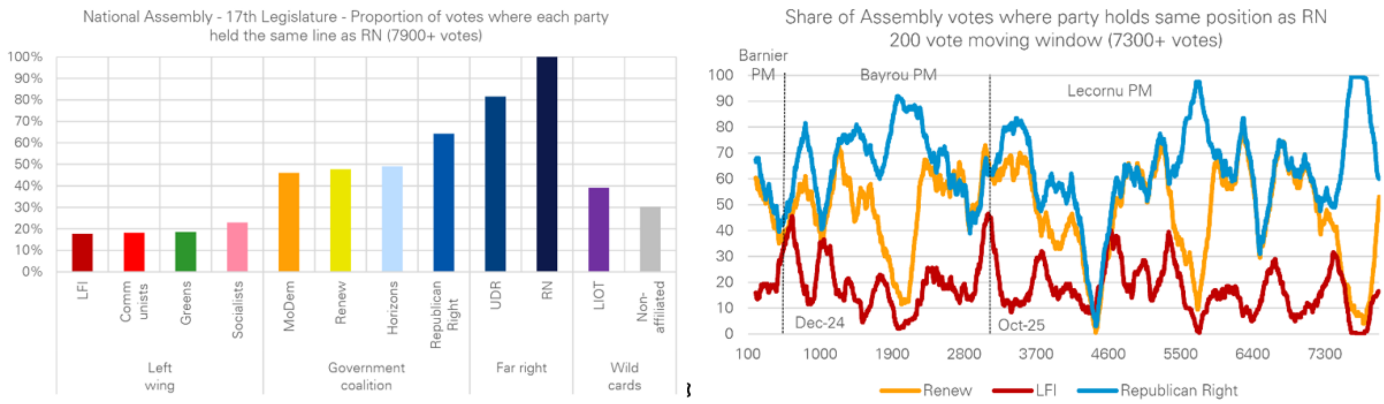



Deutsche Bank Research, French Ministry of the Interior

Current political fragmentation suggests a traditional broad anti-RN coalition is far from certain. However, the party's power would not be absolute: both the Senate and the Constitutional Council are designed for slow, gradual change, creating durable checks on an RN government.

**Two-headed RN, debates not settled.** A second uncertainty concerns the party itself. While Bardella has increasingly become the public face of RN, Marine Le Pen remains the dominant political figure. The result is a growing tension between two competing economic narratives. Bardella has sought to reassure investors and business leaders through a more market-friendly, fiscally conservative message, whereas Le Pen's traditional social-sovereigntist approach remains focused on purchasing power, pensions, and economic protection. This ambiguity is important because RN's parliamentary voting record often appears more pragmatic and centre-right than its rhetoric suggests, yet its electoral base remains strongly attached to protective policies.

## RN is closer to the centre-right than to any other non-far right party in voting behavior

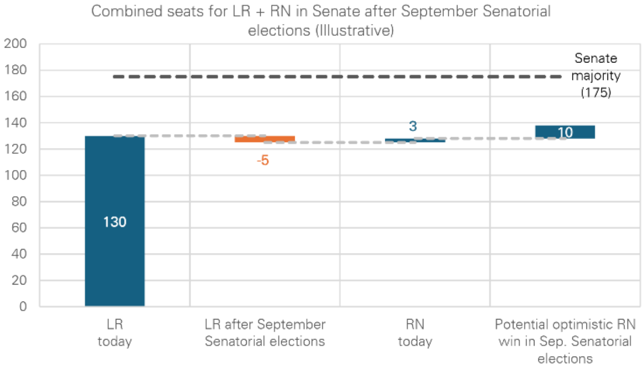



Deutsche Bank Research, National Assembly. The sample covers all the votes that occurred between October 2024 and July 2026

**On policy, immigration remains the most stable element of the RN platform,** while Europe and pensions have evolved significantly. RN has effectively abandoned 'Frexit' and euro-exit proposals, opting instead for a **pragmatic** strategy of reshaping the EU from within. Its objective is now to slow further integration, reduce France's net contribution to the EU budget, challenge certain aspects of EU legal primacy, and roll back elements of the Green Deal rather than leave European institutions altogether. This moderation substantially reduces the systemic risk profile relative to previous electoral cycles but, nevertheless, is likely to create tension.

**Material institutional obstacles to full platform implementation.** Many of RN's flagship immigration proposals would likely run into constitutional obstacles, according to leading constitutional experts (see here and here for details). Measures based on "national preference" appear difficult to reconcile with France's constitutional principle of equality before the law. The Constitutional Council would likely act as a substantial brake on implementation, while constitutional revision itself would likely face formidable procedural hurdles, particularly given RN's long-term inability to secure meaningful representation in the Senate (for details and seat projections, see here). In practice, many of the party's most ambitious proposals would probably need to be moderated if they are to become law.

### RN's weak footing in the Senate does not facilitate Constitutional reforms, even in an alliance with the centre-right which dominates the upper House




Deutsche Bank Research, French Senate

### A standard and a controversial path for Constitutional reform

Paths to Constitutional revision for RN

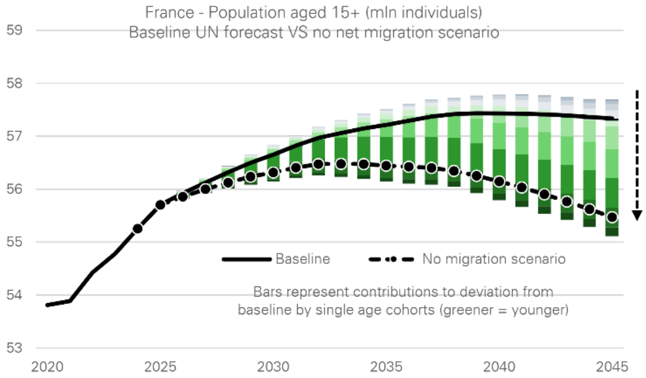
| Path | Key requirement(s) | Main obstacle for RN | Timeline implication |
|---|---|---|---|
| Standard path (Article 89) | Identical text passed by both National Assembly & Senate; then referendum OR 3/5 supermajority of both houses. Referendum mandatory if revision initiated by Parliament | Blocked by opposition-controlled Senate (RN has minimal representation, alliances unlikely to reach majority). | Deliberately slow: Mandatory delays (6 weeks + 4 weeks) for parliamentary debate, lengthy back-and-forth. |
| Contested path (Article 11) | President calls direct referendum (bypassing Parliament). | Legally contested for constitutional revision, triggers institutional crisis and confrontation with Council/Senate. Restrictions in subjects (only economic policy, public authority organization). | Potentially faster in execution, but the process of navigating the resulting political and legal crisis would be extensive and unpredictable. |

Deutsche Bank Research, Constitutional Council

**Fiscal policy – Asymmetric spending/saving commitments are a risk.** For markets, fiscal policy remains the most important area of focus. RN's programme contains a clear asymmetry between highly visible spending commitments and comparatively uncertain savings plans. Measures aimed at boosting purchasing power, protecting pensions, and reducing energy taxation carry material fiscal costs, while proposed offsets – including lower immigration spending, anti-fraud initiatives and reduced EU contributions – are inherently less predictable. Independent estimates have suggested that the gap between proposed spending and realistic savings could be substantial.

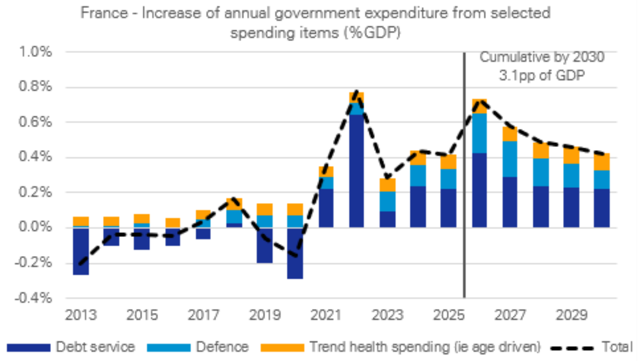
RN would inherit an already fragile fiscal backdrop. France faces elevated public debt, persistent deficits, rising defence requirements, and adverse demographic trends. Lower immigration, while politically central to RN's platform, could further reduce labour-force growth and worsen age-related fiscal pressures over time. Consequently, an RN government would likely face difficult trade-offs between delivering electoral promises, maintaining fiscal credibility, and supporting growth.

## Less immigration, more adverse demographics




Deutsche Bank Research, French Senate

## Meaningful upward pressure on government spending every year




Deutsche Bank Research, Constitutional Council

**Careful policy calibration needed to avoid a market challenge.** Financial markets therefore represent one of the most immediate constraints. Unlike constitutional or political obstacles, market discipline can emerge quickly. Any perception that an RN government is unwilling or unable to stabilise the fiscal trajectory could lead to higher sovereign risk premia, rising debt-servicing costs and tighter domestic financial conditions. With debt sustainability already a vulnerability, France can ill-afford to lose more fiscal credibility. Any fiscal misstep could quickly face sharp market scrutiny. The question is how pragmatic RN would be in response.

**Momentum for EU strategic autonomy and integration at risk.** At the European level, we think the most likely scenario is increased friction. France has considerable weight within the EU, and an RN administration could slow integration, complicate negotiations on EU budgets, enlargement or defence initiatives, and create uncertainty around France's future role in European policymaking. Yet, the ability to fundamentally alter EU outcomes would remain constrained by voting rules, enforcement mechanisms, and the difficulty of assembling durable alliances across Europe's fragmented right.

## Different shades of right in the European Parliament

European Parliament - Right-wing groups political profiles

| | European Conservatives and Reformists (ECR) | Patriots for Europe (PfE) | Europe of Sovereign Nations (ESN) |
|---|---|---|---|
| | Right-wing ------------------------------------------▶ | | Extreme Right |
| Number of MEPs | 82 | 85 | 27 |
| Top-3 member parties | ◦ Brothers of Italy (24 MEPs)<br>◦ Polish PIS (20)<br>◦ Romanian AUR (6) | ◦ French National Rally (29 MEPs)<br>◦ Hungarian Fidesz (11)<br>◦ Italian League (7) | ◦ German AfD (15 MEPs)<br>◦ Bulgarian Revival (3)<br>◦ Polish Konfederacja (2) |
| Political profile | ◦ Partly Eurosceptic<br>◦ Pro-Ukraine and NATO<br>◦ Anti Green deal<br>◦ Anti immigration | ◦ Eurosceptic, similar to previous "Identity and Democracy" group<br>◦ Russia-friendly and NATO sceptic<br>◦ Anti Green deal<br>◦ Anti immigration | ◦ Eurosceptic<br>◦ Russia-friendly and NATO sceptic<br>◦ Anti Green deal<br>◦ Anti immigration |

Deutsche Bank Research, European Parliament

**Bottom line.** Our conclusion is nuanced. An RN victory would represent a significant political event, but France's institutional architecture makes revolutionary change difficult. The most probable outcome in our view would be elevated uncertainty, periodic clashes with domestic and European institutions, and selective policy shifts rather than a wholesale restructuring of the French economic model. For financial markets, we believe the key theme is not outright regime change, but a constant, volatility-inducing push and pull between RN's political objectives – shifting in places – and the fiscal, legal, and market constraints that would ultimately shape its capacity to govern. The push for political change will generate friction.

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# AI IPOs 101: why they'll change the boom forever

July 01, 2026

## Four reasons why the expected IPOs of OpenAI and Anthropic matter so much


Authors

Adrian Cox
Research Analyst


The expected wave of initial public offerings of the world's leading AI companies will change the AI boom forever.

It will bring unprecedented **transparency**, **funding** and **accountability** to the industry – as well as finally giving investors a **pure-play benchmark** to value the likely winners and losers of a revolutionary technology.

The news at the end of last week that OpenAI is considering delaying its own share sale, originally expected for later this year, indicates just how much is at stake. The company, which lit the fuse for the AI frenzy with its launch of ChatGPT in November 2022, as well as its now slightly larger rival Anthropic, which makes Claude, confidentially filed for IPOs in early June. Those share sales would reportedly aim to raise about $60bn apiece and value each company at more than $1 trillion.

They and their peers need to **strike while the iron is hot** to secure computing power, distribution and capital. But there is no guarantee that there will be enough investor appetite to absorb hundreds of billions of dollars in rapid-fire demand.

The AI boom is fast approaching a **moment of truth**, as rapid growth and soaring valuations collide with ballooning capital expenditure, a public backlash and the challenges of real-life adoption. Challenges abound, including Chinese open-source models that promise similar performance for a fraction of the price. Whoever comes out on top could define the era.

In this report, we look at:

- Why have an IPO?
- Which AI-related companies are likely to have IPOs?
- OpenAI and Anthropic in a nutshell
- Four ways that IPOs will change the AI boom forever

1. Greater transparency for financials – and business models
2. More diverse funding sources – and more spending
3. Greater accountability for their actions – and the industry
4. New era for comparing valuations to peers – and the past

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## Why have an IPO?

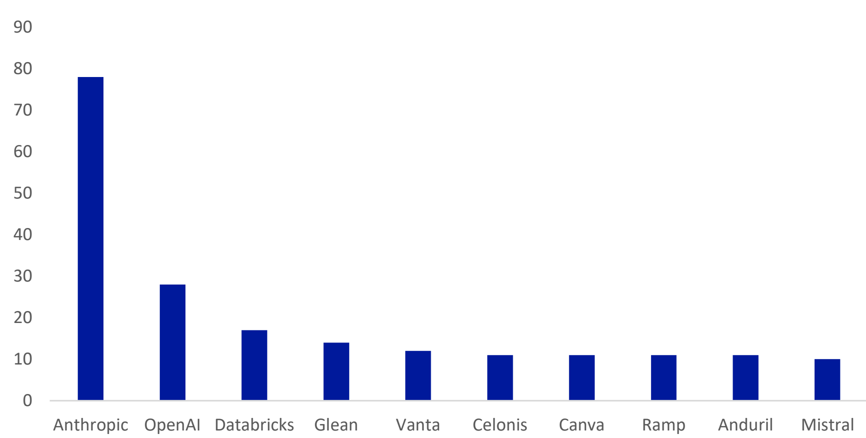
1. **Access new sources of funding** to invest, reduce debt and improve financial flexibility.
2. **Create liquidity** to give existing investors and employees a way to cash out and enable acquisitions with publicly traded shares.
3. **Improve public credibility and profile**, lending additional weight with consumers, businesses and lawmakers.

## Which AI-related companies are likely to have IPOs?

The two leading contenders to sell shares to the public this year are Anthropic, given a 78 percent chance, according to bets on Polymarket, and OpenAI, now down to 28 percent.

Other AI-related companies that may go public include data analytics platform Databricks, enterprise data platform Glean, and compliance tool Vanta, according to Polymarket bets. Others include business process platform Celonis; graphic design tool Canva; finance operations platform Ramp; defence company Anduril; and Europe's only notable frontier-model maker Mistral.

Figure 1: Implied probability of select AI-related IPOs by 2027




*Source : Polymarket, Deutsche Bank Research*

### OpenAI in a nutshell

- San Francisco-based OpenAI was **founded in 2015** as a non-profit research laboratory led by **Co-Chairs Elon Musk and now-CEO Sam Altman**, the former head of Y-Combinator. It was backed by some of the biggest investors in Silicon Valley, including Peter Thiel and Reid Hoffman. (Musk severed ties with OpenAI in 2018, triggering a legal dispute that concluded in May in OpenAI's favour.)
- Its **mission** was "to ensure that artificial general intelligence – AI systems that are generally smarter than humans – benefits all of humanity".
- On November 30, 2022, OpenAI launched **ChatGPT**, a generative AI chatbot based on its GPT-3.5 large language model, which became a

runaway success with 100 million users in three months. GPT-4, released in March 2023, was so far ahead of the competition that it took a year or more for serious challengers to gain a foothold. However, GPT-5, launched last August, was quickly matched amid stiffer competition.

- The non-profit board voted to remove **Altman** as CEO in November 2023. He was reinstated four days later, after a revolt by investors and employees.
- Its **most important strategic relationship has been with Microsoft**. When OpenAI transitioned into a "capped-profit" entity in 2019, it was able to obtain capital investment including $1bn from Microsoft, which later added another $10bn in early 2023. Their exclusive partnership and revenue-sharing agreements enabled Microsoft to be an early leader in AI and secured funding and computing power for OpenAI.
- The companies **scaled back their partnership** in late April 2026, though Microsoft retains a 27 percent stake in OpenAI. (OpenAI's for-profit LLC became a public benefit corporation controlled by the non-profit in May 2025.)
- Today, **more than one in ten people on the planet use ChatGPT every week**. The name is to chatbots what PostIts are to sticky labels. It reportedly surpassed $25bn in annualised revenue in March and has indicated to investors that it will achieve its first annual profit in 2030.
- Although the market is increasingly crowded, OpenAI is still producing **cutting-edge models**, with GPT-5.5 excelling at agentic coding. Brand new GPT-5.6 won the same badge of honour as the latest Claude model last Friday by being restricted to a small group of users over US government concerns that it was so powerful that it could pose a security risk. It also has a strong developer ecosystem building on top of its Application Programming Interface (API).

### Anthropic in a nutshell

- San Francisco-based Anthropic was **founded in 2021** by seven former employees of OpenAI, including **Dario Amodei, its CEO**, and his sister Daniela Amodei, its president. Anthropic is a public benefit corporation whose mission is "to ensure that the world safely makes the transition through transformative AI".
- Led by its **Claude models**, the company has focused heavily on the enterprise market, positioning itself as a bastion of high standards of safety and reliability.
- **Google parent Alphabet and Amazon** have invested billions of dollars in Anthropic. Like OpenAI, it has struck complex agreements that commit it to use chips and data centres from its investors in return, including a commitment reported by The Information to spend about $200bn with Google Cloud over five years.
- This has been a **breakout year** for Anthropic. The release of its Cowork and Claude Code agent tools in January and February prompted a "SaaSpocalypse" slump in stocks of software-as-a-service companies, amid concerns that their utility-like business models could be largely disintermediated.
- The **Claude website had almost one billion visits in May**, still behind ChatGPT at 5.6 billion and Google's Gemini at nearly three billion, but way up from 200 million in January, according to data from Similarweb. Meanwhile, Claude Code now accounts for slightly more than half of the business-focused coding market.
- **Anthropic's revenue** reached an annual recurring rate of $47bn in May,

overtaking OpenAI. CEO Amodei said that an 80-fold increase in usage in the first quarter on an annualised basis was “just crazy” and “too hard to handle,” forcing it to limit access for some users and sign up new sources of compute to keep up with demand.

- A **disagreement with the US Administration** came out into the open in February when the Department of Defense announced that it was a supply-chain risk. The company had demanded restrictions on the use of its technology for domestic surveillance and autonomous weapons.
- Then two weeks ago, Anthropic abruptly **switched off its most powerful Fable 5 and Mythos 5 models** worldwide after the US Department of Commerce ordered it to restrict access by foreigners, due to concerns that it could be weaponised by bad actors. It won approval to restore some access at the end of last week.

## Four ways that upcoming IPOs will change the AI boom forever

### 1. Greater transparency for financials and business models

**Nothing sharpens an entrepreneur’s mind – and business model – like the prospect of an IPO.**

- It is a decision that they may take with some trepidation, given the obligation to open the doors and explain their finances, business model and outlook in detail.

**To prepare for an IPO, AI companies will have to produce public-company-grade reporting, credible performance indicators, risk analyses and forecasts.**

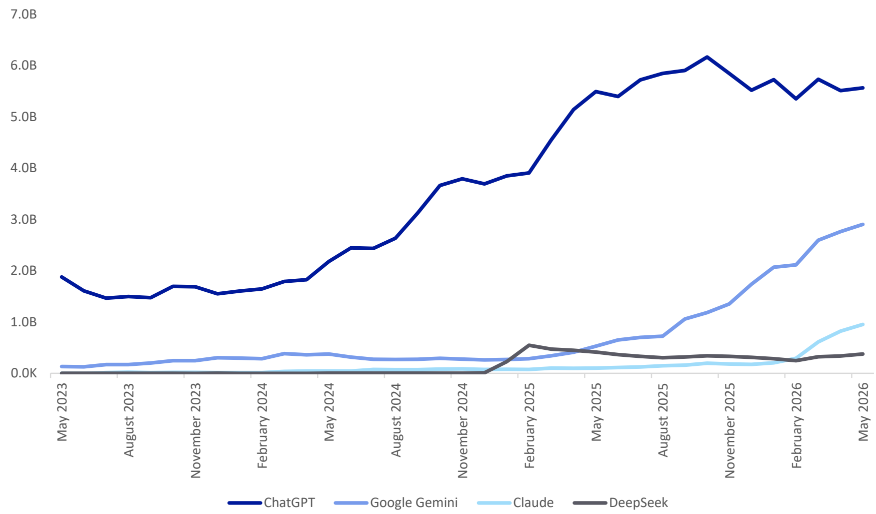
- They will also have to make any relevant disclosures about a growing number of lawsuits over copyright, alleged negligence regarding safety, and corporate governance.
- Remuneration may also have to be revamped, with public metrics around pay for performance for management and provisions for employees to vest stock.

**Greater transparency may help investors take a view** on how much they consider currently lossmaking AI models to be winner-takes-all, like Amazon or Meta, where network effects create a virtuous circle, or commodities, where one model is viewed as interchangeable with another.

- While OpenAI has the leading chatbot by far with around 900 million monthly users, it has been rapidly pivoting its business model this year to try to attract enterprise users who will pay for it.
- That includes creating the OpenAI Deployment Company in May with 19 private-equity groups led by TPG to distribute its enterprise products, spearheaded by so-called “forward deployed engineers”. It said previously that enterprise revenue was on track to match consumer revenue by the end of the year.
- Since CEO Sam Altman declared a “code red” in December, OpenAI has scrapped what it called “side quests” such as its video generating tool Sora and is working on a “unified superapp” that brings its chatbot, coding, browsing and agentic capabilities together, aiming to convert satisfied home users to a similar business offering.

- Anthropic overtook it in business subscriptions in May, according to data from Ramp. And Similarweb data shows monthly visits to ChatGPT fell below a majority of the generative AI market for the first time in May, suggesting consumers are increasingly willing to switch between models.

Figure 2: Top four generative AI platforms: monthly visits worldwide (desktop and mobile web)




*Source : Similarweb, Deutsche Bank Research*

- OpenAI has indicated that it is generating about $25bn to $33bn in annualised revenue, up from a $4bn annual rate at the end of 2024. By comparison, Anthropic's annualised run rate shot up from $1bn a year at the end of 2024 to $47bn in late May. The company previously said that its first profitable full year will be in 2029, one year earlier than OpenAI.

**Greater disclosure around IPOs will finally illuminate the business models of the frontier model makers.**

- While chips and data centres are easy to measure, actual monetisation of AI is opaque, given that private model makers make only limited disclosures and public hyperscalers rely on AI models for just a small part of their AI revenues.
- The key questions are how intense and rapid adoption will be; is the return on investment justified once businesses have to make hard choices to scale beyond pilots; and will premium all-singing, all-dancing frontier models win out over cheap, stripped-down, task-specific alternatives?

**The stakes for pure-play model makers are higher now than ever before, with pressure from above and below.**

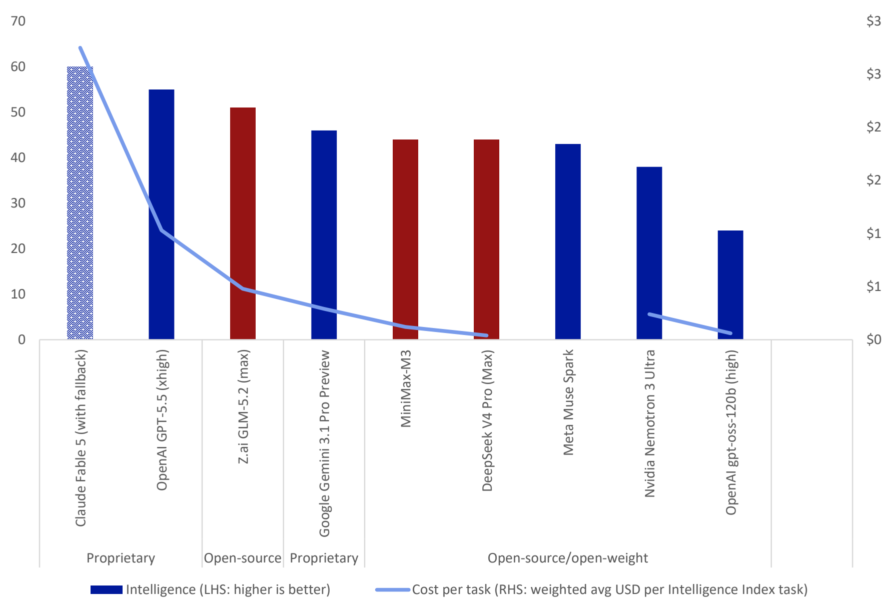
- On the one hand, the hyperscalers have unsurpassed access to data, distribution and compute, as well as the ability to offer competing models on their platforms and still take a cut.
- On the other hand, ever-smarter open-source models may be good enough for most tasks. GLM 5.2, an open-source model from China's Z.ai, has become a viral hit in the US after rocketing up the leaderboards over the past couple of weeks. It scores 51 in Artificial Analysis's Intelligence Index, not

far behind Claude's (currently restricted) Fable 5 and OpenAI's GPT-5.5, yet costs just 48 cents per task in the index, versus $2.75 and $1.03 respectively.

**Price is becoming a battleground as enterprise customers begin to balk at the true costs of rolling AI out at scale.**

- Yes, cost per token, the building block of AI, is falling by between nine and 900 times a year, depending on the task, according to Epoch AI. But that is being offset by ever more compute-hungry agentic applications – as well as by well-meaning initiatives to encourage employees to be creative that have incentivised budget-busting "token-maxxing".
- The economics of AI suddenly look less attractive once token usage is no longer being subsidised by investors. Anthropic has changed from a flat fee to a usage-based model, and OpenAI's Altman said last month that cost had come out of the blue to become a "huge issue" for customers this year. Both are reported to be considering price cuts that could erode their profit margins.

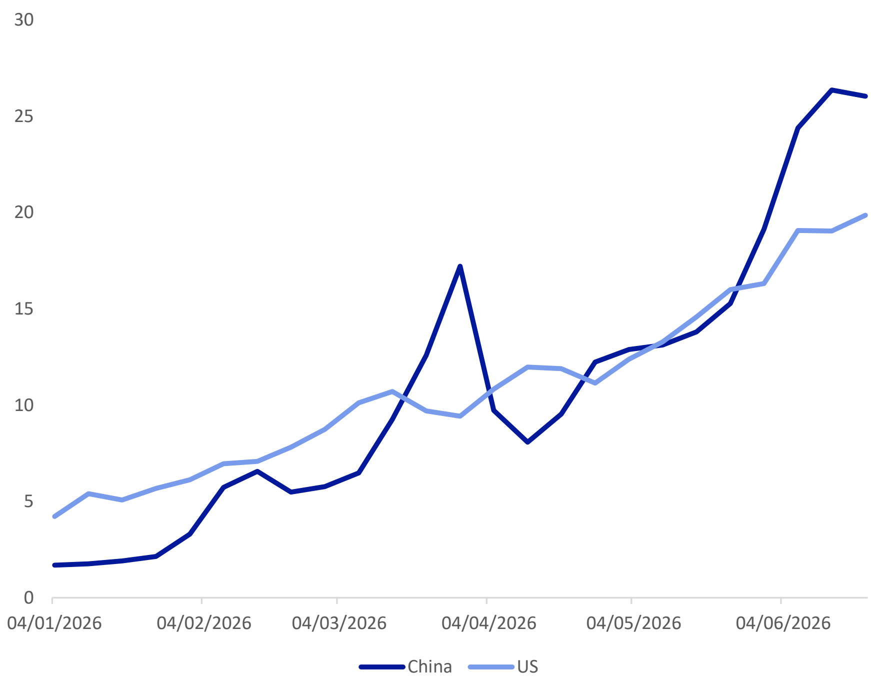
Figure 3: Artificial Analysis Intelligence Index of selected AI models vs cost per tasks




*Source : Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red*

- OpenRouter data showing weekly token usage of the top models on its platform indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by Chinese models to 26 trillion. The platform allows customers to access hundreds of LLMs from different providers through a single account.

Figure 4: The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion)




*Source : OpenRouter, Deutsche Bank Research*

- Amazon, Walmart and Cisco are among companies that have reined in token use. Uber burned through its AI budget for the year in four months and has now capped spending, with its Chief Operating Officer saying that "the link is not there yet" between the use of Claude Code and customer innovation.
- Demand is growing for new model architectures that can divert queries to the most efficient model for any given prompt, such as OpenRouter's new Fusion plugin.

## 2. More diverse funding sources – and more spending

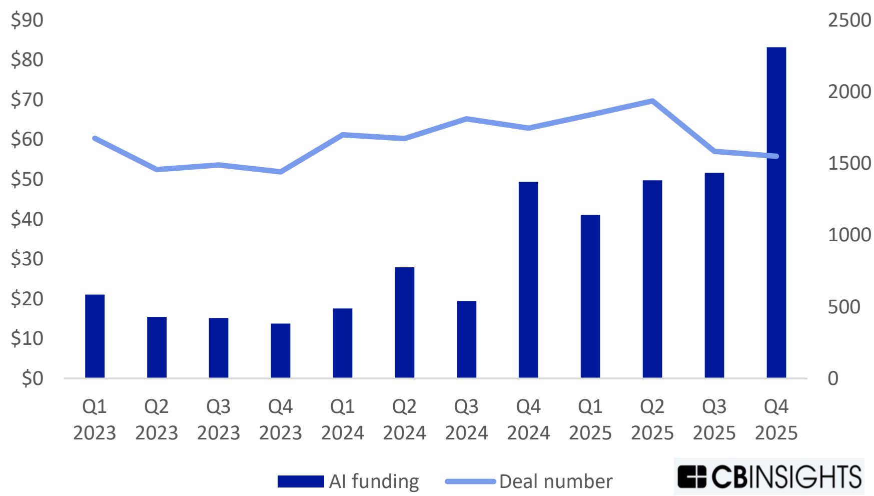
**AI is an arms race for compute, pitting startups against established hyperscalers.**

- Specialist model-makers are on the back foot compared with a company like Alphabet parent Google that has ample cloud compute facilities and is generating roughly $50bn in cash from operations every quarter that it can use to buy even more.
- Private companies cannot tap the same pool of investors forever. Abundant public market funding would break the cycle of relying on the piecemeal multi-billion-dollar investments and complicated financing arrangements among the leading firms of the past few months.

**To be sure, this has not been a bad time to be raising private money.**

- Three lean years for venture investment reversed last year as investors injected $425bn, an increase of almost a third from the previous year, into more than 24,000 companies, Crunchbase data show. AI funding was particularly healthy, exceeding $225bn globally, albeit concentrated in few companies, according to CB Insights.

Figure 5: Global AI funding surged in recent quarters, albeit concentrated in fewer companies: quarterly equity funding ($bn) and deal count




*Source : CB Insights, Deutsche Bank Research*

- Anthropic said at the end of May that it raised $65bn at a post-money valuation of $965bn, more than double its valuation in February. In one leap, it overtook OpenAI, which raised $122bn at an $852bn post-money valuation in March. If either achieved the mooted market value of $1trn, it would be comfortably within the world's top 20 most valuable companies.

**But growth does not come cheap.**

- OpenAI told investors in February that it was targeting some $600bn in infrastructure investments by 2030, less than half of its earlier estimate of $1.4tn amid concerns about whether future revenue could justify the outlay. Its emphasis has changed from building its own data centres to just renting them.
- OpenAI's funding round in March was anchored by long-term partners Amazon, Nvidia and SoftBank. Amazon will invest $50bn in OpenAI in return for OpenAI using 2GW of its Trainium chip capacity and cooperating on new joint products.
- Long-term shareholder and partner Microsoft still took part even though the two have grown more distant and unwound some exclusive arrangements in April. The startup also took investments from at least 19 institutional investors and funds, as well as some retail investors via banks and exchange-traded funds, and expanded a revolving credit facility to about $4.7bn.
- Meanwhile, Anthropic's latest round looped in at least two dozen investors and included $15bn of previously committed investments from hyperscalers including $5bn from Amazon – after the startup agreed to buy up to 5GW of compute capacity from it and a similar amount from Google and Broadcom.
- In a sign of just how complicated the AI funding org chart is becoming, Google, which already reportedly owned a 14 percent stake in Anthropic

worth $3bn, pledged to invest another $40bn in it in April and more recently was said by Bloomberg to have agreed to backstop lease payments worth $35bn on five data centres.

**IPOs would not just unlock new equity finance.**

- Public listings would give the companies and their backers leverage capacity: the ability to raise debt against liquid, transparently valued collateral. Those funds could then be recycled into further expenditure on data centres, acquisitions and other ventures.
- A publicly funded OpenAI or Anthropic would likely not just build bigger models but also seek to become the default foundational platform layer similar to what Windows was for PCs and to Amazon's AWS for the cloud. They could use larger war chests to expand their API services, developer tools and enterprise partnerships, commoditising the layers where rivals (and perhaps some customers) operate.

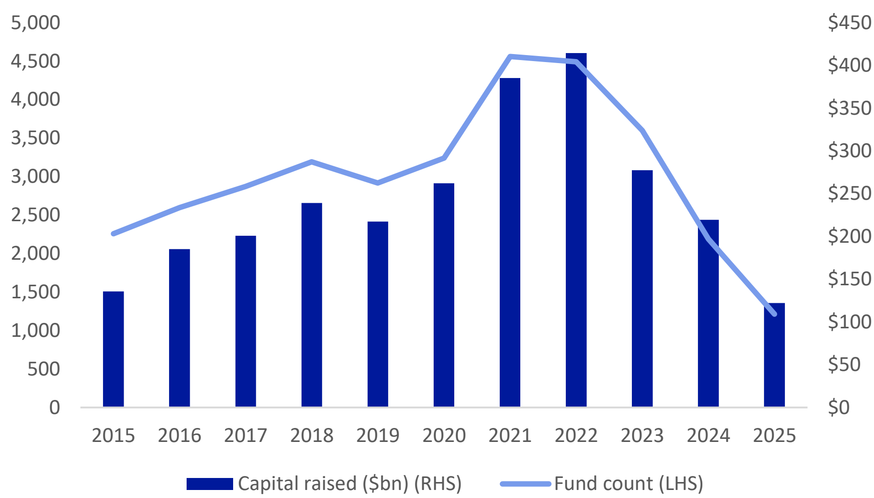
**Financial flexibility matters for all of the players in the land grab for capacity in the AI boom.**

- Capital expenditure by hyperscalers looks set to rise by two-thirds to more than $750bn this year. Even cash-rich Google turned to the debt markets this year, raising almost $32bn in less than 24 hours in February, then raising $84.75bn in the biggest equity capital markets transaction ever on June 1. Nvidia sold $25bn of high-grade bonds in mid-June.
- And smaller companies are turning to the public markets, most recently with South Korean memory chip maker SK Hynix announcing that it is planning to raise more than 45 trillion won, or almost $30bn, in a landmark US listing.

**An opening of the IPO floodgates after a five-year drought would give companies the currency they need to embark on a spending spree.**

- It could even break the inertia of an upstream drought in fundraising for early investments by unblocking trapped liquidity. Global venture capital fundraising fell last year to $122 billion, little more than a quarter of the peak in 2021 and 2022, as investors shied away from illiquid investments in favour of less risky strategies, PitchBook data show.

Figure 6: Global private-equity fundraising dropped significantly after 2022, trapping upstream liquidity




*Source : PitchBook, Deutsche Bank Research. Data as of Dec 31, 2025*

- That could mean a surge in mergers and acquisitions, turning other private companies into targets and giving an exit route to impatient investors. This year has already seen more than 5,000 technology acquisitions or investments pending or completed with a value of about $850bn, more than double the level for the same period last year, Bloomberg data show.
- Elevated valuations and regulatory hurdles for the biggest companies would put them out of reach of all but a tiny number of strategic buyers (the hyperscalers) or sovereigns. An alternative approach has been "acquihires", pioneered by Microsoft two years ago when it hired most of the staff of Inflection, including co-founder Mustafa Suleyman, and licensed the use of its AI models for $650 million.
- But smaller companies have a much greater chance of being acquired.
- Most recently, US chipmaker Onemi agreed to buy Synaptics, which makes semiconductors for smart devices, for about $6.2bn in stock late last week. Indeed, Bending Spoons, which buys up struggling software companies, including AOL and Vimeo, itself filed for an IPO last week. The Italian company aims to raise as much as $1.6bn at a $19bn valuation early this month.

**Last but not least, IPOs will give companies a potent new weapon in the battle for talent: liquid, publicly traded stock options.**

- For top-tier researchers and engineers, this would be a far more tangible and immediate form of wealth than illiquid shares in a private rival that might seek to lure them away.
- Such a liquidity shock could force private competitors into responding with ever larger funding rounds at higher valuations on the promise of "jam tomorrow" for star employees – or into going public themselves. They would also have to be on high alert to prevent their existing core teams from being poached by a newly public OpenAI or Anthropic armed with a trillion-dollar market capitalisation.
- Meta's Mark Zuckerberg sparked a bidding war for top AI researchers last

year, offering compensation packages worth hundreds of millions of dollars in some cases. OpenAI and Anthropic were the most recent players to fish in the small pond of genuine AI experts a couple of weeks ago, hooking two legends of the industry. Shares of Google, where they worked, fell more than 5 percent on the day.

### 3. Greater accountability for their actions – and for the industry

**The AI industry has lost its lustre in recent months.**

- Warm initial perceptions of it as a slightly magical composer of wedding speeches have faded and may vanish once Mom and Pop own shares in pure-play AI companies for the first time. Those companies risk becoming a lightning rod for broader fears about the impact of AI on trust, jobs and vulnerable industries.

**At the most basic level, public companies are held to higher standards around consistency and accountability.**

- For example, OpenAI has attracted criticism for reversing its earlier opposition to advertising in an attempt to create a more sustainable business model. Critics have said conversations could be biased by sales imperatives.

**Beyond that, OpenAI and Anthropic have already had a taste of the political challenges in store as public companies.**

- Anthropic was blacklisted by the US Department of Defense in February for refusing to let Claude be used for autonomous weapons and mass surveillance. The dispute cost Anthropic a $200m contract and is now in the courts. OpenAI was then criticised from the other side after it struck a deal to replace Anthropic. Altman later described the move as being "complex but the right decision with extremely difficult brand consequences and very negative PR for us in the short term".
- More recently, the US Department of Commerce issued an export control directive late on June 12 to suspend all access by foreign nationals to Anthropic's Claude Mythos 5 and less powerful Fable 5 models because of security concerns.
- Although it had to temporarily disable access to all customers to ensure compliance, its reputation for having the most powerful models will have benefitted (see our report AI twist in the tale for Anthropic's Fable and Mythos). The silver lining may eventually eclipse the cloud amid a branding boost that money can't buy. However, alternatives to US models are also likely to benefit from concerns that access could be switched off without warning.

**Most broadly, the makers of the best-known chatbots may pay a price for being seen as proxies for all of AI when controversy hits the industry.**

- Hot topics include cybersecurity. The leaders of the Five Eyes cybersecurity agencies of the US, UK, Australia, Canada and New Zealand warned in a joint statement last week that frontier models are likely to supercharge cyber threats: "The timeline is not years, it is months".

**The biggest underlying popular concern is what AI will mean for jobs.**

- The leaders of both Anthropic and OpenAI have moderated their predictions of severe disruption in recent weeks, with Amodei pivoting to say automation would dramatically increase productivity and Altman saying the impact on jobs has been less than he expected.

- One challenge is that AI has become a scapegoat for job cuts at companies ranging from Block (4,000 employees, or nearly half the workforce) to Atlassian (10 percent of roles) and even British American Tobacco (with AI cited as one of a number of factors in a planned one-fifth reduction in its workforce).
- However, the tide has begun to turn on predictions of catastrophic job losses. A slump in entry-level graduate jobs may have been more due to rising interest rates and remote work than AI – and may be reversing. And business leaders like Amazon Web Services' CEO Matt Garman have said eliminating the pipeline of talent makes no sense.

**Nowhere has the AI backlash become more focused than over data centres.**

- As fast as these “AI factories” are mushrooming around the US and the world, so are concerns – both justified and unjustified – about them overwhelming the electricity grid, forcing up power prices, and sucking rivers dry for water to cool their chips.
- How the leading model makers, hyperscalers and infrastructure companies handle the issue could determine whether it remains contained or unleashes moratoriums, regulation or swingeing taxes that put the entire boom at risk.
- In the US, home to half of the world’s data centres, opposition to “AI factories” is becoming a rare area of bipartisan consensus, uniting prominent Democratic Representative Alexandria Ocasio-Cortez and independent Senator Bernie Sanders on the left, and populist strategist Steve Bannon on the right.
- Maine recently passed a moratorium on larger data centres while, across the Atlantic, data-centre hub Ireland has introduced a “Bring Your Own Power” policy that requires new facilities to generate their own electricity or secure renewable energy contracts.

**Data centers are – literally – close to home for voters.**

- That makes them ripe fodder for targeted lobbying and grassroots campaigns in a way that vague fears about long-term job losses are not. The US midterm elections in November will be an important litmus test of the political consequences of local pressure.
- A Gallup poll in May found that 71 percent of Americans would oppose a data centre being built in their area. At least 75 projects worth a record $130bn were blocked or delayed in the first quarter, according to Data Center Watch.
- Tech companies have done their bit to respond. Microsoft, for example, said in its most recent data centre announcement last week that it would create thousands of jobs at the facility in Pecos, Texas; pay to ensure it does not cause a rise in electricity prices; and replenish more water than it uses. “We are approaching this project as a new neighbour,” it said.

**The IPOs of the biggest AI companies could also have repercussions in the geopolitical contest for technological supremacy, raising their status to that of strategic national assets.**

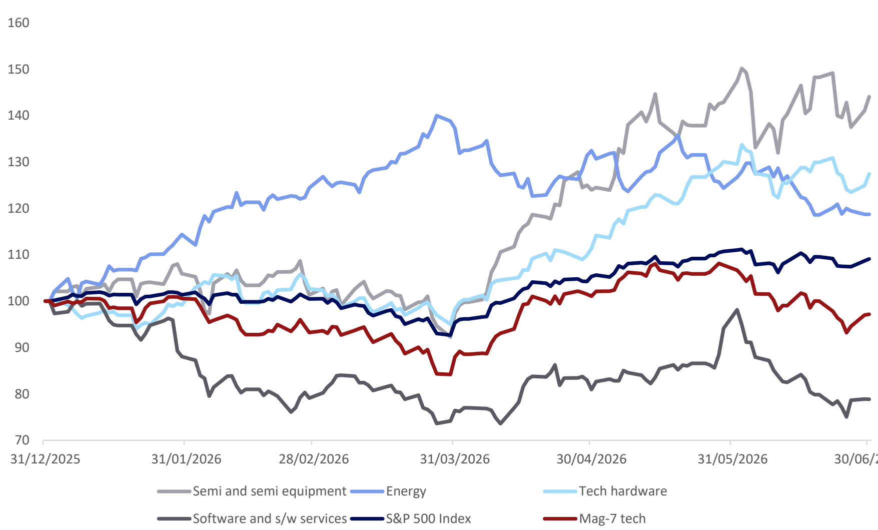
- That could encourage other powers to accelerate support for their own national champions, like China's "AI tigers" and France's Mistral, to avoid becoming dependent on US-controlled foundation models. Other countries may find themselves having to choose to align with one centre of power or the other.

## 4. New era for comparing valuations to peers – and the past

**Part of the anxiety about an AI bubble is the lack of pure-play, public, investable companies to act as a benchmark. A listed OpenAI or Anthropic would fill a huge gap.**

- Sentiment about AI has driven much of the market since the launch of ChatGPT, with anticipated gains from investment and productivity helping to explain the two-thirds rise in the S&P 500 Index during that period.
- That rise has been bumpy, soaring and swooning from week to week, as one area after another, such as software, semiconductors or infrastructure companies, has come into favour and then fallen out again. Investors have crowded into trades on a concentrated and shifting list of potential AI enablers and adopters, and away from prospective casualties.
- To give one example, the Magnificent Seven biggest technology stocks have whipsawed over the past month amid concerns about how much of their AI capital expenditure will pay off, shedding as much as 12 percent by late last week. They have tripled over the past three-and-a-half years to account for almost a third of the S&P 500.

Figure 7: S&P 500 Index, Magnificent Seven tech stocks and other select AI-related sectors performance YTD to June 30 (indexed to 100)




*Source : Bloomberg Finance LP, Deutsche Bank Research*

- That makes investing in AI right now feel a bit like going to a horse race and having to bet on the jockeys and the condition of the track because the horses themselves are unavailable.

**Of course, there is no guarantee that any filing ends up in a successful IPO.**

- The San Francisco-based co-working company WeWork was valued at

$47bn in early 2019 but failed to gain traction when it filed its prospectus in August that year. It eventually went public in 2021 at a heavily reduced valuation and ended up filing for bankruptcy in late 2023.

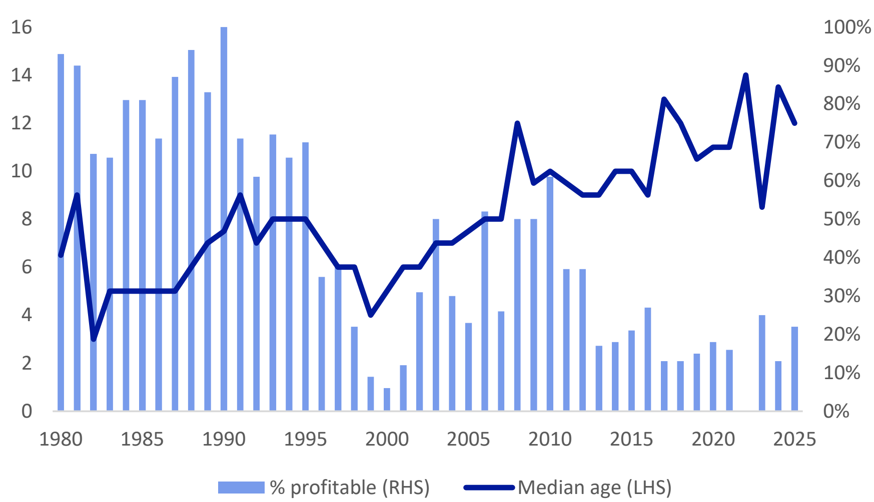
**Another way that major IPOs could remove some distortions is by acting as a release valve for private markets, enabling long-awaited exits from investors.**

- Private-equity companies are sitting on a record backlog of unsold companies, thanks in part to geopolitical disruption and fears of a "SaaSpocalypse", according to data from Pitchbook and others. The median age of still-held assets continued to trend upwards from three years in 2022 to four years in 2025 as exit activity stalled.

**Despite concerns that the boom turns to bust, there are differences in the IPO markets from the height of the dot-com bubble.**

- Overall valuations are clearly elevated by historical standards, with the Shiller Cyclically Adjusted Price-Earnings (CAPE) ratio for the S&P 500 recently surpassing 40, nearing the record 44 it reached at the peak of the dot-com bubble.
- However, the IPOs coming to market are more mature and more profitable.
- Back in 1999 to 2000, the median age of venture-capital-backed tech startups going public shrank to about 4.5 years, according to University of Florida data. Since then, the median age has been relatively stable at ten-and-a-half years and was 12 years last year.
- Only 6 percent of those tech startups going public at the height of the dot-com bubble were profitable, compared with 22 percent since 2010, and they had a median opening price-to-sales ratio of over 40, four times higher than the average since 2010.

Figure 8: Median age and profitability of technology IPOs (1980-2025)




*Source : University of Florida, Jay Ritter, Deutsche Bank Research*

**Perhaps the greatest insurance against a bubble is the fixation of today's senior investment managers on the dot-com bust that scarred them in their formative years in the market.**

- For them, mega IPOs bring back memories of the IPO of Netscape in August 1995, widely regarded as the start of the dot-com bubble.However, there is just as important a lesson in how long it took for that bubble to go bad despite prophesies of doom and gloom right from day one.
- Bloomberg published an article two days after the IPO on August 9, 1995, entitled "Why investors say Netscape shows a market poised for a fall" and warns "Be worried, very worried". "Netscape was a little insane," says a trader quoted in the article, after the stock doubled on its first day of trading, giving the lossmaking company a $2.9bn market value. "It certainly hints at more frothiness in the market and that's usually the sign of the beginning of the end of a bull market".
- Yet in the end, the Nasdaq shot up from 1,005 on the day of Netscape's IPO, not peaking until almost five years later, at over 5,000 on March 10, 2000. It was only then that it dramatically fell back, reaching a trough of about 1,100 in October 2002.
- As for Netscape, it was bought by America Online (AOL) for $10bn in 1999, and then vanished in the fallout from AOL's record-breaking $124bn purchase of Time Warner in 2001.

**Yet Amazon, another star of the times, shows the power of patience – and picking a winner.**

- Adjusting for stock splits, the shares debuted at 7.5 cents in the company's $54m IPO on May 15, 1997. After the roller coaster of the dot-com bubble and crash, the shares took a decade to recapture their early peak – and then continued to rise, reaching almost $275 a month ago.
- Yet on the day of its IPO, when the stock rose 31 percent, a Pennsylvania-based fund manager told Bloomberg: "I personally am going to stay away from it. I don't think it's been proven that one can make a lot of money over the web."

## Recent relevant research

Assessing AI in finance with Evident Co-CEO Alexandra Mousavizadeh (June 9, 2026)

ChatIPO: Quick take on OpenAI's record-breaking IPO plans (May 21, 2026)

Will Claude's AI finance agents change your life? (May 6, 2026)

AI, Iran and the Gulf 101 (April 13, 2026)

What AI says about AI eating itself and the world… (Feb 16, 2026)

AI Q&A: Why have market vibes suddenly shifted on AI? (Feb 16, 2026)

Three AI themes for 2026: the honeymoon is over (Jan 20, 2026)

## Appendix 1

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Deutsche Bank
Research

# What Q2's emerging themes mean for 2026 and beyond

1 Jul 2026

**Luke Templeman | Thematic Strategist**
**Galina Pozdnyakova | Research Analyst**

**Deutsche Bank Research Institute**

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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# The themes driving markets in Q2 – based on AI analysis of our daily market commentaries

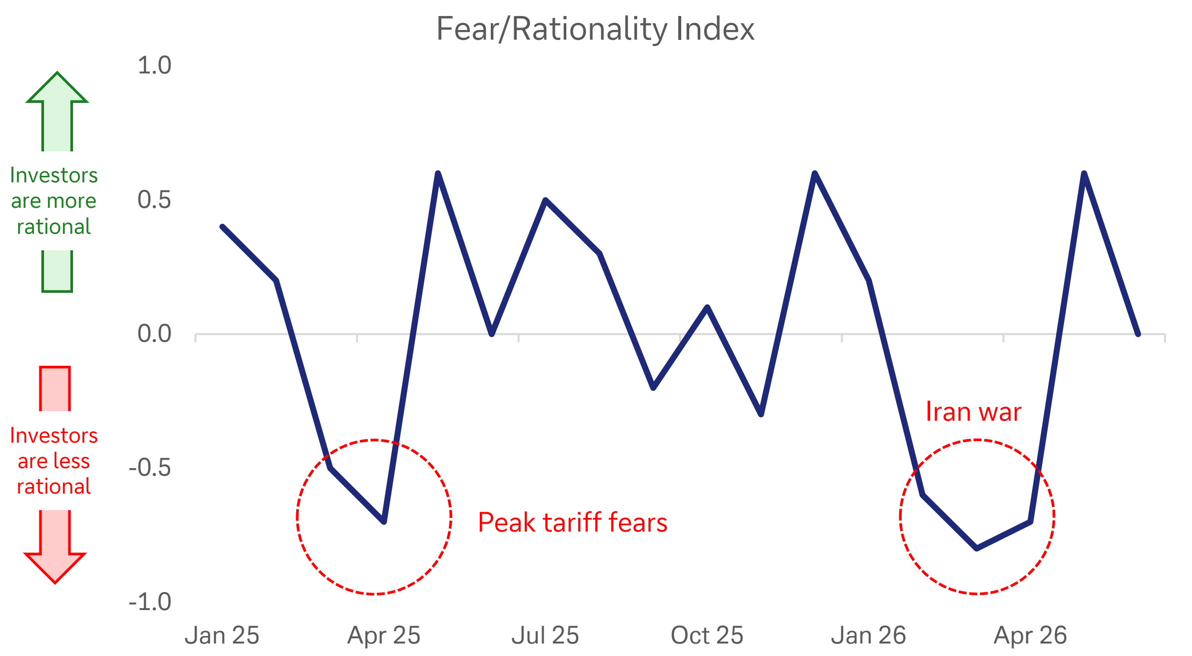
1. The AI revolution
2. US-Iran conflict & Strait of Hormuz blockade
3. Shifting central bank policies & inflation fears
4. Rise of "Middle Powers" & geopolitical realignment
5. US political turmoil & domestic division

6. China’s assertive foreign policy & economic resilience
7. Strains in Trans-Atlantic relations
8. Volatility in commodity markets (beyond oil)
9. Evolving role of Japan in global markets
10. Growing pains in emerging markets

# Are investors rational?

## As markets began to recover from their Iran war-low, the investor buying was very rational. Now, that equity markets are close to their peak again, 'rationality' has moved to neutral … but not into negative territory.

### Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions




### What does it mean to be 'rational'?

Risk-off periods:

The tariff fears in 2025 and then Iran war in 2026 were key buying opportunities in equity markets. Yet, the overwhelming fear exhibited by investors in these periods largely meant they sold off risk assets in an emotional and irrational response.

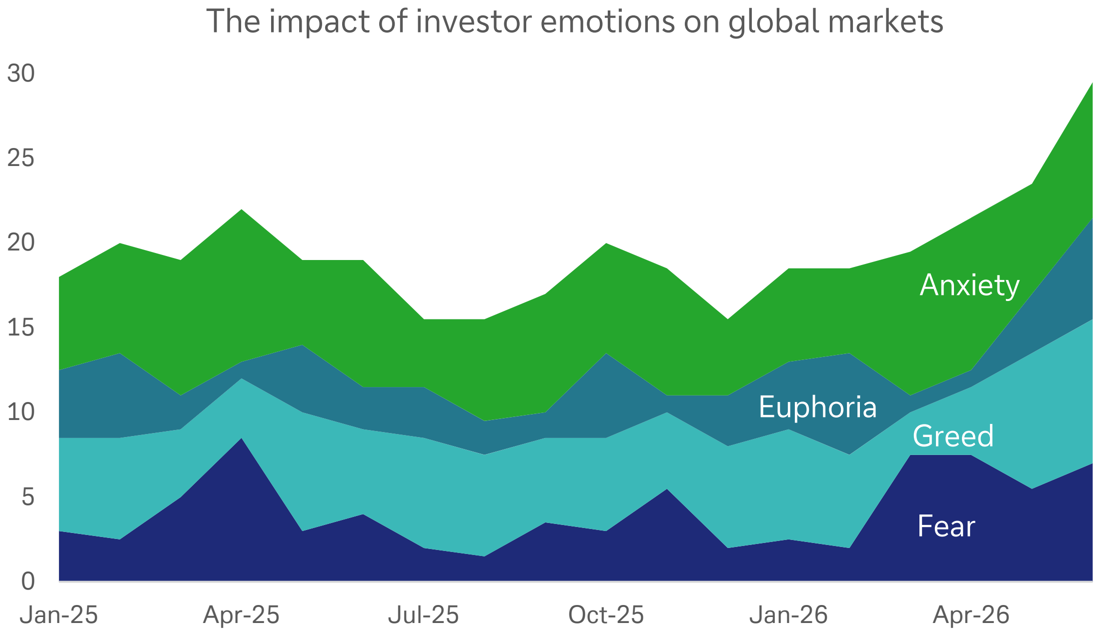
Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

# The most ‘emotion’ we’ve ever seen

## The four key market-moving emotions dominated trading in Q2. Hence the volatility in both directions.

### Emotion was everywhere in Q2 – volatility followed




### Status-quo bias is strong. That is creating more market volatility

Investors are loathe to consider the upside in bad times and the downside in good times. Thus, when sudden events change, market drops can be more aggressive than expected.

Some examples:

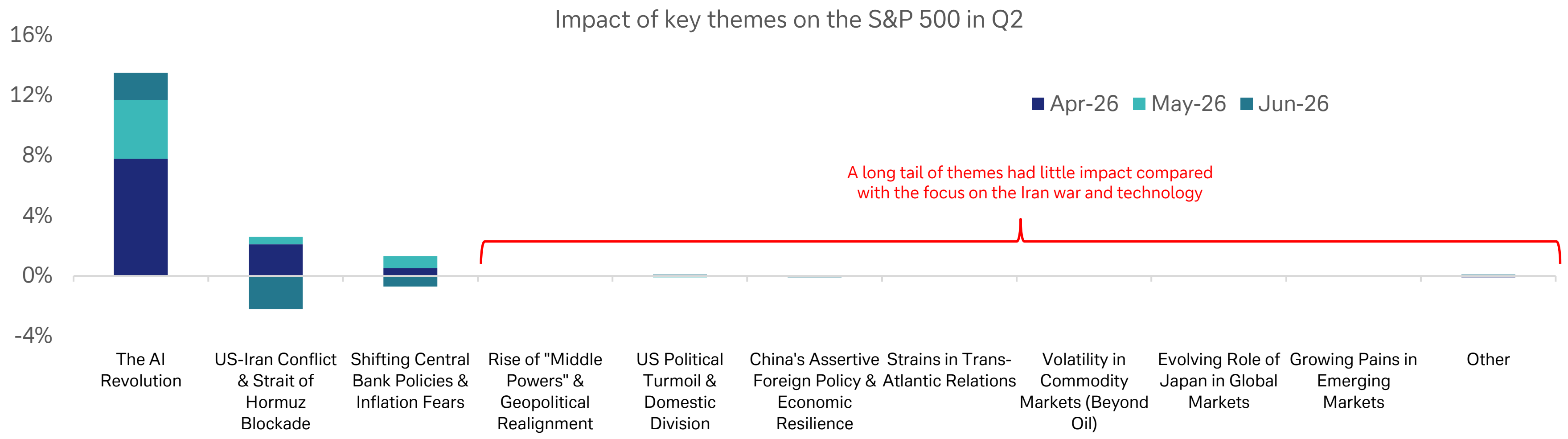
1. Rush to price in the downsides of tech disruption
2. Fear of considering sovereign risk
3. Fear of underperforming peers is greater than the desire to beat them
4. Unwillingness to price in the upside of iterative technology improvements
5. Narrow vision of what globalisation is and the fear that it has peaked

# dbLumina's estimate of how each key theme in Q2 impacted the S&P 500

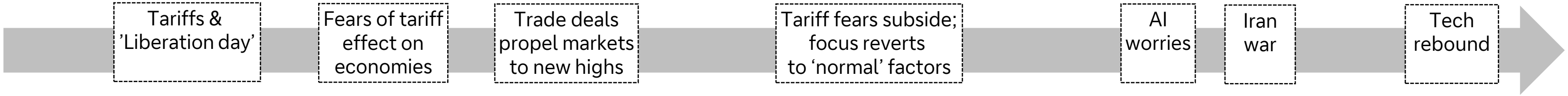
**AI surge**
Yet another strong rebound … after yet another period of AI-rally scepticism

**Iran conflict**
Markets settled after their initial shock

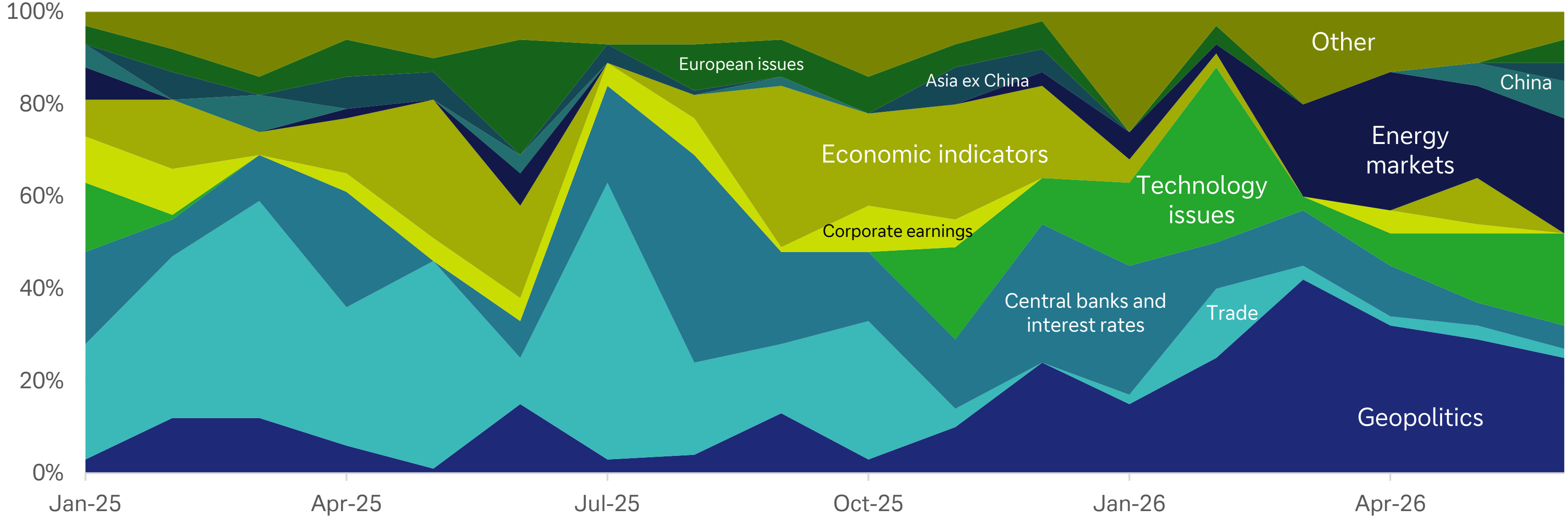
**Fed policy**
Uncertainty about both Warsh and the Fed's response to energy inflation



# Our AI analysis shows how groups of themes have driven markets over time




## The themes that impacted markets each month



# The impact of today's themes 1 year ahead:

## We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that returns will be lower than previously expected.

| | Theme | GDP Growth | S&P 500 | Interest Rates[1] | Inflation[1] |
|---|---|---|---|---|---|
| 1 | The AI Revolution | Strongly Positive | Strongly Positive | Positive (Upward) | Positive (Upward) |
| 2 | US-Iran Conflict & Strait of Hormuz Blockade | Negative | Negative / Volatile | Strongly Positive (Upward) | Strongly Positive (Upward) |
| 3 | Shifting Central Bank Policies & Inflation Fears | Negative | Negative | Strongly Positive (Upward) | Negative (Downward) |
| 4 | Rise of "Middle Powers" & Geopolitical Realignment | Neutral | Neutral | Neutral | Neutral |
| 5 | US Political Turmoil & Domestic Division | Slightly Negative | Negative / Volatile | Neutral | Neutral |
| 6 | China's Assertive Foreign Policy & Economic Resilience | Slightly Negative | Negative / Volatile | Neutral | Neutral |
| 7 | Strains in Trans-Atlantic Relations | Neutral | Slightly Negative | Neutral | Neutral |
| 8 | Volatility in Commodity Markets (Beyond Oil) | Neutral | Slightly Negative | Neutral | Neutral |
| 9 | Evolving Role of Japan in Global Markets | Neutral | Neutral | Neutral | Neutral |
| 10 | Growing Pains in Emerging Markets | Neutral | Neutral | Neutral | Neutral |

| | GDP Growth | S&P 500 | Interest Rates[2] | Inflation[2] |
|---|---|---|---|---|
| Sum of positive/negative indicators (positive is +1, negative is -1) | -2 | -3 | -5 | -2 |

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices
2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

# The impact of today's themes 3 years ahead:

## The medium-term picture now broadly reflects the short-term picture – a big change from last quarter when several risks were weighing on economies and markets

| | Theme | GDP Growth | S&P 500 | Interest Rates[1] | Inflation[1] |
|---|---|---|---|---|---|
| 1 | The AI Revolution | Very Strongly Positive | Positive | Mixed / Uncertain | Negative (Downward) |
| 2 | US-Iran Conflict & Strait of Hormuz Blockade | Neutral | Neutral | Neutral | Neutral |
| 3 | Shifting Central Bank Policies & Inflation Fears | Neutral | Neutral | Neutral / Stabilizing | Neutral / Stabilizing |
| 4 | Rise of "Middle Powers" & Geopolitical Realignment | Slightly Negative | Slightly Negative | Neutral | Neutral |
| 5 | US Political Turmoil & Domestic Division | Neutral | Neutral | Neutral | Neutral |
| 6 | China's Assertive Foreign Policy & Economic Resilience | Slightly Negative | Slightly Negative | Neutral | Neutral |
| 7 | Strains in Trans-Atlantic Relations | Slightly Negative | Slightly Negative | Neutral | Neutral |
| 8 | Volatility in Commodity Markets (Beyond Oil) | Neutral | Neutral | Neutral | Neutral |
| 9 | Evolving Role of Japan in Global Markets | Neutral | Neutral | Neutral | Neutral |
| 10 | Growing Pains in Emerging Markets | Neutral | Neutral | Neutral | Neutral |

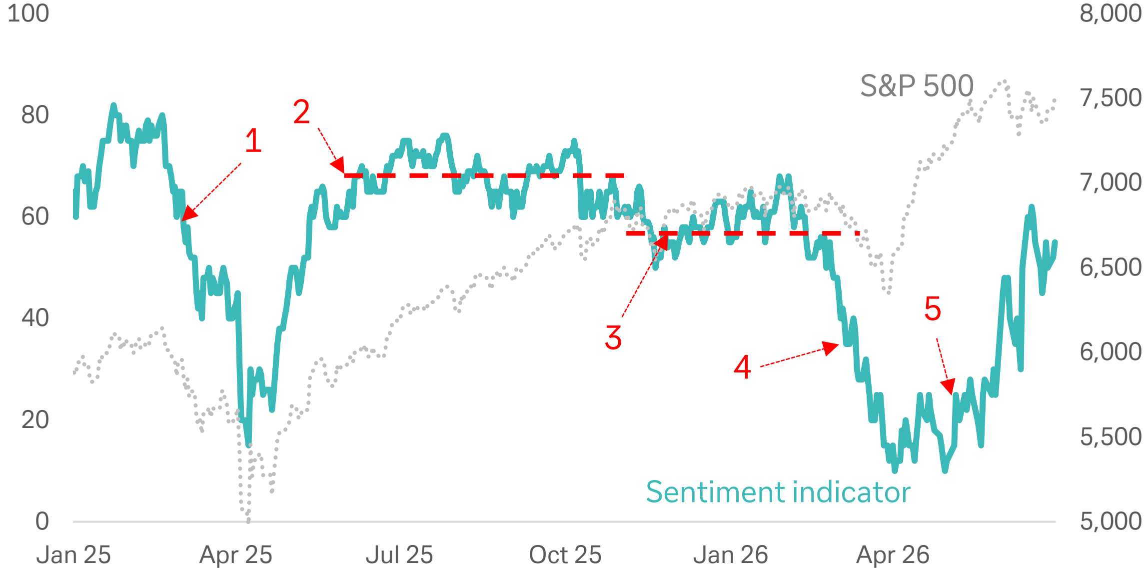
| | GDP Growth | S&P 500 | Interest Rates[2] | Inflation[2] |
|---|---|---|---|---|
| Sum of positive/negative indicators (positive is +1, negative is -1) | -1 | -1 | Nil | 1 |

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices
2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

# Our gauge of investor sentiment uses AI to interpret macro, economic, and market signals

## This is our response to the fact that so many confidence indices today fail to reflect technological and social megatrends that now affect markets.

It is early days, but our gauge appears to be developing some predictive qualities




1. Indicator drops 20 points in Feb-25 before the most dramatic stock market declines relating to tariffs.

2. Consistent strong sentiment as markets recovered from the tariff-induced sell-off.

3. Lower sentiment as markets top-out on valuations and software/PC nerves grow. Yet, no catalyst for a large drop.

4. Our sentiment indicator commenced a steep drop on 3-Feb. It fell 20 points before the war in Iran kicked off.

5. The slower, more volatile recovery in our indicator foreshadowed the volatility in the S&P 500 during June



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# Emerging themes – part 1

## We asked dbLumina to help us identify the key rising themes that have the potential to most impact markets and economies in the short term

### 1 The "sovereignty" premium in technology and AI

National governments are increasingly asserting control over the technology sector, extending beyond simple regulation to direct intervention in the name of "sovereignty."

This is evolving from a focus on supply chains into more direct control over AI models and data infrastructure. Examples include:

- The US asking OpenAI to restrict its latest model, GPT 5.6, to "government-approved entities" only.
- The US-led "Pax Silica" alliance expanding, aiming to secure AI supply chains, including critical minerals and energy
- China adding Japanese companies to an export control list
- Talks between Anthropic and the US Commerce Department over security fears related to its AI models

This trend reinforces the trend towards a future where access to advanced AI and technology is becoming fragmented along geopolitical lines, creating a "sovereignty" premium on nationally-controlled tech assets and disrupting the globalised tech ecosystem.

### 2 The rise of the populist left in Europe

While the rise of the populist right has been a long-running theme, a complementary trend is now gaining traction across Europe: the re-emergence of the populist left.

This is beginning to create new political uncertainties and potential fiscal challenges in key European economies. Examples include:

- Alexis Tsipras, Greece's former prime minister, announced his return to politics with a new party aimed at unifying the left.
- Across Europe's ten largest countries, support for populist left parties is now "rivalling that of strictly centrist parties".
- In the UK, Andy Burnham firmed as the favourite to become the next Prime Minister. He has previously supported greater government borrowing, causing some initial concern in gilt markets.
- Local elections in the UK showed a drive towards the populist left and right, putting pressure on centrist leadership.

The growing influence of the populist left could challenge the established fiscal consensus in Europe, potentially leading to increased government spending, greater sovereign debt issuance, and renewed focus on wealth distribution policies.

# Emerging themes – part 2

## A key learning from the 'emerging theme' analysis is the focus on some longer-term themes that have been pushed aside by the conflict in Iran and the focus on tech

### 3 The AI "picks and shovels" investment thesis

As the initial euphoria and fear around AI business models mature, a more pragmatic investment theme is emerging, focused on the underlying infrastructure and enabling technologies—the "picks and shovels" of the AI gold rush.

- The entry of three new firms—Vertiv, Lumentum, and Coherent—into the S&P 500, all of which specialise in AI supply chain components like power, cooling, and high-speed optical parts.
- Major plans from chipmakers Samsung and SK Hynix (potentially $1.3tn over ten years) for chipmaking plants and data centres
- Comments from TSMC that global chip supply will be insufficient to meet demand "for years to come" reinforcing the long-term demand for the foundational hardware of AI.

This theme suggests a broadening of the AI investment landscape, with increasing investor attention on the less glamorous but potentially more durable companies that provide the essential hardware and infrastructure for the AI revolution.

### 4 "Middle power" diplomacy and strategic hedging

The "middle powers" are navigating changes to US foreign and trade policy, the tense relationship with China, and other global conflicts by building new alliances. They aim to hedge their dependencies and carve out more independent foreign policy paths. Examples include:

- A meeting of Mercosur's leaders to discuss the implementation of their trade deal with the EU
- Canada inaugurating a sovereign wealth fund specifically to reduce its economic dependence on the US and its Prime Minister visiting President Xi in Beijing to reset relations.
- Colombia's election of a new hard-right president, signalling a domestic policy shift that has implications for its relationship with the US.

Frequently, geopolitical trends take a long time to play out. This trend is accelerating on a monthly basis. It indicates the oft-talked about multipolar world is quickly becoming a practical reality. This creates new opportunities and risks in international relations and trade.

# Current evolving risks

## Today's key concerns revolve around assumptions that key risks will turn out to be positive for markets. A big assumption.

### 1 Geopolitical Miscalculation in the Middle East

The fragile US-Iran ceasefire could unravel at a moment's notice.

Iran is constantly testing the truce, including attacks on shipping and back-and-forth military strikes

Markets appear far too sanguine about the risks of a reignition of a full-scale conflict.

### 2 AI-Driven Market Disruption and Valuation Risk

AI is a dual risk: the potential for disruptive technology to upend established business models and the risk of a valuation bubble in AI-related stocks.

Further AI sell-offs in non-tech sections also appear possible following similar instances in wealth management and private capital.

### 3 Sovereign Debt Fragility and Fiscal Strain

Global sovereign bond markets showed increasing signs of stress.

We do not expect a serious developed-market default, but several factors increase the risk of fear-based market sell-offs.

Japan and Europe remain clear risks. Secondary effects could press through other markets, particularly if oil prices flare up.

### 4 A US Consumer and Labor Market Slowdown

The economic indicators continue to show an inconsistent trend and investors may have become too used to the US labour market 'always finding a way through'.

Persistently low consumer sentiment risks turning into a broader downturn should another shock (such as a renewed energy crisis) hit the US economy.

# Emerging risks underestimated by the market – part 1

## Iran and tech dominate risk equations but several risks are underestimated

### 1 Social & political backlash against "Big Tech" and AI

An undercurrent of social and political resistance to the influence of technology and AI is steadily growing. While the market is focused on the economic disruption and investment opportunities of AI, a broader societal backlash is forming that could lead to significant regulatory, legal, and fiscal headwinds for the sector.

Examples:

- Legal & Regulatory: A California court ruled on tech companies creating addictive platforms for minors. Governments are also proposing legislation, such as Canada's bill to ban social media for children and similar measures being considered in the UK, France, and Spain.
- Societal & Fiscal: South Korea has proposed a "national dividend" funded by tax revenue from AI-related profits. Ireland has demanded that new data centres "Bring Your Own Power" (BYOP),

Potential Impact (1-3 Years):

- Inflation/Equity Prices: A wave of litigation and stringent regulations could impose massive costs on major technology firms
- Interest Rates/GDP Growth: New taxes on AI or technology, like the proposed "national dividend," could alter fiscal landscapes and influence government spending, potentially affecting GDP and central bank interest rate policy.

### 2 The politicisation of trade and infrastructure

Beyond standard tariffs, a more complex and unpredictable risk is emerging where critical trade routes and infrastructure are being used as leverage in geopolitical disputes.

The market has treated the Strait of Hormuz situation as a temporary, energy issue, yet it is a dangerous example of the politicisation of global chokepoints

Examples:

- Control over chokepoints: Iran has demonstrated its ability disrupt traffic in the Strait of Hormuz at a very low financial cost to establish a persistent form of leverage over the global economy.
- Targeting infrastructure: Continued Iranian attacks on neighbouring countries sets a dangerous precedent for how other conflicts may play out

Potential Impact (1-3 Years):

- Inflation/GDP Growth: The risk of similar disruptions in other global chokepoints could lead to recurring supply chain crises, driving sustained inflationary pressures and hampering global GDP growth.

- Equity Prices: Sectors reliant on global shipping, manufacturing, and stable energy supply may face recurring shocks to their earnings and valuations.

# Emerging risks underestimated by the market – part 2

## Iran and tech dominate risk equations but several risks are underestimated

### 3 The fragmentation of the EU's political centre

While the market has reacted to specific events like the UK leadership turmoil, it appears to be underestimating the broader, structural trend of political polarisation that could threaten the EU's cohesion and policy-making ability.

Examples:

- Rise of the Populist Left: Support for these parties now rivals that of strictly centrist parties. Just one example was the return of Alexis Tsipras in Greece.
- Internal EU Disagreement: Disagreements on core policies are becoming more pronounced. The summit on European competitiveness revealed a lack of alignment between France and Germany on joint eurobonds, leading to a suggestion that a smaller group of countries might push ahead with "enhanced cooperation".
- Weakening of Traditional Alliances: The UK's political instability has been a consistent theme, while the EU's response to US tariff threats and the US-Iran conflict has been disjointed

Potential Impact (1-3 Years):

- Interest Rates: A breakdown in fiscal cohesion could lead to diverging sovereign bond yields and increased risk premiums for fiscally weaker EU member states
- GDP Growth/Equity Prices: Political paralysis or a turn towards protectionist policies could stifle the single market, hindering the continent's growth and impacting the performance of European equities.

### 4 'Grey Zone' escalation and the limits of military deterrence

"Grey zone" tactics—actions that are hostile but fall below the threshold of conventional warfare—are growing. Iran's recent actions have demonstrated that a technologically inferior power can impose significant costs on a military superpower and its allies, a risk that the market has not fully priced in.

Examples:

- Asymmetric Warfare: Iran's ability to close the Strait of Hormuz along with its cheap rockets and drones that have been a severe burden on the far more expensive US and Israeli interceptors.
- Proxy Forces: Iran has proven adept at enlisting loyal groups like the Houthi rebels in Yemen and Hezbollah in Lebanon to exert pressure and escalate the conflict horizontally.
- Economic Disruption as a Weapon: Iran's strategy involved not just military threats but also creating regional instability and economic pain – tactics that could be replicated in other conflicts.

Potential Impact (1-3 Years):

- Inflation/GDP Growth: A proliferation of these tactics globally could lead to a state of perpetual, low-level conflict, disrupting trade, raising insurance costs, and creating a persistent drag on global growth and a floor for inflation.
- Equity Prices: Defence sector stocks may benefit, but the broader market would likely face a higher risk premium due to the constant threat of unpredictable disruptions.

# Appendix 1

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# Q2 Tech Performance Review: Memory Wins, Chips Dominate

July 1, 2026


**Marion Laboure | Camilla Siazon**

**Deutsche Bank Research Institute**


IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Apple increases MacBook and iPad prices by 20%
Micron Soars After AI-Fueled Forecast Shatters Estimates
Wall Street ends lower on semiconductor selloff as AI spending concerns mount
Alibaba sues Pentagon over inclusion on Chinese military blacklist
Chinese AI, chip firms are driving an onshore IPO rebound
Anthropic Halts Access to Top AI Models After U.S. Ban on Foreign Use
Apple seeks to buy memory chips from blacklisted Chinese company

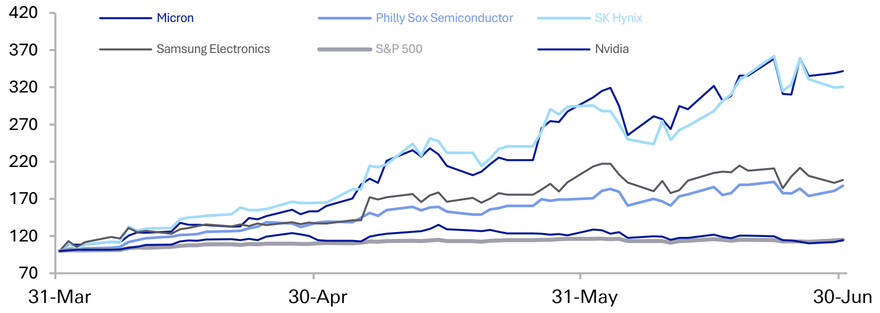
# SUMMARY: Memory wins, chips dominate

In Q2, equities ran largely uncorrelated from events in Iran, driven by a tech rally despite ongoing concerns over the war. Strong earnings growth fuelled the Mag 7's rise in April (+15%) and May (+7%). Then last month, risk assets sold off despite the June 15 US-Iran peace deal, as worries over rising Fed hawkishness, the memory shortage's inflationary impact, and doubts over AI demand sustainability triggered a sell-off in AI stocks. Still, despite the meltdown over the last few weeks, tech delivered a remarkable run this quarter, with AI excitement significantly outweighing macro and geopolitical concerns around the war. The Mag 7 ended up +12% on the quarter.

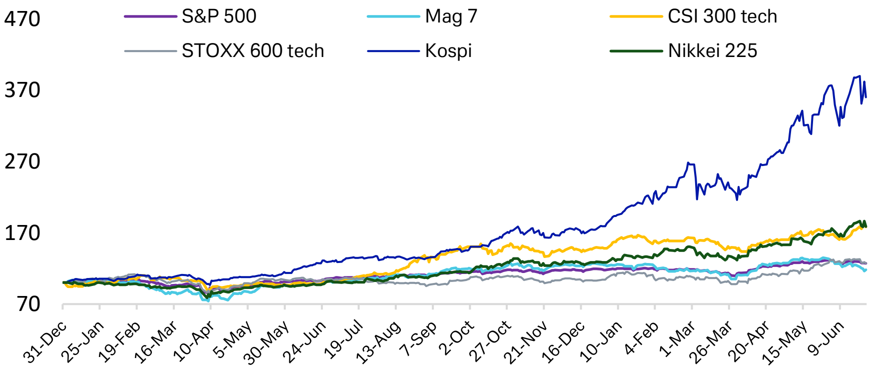
The spotlight has been on memory chipmakers in particular, which drove most of tech's outperformance – and its June selloff. The ongoing memory shortage has led to rising returns for Micron (+242% q/q), SK Hynix (+228% q/q) and Samsung Electronics (+100% q/q), all of which have now joined the $trn dollar market-cap club. Asian equities followed, with the Nikkei 225 (+37% q/q) and Kospi (+67% q/q) outperforming their Western counterparts.

What will Q3 bring? Micron's results were probably enough to restore confidence in AI-driven demand, particularly in data-centre memory. But volatility under a more hawkish Fed will likely persist, and BIS has warned of AI exuberance risk ending in a lengthy investment bust. In crypto, payments and fintech, expect continued pressure as investors rotate into AI. Tech should remain the underlying volatility driver, with the US most exposed.

## Memory chipmakers have had geometric rises…




## … pushing up Asian equities in particular

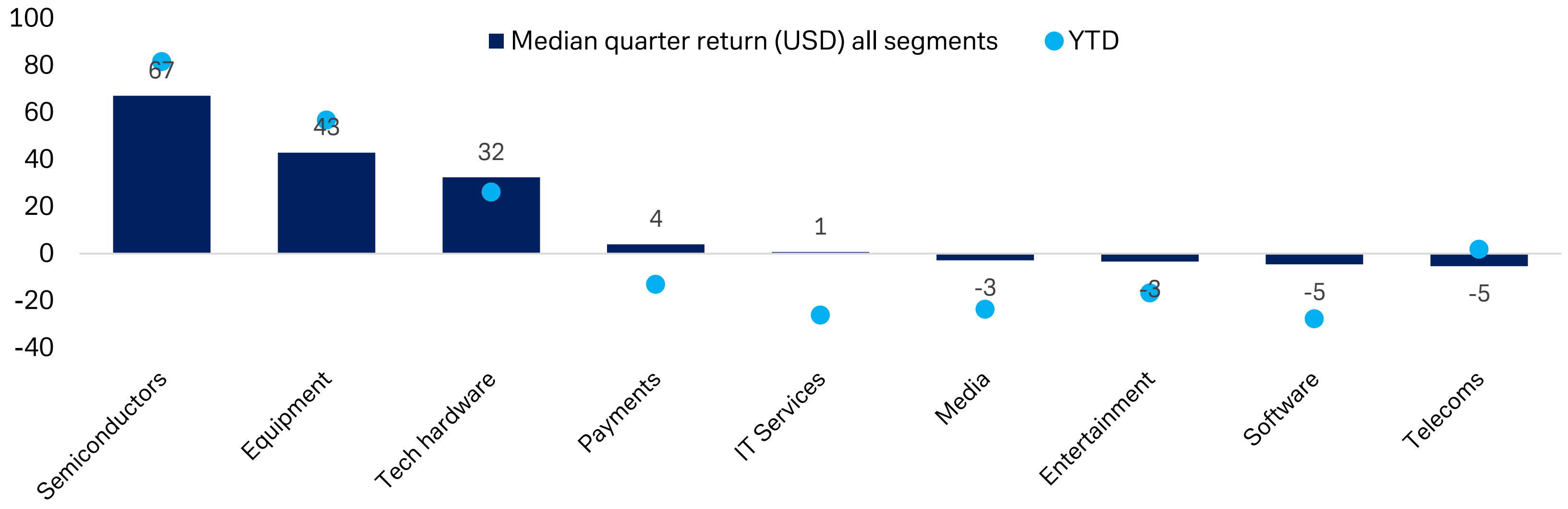



Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

# 1. GLOBAL INDUSTRY BREAKDOWN

Semiconductors and chip-related stocks are tech's clear group-stage winners in Q2 and YTD, led by Chinese and other Asian companies like GigaDevices (+248% q/q) and ACM Research (+210% q/q). Outside of semis, equipment and tech hardware, the rest of the field struggled. Payments and IT services continue to underperform in both AI risk-on and risk-off environments, with this quarter also weighed down by Accenture's (-37% q/q) weak FQ326 earnings in June. Software remains the worst performer, as AI disruption continues to hit companies including Intuit (-39% q/q), Horizon Robotics (-38% q/q) and Sensetime (-27% q/q).

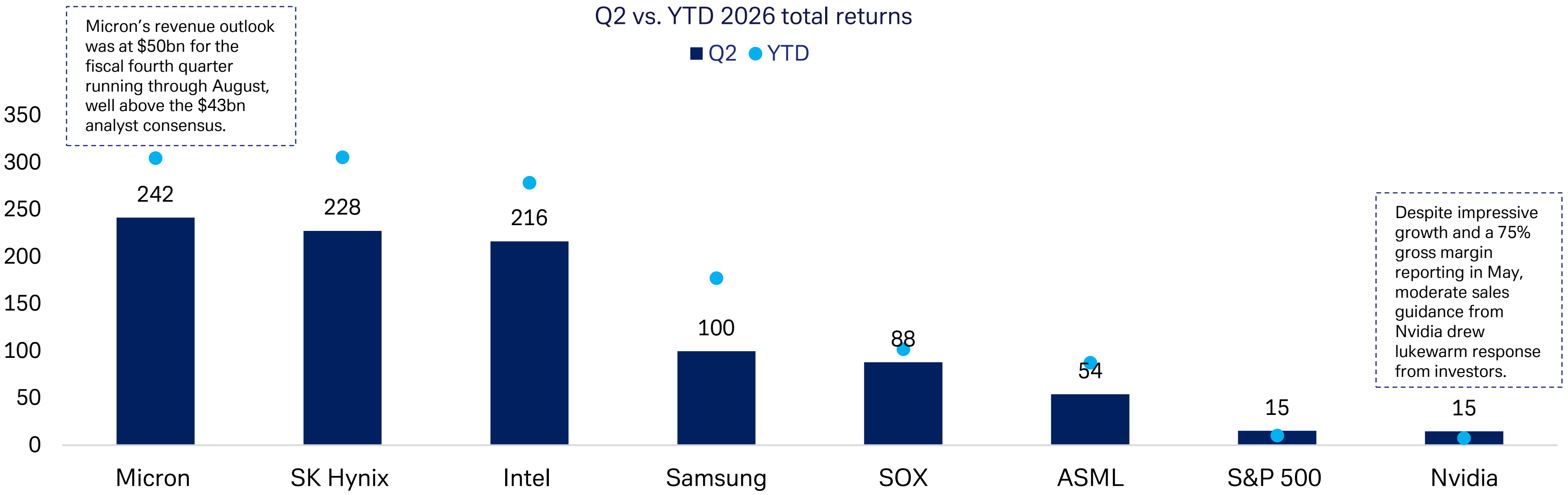
Median total returns for tech sectors over Q2 vs. YTD returns




Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

## 2. SEMICONDUCTORS

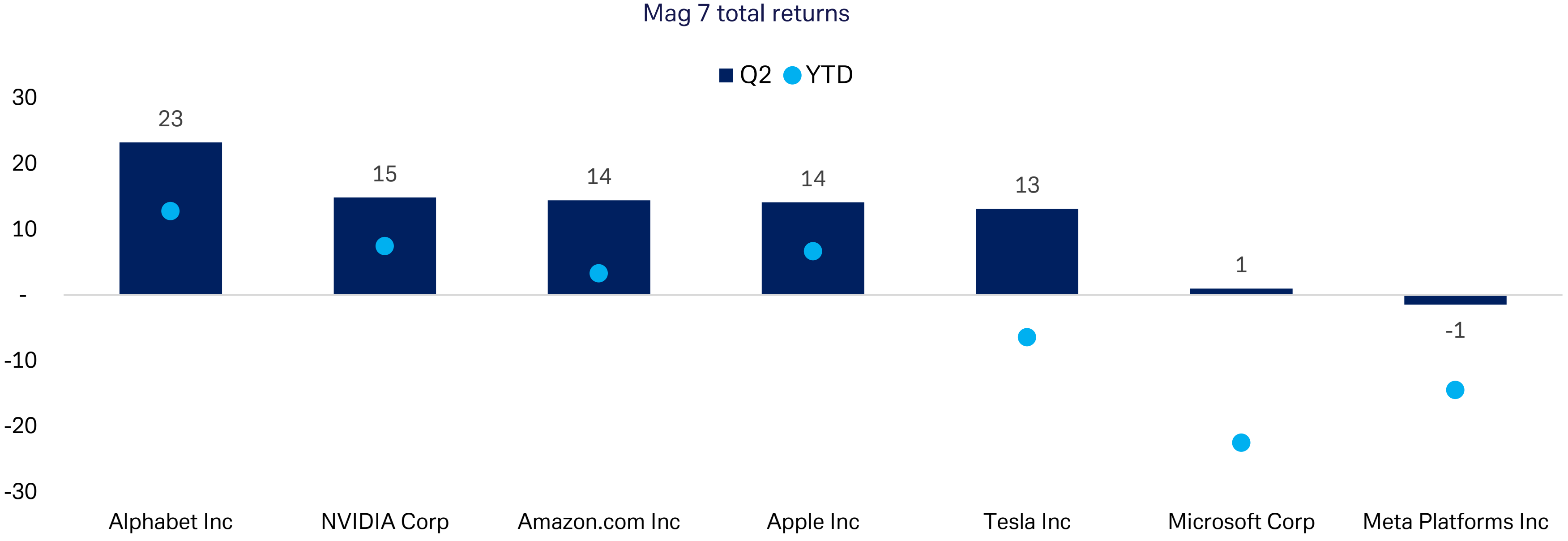
Memory chipmakers will continue to benefit from persistent industry imbalances, with Micron and SK Hynix the standout performers. Micron's earnings beat ignited hopes about AI-fuelled growth and helped push back against bubble fears. SK Hynix has also confirmed it will seek over $29bn via the issue of ADRs on the Nasdaq. Intel (+216% q/q) surged on a strong earnings beat and accelerating foundry momentum, with reports that Apple is evaluating Intel's 18A process and Google has reportedly placed orders for more than 3mn TPUs for 2028. Elsewhere, the Philadelphia Semiconductor Index (+88% q/q) posted its best quarterly performance since the index began in the early 1990s.




Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

# 3. MAGNIFICENT 7

The Mag 7 started Q2 on a high, driven by strong earnings growth against a backdrop of hyperscaler capex expected to exceed $700bn this year. In June, elevated large-cap tech positioning combined with AI concerns temporarily dragged the index into correction territory, although the group recovered by quarter-end (+12% q/q). Microsoft (+1% q/q) continues to lag YTD, as dual concerns over its ability to compete on AI spending and AI disruption risk persist.

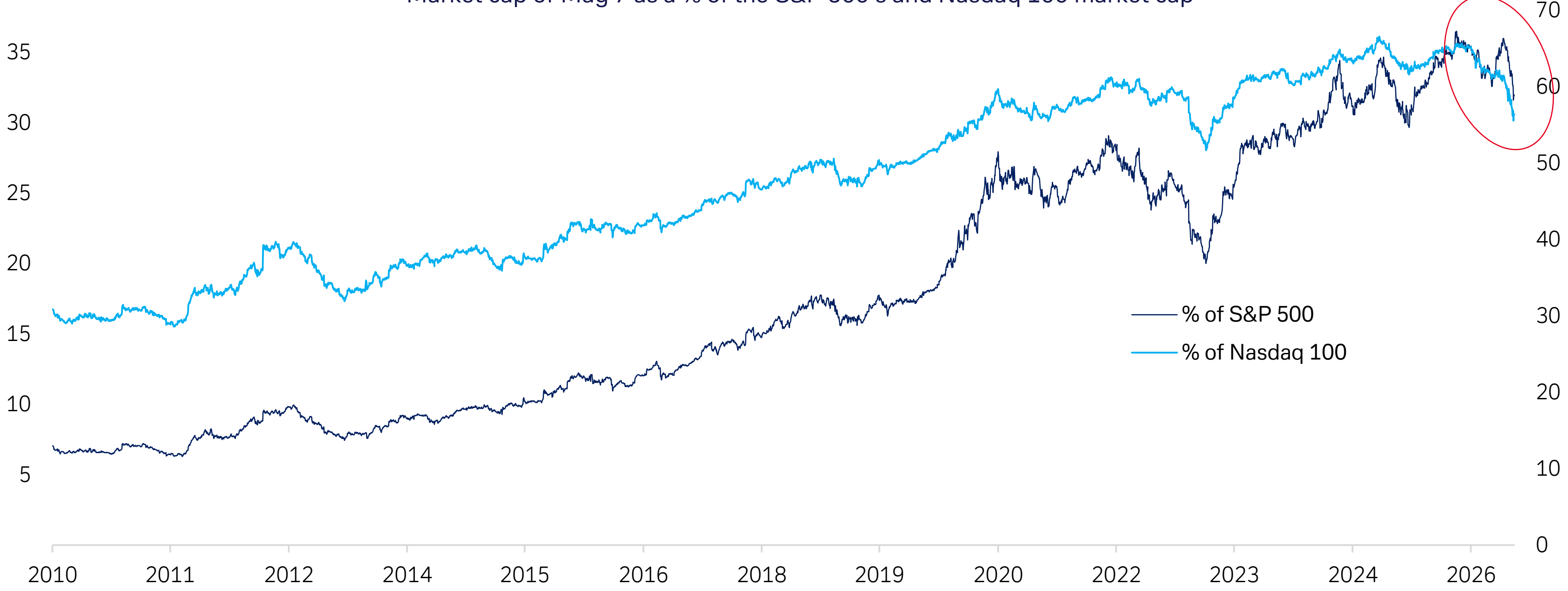



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

# 3.1 MAGNIFICENT 7

Large-cap tech stocks are down significantly, dragging the S&P 500 down modestly, even as two-thirds of the overall stocks and industries are up, alongside small- and mid-caps. Still, according to our strategists, there is an ongoing rotation away from large-cap tech and into other sectors and regions that have lagged.

Market cap of Mag 7 as a % of the S&P 500's and Nasdaq 100 market cap

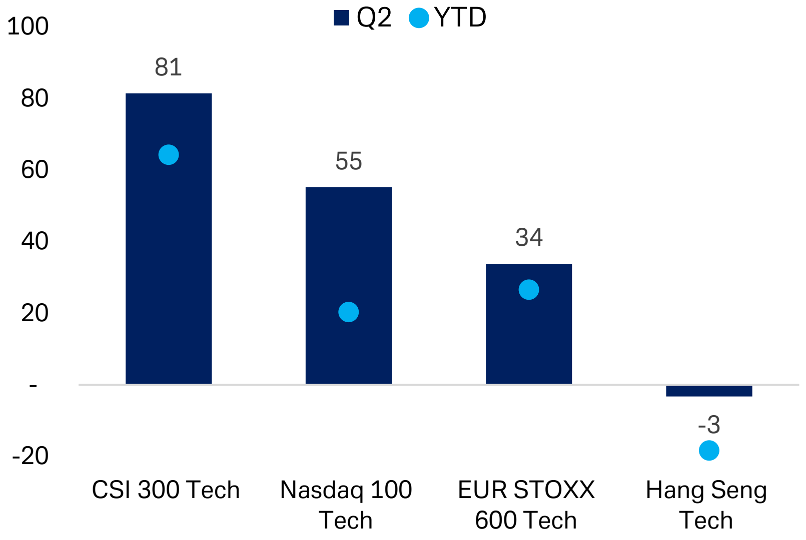



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

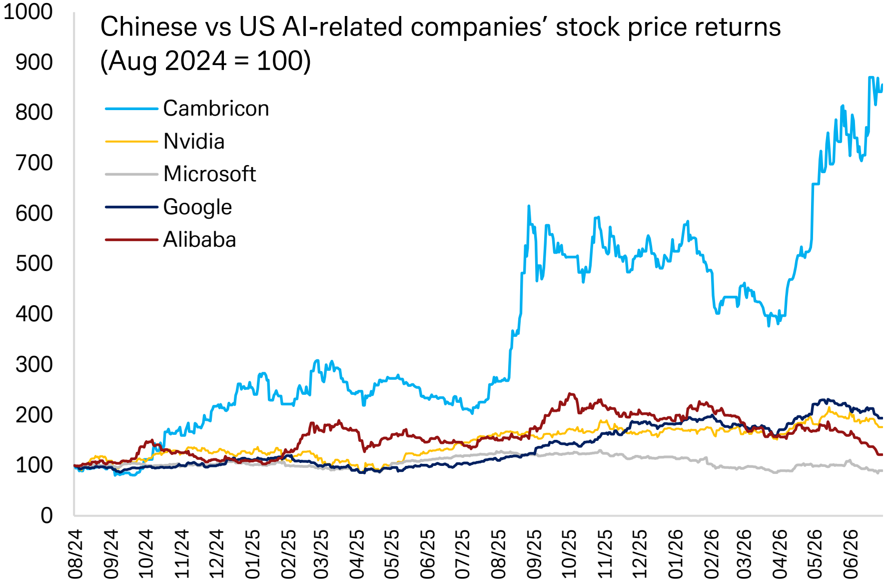
# 4. REGIONAL BREAKDOWN

Chinese stocks are leading YTD and quarterly gains, buoyed by local memory chipmakers, while off-shore HK-listed tech continues to suffer from old-guard heavyweights like Xiaomi (-32% q/q), Alibaba (-21% q/q), and Tencent (-10% q/q). Elsewhere, European tech equities saw some growth but suffered substantial outflows during the war, with software companies particularly affected over the last six months.

Top global tech indices – Q2 vs. YTD total returns




Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

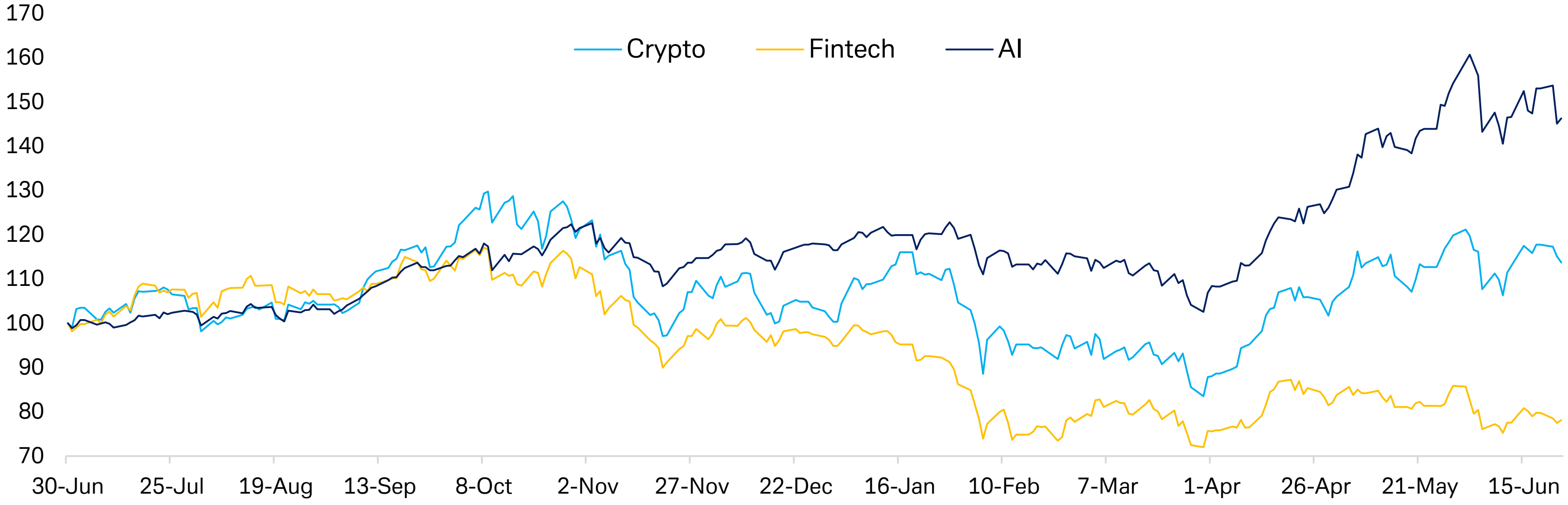



Source: Deutsche Bank Research, Bloomberg Finance LP. Indexed to 100. Updated June 30, 2026.

# 5. CRYPTO, AI & FINTECH

Crypto extended its struggles in Q2, falling below $60k in June as a renewed sell-off was driven by a more hawkish Fed outlook, record institutional ETF outflows, uncertainty over the CLARITY ACT, and rotation of risk capital into AI (see here). Our Fintech and blockchain ETF remains the worst-performing segment YTD (-17%), weighed down by ongoing pain at companies like Canton Strategic Holdings (-14%) and Circle (-34%). Fintech sentiment remains weak more broadly, with the steady demand deterioration coupled with long-term fears around AI disintermediation.

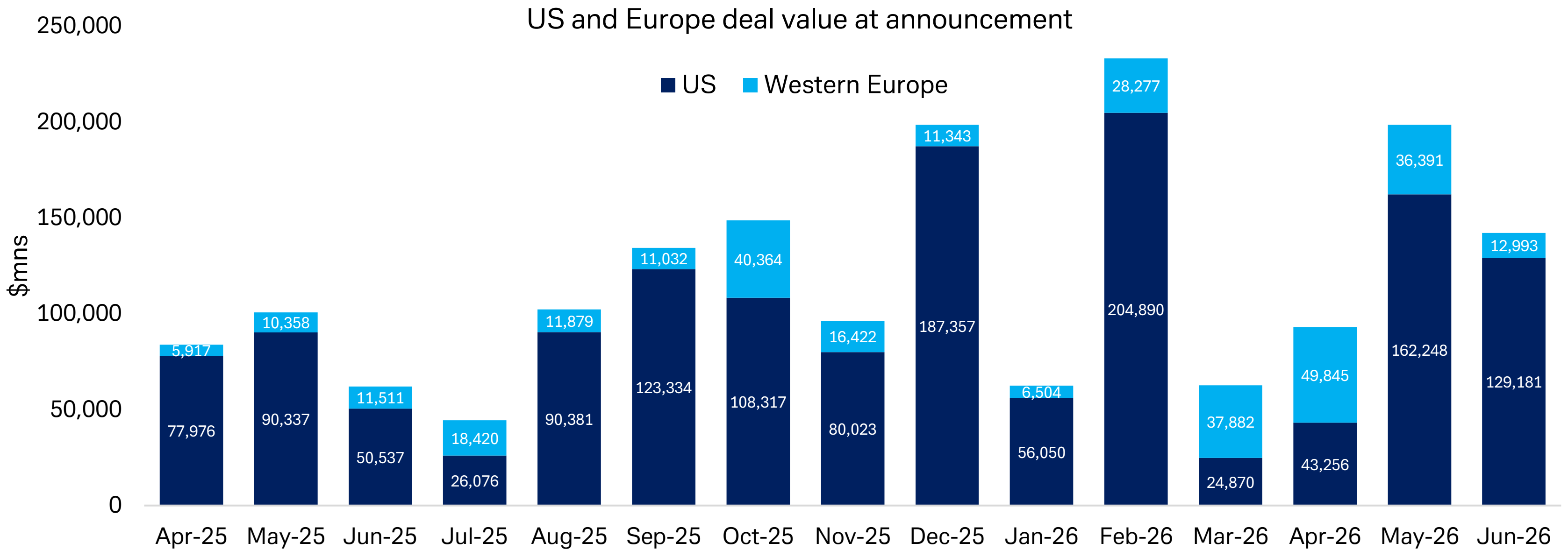
Crypto, AI & Fintech performance rebased to June 2025




Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated June 30. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF.

# 6. M&A

After a halt in April, Q2 was a blockbuster quarter for mega-cap AI IPOs, with Anthropic ($65bn) and OpenAI ($852bn) filings. Beyond IPOs, semiconductors M&A led the way, including Analog Devices' proposal to acquire Empower Semiconductor for $1.5bn in May and ONSemi's $6.8bn acquisition of Synaptics Inc, announced on 25 June.




Source: Deutsche Bank Research, Dealogic. Values up to June 29.

# Appendix 1

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# This Month in Geopolitics: July 2026

## Key events, themes and trends to watch in the month ahead

July 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute



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# **At a Glance:** Geopolitical events to watch in **July 2026**

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.

**US/Mexico/Canada:**
- **1 July:** Beginning of the mandatory six-year joint review process of the US-Mexico-Canada (USMCA) trade agreement

**United Kingdom**
- **9-17 July:** Should no other Labour MP mount a leadership challenge, it is likely that **Andy Burnham will become the next Prime Minister** by mid-July

**Europe:**
- On 1 July, the EU introduced **new levies on low-cost shipments** and **rules to protect the EU steel market** – both implicitly aimed at China. At the same time, the EU and China have agreed to enter three months of talks to try to avoid a trade war.

**Switzerland/UN**
- **6-10 July:** Geneva will host three UN-backed summits focused on AI / digital governance and cooperation

**United States:**
- **13 July:** The US could introduce higher tariffs, price floors or other measures on some critical mineral imports
- **24 July:** The US global 10% import tariff is set to expire, and is expected to be replaced by new Section 301 levies

**India:**
- **1-3 July: Japan's** Prime Minister Takaichi is expected to visit India
- **24 July:** India and the **US** could seek to finalise talks on an interim trade agreement by this date

**NATO Summit: (Ankara)**
- **7-8 July: NATO 3.0: Redefining Burden-Sharing : US p**ressure on European allies to carry more of the security burden will likely headline the summit.

**US-Iran:**
- **All July:** Peace negotiations are set to continue. Watchpoints include implementation disagreements, Gulf states' requirements for security guarantees, and domestic political opposition from key parties

**China:**
- **Late July:** Politburo meeting is expected to set economic priorities for 2026-H2

**Australia/Indonesia/New Zealand:**
- **6-11 July:** India's Prime Minister Modi could reportedly pay an official visit to the three countries

Source: Deutsche Bank



Deutsche Bank Research Institute

# In the spotlight for July 2026: US-Iran peace talks and China-EU trade tensions

## US-Iran peace talks (all of July)

**The US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. This process is unlikely to be without friction.** There are many moving parts in negotiations and we should watch closely for disagreements over implementation, Gulf states' requirements for security guarantees, and domestic political opposition from key parties. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

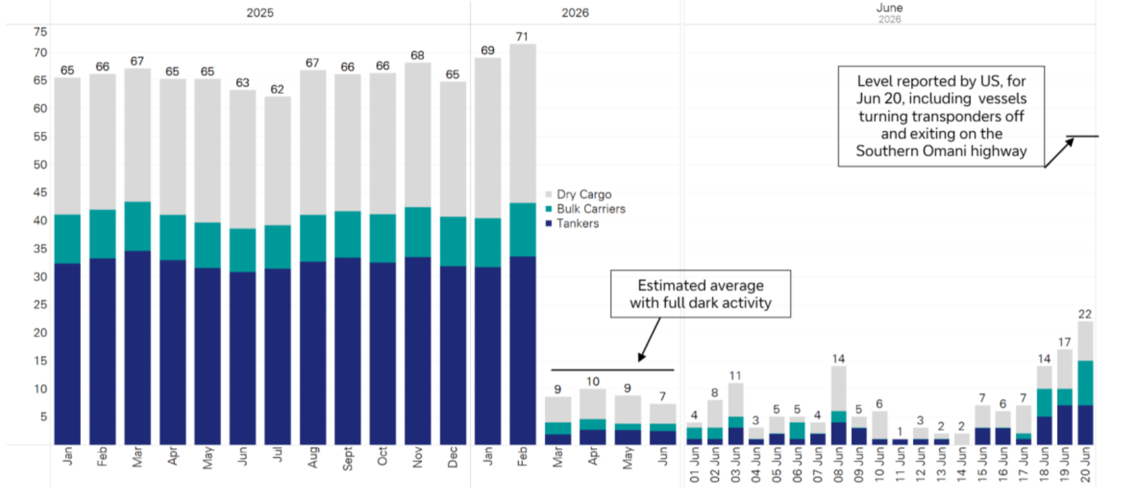
Shipping levels through the Strait of Hormuz have increased (see top chart), but **traffic will likely take time to recover to pre-war levels** given the challenges of de-mining, a lack of trust between the US and Iran, and Iranian threats. Infrastructure repair to ports, terminals and energy infrastructure, as well as the provision of security guarantees are other factors to watch. While crude oil prices have recovered to pre-war levels, full operational normalization, involving infrastructure repairs, is not expected until 2027 and beyond.

## China-EU trade tensions (all of July)

**While efforts have been initiated to avoid a trade war, the EU continues to implement new measures against China.** On 29 JUN, the EU and China agreed to a 3-month dialogue with a commitment to reconvene in October on four "workstreams" to make progress on trade disagreements, including export controls, trade and investment balancing, and a joint monitoring mechanism to improve transparency and manage trade frictions.

At the same time, the EU Council **has reportedly tasked the European Commission with developing new trade defence tools** implicitly aimed at addressing trade imbalances with China. The trade imbalance, along with perceptions that China's currency is undervalued, is a growing political concern for the bloc (see bottom chart). **Two new EU measures implicitly aimed at China entered into force on 1 JUL.** The first is a temporary €3 (US$3.4) **customs duty per item levied on low-cost shipments entering the bloc**. The measure intends to address imports from Chinese e-commerce companies and will remain in force until 1 JUL 2028. **New rules intended to protect the EU steel market from global overcapacity** entered into force, which include a revised quota system. China is the world's largest steel producer, accounting for around 50% of global output.

## Blue-water commercial cargo tankers exitin the Strait of Hormuz (from 2025) version count

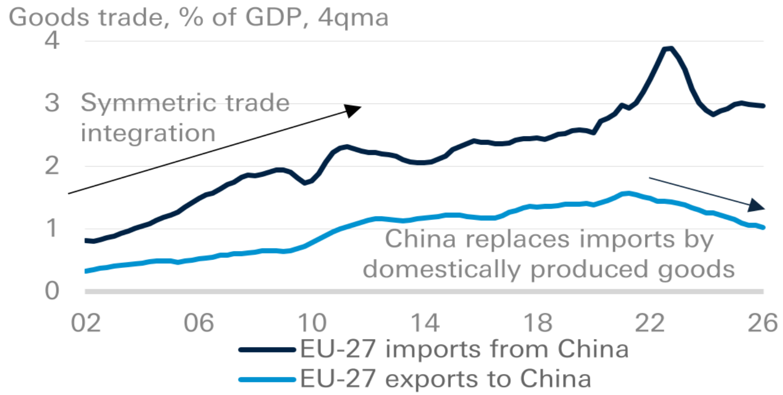



Source: dbDataInsights

**Note:** Pre-crisis figures do not account for 'dark activity' (estimated 3-6 vessels per day with transponders off, mainly Iranian tankers). Following the crisis, we implemented a methodology to estimate partial dark activity by cross-referencing Persian Gulf port departures with confirmed arrival records outside the SoH, and media reports. Based on this, our recorded average daily vessel crossings from March to mid-June were nine. However, if we were to triangulate all estimated dark activity, average daily crossings during this period would likely have been in the low-teens. Dark activity appears to have picked up significantly since the MoU was signed as the U.S. Central Command said 55 commercial ships passed through the strait on 20 June.

For a detailed analysis of the impact of the Iran conflict and the outlook for the Strait of Hormuz, please see Twenty Miles That Shook the World

## Structural trend of a widening EU trade deficit with China




Source: Eurostat, Deutsche Bank. For more detail see: Germany Blog: Stepping up trade defences against China



Deutsche Bank Research Institute

# Key events, issues and themes to watch in **July 2026**

Listed in chronological order

## US trade policy (all of July)

**July could see the introduction of new US tariffs against dozens of trading partners.** The expiry of US 10% global Section 122 tariffs **on 24 July**, and their expected replacement by Section 301 levies, should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. Countries with existing framework agreements with the US could see the rates of new levies capped at previously agreed levels. **New US Section 301 tariffs on China** could increase bilateral tensions, although we assess that a return to significant trade escalation remains unlikely as long as both leaders continue to signal a commitment to strategic stability.

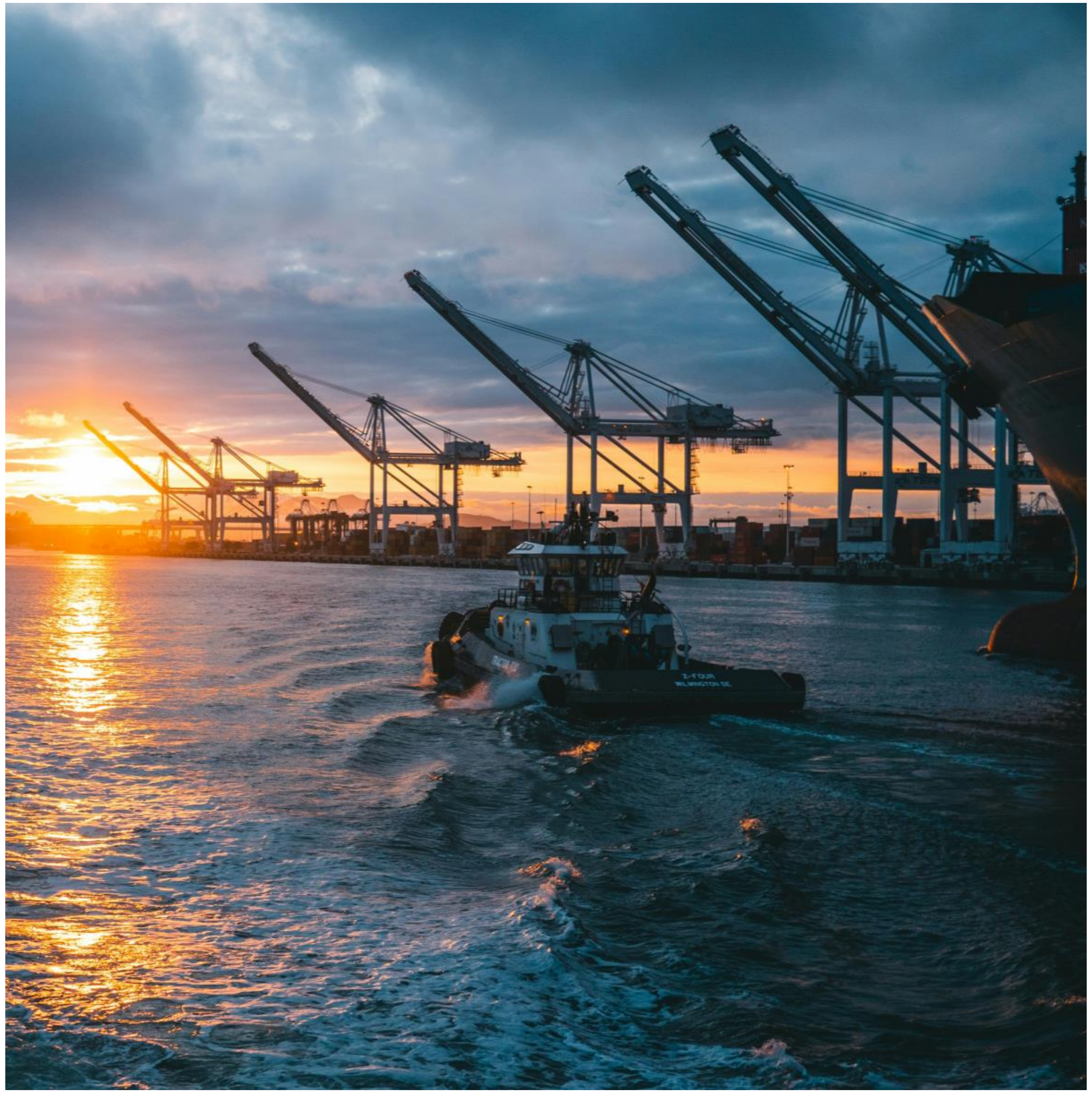
Under a separate Section 232 investigation **into critical minerals**, after 13 July, the US may choose to impose tariffs, price floors or other trade measures in response to minerals agreements judged to be incomplete or ineffective.

## US-Mexico-Canada trade talks (1 July onward)

**The renewal talks are expected to be challenging and potentially protracted.** 1 July marks the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process. The three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode if consensus is not reached. **Officials have signaled that the complex negotiations may continue beyond the initial review date**. President Trump's statements in June expressing skepticism over the deal and its value to the US could add another layer of uncertainty to the talks.

## Japanese Prime Minister Takaichi's expected to visit India (1-3 July)

**The visit will likely aim to strengthen bilateral trade and investment ties.** Prime Minister Takaichi's first official visit to India will likely include a bilateral meeting with Prime Minister Modi. Areas of focus in talks could include increased cooperation in semiconductors, strengthening supply chain resilience, as well as security cooperation. Both countries are members of the Quad initiative, and bilateral ties have strengthened in recent years as New Delhi and Tokyo diversify their international ties amid rising geopolitical uncertainty. **Japan is India's fifth-largest foreign investor**, particularly in sectors such as automotive manufacturing, digital technology, clean energy and infrastructure.



Source: Ronan Furuta on Unsplash

# Key events, issues and themes to watch in **July 2026**

Listed in chronological order

## AI/digital summits in Geneva (6 -10 July)

**Switzerland will host three UN-backed summits during July.** The UN will hold its inaugural **Global Dialogue on AI Governance** (6-7 July), intended to establish shared principles on AI governance and improve interoperability across emerging national regulatory frameworks. The summit takes place alongside two meetings organized by the International Telecommunication Union (ITU). The annual **AI for Good Global Summit** (7-10 July) aims to translate AI policy discussions into technical standards, public-private partnerships and scaled deployment of AI solutions. The **World Summit on the Information Society** (WSIS; 6-10 July) centres on promoting global digital cooperation.

## NATO leaders' summit in Ankara (7-8 July)

**Pressure on European allies to carry more of the security burden will likely intensify as US stockpile and resource constraints bite after the Iran war.** President Trump's demands will likely headline the NATO Leaders Summit. **It is slated to assess the credibility of national defence spending plans** and advance the emerging "NATO 3.0" agenda under which European NATO members take on more responsibility for their own conventional defence.

Ahead of the meeting, **the US has announced some military pullbacks from Europe** and reportedly notified allies of further planned reductions to its NATO Force Model contributions. To slow the withdrawal of hard-to-replace US capabilities (such as air defence, long-range weaponry and strategic airlift), European leaders will stress their commitment to NATO's new 3.5%-of-GDP target for "core" defence spending and their readiness to help clear the Strait of Hormuz.

## India's Prime Minister Modi could visit Indonesia, Australia and New Zealand (6 -11 July)

**Media reports indicate that Modi could visit the three countries during July, even though no plans have been officially confirmed.** The prime minister's itinerary could reportedly include talks with Indonesian President Prabowo Subianto, Australian Prime Minister Albanese and New Zealand's Prime Minister Luxon. If confirmed, the visit would likely reflect New Delhi's **intensifying economic and security engagement with regional middle powers** amid rising global geopolitical risk and global trade volatility.

Source: Jannik on Unsplash

# Key events, issues and themes to watch in **July 2026**

Listed in chronological order

## Appointment of new UK Prime Minister (mid-July)

**UK will see the appointment of its 7th Prime Minister since 2016.** Prime Minister Keir Starmer announced his resignation on 22 JUNE. The Labour leadership nomination process opens on 9 JUL. At the time of publication, Any Burnham is the only declared candidate. Assuming no other Labour MP mounts a leadership challenge, Burnham could become the Prime Minister by mid-July, pending the completion of the Labour leadership process and formal appointment by the King.

Burnham's key priorities appear to be significant devolution of power, regional economic growth, fiscal discipline, and political reform.

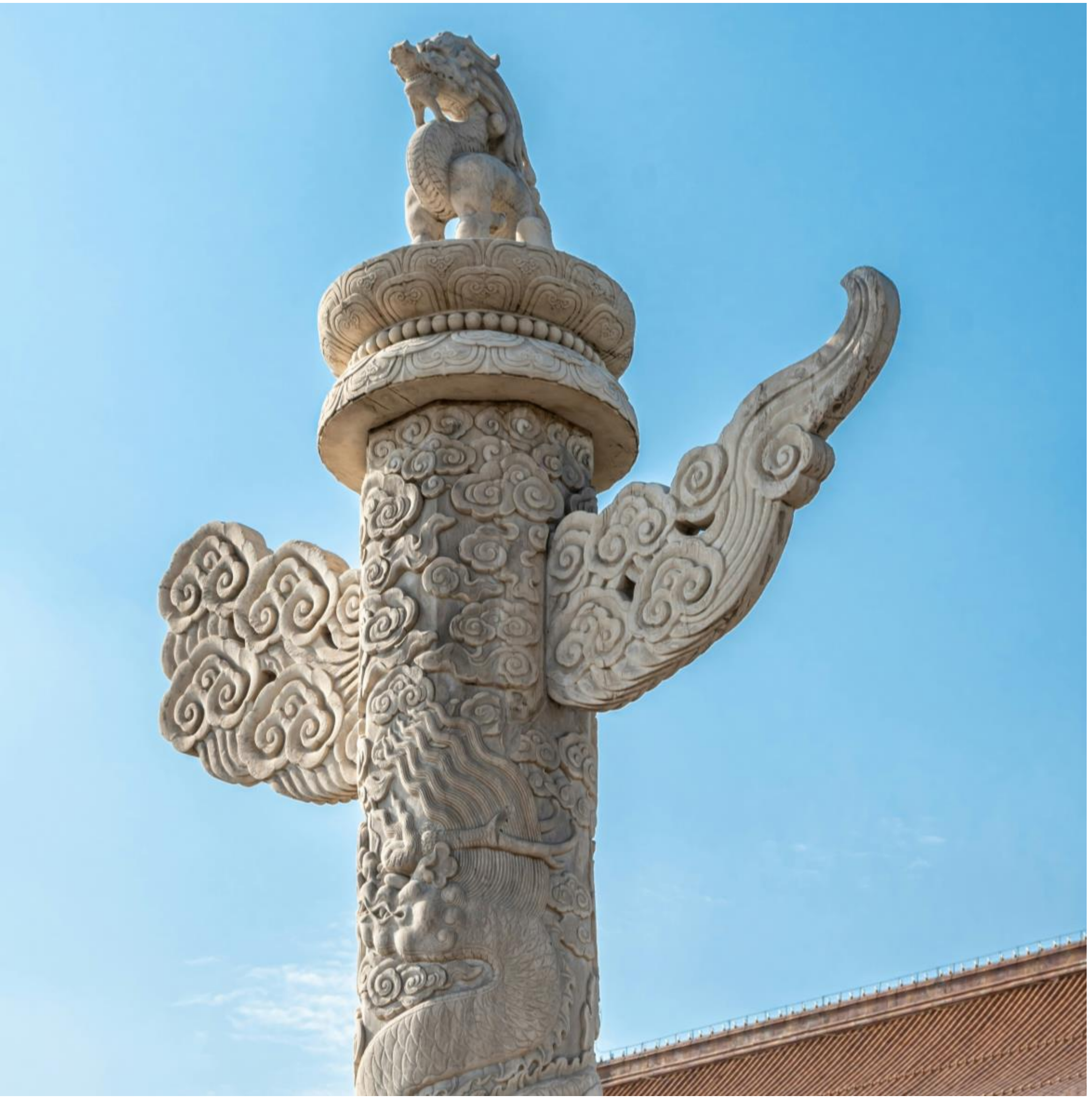
## US-India trade negotiations (24 July as a soft deadline)

**Trade talks are reportedly nearing completion, reaffirming strategic stability despite recurring bouts of friction.** The Modi-Trump meeting on the sidelines of the June G7 summit has reportedly injected renewed momentum into bilateral trade talks, which are now believed to be nearing completion. India's Trade Minister Piyush Goyal has expressed **optimism that an interim deal could be concluded by 24 July**, when the US' global 10% tariffs expire.

But even if negotiations extend beyond this deadline, we maintain our view that a convergence of strategic interests – including long-term competition with China – should keep bilateral ties broadly on track. **Nevertheless, this does not preclude the possibility of recurring bouts of friction over trade, tariffs and security issues**.

## Politburo meeting in Beijing (late July)

**The July meeting of the Politburo – China's top policy-making body – is one of the more important sessions in this year's political calendar.** The meeting will most likely assess the state of the Chinese economy during the first half of 2026 **and set the economic policy direction for the rest of the year**. Post-meeting readouts could provide insights into priorities around industrial policy, support for the property sector, and the implementation of the 15th Five-Year Plan adopted in March 2026.



Source: 典方 on Unsplash



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# Appendix 1

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